

Bosch Ltd. (BOSCHLTD)

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Call: May 2023

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Dear Sir /Madam,

Sub: Regulation 30 and 46(2)(a) of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Disclosure of Transcript of the Investors' Concall
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript of the investors' call with Investors/Analysts held on May 11, 2023 on the financial results for the quarter and year ended March 31, 2023 .
The same has been uploaded on the Company's website at the below link:
https://www.bosch.in/media/our_company/shareholder_information/2023/q4_fy2022-23_earning_call_transcript.pdf
This is for your information and records.
Thanking you,

Yours Sincerely,
for Bosch Limited,

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Company Secretary & Compliance Officer

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“Bosch Limited Q4 FY23 Post Result Conference Call ”

May 11, 2023

MANAGEMENT : MR. SOUMITRA BHATTACHARYA – MANAGING
DIRECTOR , BOSCH LIMITED
MR. GURUPRASAD MUDLAPUR - JOINT MANAGING
DIRECTOR , BOSCH LIMITED
MS. KARIN GILGES - CHIEF FINANCIAL OFFICER –
BOSCH LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

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Annamalai Jayaraj : Ladies and gentlemen, Good Day and Welcome to Bosch Limited 4Q FY23 Post Result Conference Call hosted by B&K Securities.

I also take this opportunity to welcome the Senior Management Team of Bosch Limited . We have with us today Mr. Soumitra Bhattacharya – Managing Director; Mr. Guruprasad Mudlapur – Joint Managing Director and M s. Karin Gilges – Chief Financial Officer.

At this point, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the “ Management's Presentation and Opening Remarks ”.

Over to you, Sir!

Soumitra Bhattacharya: Thank you very much. And good afternoon to all of you and thank you for taking part in the call today.

Today I would like to brief you on the macroeconomic policy, followed by the automotive market update and then of course, we'll walk you through our financials and finally we'll end with the highlights for the quarter, which affects our business.

Macroeconomic Policy:

The global economy continues to have a slowdown and while the Central Banks continue to raise their interest rates to tame the inflation , IMF is now forecasting a global economy growth at about 2.8% for the Year 2023 from a 3.4% in 2022 and the advanced economies will grow

only by about 1.3% in 2023 and if you compare this to 2022, that was 2.7%.

In this background, the Indian Economy is in a relatively sweet spot and is doing well and is expected to grow anywhere between 5.9 % to 6.5% . Of course, this is anyone 's guess, w e will see how the year unfolds.

More importantly, till now, inflation relativ ely is under control and this is one of the main focus areas that the RBI has been doing and to keep also the Financial Sector resilient. India has moved to become the world's 3rd Largest Automotive Producer . Of course , we must remember this number of 3rd largest is also linked with mix, which we cannot compare with others.

Automotive Market Update:

Overall, the automotive industry has seen an increase of 22%. This is without Two-Wheeler s and in the automotive production during the Fiscal Year '22-23 as com pared to the Fiscal Year '21-22 and an additional growth of 14% year -on-year in the current quarter without Two - Wheeler as compared to the Quarter 4 of Fiscal Year 2022.

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In Quarter 4 Fiscal Year '23 , the Commercial Vehicles market grew by 6% year-on-year with Medium and Heavy Commercial Vehicles outperforming, they grew by (+16%) year-on-year and this has been led by a strong end- user industry demand and pre -buying to beat the price hike ahead of the emission norm change.

Now Tractors have done very well colleagues . The tractor industry grew by (+ 35%) year-on-year in 4th Quarter ending the Fiscal Year '23 with the all -time high by the way greater than 1 million .

Passenger Car segment saw double -digit growth in 4th Quarter . It was led by the n SUV Segment that means the mix is very important.

OEMs continue to hold a strong order book in SUV segment which should help in cushioning the segment for some time to come.

Two-Wheeler unfortunately was story, which had 2 diffe rent sides of the coin with domestic demand has witnessed sequential recovery and exports has seen a pretty declining trend, unfortunately.

Three-Wheelers continued to recover in the domestic markets while they are nowhere near the peaks of ' 18-19 and exports still remain weak.

Let's look at how the Company has performed in the automotive market :

As you can refer from this slide, Bosch's domestic automotive sales and OE sales have been better than the automotive market production . On Tractors Bosch 's growth is driven by higher pre-buy in inverting by OEMs for the CPCB-IV plus application on Pass Cars and Commercial Vehicles , Bosch growth is primarily driven by marke

t share gains i n case of some key customers

where Bosch has a higher content per vehicle . Additionally , there has been an increase in content due to EGT or Exhaust Gas Treatment components for onboard diagnostic applications in Pass Cars and light Commercial Vehicles.

Financial Highlights for the Quarter 4:

Let's look at how the Company has performed in January -March '23 Quarter compared to the January -March '22 Quarter amidst all the above -mentioned factors :

Mobility Solution s business have grown by approximately 24% in Quarter 4 FY23 as compared to Quarter 4 FY22 .

There's been a growth of approximately 28% in products and sales of Powertrain, which is driven mainly by the automotive sector and an increase in share of content per vehicle mainly in EGT.

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The automotive aftermarket has grown by approximately 15% quarter -on-quarter mainly due to increased market demand and of course I had mentioned to you our "Zing Plus" strategy where our aftermarket continues to do well on that stra tegy.

Our Two-Wheeler business sales have also increased by approximately 18% quarter -on-quarter due to good improvement on the semiconductor supplies, which as you know was not doing too well earlier.

Beyond mobility, business sales :

This has grown by approximately 8% in Quarter 4 FY23 as compared to Quarter 4 FY22.

Consumer Goods business comprising of power tools has increased by approximately 2%.

Building Technologies grew on a low base by more than 40% on account of higher project alloc ation .

The overall revenue from operations from January to March ' 20-23 stood at 40,634 million, which is an increase of approximately 23% as compared to the corresponding period of the

previous year, mainly driven by growth of product sales of approximately 21%.

Mobility Solution sales grew by approximately 24%, while sales from business beyond Mobility Solutions increased by approximately 8%.

Income from services, mainly comprising of R&D services provided to our OEMs as well as our parent, Bosch and Germany, while the billing for R&D services are at a healthy rate, income recognized in the books based on customer SOP dates was at 1308 million.

Other operating income which includes mainly income from lease rentals, miscellaneous income, export incentives in the current quarter increases mainly on account of rental income owing to the additional income for the leasing of our smart campus, which is Spark. NXT Campus as compared to the January -March Quarter '22. And the receipt of incentive from the Mega Project Scheme of the Government of Maharashtra pertaining to our Nashik plant. Our material cost as a percentage of total revenue from operations stood at 64% in January - March '23 as compared to 64.6% in January-March '22. However, the material cost at the percentage of net sales that is excluding the income from services and other operating income is at 67.3% in January- March '23 as compared to 67% in January -March '22. The marginal increase in the material cost percentage is mainly on account of increase in raw material prices, including prices of electronic components.

Our employee cost for January -March 2023 was 3281 million as compared to 2505 million in January -March '22. As a percentage of revenue from operations, the employee costs stood at 8% approximately in January -March '23 as compared to 7.6% in January-March '22. The January -
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March '22 had a credit on account of reversal of provisions on actual valuation and employee retirement benefits. So, this actually means that we had an additional benefit in that period.

Other expenses stood at 6134 million, this is about 15% of the total revenue in January -March '23 as compared to 4803 million this is about 14.5% of total revenue in January -March '22. The current quarter has seen

tailor one-time impacts. These are due to the exchange rate due to depreciation of INR, increased in spending related to our new business areas, higher spending on professional and other charges related to service income.

Depreciation for the quarter is at 1206 million, 3% of the total revenue as compared to 892 million which is 2.7% of the total revenue in January -March '22. The increase in depreciation and current quarter is majorly on account of additions to plant and machinery and buildings. With this operating profits stood at 4018 million in January -March '23 as compared to 3516 million in January -March '22, which is an increase of 14.3%. Other income primarily comprises of interest on fixed deposits and the change in market value of mutual funds debt based, the other income has increased from INR 872 million in January -March '22 to INR 1359 million in January -March 23, mainly on account of higher mark-to-market gains on mutual funds as well as higher FD interest and the refore income.

Now coming to PBT and PAT, for the quarter ended January -March 2023, your Company posted a profit before tax or PBT of INR 5331 million as compared to INR 4315 million in January -March '22. As a percentage of total revenue from operations before tax stood at 13.1% of total revenue in the current quarter. Profit after tax for the quarter ended March '23 stood at 3990 which is 9.8% of the total revenue from operations. Profit after tax or PAT in January-March 2022 was INR 3506 million which is 10.6% of the total revenues from operations.

The BS-VI Stage- 2 Norms have been implemented across India on 1st April 2023 with an aim to make on-road vehicles cleaner and contributed towards the improved Urban Air quality. The key highlights of the BS -VI Stage -2 Norms were the introduction of :

1. Real driving emissions for Passenger Cars
2. In-service conformity for Commercial Vehicles.
3. Stringent onboard diagnostic (OBD) requirements.

Bosch has worked very closely with OEMs and legislative authorities over the past years and contributed immensely in the smooth launch of the BS -VI Stage -2 compliant vehicles. Our system solution approach during the release of BS -VI Stage-1 has already ensured emission and performance robustness in not only standard test cycles, but also in real driving conditions, thereby paving the way for a quick and efficient adaption for Stage-2. Bosch Limited also introduced new cutting-edge testing solutions like the Mobile Chassis Dynamometer and the Cold Chamber Testing to validate the vehicle performance in extended environment conditions and ensure system robustness. Our OBD Solutions and calibration services have also played a crucial role in enabling the OEMs to meet legislative requirements.

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Bosch has successfully delivered approximately 80 programs across different vehicle segments and we will continue to work closely with stakeholders to improve the system performance and prepare for future legislation.

Moving on to our ESG performance:

It gives me immense pleasure and satisfaction to report that Bosch Limited has been rated the #1 amongst all auto components companies by "Sustained Analytics Bracket Global ESG Ratings Agency". Our risk score is only 8.3, As you know, the lower the better.

At Bosch, we pursued sustainability long before it was made into talk of the social agenda. As a result, in 2020 we became the "First Global Industrial Enterprise" to make our own operations carbon neutral. Last year, as a part of the Annual Report, we summarized the focus areas of our sustainability management with the vision that describes 6 dimensions.

Now I would like to thank each and every one of you for your contribution and patient listening. And before we address your queries, that is me and my colleagues, I would like to also make a last personal statement to a

ll of you. So, as you know, I retired from the services of the Company on 30th 2023. My successor already announced Guruprasad Mudlapur will be addressing the next meeting. Of course, he along with our CFO will continue to address these meetings. The team at Bosch and the transition at Bosch has been done in a very well-planned manner. The team is an excellent team and they will not only keep the Company as it has remained relevant not just for our customers, but for the Government, the society, the stakeholders at large with the Bosch ethics and values, but I'm sure that they will take it to the next level, including not only strengthening our core and rewired the core, but also addressing the very important part of the future core or the new business areas where our parent has all the strengths and they will utilize to regionalize to have our strong umbilical cord functioning and you will get the same transparency and of course, at an even higher level.

So, with that, I bring my colleagues into a play for all the question-answers that you have. And I want to tell you. That has been a pleasure for me to talk to you all these years.

Annamalai Jayaraj: Thank you. We will now begin the question-and-answer session. Ladies and gentlemen, at present you are all in the listen-only mode for participants who wish to ask your question, I request you to please raise your virtual hand as the moderator, I shall be able to see your raise your virtual hand and I will invite your questions in turn. Alternatively, participants can also type in their questions in the chat box. Please address your question to all the analysts. We will now wait for a moment as the question queue assembles. The first question is from Pramod Kumar. Please unmute your line and ask your question.

Pramod Kumar: Soumitra wish you a great time ahead of you as kind of spend more time with the personal front. And congratulations on a great transition and leadership so far. So, my first question is on the semiconductor situation. Indian companies have been complaining about very volatile supply
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chain situation on the semi side for the last few months as well so looking forward, from your vantage point, especially from Germany where you are today, how does the supply situation looking from your perspective Sir for Indian OEMs as you look forward into FY24?

Soumitra Bhattacharya: Thank you, Pramod. This is a very important point and we have been constantly addressing it.

Pramod we have to look at it on a worldwide basis and not on an Indian context. The semiconductor situation in FY22-23 had huge challenges across the world and therefore also India. Relatively compared to the past there are a better stability, but we are worldwide, not out of the woods and therefore India is also not out of the woods. Even in the last few months, there have been temporary issues because A) The supply chain is extremely complex, B) The supply chain is across the world, and C) You may have heard that some of them had some quality issues, some of them had some structural issues, and even one particular semiconductor had a fire, which was a coating supplier. So, I'm just giving you some examples. So, in summary – A) The supply situation relative to a very turbulent FY22-23 and FY21-22 is relatively better but individual supplies either fire or supply chain issues or structural issues or quality issues cannot be ruled out, which then affect different parts of the world including India. So, I'm not even talking now about the war that's happening or China Taiwan, those are bigger items, but in summary, more stable semiconductor can never be addressed from the India approach only, it's a worldwide matter and our global task force and Bosch do an excellent professional job and thereby India, like many other countries, also gets its shares and thereby our cus-

tomers get their

share. But we are totally dependent on the situation on the individual semiconductor and those companies have backend and frontend plants all over the world.

Pramod Kumar: The second question is on the revenue outlook or the growth outlook what you shared because if I look at FY23, your underlying customer segments be it Tractors, be it Commercial Vehicle

be it Passenger Car s had a phenomenal volume growth and the revenue growth for your key customers were like north of 30% and we had growth rate, which is below them most of our key customers . In that context when everyone is talking about industry segment growth slowing down, be it in Commercial Vehicle, be it in cars and even Three -Wheelers in other categories and Tractors particularly , why are we guiding for a healthy double -digit growth outlook when underlying segments growth may not be more than 5 % to 6%. So, what is the disconnect between FY23 performance versus what you're guiding for FY24 ?

Soumitra Bhattacharya: So, Pramod, first of all for FY24 , we don't give guidance. Now let's talk about FY23 . Now, for FY23, you have to be very specific. You have to now say Pass Cars . The Pass Cars in FY23 production was 4.576 million . This was against the peak of 4.070 million in '18 -90. Now within Pass Cars you have to look at the mix , the mix has changed and favorable of SUVs. So , whether you look at Pass Cars , whether you look at Heavy Commercial Vehicles where the peak was 4.80 lakhs and FY22- 23 was 3.97 lakh , we have improved on the content per vehicle whether. greatly in Heavy Commercial Vehicles, in Medium Commercial Vehicles and also in Pass Cars. Of course, Tractors played a pretty good role and the Tractors went to 1 million which crossed even the higher peak of 9.70 lakh or the peak of '18-19 of 9 lakh so. Content per vehicle for Bosch has gone up. Market has grown. You have to always look at it as a mix otherwise it will
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be. A generalized question. And lastly for 20 24 now, while we will not give guidance for the Company , we can say that we will have healthy growth also for FY23 -24. And we expect the market to grow on the already high level of FY23.

Pramod Kumar: Apologies, but in the press release, I think you've made comments that you expect total revenues from sales to grow around 15%. I was referring to that.

Soumitra Bhattacharya: Yes, that is something that last year we also said and we outperformed that. So , I told you a healthy growth of 15% we expect, but I'm not going to say whether it's going to go towards 20 % or 22 %, whatever. So , if you remember I ast year also we said that we are expecting to be at (+15 %) and let's see how the market performs. At the end of the day all under normal circumstances, suppose there is a circumstance which of COVID happens and the war happens in this side of the world then you never know. These are all under normal circumstances, we expect India to grow well based on normal , so there is a lot of riders to it.

Pramod Kumar: That's what I was trying to understand because the growth for your key customer segments is going to moderate materially and we are talking about significant outperformance that was the context. But I think you explained it well.

Annamalai Jayaraj: The next question is from Dinesh . You can go ahead with the questions.

Dinesh : Congratulations to you, Sir and wish you all the best for the next stage of your life. My question pertains first clarification on the staff cost, we have seen a substantial increase vis -à-vis previous quarters, not just on YoY but also on a QoQ basis. Is there any one -off in this quarter or this is more of a sustainable run rate?

Soumitra Bhattacharya: First of all, Dinesh our employee cost, as you know, if you look at 3 years or 4 years ago where we had even touched 14%, we have made a major sustainable downwa

rd change. And this has happened through our "3R Program " and this was over 3 years. So , you have to keep first in mind where we were and that was about 13 % to 14% and where we are. So, that context is very important. The second point on this context, there will always be some minor changes. This will be due to year-end increments, annual salary amounts which get paid , which of course get neutralized over the year and things like that. So, I would say our employee cost as a percentage of revenue from operations will always remain now at an optimal and healthy level. We are focusing on the quality of the part, not the percentage in terms of up skilling our people , in terms of taking care of relevant competencies, whether it is blue collar, whether it is our leadership or whether it is our managerial staff. In summary, I would say please Dinesh look at two things. One, where were we as a Company for the past so many years and now, where are we and we are about anywhere between 4 % to 6% points lower. Second, there will be some minor changes always. And 3rd, let's look beyond the number , is the Company progressive to look at GP TW where we had scored for the 3rd time in the top quartile , is the Company looking at training, competence and we are doing it. We will continue to be there whether it is accruals , whether it is actual valuations, whether it is these increments and all that, so don't get bothered about it.

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Dinesh : Sure. And the second clarification on the traded goods on that are in cost. So, that has also seen an increase materially vis -à-vis 3rd quarter and this is especially in context since we started our localization plan in 3 Q so in that context, does this increase , is it something to do with the OBD transition where the sensors and electronic al parts would have seen increased sourcing fr om our

sister concerns?

Soumitra Bhattacharya: Traded and manufactured will always have this small changes because as you move up the ladder which I have explained multiple times on both rewire core and new core, Bosch has always followed a policy of first trading and when you have a higher mix as well as content per vehicle then we will always have a chance also for traded a few percentage points becoming higher. As we go along those traded goods then get localized overtime. Yes, you're indirectly right when you look at the mix I told you about whether it is our OBD, I told you about the emission norm changes BS-VI Stage-2 like earlier when we changed from BS-IV to BS-VI, the same thing happened. So, I would say please look at traded goods as two parts 1) Mix changes will have an impact on traded goods for some time. 2) Then we kick in localization based on volume and then again some other traded goods will come in based on again legislation and this will be an ongoing process. So, we will continue to localize, we will continue to have traded goods depending on emission norm changes and depending on our localization program. But one thing I can assure you, Bosch India as a Group and Bosch Limited as a Company will continue to focus very clearly on localization at the right optimal times.

Dinesh: And lastly, in the press release we have talked about content increase driven by Exhaust Gas Treatment is this also driven by the OBD to change? Logically, it should not be the case and is this over and above content of SCR, can you clarify on that as well?

Soumitra Bhattacharya: I've told you about the BS-VI Stage-2. Also told you about the OBD and also this is linked to the EGT components and if look at the total mix and mainly coming from the power train yes, our content per vehicle has significantly moved up. The first set of content that moved up was from BS-IV to BS-VI Stage-1, then from BS-VI Stage-1 to BS-VI Stage-2 and later content per vehicle will also have a change when we have

the TREM -4 to TREM -5.

Dinesh: And this EGT would be made in house unlike SCR which is sourced from 3rd party vendors. Is that correct understanding?

Soumitra Bhattacharya: No, Dinesh, we take from the best party and from the best source and we decide what we do in-house and what we do from 3rd party or our partners. So, we don't get into overall, scheme of just trying to localize for localization and you will continue. And this policy is applicable for EGT, where EGT has multiple components and there are different levels of expertise, whether it's coating, whether it is different other components that where Bosch primarily would not go to but continue to work with partners.

Annamalai Jayaraj: Thanks, Dinesh. Next question is from Hitesh Goel. Please unmute your line and ask your question.

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Hitesh Goel: Sir, my question is on this, we can understand your content per vehicle will increase basically in FY24 because of these new norms which are coming through right? Post that do you see any major change which can increase in terms of emissions which can lead to an increase in content per vehicle, except for the Tractor which chain that you have highlighted.

Soumitra Bhattacharya: Hitesh this is a very generic question do not get me wrong. Content per vehicle increases based on what is happening on the mix and the mix is then linked to a change in the road map legislation road map. So, you have to be a little specific, for example, there was a change in Two-Wheeler from carburetor to injection or there is a change in FI TREM-IV to TREM-V or there was a change in our mix from BS-IV to BS-VI, BS-VI to Stage-1 to Stage-2. So, we used those changes and in the emission and legislation road map there are some 8 lines finally running, the 8 lines can also become 10 or 12. So, you have to really look at each line whether it is CPCB 4 plus whether it is TREM-IV to TREM-V whether it is BS-VI to Stage-1 to Stage-2 and whether it is for the Two-Wheeler and so on and so forth and there Bosch works at each stage because for us our parent has already gone through this. In summary, India was 17 years behind Europe about 8 years ago. Today, we are approximately 5 years behind Europe. So, luckily our parent has gone through most of it and we use our parent's expertise then we regionalize the approach and we start working well before the launch. So, that is how and in summary yes content per vehicle has gone up, but not suddenly it has happened over a very clear unfolding game plan. This is for PS. What you had not seen is many of our sister plants who support Bosch limited take our ECU manufacturing unit where my colleague Guruprasad Mudlapur who is going to succeed me was the MD. There are changes for the entire ECU and those new ECUs come and fit into different vehicles, different applications. So, Bosch in India is Bosch Limited plus supported by many of our sister legal entities. So, it has to be a little more specific, but overall, yes content per vehicle has gone up and the focus on this route not just when you see it, but well before, but Guru would you like to add.

Guruprasad Mudlapur: Maybe just as a general rule I think you covered it all. As we move towards more advanced technologies and regulations be it in the form of emissions safety or connectivity or other forms content per vehicle or the complexity of technology goes up substantially and the electronics

content has also gone up substantially over the last few years and it has always been our endeavour to have the most latest technology on offer for these technologies and regulations and we have done that globally we are doing that also in India. So, sometimes you see this with a lag while we may have been talking to the OEMs on to the government and offering technologies maybe 3 years, 4 years in advance and when

at you see as results come maybe 3 years later. So, in that sense it is a constant endeavour of Bosch to keep on increasing our content per vehicle to a substantial level as we move forward and electronics is one good example from cars which had just one ECU or Two-Wheelers which had no electronics at all. Today, we are at levels where we have multiple use and multiple electronic units for different functions in different vehicle categories.

Annamalai Jayaraj : Next caller is Viraj.

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Viraj: Just couple of queries I had on the business first is I get the sense that you have a content is increasing with each regulation, but if one were to just understand our volume performance and especially our market share in different end segments say CV, M&HCV, tractors, PV and where I am coming from is if I look in the past there was a phase where we had lost business say with some of the customers in CV or there was a change in the fuel mix and this also impacting us. So, if one were to just understand the market share positioning across different segments and our different fuel mixes say N23 versus what it was say in '18 or '19, what would that be that will probably give a sense in terms of how our acquisition strategy has played out in terms of market share so that is first question?

Soumitra Bhattacharya: So, Viraj I will give you a very clear answer. We do not discuss market shares that is the guidance question. You know that we were very relevant players in tractors in M&HCV, HCV and then passenger cars and we continue to remain we have got good acquisitions in Two-Wheelers not only in the fuel injection system, but we have also in the brakes which is a separate legal entity but works very closely. We have also in the connectivity and so on and so forth. So, I will just give you an example we had the highest ever acquisition last year so that should tell you something. Now, if you ask me segment wise directly or indirectly market share we are not going to give that neither for tractors nor for others, but yes the highest ever acquisition for year '22-23 can give you an indication including for Bosch Limited including for Powertrain that we are on a good way. I trust you are okay with that.

Viraj: Second question is largely in terms of the value addition and if I look at our sales performance especially in the mobility we have the highest ever sales and what we are seeing that next year this is further grown, but if I look into the value addition especially at the gross level, we have one of the lowest ever gross margin performance in decades now. So, I understand there is a change in terms of regulation and hence we shift to trade it, but if I look at a unit level in each of the end markets which we cater to each of these markets are either across the last week or we are pretty much close to the last week in some cases. So, in that sense with the major regulation changes now over especially when it comes to say CV or PV that behind us, how should one understand the value added or the contribution margin for us and this is little perplexing because when I look at the shareholder approvals also we have also asked for a further increase in sourcing from parent from other group entities in India. So, in that sense how should one really understand the value addition we will make at Bosch Limited and in that sense the gross margin in this business falls?

Soumitra Bhattacharya: So, I will make a couple of opening sentences and maybe hand over to our CFO, but I will just give you some very important overall statements which you may want to connect the dots.

Number one, when you look at margins you should look at it at two levels. 1) Are we playing the game to ensure that we have a long-term acquisition plan in relation to the changing legislative environment. I think there you can clearly

early see that based on a very high acquisition, based on content per vehicle and based on our growth we are and will continue to remain a very strong and relevant player including with the changing times. So, that is one I would like to leave behind as a thought for connecting the dots without giving guidance. 2) Your result of your

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margins on EBIT or EBITDA you know our EBITDA is better than our EBIT because we have a pretty increasing depreciation because we are continuing to invest for the future. Now, EBITDA when you look at a double-digit EBITDA I would say it is not a bad performance. Now you are comparing this number with a number which was predominantly diesel for the last 30

years and I am sure you are comparing some of the numbers with 5 years, 8 years ago. So, let us put it in this way it is apples and oranges. The third part is based on the transition where diesel as you know about 6 years ago diesel was at 48% of market share today diesel has a 20% of market share. So, we continue to do a double digit in spite of the change which has happened. The third part is we nurture also new businesses. So, if we put in money for new businesses we are putting in money to ensure that we are nurturing the future. We have put in money for our project house electrification and hydrogen. You will not see the results right now, but what all of you are concerned is, are we preparing for the future answers yes we are preparing for the future. You remember many of you asked me a question how long will we have the CR Program and how long are you going to put in big tickets on the P&L and we had put aside 1,500 crores and you can see the result today. So, you have to trust this management for doing the right steps at the right time not looking at quarterly results only, but looking at staying relevant and staying profitable, but over and above this my colleague.

Karin Gilges: First of all, thank you very much for the question and yes Soumitra gave you already a couple or most of the perspectives I would like to add and also what was said beforehand which is very, very important this when is a good time for localization. So, it is a changing content in the vehicle and of course as Soumitra also explained already we start it is a traded goods to come then into a localization and we are also driving forward of course and this is also perhaps an additional perspective to this was what Soumitra already told you.

Viraj: Just last question parent in the recent press release annual shareholding meeting they talked about revamping the mobility related and they are looking at 7 different segments including our dedicated software segment and then also an electrical drive unit, so in that sense for our Bosch Limited if you can provide some perspective how does it impact us and what additional opportunities or not may come by in the listed entity?

Soumitra Bhattacharya: So, I will give a sentence or two and then hand it over to my colleague and he is most suitable to answer in details because he has actually worked in these areas. So, let me tell you one thing

Viraj that Bosch Limited has an advantage of also having these big ticket sister companies around us in India including this very big ticket company not just from turnover and people, but also from importance and strategic importance located out of India which is called the Bosch Global Software Private Limited Company and this company caters 93% of its turnover for catering to Bosch Worldwide, but also India. We have a very strong umbilical cord between Bosch Limited and what we call in short form BGSW and where we do a lot of work together which helps India and of course they do R&D and work for the Bosch Global World end-to-end also. So, with that on matter of software which is going to be very relevant and prevalent for

or

mobility in the future as a tech stack I hand over for Guru to give a brief on that,

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Guruprasad Mudlapur: I think the context for your question is basically we need to understand from what is happening in the mobility world today and what is happening with some of our OEMs especially the more advanced OEMs how are they looking at technical architectures or E architectures in vehicles moving forward. So, what is evolving now very strongly is a very clear domain focus be it domain as an energy or mobility domain, as in electrification or ADAS or connectivity or infotainment. So, these are becoming more standardized and we start to get requests from OEMs purely based on domain architectures and this also increases quite a lot the complexity on electronics and so electronics as a horizontal cuts across multiple domains and the domain controllers manage many of these domains and on top so it is quite a huge layer of software. So, many people have called cars, mobile phones on wheels for a good reason because the mobility world starts to emulate many of the things that the mobile phone world did some years ago. So, when the mobility architectures are evolving in that direction it is also important for us to internally reorganize ourselves and not necessarily in the context of companies and entities, but in terms of how we do business towards the external world and how we face the external world much better because now there is a request to provide an L3 ADAS solution and that cuts across, for example, steering systems. There are cuts across electronics control units, it cuts across breaking. So, many of these things get together and the Tier-1 ability to put together solutions like this makes a lot of difference and this is the evolution that our parent talked about in the previous press conference and within India we are also now starting to look at how relevant is this for the Indian market and when is it appropriate to reorient ourselves in this direction and we are working on restructuring ourselves in line with what the Indian OEMs may require as we move forward, some of whom we have very closely talking to on these concepts and of course the global OEMs who talked to us at global level are simply transplanting their structures also in India. So, this is the background for you and the work is in progress and as we move forward in the coming year we will keep you updated on that.

Annamalai Jayaraj: Next is from Iftikhar

Iftikhar : Just couple of question one is on the GDI which I think is one of the area where probably the growth can be potentially higher as we move towards the new emission norm and compact engine etcetera, so how do we see our opportunity size in that and second is on the future emission norm I think the OBD2 B will also be coming probably in 2025 April of FY20. So, our acquisition will be much, much higher in OBD2 B for the passenger car and the trucks in the OBD2 and RD2 etcetera?

Guruprasad Mudlapur : You sort of gave the answer within the question itself. So, I would only concur with what you said. Yes, GDI is an important technology already pretty standard in the advanced world coming over the last couple of years in some segments in India in passenger cars and we will see more GDI coming in multiple other segments of passenger cars as we move forward. So, we certainly see this and also with the dominance of diesel coming down there will be much more GDI happening in India. OBD 2 of course you answered it yourself. It is certainly something that we are very very active on where we are closely watching is the constant shift of goalpost. Soumitra already talked about it and that is not really so conducive for investments right now and Yes connecting Bosch Limited

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back to some of the earlier questions on why the fluctuation happens

in our the way traded goods

comes in and localization happens. I think the answer is like this. The way goal posts keep shifting does not really help quick investments and this is something we are very closely watching on how to manage and work with the OEMs to get this going.

Iftikhar : One more question on the dividend policy now this year you have probably given 100%, so is it the new norm which we are expecting in future or I mean any thoughts on the dividend policy?

Soumitra Bhattacharya: Look it is a very good question. We have shared very clearly why we have done it. This is an exception. We have had 100 years which is also an exception and we have had also a very good year and it is not going to be the norm, but it is going to be an exception while ensuring that we give always a healthy payout meeting also expectations of minority shareholders and our parents, but one time.

Iftikhar : And just now you have called out certain one-offs in the other expenditure etcetera, so if you can just help me understand what is the kind of nature of those one-offs as well as the quantum if for the last quarter?

Karin Gilges : In the last quarter in the other expenses we had a certain one-time expenses like depreciation in the INR where we have an exchange rate impact then as mentioned before very important spending in the new business areas which is all the time the investment in the future of us where we have to start decide our core business and then also some spending in professional and other charges related to the service income. So, you see the impact and the other expenses, but you see as a counterpart then also in the other income. So, these are the main three one-time impacts we saw in this quarter.

Iftikhar : So, any call out for the basis point impact or I mean the quantum of impact?

Karin Gilges : No, these are one-time impacts of course if we invest in new business areas then we will see a fluctuation in this other expenses also on a quarterly basis. It depends of course all the time how investments for example in these areas are going onwards.

Iftikhar : And my last questions is on I mean two, three years back we have created a subsidiary under the Bosch Limited for the E-Mobility and I think we have not invested enough in that subsidiary, so when can we expect the substantial investment in that subsidiary for the plant etcetera so that I mean the business can start generate enough growth etcetera?

Soumitra Bhattacharya: Yes. So, we have done good work on the project house electric mobility and hydrogen as I mentioned and we will link it to that company as and when we need to do things and we are evaluating the options.

Annamalai Jayaraj : The final call is from Aman.

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Aman: I have a question on the product side of Bosch, so you guys have an EFI product whereas one of your competitors has an E-Carburetor product. So, I am just trying to understand as to what the OEMs are preferring do they prefer to go with the EFI or do they prefer to go with the E carburetor?

Soumitra Bhattacharya: We have always stated that we strongly believe not on the E-Carburetor we would not talk based on what others would state or do. We are talking completely based on technical situation including what the future is and we have stuck to it and we would not like to make comments for it.

Annamalai Jayaraj : Sir we thank Mr. Soumitra Bhattacharya for participating in all our investors conferences and patiently answering all our questions. Wish him all the best for his future whatever he wants to

do and we welcome Mr. Guruprasad Mudlapur for the future calls.

Guruprasad Mudlapur : Thank you.

Soumitra Bhattacharya: Thank you very much.

Annamalai Jayaraj : Thanks. On behalf of B& K Securities , we thank all the participants for joining the call and special thanks to Bosch Management

for taking time out for the call and giving us the opportunity to host the call. Have a good day.

NOTE: This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. This transcript is provided "as is", without express or implied warranties of any kind.

Call: Aug 2023

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Dear Sir /Madam,

Sub: Regulation 30 and 46(2)(a) of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Disclosure of Transcript of the Investors' Concall
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript of the investors' call with Investors/Analysts held on August 1, 2023 on the financial results for the quarter ended June 30, 2023.
The same has been uploaded on the Company's website at the below link:
https://www.bosch.in/media/our_company/shareholder_information/2023/q1_fy2023-24_earning_call_transcript.pdf
This is for your information and records.
Thanking you,

Yours Sincerely,
for Bosch Limited,

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August 2, 2023

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“Bosch Limited 1Q FY23 -24 Post Results Conference
Call”

August 01, 2023

M
ANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR & CHIEF TECHNOLOGY OFFICER , BOSCH
LIMITED
MR. N. SANDEEP – JOINT MANAGING DIRECTOR ,
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MS. KARIN GILGES – CHIEF FINANCIAL OFFICER ,
BOSCH LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

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Annamalai Jayaraj : Ladies and gentlemen, good day and welcome to Bosch Limited 1Q FY23 -24 Post-Results Conference Call hosted by B&K Securities.

We also congratulate and welcome the Bosch Limited new leadership team to the investor call .

We have with us today the new Managing Director and Chief Technology Officer – Mr. Guruprasad Mudlapur, a new Joint Managing Director – Mr. N. Sandeep and Ms. Karin Gilges – Chief Financial Officer .

At this point , all participant lines will be in the listen -only mode and there will be an opportunity to ask questions after the management presentation and opening remarks . Over to you, sir.

Guruprasad Mudlapur : Good afternoon, everyone, and thank you for being part of this call . Today , I'll start with the brief on the macroeconomic policy followed by an automotive market update and then I'll walk you through our financials. Finally, I'll end with the highlights of the quarter affecting our business.

As per the recent IMF report, the global economy is expected to grow at 3% in 2023, up from 3.5% in 2022 and the advanced economies to grow by 1.5% in 2023 from 2.7% in 2022.

Amongst this backdrop, the Indian economy is doing well and is expected to grow by 6.1% in FY23 -24. More importantly, our inflation remains controlled and the financial sector is resilient.

Overall, the automotive industry displayed a mixed performance, with certain segments showing

resilience and while others faced hurdles due to the pre-buying effects and exports decline. Passenger vehicle segments saw growth driven by the SUV category supported by strong order books from OEMs. However, the commercial vehicle segment saw moderation, while the medium and heavy commercial vehicle segments showed better performance, LCVs experienced a decline of 2%. Three-wheeler segment continued to recover in the domestic market, while exports remain sluggish. The tractor segment declined by 9% year-on-year due to a high base of FY23 coupled with inventory moderation in Q1 FY24. Two-wheeler demand recovery sustained during the marriage season; however, export market remains a concern with sluggish demand. Let's now look at the automotive outlook for 2023. From the loss of COVID, Indian automotive industry bounces back and reached new peak in the year 2022. From this high base, we expect the market to grow in 2023 compared to 22. This shows the robustness of the Indian auto industry and the economy despite global headwinds and reduction in exports. Let's look at how the company performed in April to June 23 quarter compared to April-June 2022 amidst the above-mentioned factors.

Sector-wise sales, start with the mobility solutions sector, the mobility solution sales have grown by 13.6% in Q1 FY24 as compared to Q1 FY23. 12.5% growth in product sales of Powertrain solutions is driven mainly due to the growth in overall automotive sector and increase in share of content per vehicle, mainly in exhaust gas treatment. Automotive aftermarket has grown by 12.7% quarter-on-quarter mainly due to increase in export of spark plugs and higher market

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consumption of lubricants. Two-wheeler business sales have also increased by 42.8% quarter-on-quarter due to improvement in semiconductor supplies as compared to previous quarter. The Beyond Mobility Solutions sales have grown by 21.5% in Q1 FY24 as compared to Q1 FY23. Consumer goods business comprising of power tools segment has increased by 17.9% quarter-on-quarter mainly due to increased sales of blue tools due to higher demand. The building technologies area grew by 13.6% at 36.9%, mainly on account of higher number of orders for installation of security systems.

Profitability statement: the overall revenue from operations for April, June 2023 stood at Rs. 41,584 million, which is an increase

of 17.3% as compared to the corresponding period of previous years, mainly driven by growth in product sales by 14.5%. The Mobility Solutions area

sales grew by 13.6%, while sales from business Beyond Mobility Solutions increased by 21.5%.

Income from services, mainly comprising of engineering and application services provided to OEMs and Bosch Germany.

Service income for the quarter is towards completion of BS-6 stage

II projects for OEMs. Other operating income mainly includes income from lease, land rentals and miscellaneous income and of course, export incentives. In the current quarter, increase is mainly on account of rental income going to additional space let out in the Aduangi campus.

Material cost as a percentage of total revenue from operations is at 64.5% in April, June 2023 as compared to 64.6% in April, June 2022. However, material cost as a percentage of net sales, that's excluding income from services and other operating income is at 68.7% in April, June 2023 as compared to 67.2% in April, June 2022. The increase is mainly on account of higher share of traded goods in the current quarter as compared to the same quarter of the previous year.

Impact on account of price increase given to import suppliers on account of higher energy costs.

The employee costs for April, June 2023 is Rs. 3,094 million as compared to Rs. 2,702 million for April, June 2022. As a percentage of revenue from operations, the employee cost is better as compared to the same quarter of the previous year. Other expenses stood at Rs. 6,977 million, which is 16.8% of the total revenue in April, June 2023 as compared to Rs. 5,334 million which is 15% of the total revenue in April, June 2022. Current quarter has seen certain one-time impacts in other expenses.

Increased spending on new businesses; higher spending on customer projects for engineering and application services, which is in line with higher income from our services. Depreciation for the current quarter is at Rs. 921,000,000, which is 2.2% of the total revenue as compared to Rs. 648,000,000 which was 1.8% of the total revenue in April, June 2022. Increase in depreciation in current quarter is majorly on account of major additions to plant and machinery and buildings during financial year 22-23. With this, the operating profit stood at Rs. 3,728 million in April, June 2023 as compared to Rs. 3,847 million in April, June 22, a decrease of 2.3%. Other income primarily comprises of interest on fixed deposits and change in market value of mutual funds.

The other income has increased from Rs. 566,000,000 in April, June 22 to Rs. 1,875 million in April, June 2023, mainly on account of higher mark-to-market gain on mutual funds, higher FDI interest income and dividend received from investments in equity shares.

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For the quarter ended April, June 2023, your company posted a profit before tax of Rs. 5,325 million as compared to Rs. 4,377 million in April, June 2022. As a percentage of total revenue from operations, profit before tax stood at 12.8% of total revenue in the current quarter. Profit after tax for the quarter ended June 23 stood at Rs. 4,090 million which is 9.8% of total revenue from operations. Profit after tax in April, June 2022 was Rs. 3,342 million which was 9.4% of the total revenue from operations.

Thank you all for your contribution and for listening patiently through the call. We will now address your queries. Thank you and Annamalai, questions please.

Annamalai Jayaraj: Thank you, sir. We shall now begin the question-and-answer session. The first question is from Pramod Amte. Please unmute and ask your question.

Pramod Amte: So, two questions. First one, you have explained in detail in the annual report and also I'll be getting the call about spark plug export opportunity. Can you just delve into this a trend that you have one of the low

cost production base and longstanding in this business and it's opening up an opportunity and which all areas in the ICE components you feel such opportunity and emerge for Bosch India for exporting to the global markets in the next 1 to 2 years?

Guruprasad Mudlapur: Thank you, Pramod. Yes, indeed you are right. The timing is right for us. Also, there have been some shifts of our production out of Russia. So a lot of spark plugs which were earlier made in our Russian location have moved out and they have been relocated into India. And that helps us produce more out of India and specifically with regard to spark plugs. There is a possibility that this phenomenon will extend to other areas. We are in discussions right now. We are looking at all possible opportunities and right now, I would not like to comment on any specific area that we may extend this to.

Pramod Amte: And the second question is with regard to the electric vehicle space. We are seeing new MNCs making inroads into India like recently Schaeffler winning the big order in eAxle. My question related to that is Bosch has a similar product lines globally and enjoys amazing customer relationship in India for many of the clients, so wanted to know where is the gap in terms of when you see to win such orders versus others already having it in the bag and how you plan to cover those gaps in the next 1 to 2 years to make inroads into EV orders?

Guruprasad Mudlapur: I'll let my colleague, JMD, Sandeep answer this.

N. Sandeep: I think on the eAxle portfolio, we as Bosch, have quite a widespread portfolio globally, especially coming out of our operations in China. Now, the market in India is in a formative phase and we are basically trying to align best the portfolio with what we have globally to the requirements regionally in India. And this is going to take time and we are making progress in the field of electronics and software. But coming back specific to your question about eAxle, we are in the process of aligning the portfolio. I don't see a gap, but this would take time before we are able to bring together the specifications of the global platforms and the local requirements.

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Annamalai Jayaraj: Thanks, Pramod. The next question is from Jinesh Gandhi. Please unmute and ask your question.

Jinesh Gandhi: Just continuing on eAxle, just to clarify, would eAxle opportunity coming in the listed entity given it's not per se powertrain related or would it be part of the unlisted entities?

N. Sandeep: Well, we are at the moment first focusing on, like I mentioned, very generic level the requirements engineering which includes multiple domains. So we are yet to get to this point about where would the technology lie? So our focus primarily is to mobility level, focus on requirements engineering.

Jinesh Gandhi: The second question pertains to a broader direction of margins from where we are today. So we have seen our margin stabilizing in 11% to 12% range on sustained basis. Now, given many of the headwinds which we faced over last few years are going away plus we are seeing ramp up in our BS-6 localization solution. So how should one think about margins from where we are today?

Karin Gilges: So I would go first and then my colleagues can add. So if you are looking at the margins in the ICE business for manufactured goods in India in the limited for the Indian market. Then we are seeing actually that we have for the self-manufactured goods quite good margins on the market, but we also have to see that in the overall operating margin of the 9%, we have currently a high part of traded goods, goods which we are importing from other Bosch Groups mainly or from other countries and then trade it here in the market and therefore it is a mix. What we currently see is we have an increase in the content, especially in the exhaust gas treatment,

but also an

increase in the demands in the market of the common rail systems and where we have compared to the conventional products we have, we have up to now not reached the level of localization if you compare it to a conventional product like the air pump. So what we are doing looking forward, we are investing and going ahead with the localization. I told you last time for example the injector for the commercial

vehicles where we started in October last year with the testing and assembly and now we are currently ramping up the production of the trial parts here in India.

So this is overall, where we have different transfers in the next 2 to 3, 4 years, but we have to drive the localization and before we see the real stabilization, let's say also in the margins.

Jinesh Gandhi: And this increase in traded goods is effectively the structural change in the business, right? I mean EGT or SCR, those things where content has increased materially post BS -6, this will remain as it is, I mean many of these things we won't like to make it in-house. Is that the correct understanding?

Karin Gilges: That is correct understanding. It will not reverse anymore and therefore because we have now a good view on the market and see the volumes we need and now we are going for localization and start also in the exhaust gas treatment, the localization of different products.

Jinesh Gandhi: Yes, and that could be localized by our supplier partner, not at Bosch level?

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Karin Gilges: No, of course we also try to ramp up the supplier base for the products, but the finished goods itself for the exhaust gas treatment will be mainly as ourselves manufactured goods.

Jinesh Gandhi: And one last clarification on the other expenses that we are calling out for one-off expenses for the service part, that there is a commensurate benefit on the service income, right. So both will go away as things normalize?

Karin Gilges: If you look at the higher spending, we also have to see the other part, we have higher income from service. That means whenever we see in the revenues the service income, then we book it, also of course the related spending with it.

Annamalai Jayaraj: Thank you, Jinesh. I'll go for some questions in the chat box. Please can you quantify the one-off expenses included in the other expenses. That is the question from Mr. Abhishek.

Karin Gilges: Actually, one important point, this is the new business expenditures. And therefore we have in this quarter increase in the spending related to the new business areas. And what we can also see in the other expenses is the higher spending related to the higher service income. So these are the main two issues. One, the professional charges, which is the spending to the higher service income is about 1.3 % points and the spending in the new business expenditures is roughly 0.6 % points.

Annamalai Jayaraj: I will go for the questions in the chat box. This is from Ravi Purohit. Our current gross margins are the lowest ever, this is the new trend or new normal?

Karin Gilges: So in principle, we do not talk about gross margins at all. As I mentioned before, you have to see the mix between traded goods and manufactured goods and what we saw in the last quarter that we have a jump in the traded goods. We had high content or high revenues with exhaust gas treatment, which are currently traded. So in this overall and we have in this quarter to give you an idea traded percentage from total of 54.4 % points versus the same quarter in the last year of 51.3%. And this is of course influencing them also the EBIT. So it's the EBIT, the new normal, it highly depends on the mix of course. But what we expect in the upcoming quarters is that we have a change in the mix that we have more manufactured goods in our revenues.

Annamalai Jayaraj: The next question in the chat box is

that Bosch worldwide, has any supply agreement with Tesla.

If Tesla enters India, will that open up opportunities for Bosch India?

N. Sandeep: I think Bosch has business relationship with Tesla primarily in the US and partly in China, but these are more in braking and wiper components. Let's follow up on what happens with the Tesla plans in India and their value chain and we will align accordingly.

Guruprasad Mudlapur: We do not want to speculate at this point what is the Indian scenario for Tesla. But yes, we have global supplies towards Tesla both in China and in North America.

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Annamalai Jayaraj: So next question in the chat box is has the audit qualification issue sorted out by taking approval in today's AGM? Please update.

Karin Gilges: It has been sorted out.

Annamalai Jayaraj: So next question is, can we expect margins to improve from Q1 levels or it will remain flattish?

Karin Gilges: So once again, the margins or the overall EBITDA is highly influenced by the mix we have between traded and manufactured goods. If we look only at the manufactured goods, then depending of course of that cluster of products, we see a stable situation. Nevertheless, it depends how much of our revenues are coming out of traded goods and how much coming out of manufactured goods. So overall if you say yes, margins are stable, but of course it depends on what is the set up or the product portfolio behind the revenue.

Annamalai Jayaraj: So the next question is, can you please highlight the rationale for business transfer of Project House Mobility Solutions? What do we do here in this business segment? And last year sales and EBITDA for this segment?

Guruprasad Mudlapur: So I think we've already explained the basic rationale for why we sold this. And let me quickly explain that one more time. So the project house for Mobility Solutions, which was handling the digital mobility solutions area, we realized that this requires global scale and global expansion. There is considerable growth globally. Of course, the Indian market, we did not foresee a lot of currently and it also required massive infusion of capital to make the business grow across the world. As Bosch Limited, we are chartered to take care of the India business and we're not really focused on the global part of the business. Primarily, this was the reason that we decided that it's better to sell the business to our parent and the parent has the skills and the necessary capabilities currently to take the business global and that's what happened in the previous quarter. So yes, the business has been sold, but links to the business remain in India and we will continue to work together.

Annamalai Jayaraj: The next question is how is engineering complexity in diesel versus gasoline versus hydrogen? Is there business entry barriers or superiority of part makers in each of these technologies?

N. Sandeep: But I think in the diesel technology, we have been having the longstanding footprint in that with system engineering competence, component engineering competence and also relatively higher depth of manufacturer. So when we moved from diesel to gasoline, most part of the system and component engineering competence remains. However, in the value chain manufacturing, there are of course much, many more players in the market and gasoline compared to diesel. I think your other question was how do you see that in the case of hydrogen. In hydrogen, we see a high degree of overlap with diesel kind of a complex system which needs competence build up in system engineering and also the competence components with hydraulics so that matches very close to the competence, which we have established for diesel. So that kind of gives you a perspective of what happens when we move from diesel to gasoline back to hydrogen.

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Annamalai Jayaraj: So then one question on two-wheeler. Other than fuel injection, does Bosch supply any other components for the two-wheeler sector?

N. Sandeep: We have ABS single channel and dual channel ABS. We have infotainment systems, display indicators and also in-hub motors with motor control units. So that's the end-to-end portfolio spread of Bosch outside the electronic fuel injection.

Annamalai Jayaraj: The tractor segment, broadly, how much percentage of Bosch revenues from tractor segment? And what is the outlook for FY 24 and 25? And also associated with that emission norm change in tractor segment TREM IV has been implemented, when is TREM V expected?

Guruprasad Mudlapur: Yes, I will sort of give you a response on the second part. We do not share details of segment level revenue and so on. On the TREM V, currently we are all prepared for in terms of technology. Of course, we are a technology company, we provide technology to the OEMs and we are prepared on offering TREM V technology to them. The chance of a postponement or chance of introduction of TREM V, I do not want to speculate, but it looks more and more certain that there will be further postponement of TREM V legislation. But Yes, we leave that to speculation.

Annamalai Jayaraj: Next question is from Senthil Manikandan. I have unmuted your line, you can ask the questions.

Senthil Manikandan: First question is with respect to the two-wheeler segment from the electric powertrain side. So what's the scope going forward over the next 2 to 3 years? What kind of components that Bosch plans to add to this segment?

N. Sandeep: Like I mentioned earlier, I think in the electrified scooter space, we would primarily focus on in-hub motors in the range of 2 to 3 kilowatts power range, along with the motor control unit.

That would be the focus of portfolio from a Bosch side on the electrified two-wheelers.

Senthil Manikandan: Just related to the two-wheeler electric part, if you can quantify in terms of business acquisitions or market share in these products and how do you see as a percentage of overall consolidated sale two-wheelers performing, any color over this?

N. Sandeep: I'd like to not get into a forecast or a trajectory of market shares now because we are in extremely early stages of our formative business. And you noticed how the volumes are going back and forth being so sensitive to fame too. So at the moment, we are focusing on requirements engineering. We're focusing on the first engagement on system concepts with the customers. I would rather keep it this way than make a statement on a projection of market share or market development because there are too many open parameters and variables at this point in time.

Guruprasad Mudlapur: I just add that we are of course working with all OEMs on these projects.

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Senthil Manikandan: Second question is how do you see the two-wheeler market itself evolving like? Because entry level 100 CC segment hasn't been performing well off late, so just you can share your perspective on that?

N. Sandeep : I think the entry level growth is still sluggish and there is a movement of the market more towards the 125, while the premium segments are doing relatively better. I think this is also linked with certain amount of , I wouldn't call it distress, but slowdown in the rural spend towards the entry level bike side. We don't really foresee that there will be a big change, but good news for us in terms of businesses that the premium segment is continuing to do well.

Guruprasad Mudlapur: Entry level two -wheelers get exported and the export market is also sluggish currently.

Annamalai Jayaraj: There's a follow -up question on your answer on two-wheelers, s ir. Is ABS a part of the listed entity?

N. Sandeep: No, it isn't. ABS is not. It's not a part of the l

isted entity.

Annamalai Jayaraj: The next question is, can you highlight within automotive products which items have higher traded goods element? And what is contribution of those product items in percentage terms to our current revenue ?

Karin Gilges : So traded goods are of course mainly in the power train solutions where we see it, I mentioned already the exhaust gas treatment which are currently traded goods where we now going in the next upcoming years going ahead with the localization and these partially, of course in our power tools, we have partially localized and partially we traded.

Annamalai Jayaraj : And then the next question is, can you please tell us how much CAPEX is planned for the current year and the next year? In addition, is there any change in the CAPEX under PLI ?

Karin Gilges : CAPEX, we have planned for the current year roughly 4.9 billion. And this is a little bit lesser than last year because last year we have finished our nice Adugodi Campus here as you know and this is mainly in the plants and this is mainly in machinery and equipment.

Annamalai Jayaraj : And next question is what is your view on usage of artificial intelligence, the service business of Bosch ? Does it improve the efficiency significantly and consequently reduce our dependence on increased manpower in the service business?

Guruprasad Mudlapur : It's a very generic question, but I'll give you the answer in two perspectives. One is the utilization of AI in products and services that we make an offer. So here, Bosch has been investing quite a lot in AI , which is useful in our products and this will continue. We will see quite a lot of growth in this as the automotive technologies also moves ahead. Of course , there is another aspect to AI, which is now the more popular one under discussion, which is the generative AI like ChatGPT or so on. This certainly is also a topic of focus within Bosch. We look at it from the perspective of how can it enhance our productivities inside and what can we do more with tools
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like ChatGPT either for coding , software development kind of aspects or for other purposes in terms of helping documentation or generation of reports, or even multiple working on productivity measures . So both aspects are looked at and certainly we see AI as a productivity enhancer in the second aspect . Of course, AI in product will add significant value.

Annamalai Jayaraj : Next question on the chat box is can you clarify why interest cost is high at Rs. 30 crores in 1 Q FY24?

Karin Gilges : The interest is on the account of the interest provision created due to the levy of the interest on GST payables. Another reverse charge in respect of the salary cost of the expert deputed in the Indian legal entities, so this is a reason why we had to put in the provision.

Annamalai Jayaraj : The next question is on the employee cost. It could be great if you could throw some light on the employee cost. How is the trend going forward?

Karin Gilges : Going forward, the trend and then we have an extra thing this because we had a reversal in the provision. And therefore we see normal is at 8%, of course you have in each quarter , sometimes you have a reversal of the provision and on the other side, you have an increase in the provisions, but we see for this financial year 8%, which is reasonable and compared to the last years or to the former years were before the EVR, we are really now on a very good basis.

Annamalai Jayaraj : As there are no more questions , on behalf of B& K securities, we thank all the participants for joining the call and special thanks to Bosch management for taking time out for the call and giving us the opportunity to host the call. Have a good day.

Guruprasad Mudlapur : Thank you.

Karin Gilges : Thank you very much.

NOTE: This transcript may not be 100 percent accurate and may contain

in misspelling and other inaccuracies. This transcript is provided "as is", without express or implied warranties of any kind.

Call: Nov 2023

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Dear Sir /Madam,

Sub: Regulation 30 and 46(2)(a) of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Disclosure of Transcript of the Investors' Concall
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript of the investors' call with Investors/Analysts held on November 9, 2023, on the financial results for the quarter and half year ended September 30, 2023 .
This is for your information and records.
Thanking you,

Yours Sincerely,
for Bosch Limited,

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Company Secretary & Compliance Officer

Corporate Relationship Department
BSE Limited
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Scrip code: BOSCHLTD

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"Bosch Limited
Q2 FY'23 -24 Post -Results Conference Call "
November 09, 2023

MANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER –
BOSCH LIMITED
MR. N SANDEEP – JOINT MANAGING DIRECTOR –
BOSCH LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER –
BOSCH LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

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Annamalai Jayaraj: Ladies and gentlemen, good day, and welcome to Bosch Limited 2Q FY 2024 Post -result Conference hosted by B&K Securities. From Bosch management, we have with us today Mr. Guruprasad Mudlapur, Managing Director and Chief Technology Officer; Mr. Sandeep, Joint Managing Director; and Ms. Karin Gilges, Chief Financial Officer. At this point, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the management presentation opening remarks. Over to you, sir.

Guruprasad Mudlapur: Thank you, Jayaraj. Good afternoon, everyone, and thanks for being part of this call. Today, I'll start with a brief on the macroeconomic policy followed by an automotive market update and then walk you through our financials. Finally, I'll end with the highlights of the quarter affecting our business.

As per recent IMF report, the global economy is expected to grow at 3% in 2023, down from 3.5% in 2022 and advanced economies to grow by 1.5% in '23 from 2.7% in '22. With this backdrop, Indian economy is doing well and expect it to grow between 6% to 6.5% in financial year '23, '24. More importantly, our inflation remains controlled and the financial sector is resilient.

Next slide, please. Q2 FY '24 presented a mixed picture -- mixed performance with positive year-on-year growth in the passenger vehicle, three -wheeler and commercial vehicle segments, while two -wheeler and tractor segments experienced a decline. Despite the decrease in two -wheeler volumes, there are signs of recovery in both domestic and export markets. Inventory buildup ahead of the festival season has supported volume performance in Q2 FY '24. Sports utility vehicle segment maintained strong dispatches due to efficient order book execution and supply chain improvements. However, there was a moderation in demand for lower -end passenger cars. Among all segments, medium and heavy commercial vehicles are in a favorable position, driven by demand -- better demand in underlying industries and healthy fleet utilization levels.

Light commercial vehicle volumes saw a marginal growth attributed to highways, while tractor volumes declined due to erratic monsoons in key regions and a high base from the previous year. three-wheeler volumes show positive growth, indicating a return to full normalcy and demand.

Looking at year -on-year production volumes, there was approximately 19% growth for medium, heavy commercial vehicles, 6% for PV, 16% for three -wheelers, 5% for LCV. However, two -wheeler volumes declined by 1% year -on-year and tractor volumes saw a significant drop of 10% year -on-year in second quarter of '24.

Let's look at the automotive outlook for '23 and '24. Next slide, please. In this slide, we have illustrated the market trajectory from the peaks of 2018 through the challenges posed by COVID to the subsequent recovery. Year -to-date, volumes indicate a notable shift with most segments surpassing their previous peaks and achieving record levels. PC, LCV, tractor segments are expected to particularly excel, surpassing the previous peak sales, while other segments are steadily recovering, demonstrating positive quarter -on-quarter growth.

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Looking ahead to 2024, the election year factor and historical trends suggest restrained growth in the automotive industry. The erratic monsoon of '23 may have some impact on the rural sentiment. Nevertheless, the underlying economic conditions remain robust, and the overarching India growth narrative remains unchanged. We anticipate for the upcoming year, a moderate growth trajectory attributed to the election year dynamics, high baseline set in the current year and the impact of erratic rainfall patterns. However, the global headwinds to be monitored closely.

Let's look at how the company has performed in the July to September '23 quarter compared to the July to September '22 amidst the above -mentioned factors.

Next slide, please. Sector -wise sales, the Mobility Solutions sector now. Mobility sales have grown by 11.7% in Q2 FY '24 as compared to Q2 FY '23. 12.3% growth in product sales of Powertrain Solutions is driven majorly due to growth in HCV and passenger car segments and due to increase in content per vehicle, mainly in exhaust gas treatment components. Automotive aftermarket business has grown by 10.2% quarter -on-quarter mainly due to increase in demand for sparkplugs and higher sale of lubricants. Our two -wheeler business sales have also increased by 18.6% quarter -on-quarter due to higher sales for fuel injectors driven by improvement in the overall semiconductor supplies as compared to previous quarter. Now Beyond Mobility Solutions, sales have grown by 9.9% in Q2 FY '24 as compared to Q2 FY '23. Consumer Goods business comprising of power tools segment has increased by 10.4% quarter -on-quarter, mainly due to higher demand for Bluetooths. Building Technologies grew by 3.9%, mainly on account of higher number of orders for installation of security systems. The profitability statement. The overall revenue from operations for July to September 2023 stood at INR41,301 million, which is an increase of 12.8% as compared to the corresponding period of previous year, mainly driven by growth in product sales by 11.5%. Mobility Solutions grew by 11.7%, while sales from business Beyond Mobility solutions increased by 9.9%. Income from services mainly comprising of engineering and application services provided to Indian OEMs and also to Bosch Germany. Service income recognized as -- recognized during the quarter was mainly towards completion of BS VI Stage 2 projects for the OEMs. Other income, operating income mainly includes income from sale lease rentals, export incentives and miscellaneous income. In the current quarter, the increase is mainly on account of higher lease rentals for leasing out of property in the Adegodi premises and incentive received from the government of Maharashtra under the mega project scheme. The material cost as a percentage of total revenue from operations is at 66.8% in July to September 23 as compared to 64.9% in July-September of 2022. However, the material cost as a percentage of net sales, that is excluding income from services and other operating income, is at 70.1% in July -September 2023 as compared to 67.3% in July -September 2022. The increase is mainly on account of mix impact, the higher share of traded goods, adverse forex impact on imported material and the previous year had certain onetime credits that has provisions written back, which were no longer required.

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Employee costs. Employee costs for July to September 2023 is INR3,355 million as compared to INR2,751 million in July to September 2022. Increase is mainly on account of year -on-year salary increases. Also, previous year had certain onetime credits.

Other expenses stood at INR5,449 million, 13.2% of total revenue in July to September 2023 as compared to INR5,781 million, 15.8% of total revenue in July to September 2022. The current quarter expenditure has decreased mainly on account of following: lower spending on new

businesses on account of sale of Project House Mobility Solutions business, lower onetime technical access fee in current quarter for localization of ECUs and common rail injectors.

Depreciation for the current quarter is at INR1,013 million, 2.5% of the revenue, as compared to INR919 million, which was 2.5% of the total revenue in July to September 2022. Increase in depreciation in current quarter is on account of additions during the year, mainly in buildings and plant and machinery.

Operating profit. With this, the operating profit stood at INR3,900 million in July -September 2023 as compared to INR3,392 million in July -September 2022, which is an increase of 15%.

Other income primarily comprises of interest on fixed deposits, intercompany loans, change in market value of mutual funds. The other income has increased from INR1,497 million in July-September 2022 to INR1,542 million in July- September 2023, mainly on account of increase in interest income.

PBT and PAT. For the quarter ending July-September '23, your company posted a profit before tax before exceptional item of INR5,320 million as compared to INR4,870 million in July -September 2022. As a percentage of total sales from operations, the profit before tax before exceptional items stood at 12.9% of total revenue in the current quarter. Profit before tax after exceptional items stood at INR13,170 million in July-September '23 as compared to INR4,870 million in July -September '22. As a percentage of total revenue from operations, profit before tax after exceptional items stood at 31.9% of total revenue in the current quarter.

Profit after tax for the quarter ended September '23 stood at INR9,989 million, which is 24.2% of total revenue from operations. Profit after tax in July -September '22 was INR3,724 million, which is 10.2% of total revenue from operations. The profit after tax for the current quarter includes gain on sale of our Project House Mobility Solutions business amounting to INR6,054 million net of tax.

On the technology front, next slide, please. On the technology front, this quarter we commenced on-road trials following the development of our hydrogen ICE engine project and post receiving permissions from the Ministry of Road Transport and Highways.

Engine calibration activities to meet the BS -VI Stage two norms have begun. Trials are primarily taking place in -- on Bangalore Roads and TAAL, which is the Hosur Road airstrip. We will keep you updated on any new developments on this topic.

Next slide, please. We also wanted to give you an update on the work Bosch Limited has been doing around CSR. Since April 2023, a total of 8,000-plus volunteer hours were completed, involving 900 volunteers, of which 650 are from Bosch and 250 were from non-Bosch

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volunteers. For the second quarter alone, we have achieved 2,750-plus hours comprising of 40 activities.

The activities included tree plantation, lake rejuvenation, animal welfare, World Youth Skills Day, environmental projects, mentoring programs, school painting, medical facility enhancement and assistance and so on. By December '23, we will cross 100-plus activities across all locations. The Bosch leadership team also took part in many of these activities.

Next slide, please. Thank you all for your contribution and for listening patiently through the call. We will now address your queries. Thanks again and open for your questions.

Annamalai Jayaraj: The first question is from Pramod Kumar.

Pramod Kumar: On the electric vehicle business in India, especially on the two-wheeler side, where we are seeing the market has kind of bounced back pretty well after the subsidy cuts, I'm guessing more product introduction by OEMs and everyone's talking about ramping up volumes. So if you can just share any update there in terms of how we are doing in terms of the category market share on electrification? And how does it compare versus our ICE portfolio? If you can just help us understand that, first, sir.

Guruprasad Mudlapur: My MD Sandeep will take this up.

N Sandeep: On the electrification front, I think your observation is right that post subsidy adjustments and changes, the two-wheeler demand has kind of recovered. On the passenger cars, we see a consistent demand of the EV cars. So we will continue to focus on our portfolio engagement in both these segments, and we will watch how the market goes before we can get into more specifics on portfolio enlargement.

Annamalai Jay

araj: Pramod, are you on line? I think he has dropped out, I think. Next question is from Gokul Maheshwari.

Gokul Maheshwari: Gross margins, while you mentioned the fact that there has been deterioration on account of inferior mix, but we've had a fairly benign cost environment with respect to the commodity

prices and we are primarily trading, which traded percentage has gone up dramatically over the last few years. So not for the shorter term but more where do you see the margins coming back in terms of your localization program and trying to improve your gross margin profile? Because it's like nearly 10 percentage points lower than your longer-term averages. So if you can just give us sort of a path in terms of how do we recoup our prior gross margins?

Karin Gilges: Okay. Karin speaking. Yes, the gross margin, as already mentioned by my colleague Guru, we see currently, and as you already rightly mentioned, an increase in the share of the traded goods. This is partially coming out of the what we see the change in the content of the vehicles, especially also in the heavy commercial vehicles. This is the exhaust gas treatment. Good news in the heavy commercial vehicles, we have last year localized the injector. We are going currently ahead with the trial part of this injector as a very important step. And in the future, we are currently also planning on making the further steps in the direction of the exhaust gas treatment.

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We have another effect which we see, and this is a change from the conventional combustion engine to the common rail combustion engine. There we have a general higher share in the material of the total costs in the common rail systems. This is based on the technology, let's say, so a lower value-add share. And also in the common rail, we have picked up already from below the 50%, and now this year we will end up at about 68% localization of the components, and we will go ahead to come up to a decent localization share also in the common rail systems. Of course, all these activities will support our gross margin in the future. And this is one of the priority topics is localization of finished goods, localization of child parts and localization of components here in India.

Gokul Maheshwari: So should I assume that the gross margin improvements is given that the localization benefits are coming, and coming sooner? The improvements in the gross margin should be reflected more in the next forthcoming quarters rather than forthcoming years given that we've already made some progress over here?

Karin Gilges: Yes. So this is -- for sure when we talk about the localization, then this is not in the next quarters. So we are going ahead, but doing a localization with all the quality releases, with all the cross-checks with the customers releases, etcetera. And this is also quite complex technologies, especially in the common rail and also in the exhaust gas treatment. So we are talking about midterm.

Gokul Maheshwari: Would you be able to quantify the capex budget for FY '24 and '25?

Karin Gilges: For the current -- for the next year, we are estimating a capex of 3.5 billion. And for the year '25, we are currently in the middle of the midterm planning.

Annamalai Jayaraj: Thank you, Gokul. Next Mr. Jinesh, you can unmute and ask your question.

Jinesh: Question is on the localization itself. So you talked about localizing EGT components as well. So that will be done through Bosch entity or it could be done at the vendors level? What I'm trying to understand is would that lead to lower share of traded goods, particularly on the EGT side?

Karin Gilges: Yes.

Guruprasad Mudlapur: Yes. The answer to both is yes.

Jinesh: Okay. So Bosch would be localizing EGT components. Got it. And secondly, you alluded to the fact that we've already reached 68% localization for common rail components. This --

we are

looking to take it up to 100% or certain components will still be imported?

Karin Gilges: 100% we will not reach. We even have in the conventional -- and please do not underestimate localization; even in our lovely A-pump, which is for decades already here in India, we are at 95%. So the 100% we will not reach. But we will try to do everything to localize as much as possible here in India. But certain things also volume-wise makes sense to import.

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Jinesh: Sure. That was highly appreciated. And in this quarter, we saw almost 19% growth for our two-wheeler segment business. If I look at the underlying industry, production grew sub two -- production in fact declined sub 2%. So what led to such a strong growth for Bosch in a weaker industry growth?

N Sandeep: This is Sandeep speaking. I think out of the total growth or degrowth of the two-wheeler segment, we need to segment the different categories. There is a higher distress in the commuter segment where our play is rather low. But in the premium part of two-wheelers, the market has done better and so have we. That explains the reason why there is a disconnect between our growth and the industry growth

numbers.

Jinesh: Got it. Got it. I have few more questions, but I'll fall back in queue.

Annamalai Jayaraj: Thanks, Jinesh. Pramod Kumar has again joined. Pramod Kumar you can unmute and ask your questions.

Pramod Kumar: Can you please provide us an update on the PLI scheme? If there's any progress which is being achieved there? And if yes, what kind of components are we getting the approval from the government? And when can we expect the benefits of the same kind of kicking in? And as it normally happens with such programs or such benefits, will you be also sharing some of these benefits with your customers or would you expect the benefits to be largely retained at the Bosch end? So if you can just help us understand the PLI bit more in detail, that would be really helpful.

Guruprasad Mudlapur: Yes. So I'll not get into every specific part of your question, but I'll give you a general answer on PLI. Yes, we are -- we have applied and qualified for PLI. There's a lot of echo; could you please mute?

Pramod Kumar: Sorry, I'll mute myself, but the problem is I can't unmute again, if I have a follow-up. So I'll request Jayaraj to...

Guruprasad Mudlapur: You can stay online. Then it's okay. Yes, let's continue. So in general, we have qualified for PLI at Bosch Limited. We are planning to bring in lots of local manufacturing, thanks to the PLI benefit that occurs as a consequence. We will, of course -- as quarters go by, we will keep you updated on what has been the benefit of this, which product categories, which segments and how this is going to be dealt with. In general, we intend to keep the benefits with us and also share where required with the customers, but this is not totally finalized as of now and we will update you as we move forward.

Annamalai Jayaraj: Thanks, Pramod Kumar. Next, we'll go to the next Pramod. Pramod Amthe, you can unmute and ask your question.

Pramod Amthe: So the first question is with regard to the royalty, which you said you have paid lesser for ECU and the injector localization. Can you specify, I didn't get you in the other expenses?

Guruprasad Mudlapur: Royalty. The question is on royalty.

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Pramod Amthe: You have called out that in the slide saying that your other expenses are lower because of some localization program on the ECU and injectors.

Karin Gilges: Okay. So you are referring to the P&L to the other expenses, yes?

Pramod Amthe: Exactly.

Karin Gilges: Okay, got it. So we have a different effect in the other expenses. One effect is we have the sales of business of the mobility platform. And therefore we have reduction in the spending

for this

project, let's say. This is -- which we see now in this quarter. Then we had in this quarter the reduction in the onetime cost of technical access fees. This is, let's say, depending on localization, depending on the product mix we have, we have this technical fees. But this is, if we compare it to the last quarter, we see here a reduction. Then we had as -- we have real cost saving measures. That means this is a performance program.

Also, we have that we are looking frequently in our cost, in our cost categories. And we are also making here real cost progress. And the fourth is that we also see a reduction due to better fixed cost absorption. If we compare it to the past that we are under-proportional in our variable costs, if we are looking -- in our fixed cost, sorry, under-proportional to the growth in our revenues.

Pramod Amthe: Sure. And the second question is with regard to sale of business. What implication it will have on your sales and EBITDA because of this sale of business?

Guruprasad Mudlapur: This has been explained in the past on what is the rationale and why we sold it. You want comment on the onetime effect that has come in?

Karin Gilges: So -- but perhaps we have to explain first the top and the bottom line. So this was actually in the last two years to three years where we explored the mobility platform here in India, and we made investments via the other expenses into these platforms. Do we now see a huge effect in the top line, means in the revenues? No, we are selling the business. In the bottom line, we see it in this quarter under the onetime expense or exceptional items where we see the sale of the business below the profit before tax.

Pramod Amthe: So that's the Hinduja entity which you sold, right? The energy...

Guruprasad Mudlapur: That's the Project House Mobility Solutions business.

Annamalai Jayaraj: Thanks, Pramod. Pramod Kumar, I have unmuted your line again.

Pramod Kumar: A follow-up on the commercial vehicle side because we're getting different views here. Some of the larger peers on the component supply chain side have started to call out a peak for the industry now. And some of the OEMs have also started to talk about the flattish trend emerging from 4Q. So in that context, given that you have exposure to all of them and across all listed, unlisted and across tonnage, what are your thoughts on the commercial vehicle space as we go forward from here?

N Sandeep: I think on commercial vehicle there was this peak, which we saw the industry getting to in 2018.

been explained in the earlier discussions as well. But now we see a turnaround, albeit in a very good base. It is a slow recovery and we have to basically keep a watch on the effect on larger investments, which will happen in the infrastructure space. So we will keep a close watch on this industry. Yes, you're indeed right that our exposure to this industry is very sensitive and high. So we'll keep a very close watch on it. So at the moment, we see a slow but sustained recovery.

Guruprasad Mudlapur: It's good to understand that there are some structural changes in the logistics sector in terms of how India moves goods. And as a consequence, for example, there's now FASTag, there are better roads, better infrastructure. And of course, a good amount of cargo is now moved on railways. But at the same time, there are higher tonnage trucks plying on our Indian roads, unlike in the past. So there are many changes that are happening all at once.

And so my colleague already explained that we'll keep a very close watch on how the market develops over the coming years. Our own content per vehicle in this category is also increasing. So we have to bring in multiple factors in, and we will see how the market develops moving forward.

forward.

Annamalai Jayaraj: Thanks, Pramod. Next is Mr. Viraj.

Viraj Kacharia: I just got three specific queries. First is on the contribution margin. So if I compare sequentially, right, the share of traded goods was, say, somewhere around 67% is now close to around 65%.

And if I look at the environment which we are in, in terms of the raw material, it's one of the most benign environment. And so -- I mean I'm still not able to understand the mix part.

Or is it that other than the mix in the past we used to be quite strong in terms of the contracts, in terms of the RM recovery or FX cost recovery? So is it that post BS -VI the terms of the trade are no longer that strong as what it used to be in a pre BS -VI environment. Just trying to understand on the contribution part. So that is one.

Second is on the capex. So at the AGM also we talked about upwards of INR400 crores to INR600 crores kind of a capex, and that was including PLI. But if I look at the first half, we've just done a capex of, say, INR105 crores. So how should we understand the capex, if I have to understand in the sense of the localization, which we are trying to achieve. So if I have to look at next, say, three years or four years, what is the quantum of capex we would have to do to achieve those kind of capex -- those kind of localization.

Karin Gilges: You would like to start with the recovery?

N Sandeep: Sandeep speaking. I will just pick up the first question of yours with regards to the -- how do you say, the..

Viraj Kacharia: Contribution margin.

N Sandeep: Yes, on the contribution margin and the recovery of economics, I don't think that there is, on a contractual basis, a difference between a pre BS -VI or a post BS -VI. So we do have coverage for raw material recovery, indexing, etcetera. What we have seen the last 12 to 18 months is a

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rather disproportionate increases in the cost driven by logistics costs, wages costs, energy costs, semiconductor -related costs. So that is putting a lot of distress on the cost part of it, while we are also discussing with customers regarding this additional recovery. So I don't see it as a contractual issue but rather a disproportionate circumstances we are passing.

Viraj Kacharia: Just a follow-up. What is the extent of that additional cost, which is still yet to be recovered? I mean the reason why I'm asking is if I look at the end OE space, you talk about CV, passenger vehicles, two-wheelers, across the board these are reporting one of the best contribution margins and the commentary is for the -- on an improving trajectory. But when I look at a player like us who offer a very strong technology-oriented product, the same is not yet reflected in terms of the recovery part.

N Sandeep: I think the extent of exposure, of course, depends on category to category, domain to domain.

So there was really no one number which represents that. Of course, you are right that on a -- if we consider a vehicle manufacturer, possibly he has a lot more avenues and ways and means for recovering cost impacts from the market compared to a Tier 1 supplier like us. So that's a continuous challenge. So we will be faced with this also the coming quarters and then we will see how to navigate our position in the market.

Viraj Kacharia: On capex?

Karin Gilges : Yes, then I would go for the capex. And the capex which is planned for the year '24, I think you were referring to the next year to look a little bit into the future, which we are at 3.5 billion, 3.6 billion. This is mainly in the -- in our plants. And this is really -- if we look into the localization, this is supporting our further localization strategy. If we go into the common rail, into the exhaust gas treatment, this is where we now set up the plants for the future. So more or less we have -- partially, of course, we have to partially invest also further

in our buildings. But the main part will go into the machinery in all of our production plants.

Viraj Kacharia: So the question was, to achieve, say, the localization of, I mean, over a period of time, 90%, 95%, what kind of a capex that would entail? Just trying to understand the intensity in terms of spend that will require.

Karin Gilges: So to reach 90% to 95%, this is really midterm. And therefore, we cannot give you now here the guiding figure for this. What we are looking is into the midterm planning, and this is our planning how we would like to go ahead with localization. But the figure I can give you today or for the next year, what we have planned and agreed to invest in capex.

Viraj Kacharia: And any thoughts on the surplus cash? I mean, post the sale of business, it will just add to the overall cash balance. And the capex figure, which you're talking about, even after that cash accrued on the balance sheet, it will just keep on building up further. So any thoughts on the surplus cash? What do we want to do with it?

Karin Gilges: Yes. So as you rightly said, we have a quite good liquidity position. And what we are ongoing looking at is, of course, besides the organic growth and the investment we make include the organic growth, we also look strategically now in the midterm planning into inorganic growth. Nevertheless, we have also to see that we have a transfer in the technology currently plus to have

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a look how is the market moving in the direction of electrification and hydrogen. So therefore we observe the market. We know that we have a very good cash position. Be assured that we would like to place the right thing in the market for the company.

Guruprasad Mudlapur: So just to reassure you that there is a lot of internal focus on better utilization of cash and putting that to more productive use. We are looking into that seriously. As and when we finalize the plans, we'll get back to you.

Annamalai Jayaraj: Thanks, Viraj. Next is Mr. Senthil.

Senthil: Just one question. Recently, in the EICMA 2023, Bosch has showcased a lot of recent innovations of products on the two-wheeler side, like integrated powertrain, radars and stability control devices. So what could be the relevance of those products with respect to Indian market? And what's the potential over the medium term? So that's my question.

N Sandeep: I think part of the technology what we showcased in EICMA, we are investigating the use-case relevance into India as well. So there are certain topics on powertrain, certain topics on electrification and also on the display units which would be of relevance to India, and we will follow them up with demonstrators, proof of concepts, etcetera, for India. Not all what we showed in EICMA would have direct use-case relevance, but we are checking which of those would bring value and also create traction in the market. We'll keep you informed about it.

Guruprasad Mudlapur: So typically, there is a lag between what's seen at EICMA to what gets in to the markets in India, even in premium bikes. So expect that delay, typically three years in most cases, and only some relevant technologies. And also sometimes they are even further localized for the needs of the Indian market and then brought in. So that work is on. We are talking to Indian OEMs about this.

Annamalai Jayaraj: Thanks, Senthil. Next is Mr. Ravi Purohit.

Ravi Purohit: So going back to the question on margins, I think couple of years back we had shed more than 20%, 25% of our workforce, right? We have taken various cost initiatives. And yet after the end of the two-year period, right after all those cost initiatives and everything else, the RM costs have also come off, logistic cost has also come off. If we had not taken those steps, our margins would probably be like low single digits today on the operating level. It has never

happened in our history in Bosch. It's very, very confounding to investors whether there is a problem in our own -- is there a problem with our strength with our competitors --

sorry, with our OEMs which has reduced over a period of time or whether we are -- we have to pay more to the parent or the associate companies from whom we are importing more on transfer pricing.

Somewhere there's a lot of margin that has got lost during this period, and we can't seem to kind of understand. And in the last two years, three years we've also not been able to communicate as to what is the normalized margin that investors should hope to, even on a medium-term basis,

right. Each time we have on these calls discussions...
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Karin Gilges: Yes. Okay. I'll take it up and then perhaps you can add. So I think these initiatives on the personnel cost side were the absolute right ones. And if you look today at our position, we are in the current quarter in the personnel cost at 8.1% of the revenues, which is a quite healthy number. If we look at the other expenses, with the cost contribution we made and together now also with the selling of the new business, we are back at about 13%, 13.2% of the revenues, which is also back on a healthy.

So if we are looking at the P&L and if we are looking at the revenues, we see two -- we see one thing and these are the material costs. Knowing that we are coming from BS -IV to BS -VI now, and yes we have increased our portion of imported goods of traded goods which we are on the midterm now coming into the next localization wave, let's say, this is what I explained beforehand in the common rail where we have to come up to a decent percentage of localization.

And in addition, it is especially in the exhaust gas treatment, where we have planned already which products we would like to localize here in India and we are now going ahead to make these plannings on the midterm basis.

Guruprasad Mudlapur: I just want to give a general perspective that every time there is a technology transition, be it from BS -III to IV, BS -IV to VI now or another technology standard coming in, there is a dip in the localization effort. And then over a period of time, when the technology is maturing, we increase our localization extent and then reach a very healthy localization content. This is something that's been the practice even in the past, and that's the same trend that's happening today.

There are now increased efforts to get higher levels of localization done at a faster pace. That action is already ongoing. But some of the other effects you see today, which are rather new, are the increases in material costs, increases in many other factors that have come in, which to a large extent will need to be passed back to the OEMs and then recovered and that action is also on. So overall, I think we should be back on a healthy path, so...

Ravi Purohit: Yes. So if I could just extend that further. When we say healthy path and when we say medium term, are we talking of going back to our erstwhile range of margins? Is that something that we should work with? Because we used to make 18% margin EBITDA level in the past. We used to make 45% gross margins in the past.

We are at 33% right now. So there is a huge gap between then and now. So when we say over the medium term we are working, are we -- can you assure investors or at least give some path to investors to say that this 33% will go back to the historic band or it's not going to happen, which effectively would mean that there is something structural that has come down in our business or in the overall operations.

Guruprasad Mudlapur: We don't want to give you an outlook for the future like this. We are working -- all I can reassure you is we are seriously working on multiple elements, and you will start to see the improvements over the coming...

Ravi Purohit:

Okay. Sir, for the last 1, 1.5 years, we'd also mentioned a focus on exports, right, growing our exports. We had mentioned them in our annual report, we had mentioned them at various

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platforms in the last 1.5 years. And we have said that we had fairly large ambition on export, right, taking the export as a percentage of total revenue to mid-teens. So far, we've not seen much happening on that. Can you kind of share some insight into what is happening on the export side? Is it really a sizable opportunity? Is there any serious thing that is happening at the company level on export side?

Karin Gilges: So if you look at the current situation of the exports and if you look at the global economical situation, and as Guru mentioned beforehand, we see the weak European market. We see a weak US market. We know that China is struggling with the growth rates. And I would say we are in a sweet spot here in India. And this is what we also see, we see negative growth in all these areas, especially in the Eastern Europe is Germany, very, very slow.

So therefore we also see -- even in our current low share of exports we saw in this quarter a negative trend in the injectors for the passenger cars, which we usually deliver to Europe, we saw a negative trend. So therefore is export a chance, then I would say in generally, yes. But as long as all other markets are fighting like hell, what they currently do, this is, of course, then not the big chance for us to deliver in any way weak market with overcapacities.

Ravi Purohit: Okay. And Karin, just to clarify, when you mentioned midterm planning, when we say midterm, are we talking of one year or two years? Or are we talking about like more than four years to five years?

Karin Gilges: We are talking four years to five years.

Annamalai Jayaraj: Thanks, Ravi Purohit. Next is Mr. Priya Ranjan.

Priya Ranjan: Yes. So in terms of technology road map, I think the MD has showcased in one of the slides that hydrogen ICE, the preparation and the trial run, etcetera. So in terms of our technology road map as well as priority in terms of the new technology, where are our major foot right now, our focus is on that front. And in terms of, is hydrogen ICE much bigger priority than going to probably the electrification, if you can just throw some light on it?

Guruprasad Mudlapur: No, I wouldn't say that we prioritize one over the other. Both are in very different segments, and both have different needs in each of these segments. Currently, we see hydrogen ICE as an upcoming technology which will be deployed beyond '26 onwards, towards '26 to 2030, and we are preparing ourselves towards that.

Electrification is there in pockets in different segments already today, but will not be a dominant one in heavy commercial vehicles. So we have hydrogen ICE in those areas. And electrification is a dominant technology for the future in two-wheelers, three-wheelers and passenger cars, and

we are also working and preparing ourselves for that. So these are two different categories and no need also for us to internally prioritize on any of them. We are working on all of that.

Priya Ranjan: Okay. Got it. Good to hear that. And so to achieve all these technologies -- so one of the participants was earlier mentioning about the capex. So one -- I mean, so far, the capex has moved towards -- driven towards localization and the machineries and all. So when we look at these technologies, do we require -- really require to step up the significant jump in the capex

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going forward, as you also mentioned that we are evaluating how to best use -- put use to the cash which we have in the balance sheet. So I mean if you can throw some light in terms of the directionality in terms of capex. So is it going to significantly increase because you will have new technolo

gy will keep coming in?

Guruprasad Mudlapur: See what has been showcased is the capex plan for 20 24. Of course, for other technologies that we introduced and also get into localization and manufacturing like electrification or hydrogen or other things which come in the future, there will be more capex required. That's clear. And we are looking into that and as and when we have further updates on that, we'll certainly get back and update you.

Priya Ranjan: Sure. And in terms of -- lastly, in terms of the overall technology, not only on the powertrain side but also on the vehicle side, like you said, the new technologies or the new smart vehicle system, etcetera, like we have the camera-based viewing system, etcetera, so what is the kind of thought in terms of Bosch India? I mean because we have this technology globally, but I don't think we have a meaningful presence in India for all of these technologies.

So if you can help us understand. Are we looking to bring those technology, because the technology gap gradually is going down, I mean, between, say, the developed market and the developing countries like India. So I mean the technology earlier, the gap between technology was probably a decade. Now it's shrinking to say, two years, three years. Maybe with the smart vehicles and all, it will be even lesser than that, so...

Guruprasad Mudlapur: So let me start, and I'll let my colleague Sandeep answer after that. See, in terms of technology, we have a global portfolio of these products and technologies which are offered to Indian OEMs. We, of course, also do Indianization of these technologies as and when required and offer them to that -- to the OEMs.

What you brought in as examples may not necessarily be in the portfolio of Bosch Limited, and then it doesn't matter whether that's required or not. But in any case, whatever we have -- as a general rule, whatever we have as technology globally is available for Indian OEMs and further customization of that or even local development or local variant development for Indian OEMs is always done in India and offered to the OEMs. You want to add anything, Sandeep?

N Sandeep: Well, I think you have covered most of it, Guru. So while these portfolios necessarily not be within the Bosch Limited portfolio, but on a bigger mobility scale -- of course, there are technologies which is getting adapted like Guru, mentioned. So this could be in the area of drive - assist or starting -assist or automatic emergency braking or driver [on leave] etcetera, these are things which are being worked on.

Annamalai Jayaraj: Thanks, Priya Ranjan Due to time constraint, we'll take the last question from Basudeb? Basudeb we could not hear you. Can we go to the next question, sir, or you want to close, sir?

Guruprasad Mudlapur: We can take one last question and close.

Annamalai Jayaraj: Okay. We'll take the last question from Mr. Rajesh.

Rajesh Ranganathan: My questions regarding the exports and margins were exhaustively discussed with previous participants. I wanted to clarify on EGT two things though, from your answers. Regarding EGT, from your answer, am I to understand that as and when EGT is localized, it would be part of the listed entity in terms of its sales and margins and not be a traded good?

Karin Gilges: Yes, you are right.

Rajesh Ranganathan: Okay, because there was some uncertainty about it earlier. So thanks for clarifying that.

Karin Gilges: Yes. So we are currently importing from both group companies. We are importing and we have it as traded goods according to the transfer price agreements based on arm's -length, of course. And if we are localized, we localize in the listed company and therefore we have then also the benefit in the listed company of localization. Yes, you are right.

Rajesh Ranganathan: Okay. And the second question was related to, when we import

for traded goods, we have a

contract due to transfer price if it's internally, or if it's externally we have a procurement price. And then, therefore, this gap that we have in our inability to pass on costs, it's not just about the competitive environment here. It's about -- it's a two-way agreement, right? We are buying from somebody, we're selling to somebody we are just a trader.

So if at all, there is a gap in maintaining our margins, it should be temporary in nature. Is that right? Or have we made a mistake in the contract and somehow we are not able to -- that we have agreed for price increases on a buying side but somehow not penciled that in our selling.

Karin Gilges: No. If we -- if you import today, then of course, you buy something, you trade it and you sell it.

Localization is then that we, first of all, localize the value-add part. Well here in India, of course, in the value-add competitive, highly competitive, cost competitive. And in addition, as the second step is then, as I explained in one of our meetings before, that we usually start this assembly and then we start to go ahead with the child parts, we start the localization of the supplier. And this is all part of the whole story that we try to localize as much as possible value-add plus material here in India because on the long run, this is how we maintain our margins.

Rajesh Ranganathan: Maybe I didn't explain my question clearly. What I meant was, currently we are having a gap in passing on the cost of traded goods, right? I'm trying to clarify that it's purely a timing gap that in the forthcoming quarters the contracts get automatically adjusted or is it that we made a mistake in the contract and somehow some of these cost increases cannot be passed on as traded goods?

Karin Gilges: Yes. So actually, for the traded goods for the pricing issue and recovery of certain things, my colleagues answered already. What we mean is if we talk about the change in the product mix, if I look at -- if my -- all my products are 100% and we see an increase in the portfolio which is traded, and the only way to balance it is that we go ahead strong in the localization.

Guruprasad Mudlapur: So just to answer quickly and close this, we do not have issues with contract, and we do not have any such things. Costs will be passed on and recoveries will happen, but there are processes behind it. And OEMs also ask for a lot of clarifications, justifications and so on. And this is work in progress today. And the real cure for this issue is having much higher localization effort than

what we have today. And that is the effort we are putting in. Contractual passing on, of course, will happen and recoveries will happen as per the contracts and there is no issue with that.

Annamalai Jayaraj: Thanks, Rajesh. On behalf of B&K Securities, we thank all the participants for joining the call. And thanks to Bosch management for taking time out for the call and giving us the opportunity to host the call. Have a good day.

Guruprasad Mudlapur: Thank you very much.

Karin Gilges: Thank you. Bye-bye.

NOTE: This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. This transcript is provided "as is", without express or implied warranties of any kind.

Call: Feb 2024

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Dear Sir /Madam,

Sub: Regulation 30 and 46(2)(a) of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Disclosure of Transcript of the Investors' Concall
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript of the investors' call with Investors/Analysts held on February 13, 2024, on the financial results for the quarter and nine months ended December 31, 2023. This is for your information and records.
Thanking you,

Yours Sincerely,
for Bosch Limited,

V Srinivasan
Company Secretary & Compliance Officer

Corporate Relationship Department
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Rotunda Building
Phiroze Jeejeebhoy Towers
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The Manager
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National Stock Exchange of India Ltd.

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“Bosch Limited
Q3 FY '23-24 Post Results Conference Call”

February 13, 2024

M
ANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER –
BOSCH LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER –
BOSCH LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Bosch Limited
February 13, 2024

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Moderator : Ladies and gentlemen , good day and welcome to Bosch Limited 3Q FY 2024 Post Results Conference Call hosted by Batlivala & Karani Securities India Private Limited.

From Bosch management, we have with us today , Mr. Guruprasad Mudlapur – Managing Director and Chief Technology Officer, Ms. Karin Gilges – Chief Financial Officer.

At this point, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the Management presentations and opening remarks. Over to you, sir.

Guruprasad Mudlapur : Thank you, Annamalai. Good evening, everyone , and thanks for being part of this Call . Today, I will start with a brief on the Global and Indian Macroeconomics , followed by an Automotive Market Update . Then I will walk you through our financials . Finally, I will end with the highlights of the Quarter affecting our business.

As per the recent International Monetary Fund report, global growth is projected to be at 3.1% in 2024 and rise to 3.2% in 2025 . Amidst challenging global macroeconomic environment, the Indian economy presents a picture of confidence, positivity, and optimism. The IMF has projected that the Indian economy will grow at 6.5% in 2024 with expectations that this growth will be sustained into 2025. Strong domestic demand continues to be the main driver for this growth. Next slide, please.

Q3 FY ' 24 witnessed healthy demand across the segments as overall volumes, excluding two-wheelers, grew by 4% year -on-year. The two -wheeler segment stood out with an impressive 19% year -on-year growth, year -on-year on the basis of strong domestic demand during the festive and wedding season, while on a low base.

Three-wheeler volumes have grown by 10% year -on-year as last mile mobility demand has come

back to near normal.

Tractor volumes declined by 13% year -on-year, due to uneven rainfall impacting farm cash flows, sentiments , and a high base of last year.

Passenger car volumes grew by 5% year -on-year. Dispatches for SUVs remained healthy , led by order book execution and improvement in supply chain situation overall. However, in the lower end , passenger cars continued to witness subdued demand.

Commercial vehicle volumes demand was driven by better demand in underlying industries and healthy fleet utilization level , along with revival in bus demand from state transport undertakings and fleet operators.

Within commercial vehicles, medium and heavy commercial vehicle, and light commercial vehicle categories grew by 11% and 5% year -on-year, respectively.

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Sequentially, volumes dipped across segments due to increased production in Q2 of FY '24 for festive season demand , post which demand saw some seasonal softness.

Let's look at the automotive outlook for Calendar Year 2023 and 2024. Next slide, please.

In this slide, we have illustrated the market's trajectory from the peaks of 2018 through the challenges posed by COVID to the subsequent recovery. 2023 volumes indicate a notable shift in passenger car demand, light commercial vehicle, and tractor segments surpassing 2018 levels and achieving record sales.

In 2024, we expect that the market may grow at a slower pace due to high base and the national election related uncertainties as seen in the past. We anticipate for the upcoming year a moderate growth trajectory attributed to the election year dynamics, already high base set in 2023, and the impact of erratic rainfall patterns, coupled with quite some global headwinds. Next slide, please.

Sector -wise sales for the Mobility Solutions area, the mobility business sales have grown, by 16.8% in Q3 FY '24 as compared to Q3 FY '23. 20.4% growth in product sales of powertrain solutions is driven largely due to growth in passenger car and heavy commercial vehicle

e

segments. This growth is mainly due to higher demand of SUVs, sustained robust economic activity in October to December 2023, and increased content per vehicle, mainly the exhaust gas treatment and electronic control units overall.

The automotive aftermarket business has grown by 8.6% quarter -on-quarter, mainly due to increased sales for spark plugs and filters due to higher demand, BS VI requirements and higher sale of lubricants due to improvement in product portfolio.

The two -wheeler business sales have also increased by 7.1% quarter-on-quarter and due to easing of semiconductor supply bottlenecks, and additional volume demands due to new product launches by OEMs.

The Beyond Mobility Solutions sector sales have grown by 32.5% in Q3 of FY '24 as compared to Q3 of FY '23.

The consumer goods business comprising of the Power Tools segment has grown by 30.5% quarter -on-quarter, mainly due to higher demand for blue tools driven by higher sales through ecommerce.

The Building Technologies area grew by 18.1%, mainly on account of completion of major projects for installation of security systems. Next slide, please.

The profitability statement:

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The overall revenue from operations for October -December 2023 stood at INR 42,052 million, which is an increase of 14.9% as compared to the corresponding period of the previous year, mainly driven by growth in product sales by 18.5%.

Income from services mainly comprises of engineering and application services provided to Indian OEMs and to Bosch in Germany. Service income recognized during the quarter was mainly towards completion of BS VI Stage 2 projects.

Other operating income mainly includes income from lease rentals, export incentives and miscellaneous income. The decrease is mainly on account of lower receipt of export incentives in the current quarter.

Material cost as a percentage of total revenue from operations is at 62.3% in October -December 2023 as compared to 60% in October -December 2022.

However, the material cost as a percentage of net sales, that is excluding income from services and other operating income, is at 65.4% in October -December 2023 as compared, to 64.9% in October -December 2022. The increase is mainly on account of change in impact mix, higher share of traded goods and adverse FOREX impact on imported materials.

Personnel cost for October -December 2023 is at INR 3,343 million as compared to INR 2,725 million in October -December 2022. The increase is mainly on account of year-on-year salary increases. Also, the current quarter had certain one-time impacts related to employee provisions. Other expenses stood at INR 6,713 million, 16% of total revenue in October -December 2023 as compared to INR 7,890 million, which is 21.6% of total revenue in October -December 2022.

The current quarter expenditure has decreased mainly on account of lower spending on new businesses, due to sale of the Project House Mobility Solutions business in July-September 2023 and lower expenditure on customer projects for engineering and application services, which is in line with lower income from services.

Depreciation for the current quarter is at INR 1,173 million, 2.8% of total revenue as compared to INR 1,083 million, which is 3% of total revenue in October -December 2022. The increase in depreciation in current quarter is on account of additions during the year, mainly in plant and machineries.

With this, the operating profit stood at INR 4,611 million in October -December 2023 as compared to INR 2,954 million in October -December 2022, which is an increase of 56.1%. The other income primarily consists of interest on fixed deposits, inter-Company loans, and change in market value of mutual funds, which are debt-based. The other income has increased from INR 1,312 million in October -December 2022 to INR 1,548 million in October

-December 2023, mainly on account of increase in interest income.
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For the quarter ended October -December 2023, your Company posted a profit before tax before exceptional item of INR 6,120 million as compared to INR 4,246 million in October -December 2022. As a percentage of total revenue from operations, profit before tax before exceptional item stood at 14.6% of total revenue in the current quarter.

Profit before tax after exceptional item stood at INR 6,708 million in October -December 2023 as compared to INR 4,246 million in October -December 2022. As a percentage of total revenue from operations, profit before tax after exceptional item stood at 16% of total revenue in the current quarter.

Profit after tax for the quarter ended December 31, 2023, stood at INR 5,181 million, which is 12.3% of total revenue from operations. Profit after tax in October -December 2022 was INR 3,189 million, which is 8.7% of total revenue from operations.

The Company based on its reassessment of its Mobility Business and the applicable regulatory changes pertaining to emission norms in India has reversed the unutilized portion of the employee restructuring provision made in 2020 and 2021 amounting to INR 588 million. The same is considered as an exceptional item in the current quarter.

As a special announcement, we are privileged to state that Q3 FY 2023 -24, the Board of Directors, in today's meeting, declared a special payout in the form of an interim dividend of INR 205 per equity share. Next slide, please.

Towards the Company's sustained efforts towards technological achievements, the Company has set up its first Fuel Cell Power Module, or FCPM, as a part of its Powertrain Solutions business in its Research and Development facility in Bangalore.

This module was assembled in Bosch Germany and was imported to India with the aim of getting hands-on experience on fuel cell systems. The demonstrator will enable us to capture system requirements for India, conduct functional tests, and help us develop local competency in fuel cells. Next slide.

At the recent Bharat Mobility Global Expo held between February 1st and 3rd at New Delhi, the entire spectrum of the mobility value chain in India was showcased under one roof, reflecting India's growing stature as a leading global mobility player.

At this expo, Bosch Mobility India showcased its extensive portfolio of mobility technologies featuring cutting edge innovations including the demo truck with hydrogen engine and connected vehicles with Advanced Driver Assistance Systems or ADAS with integrated telematics on board.

Additionally, Bosch Mobility highlighted solutions developed for passenger car market for electrification, two-wheeler technologies, mobility aftermarket, digital mobility platforms, and

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connected mobility solutions. This was well received from the customers, industry, and government bodies. Next slide, please.

I am delighted to share that Bosch Limited has secured the Great Place to Work certification for fourth consecutive time, marking our ongoing commitment to excellence on the five dimensions

of high trust, high performance culture, around credibility, respect, fairness, pride and camaraderie. This recognition serves as a testament to the Company's commitment towards creating a credible and fair workplace for our employees. Next slide, please.

Thank you for your contribution and for listening patiently through the call. We will now address your questions. Thanks, and open for questions now.

Moderator: Thank you, sir. The first question is from Pramod Kumar. Please unmute and ask your question. Pramod?

Pramod Kumar: Component of traded goods has fallen meaningfully on a quarter -on-quarter basis on a stable top line. So, if you can just help us understand this? And also, does

this have anything to do with the sequential drop in consumer business? And also on the other expenditure side, you did allude to some lower spending here because of lower activity on the services side. So, do you expect this run rate to kind of pick up again as you enter 4Q, which is commercially a bigger quarter in the Indian context?

Guruprasad Mudlapur: Yes. So, I will let my CFO get in with the details, and I will chip in after that.

Karin Gilges: Regarding your first question regarding the traded goods, of course, we have a change all the time from quarter -to-quarter. In general, we are, in principle, going ahead with localization.

Nevertheless, for the next quarters, we do not expect a big change due to the fact that the effect out of our hard localization work will need some time.

Pramod Kumar: Sorry. Just to clarify, are you indicating that the drop in the traded goods on a quarter -on-quarter basis is led by localization improvement?

Karin Gilges: Well, actually, if you look at the quarter, October to December 2022, compared to the quarter October to December 2023, it has increased from 51% to 55%. Yes. So, we expect this share that we do not have a significant change in the next upcoming quarters.

Guruprasad Mudlapur: Well, Pramod, we will continue to localize as we have committed and this will bring down, the traded part and increase the localized part, but this will not happen overnight. And this is something that you will see quarter -on-quarter, or every half year, you will start to notice the differences as we move forward.

Pramod Kumar: And on other expenditure side, sir?

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Karin Gilges: So, for the other expenses, there is one thing. If we compare the quarter -on-quarter '22 to '23, as you know, in the last quarter we had a sale of business. And of course, the spendings for this business, which we throw in Bosch Limited (RBIN), the spendings does not occur anymore.

Then you have all the time in the quarter to see for the customer project, what is our income from service and we show the cost part in the other expenses as subsequent and the warranty expenses compared to '22, we had a little bit less.

Then we have each quarter, we evaluate or reevaluate our payables, and we have either exchange gain or exchange loss. And of course, here in the other expenses, you also see the one -time cost of the technical access fees, which are very important. If we look from the quarter '23 to '22, we have a little bit lower technical access fees.

Meanwhile, looking at the quarter July-September '23 to October '23, you can see a little bit a higher share of technical access fees. Technical access fees is for us, of course, also very important indicator if we go ahead with the localization.

Pramod Kumar: And the second question is on the business mix. If you can just broadly help us understand, how much would be our exposure to the automotive segments of commercial vehicle and tractors, broadly, if that is something which you have kind of broadly. I am not looking for the exact number, but a broad range. Is it like closer to 50% of your automotive revenue, or if you can just help us understand a bit of context there, please?

Guruprasad Mudlapur: Pramod, we do not split our business results in that category you asked for, and I do not go into that right now.

Pramod Kumar: So, then can I ask a substitute question, sir, if you don't mind, on electrification?

Guruprasad Mudlapur: Sure. Go ahead.

Pramod Kumar: Sir, on electrification, if you can just help us understand the progress you are making with electric two-wheeler mobility and electric cars? Because there is a lot of buzz happening in the E-two-wheeler space, a lot of new launches coming in, a lot of products unveiled. So, how are we participating in those endeavors, sir?

Guruprasad Mudlapur: So, you are right. I think there

is a lot of buzz. A lot of it is also hype. So, you should be able to distill what is reality in that buzz and look at what is realistic long -term prospect for electrification. We believe certainly the two -wheeler commuter segment of scooters will have significant growth in electrification in the coming years. That's the fundamental statement, and we will work to make that happen.

We have a good presence in this two-wheeler space right now. We supply OEMs, hub motors. We have got new categories introduced in hub motors which are also offered now to OEMs in India. So, the two-wheeler electrification segment is doing well. We have also localized lines
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for the motors, and this also helps OEMs get substantial PLI benefits as a consequence. So, the two wheeler part is going quite okay.

In terms of the passenger car segments, we are in early discussion with OEMs on our passenger car electrification portfolio. And as and when we have an acquisition, or we have a business win, we will update you further, but there is a lot of discussion happening.

Also, keep in mind that we will only do things which will ensure good margin and good return on our investments here. There are players who are trying to come in at any cost, and that's not our aim in the electrification space right now.

Pramod Kumar: Thanks for that clarification, because we have seen some of the other component players claim big wins at competition expense and the hub motor market. But I am just trying to understand, is Bosch not willing to look at the EV landscape differently in terms of the fact that the margins are expected to be lower there, given that the number of parts is kind of shrinking? Or is the expectation that even on the EV side, you should be making margins, which are in line with your ICE margin profile historically? So, I am just trying to understand what's the thinking there?

Guruprasad Mudlapur: Yes, it's a very, very good question. So, we know what's happening globally, and the reality you explained is exactly what is happening globally, either very low margins, or no margins at all, and no path towards profitability in several markets right now, and that's how electrification is playing out in several geographies. Even in China, where there is significant electrification penetration, almost nobody other than Tesla is making money today.

We have, as Bosch, we supply quite a lot in the Chinese market, and we have just broken even this year. So, it's not true that we will not enter markets where we know the margins are lower. We certainly know in electrification globally, the margins are going to be lower, but we will not do this to completely spoil everything with regard to our overall margin profile.

So, we do the right things as far as possible. Where it is a strategic win and we have to work with the OEM to build margins in the short, mid-term. We will certainly do that. But if there is no path to profitability, I think those are not areas where we are jumping sort of with joy.

Pramod Kumar: And we would look forward to meeting you in person, sir. We have been covering the name for long enough, but if you provide us opportunity to come down to Bangalore and meet you, that would be really great. I will send in a formal request. Thank you sir.

Guruprasad Mudlapur: Yes, sure. Pleased to and we will support.

Moderator: Thanks, Pramod. The next question will be from Jinesh Gandhi. Please unmute yourself and go ahead.

Jinesh Gandhi: My first question is on these other expenses. Would you be able to indicate what level of other expenses have reduced because of the sale of Project House Mobility Solutions?

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Guruprasad Mudlapur: Yes, we can do that.

Karin Gilges: Yes. So, besides the Project House Mobility Solutions, so I would...

Guruprasad Mudlapur: No, the

question was what has changed, because of the sale of Project House Mobility Solutions?

That's right, Jinesh, you are asking what has specifically changed with regard to the sale of Project House Mobility Solutions?

Jinesh Gandhi: Yes. And what level of reduction has happened in other expenses because of that?

Karin Gilges: So, it is roughly INR 470 million in the other expenses. And this was, of course, an investment now we sold due to known reasons, this mobility house.

Jinesh Gandhi: And was there any FOREX gain in this quarter in other expenses, or there was loss only?

Karin Gilges: If we go from the quarter-on-quarter between '22 and '23, we see a decrease coming partially out of the spendings as just mentioned. And then we had an exchange gain, one-time expenses, and the warranty expenses. And therefore, you see a reduction between '22 and '23, perhaps in general, to the other expenses. We are striving, in a normal business case, roughly between, or roughly about 14.5% in a normal business.

Jinesh Gandhi: 14.5%. Got it. And lastly, I believe there is updation on the timelines for Trem-V norms for tractors. So, any clarity from government on that side, A, with respect to the timelines, and B, with respect to whether it's linked to production or sales?

Guruprasad Mudlapur: So, there is no further update. We believe that the norms are due for '26 right now, and this also seems to be the general consensus of the OEMs we speak with right now. So, we are counting on that date to be the valid one. Of course, there could be a change of this post elections, if at

all, and we will monitor that and keep track of that. In terms of our preparedness to deal with Trem -V, we are now fully ready. We will be able to take on Trem -V at very short notice internally.

Moderator: Thanks, Jinesh. Next question will be from Pramod Amthe. Please unmute and ask your question.

Pramod Amthe: Relating to the same tractor norm, if I am right, it was supposed to come this year and it's getting delayed. How does such things impact your capital allocation policies and also the fact that, will that be a drag for you till the time it actually goes live?

Guruprasad Mudlapur: Yes, it does impact to some extent, but since we knew the Trem -V delay pretty early on, of course, it's not just the government we speak with. We also speak with the industry. We are participating in the industry bodies, ATMA, SIAM, and several sources. So, we were quite clear that the delay is coming, and we were quite well prepared. So, it does not really have a major impact for us right now.

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Pramod Amthe: Second one is with regard to the Project House Mobility Solutions sale. You called out for the quarter, what's the saving. Would you be similarly able to give us last year, what was the spend on annualized basis so that we can take it off hopefully?

Guruprasad Mudlapur: Overall numbers were already shared in the previous calls. Do you have it right now?

Pramod Amthe: And the impact is only on the expenses side, or does it also have any revenue implications?

Guruprasad Mudlapur: Just hold on. Now we are just looking at, trying to fetch the numbers from last year. It's about net INR 1,400 million.

Pramod Amthe: It's broadly uniform when you call out for the 470 million for the quarter?

Guruprasad Mudlapur: That's correct, yes.

Pramod Amthe: Is there any revenue implication also for this or is it only the cost element which you are spending?

Guruprasad Mudlapur: No, the revenue was extremely small. And I think we spoke about this during previous calls on the logic and rationale for us to hive off this part. There was almost no revenue that we could count. It was in a more or less investment phase where we were developing the solutions, developing the technology, building the platform, and we were not really having a lot of

customer traction. And one way to increase the traction was to take it global and we realized that our parent is the best one to do it and that was the primary reason for the hive off.

Pramod Amthe: Last one is, what's the outlook you are getting from the customers for the M&H CV side, which might be lumpy for you also? And is it still on a growth or you are preparing for, how are you preparing your capacities? Is there a rundown for next one year?

Guruprasad Mudlapur: So, the HCV and the Medium Commercial Vehicle segment has bounced back from its lows. We expect that it will continue to moderately grow in the coming year. We do not expect a very big growth in the MCV segment. I think we are currently around 2023 Calendar Year, we were at 670,000 units for LCVs and 430,000 units for HCVs. We expect it to remain flat or maybe have a very small, between 3% to 5% growth.

Moderator: Thanks, Pramod. The next questions will be from Viraj Kacharia. Please unmute and ask your question.

Viraj Kacharia: Just a couple of questions. First one on the other expenses part. Now, if I adjust for the impact of the sale of Project House Mobility, still the other expenses has kind of declined by 10%, while the revenue growth has been almost 14%, 15%. Which of the larger factors has driven this? I am just trying to understand in terms of sustainability, how should one really understand this. Because even after this, we are still around 16% of sales in terms of other expenses versus what

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we talked about 14, 14.5% as a sustainable piece. So, where do you see further avenues to further reduce it? That is one.

And second is, you know, if you look at the parent commentary as well, recently they talked about the new age businesses. So, the maturity from the new age businesses in terms of scale and profitability will take much more, longer than what they thought it to be. So, when we look in there in terms of investments and P&L and generally in new age businesses, how is our overall approach or orientation, if at all, has any changes?

Guruprasad Mudlapur: I will take the second part of your questions, and I will let my CFO comment on more details on other expenses. It looks like other expenses seem to be a hot topic. So, we will try and do one last good explanation there.

But firstly, your question on what the parent commented about how the market is developing globally. So, it's clear that there was a lot of hype in electrification. And what has happened

largely as a consequence of early introduction of several vehicle categories and new models into the electrification market in the advanced economies, the market started to pick up. That was also on the basis of significant subsidy that was offered in advanced economies by most countries.

So, the market growth started. And as you know, most of these early vehicle adopters are people who are interested in technology, who are willing to pay a high price, \$35,000 to \$60,000 and above. And that's the typical category of people who would buy these cars, and they also have another car for a longer -range drive or a family purpose, and they have an EV to come in addition.

I think what's happening now is that there is a gradual pull -out of subsidies all over the world.

And in addition, what is also happening is the market or the penetration levels of this niche category of people who would buy these cars has also started to saturate in a way.

And that leaves an entry point into the mass market area, where currently the number of models in the world catering to sub -\$25,000 car or \$25,000 to \$35,000 car, \$1,000 vehicle, which is more or less the mass market EV in Europe or North America or China is very, very minimal right now.

This is also limited to quite an extent because of the current prices of components, the current prices of EVs, manufacturing , and

of course , heavy investments coupled with the battery prices

as they are. Although all of these elements have reduced considerably, they are not yet at a point where most EV companies can have a sustainable, profitable EV operation into this market.

So, with this background, we realize that talking to several big OEMs globally, the margin pressure is extremely high , and the OEMs are reluctant to further continue, in a way, subsidizing or trying to lose margins pushing EVs into the market.

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So, there has also been a little bit of a slowdown in this. We expect this not to be the long-term approach of OEMs, and they will probably come back with new cost economics on components, and battery prices also coming down. And this is true in the largest EV market today, which is China , where every OEM is virtually , almost all OEM is making money there, specifically on the EV product categories, except for Tesla. And this has been a real virtual bloodbath in China, which is also very similar in several advanced markets.

So, with all this in the background, we made the statements, you are quoting right now, that our push into electrification will be measured in line with what the OEMs want and how the market develops as we move forward. We have the base technologies already available. We are maybe the first tier 1 in the Chinese market to breakeven today. Nobody else has our scale and breakeven point in the market .

But in several advanced economies, be it Europe or North America, it's still a big struggle. And because of this precise reason, we made those announcements that we will be guarded . We will be conservative. We will go with the OEMs, but watch them do the right things , and then go along with it.

So, that's the long answer, but hopefully it gives you the full background. I will let my CFO continue with the other costs, other expenditure , and then we will take on other questions.

Karin Gilges: So, regarding the other expenses, besides the fact, of course, that we are implementing cost measures to get a better fixed cost absorptions, we have three main topics . And this is the customer project, what you see in the revenue of services, whenever we have in our customer project , and these are mainly application projects out of the R&D area.

Whenever we have an SOP in the project , we show the revenue under the revenue for the services, and the complementary costs are shown in the other expenses. And of course, depending in which quarter, how many SOPs for customer projects we have, the other expense is fluctuating in accordance with the revenues.

The second part is the warranty expenses. We are looking very carefully all the time in our warranties , and there you have also from quarter -to-quarter, depending what is coming up, you have a change in the warranty expenses.

The third part is where you see a fluctuation sometimes to the positive side, means a gain, sometimes to the negative side, means a loss, are the revaluation of the payables. And this is also then shown in the other expenses.

So, these are three major topics where we see a fluctuation. And the figure I gave before and is an average, which is a normal business, but can, of course, be, from quarter -to-quarter, either a little bit more or a little bit less, and this we will then explain to you.

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Viraj Kacharia: Just two questions and I will come back in queue. Again, on other expenses, you know, if I look at the history, the recent last few years history, we have been upwards of 16%, 17%. And that also includes some bit of the spends in new age businesses which we have been doing. So, in the past, we talked about, say, upwards of 1.5%, 2% of sales towards these new age businesses. So, the question on parent was largely to understand if they are slowing down and they are all

so

looking into the portfolio realignment and restructuring. When it comes to the listed entity, are we also looking at similar measures in either lowering the spend or anything on that sense?

Then second is, you know, other than the three factors you talked about, which will be the larger driver in terms of the moderation in other expenses, to say 14.5%, 15%? So, that is one.

And second question was on the Hydrogen ICE part. Given the kind of infrastructure facilities we have for diesel, would the large part of that facility be used for Hydrogen ICE? Because what we understand, players like Reliance are looking to convert almost 5,000 to 6,00 trucks of their fleet to wards Hydrogen ICE in 2024 itself. So, any perspective you can give there for us?

Guruprasad Mudlapur: I will take the last two questions from your side. Hydrogen ICE, you are right, a lot of what hydrogen ICE is as a technology will ride on base technology of diesel or any gas injection. So, it's very similar. So, for us also, it's pretty similar. The components themselves need a complete redesign. They need to be qualified for hydrogen.

Hydrogen, as you know, is a very combustible element and has high corrosive properties. So, we need to redesign the components in a very, very different way. And besides that, it's largely what we would have in the diesel or CNG era.

What also is unique here is the hydrogen tank infrastructure, which comes onto a vehicle and of course, all the monitoring, safety provisions that come in, lots of sensors, additional sensors and management of the overall safety of the vehicle. So, these are unique things. But besides that, you are largely correct that hydrogen ICE is an easier platform for any OEM to adopt and be first in the market.

Hydrogen ICE also is more acceptable in the levels of impurity of hydrogen and can work quite well with gray hydrogen. So, that also is a good starting point for us. And as we move towards

green hydrogen, it only gets better, and that's where even the fuel cell trucks will make a lot of sense. So, yes. So, overall, your view on hydrogen ICE is pretty correct.

You tried to make a comparison of what the parent announced to what is likely to happen in India. I would not agree on that, because what parent announced is uniquely global, and there are uniquely advanced markets where the situation of OEMs and electrification and new technology adoption is at a very different level compared to anywhere else in the world, in the developing world, and especially in India.

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So, if you take, in pure electrification context, the Chinese market today is probably the most advanced and the most volume driven market. So, they have very high levels of penetration, and very high levels of electric vehicle technologies brought in already, even compared to Europe or North America. Of course, the exception globally is Tesla, which is doing similar things all over the world.

But besides that, it's a very China-dominated market, and all other regions are still struggling to find their way into this segment, including have a good level of control on the value chain of various components, not necessarily the motors and power electronics that we offer, but the entire value chain for EV, in that context, be it from manufacturing of cells, which is more critical, getting the right kind of components, or materials for cell manufacturing and all that, is a whole new ballgame, and several of them are still grappling with that hold on the value chain.

So, what is happening in the advanced economies with regard to electrification is not comparable to us in India right now. And in that context, we do not see anything that the parent announced globally as withholding factors for us in India. We are doing what is required in the Indian market and what the Indian OEMs are asking.

And as you know, the Indian

electrification penetration today is less than 2%. And currently

most of the EVs today in India are sort of ICE platforms, which are converted to EV, and that will shift to Born EV platforms soon. But it's not yet happened. Maybe '24 and '25 will see the first arrival of Born EV vehicles in India, while this is the norm in most advanced economies already today.

So, the situations are not comparable. And what our parent announced and is relating as an issue globally with OEMs serving these markets is not something similar in India. So, that broadly covers the answer. And I will let Karin come back again one more time on the other expenses.

Karin Gilges: Other expenses, yes. So, the biggest lever for sure are the customer projects, where we have a very good recovery. Customer projects are very important for us, because these are application

services we provide to our customers, and this is often a door opener to new and further businesses with our big customers.

So, therefore, whenever I see the customer project and we have an SOP, then even as a CFO, I am looking forward to it because it shows that we are good on track and that we have a very good trust base with our customers to give us the application or to award us with the applications, which is the door opener, as I said, for the further business with them.

If I look at the, let's say, in brackets, the normal operating expenses, we are doing permanently, not cost measures in the classical sense, but process optimization. We try to use our structures as best as possible and we, of course, have a look that we have a very good, fixed cost absorption also in the other expenses.

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So, if I divide the other expenses into normal other expenses, we see a very good progress in our normal operating expenses. And if I look into the extraordinary things, then, of course, we have the exchange rate which is fluctuating and the warranty issue plus biggest lever, the cost of the customer projects. Moderator: Thanks, Viraj. Due to lack of time, we will take the last question from Senthil Manikandan. Please unmute and ask your question.

Senthil Manikandan: First question is with respect to the electric vehicle, particularly on the two wheeler side, if you can share, nine-month basis, what could be our share of sales from this segment?

Guruprasad Mudlapur: Actually, Senthil, we don't divide it that way. So, I would not get into that. And anyway, all I can say is, it's very, very early days. We have good designs in the two -wheeler electrification space with regard to our hub motors and electronics. But it's still very early days. We do not share that level of detail right now.

Senthil Manikandan: The second question is with respect to the PLI scheme. So, if you can just update, where are we on the PLI scheme? Any development with respect to the certification or approvals?

Guruprasad Mudlapur: So, as you are aware, we qualified for PLI not just as Bosch Limited, but also another Bosch Group Company, Bosch Automotive Electronics, which is a major supplier for us, contract manufacturer for Bosch on electronics, Bosch Limited as electronics. So, we have qualified. We have started, we have invested based on, not just based on PLI, but because we anyway had to do these things for the market.

The disbursements on PLI have not started yet. And there are several checks and audits going on with regard to whether we meet the domestic value-add requirements, how do we do it. Specifically, for example, in our electrification area, there have been checks on whether the localization content is okay, whether the domestic value -add is in line with what we have declared. So, these things are ongoing.

We hope to start benefiting from this as we move forward in 2024. But as of now, just like in most other industries, there is no disbursement of PLI, but we are hopeful

that the commitments

will come through as we move forward, and we hope to benefit from that.

Senthil Manikandan: Just a last question from my side with respect to the hydrogen truck that you showcased in the recent Bharat Mobility Expo. So, if you can just share some timelines from the commencement of this project?

Guruprasad Mudlapur: So, see, what I can share with you is how well are we prepared with regard to providing technology to the OEMs. Eventually, we don't make trucks. The OEMs make them. We provide them all the technology relevant to converting or making a ground -up hydrogen truck running on BS IV. So, we have the systems in place.

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We have not just showcased the truck in our booth, we have worked with OEMs. OEMs are piloting these trucks in their own locations. Several of them have more than 10-20 trucks built, and they are testing them out. So, it's a new technology, and you must realize that it's also a technology which has quite some challenges in introduction, not just from the truck side, but also from the infrastructure side. So, we also need to have hydrogen dispensing stations developed and hydrogen production starting and preferably green hydrogen production. So, all this is work in progress. So, I do not want to hazard a guess on how quickly this will come in, but in the next one year, I would say, we should start to see some pilots for sure based on the rapid progress OEMs are making, with our technology to test them out and get them into the roads.

Moderator: Thanks, Senthil. Do you want to make any closing comments, sir?

Guruprasad Mudlapur: No, I think the only thing I would say is overall, we have had a good traction with regard to our developments, market volumes, and also sales and EBIT performance. Next quarter is going to be maybe flat or very small growth and we hope to do well as well. So, yes, the market is looking

up.

There is an upcoming election, as you all know. So, there is an element of conservativeness in how we look at it. And this we have also sort of calibrated with OEMs around what happens during a typical election season. So, that's where I would like to leave it.

There are considerable global headwinds. I talked about it earlier when I presented, and the global economy as such, especially the advanced economies, are not doing really well, and this is likely to continue to be a major headwind in the Western markets for the year, and several dynamics are at play here. And there is also this Red Sea issue, which is affecting logistics to some extent, and thereby logistics costs and so on.

So, there are several of these headwinds, but we are doing our best to manage them and do the best we can, as we move forward. So, be assured, we are putting in our best efforts.

Guruprasad Mudlapur: Thank you.

Karin Gilges: Thank you.

Moderator: Thanks, sir. On behalf of B&K Securities, we thank all the participants for joining the call.

Special thanks to Bosch Management for taking time out for the call and giving us the opportunity to host the call. Have a good day.

NOTE: This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. This transcript is

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Call: May 2024

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Dear Sir/Madam,
Sub: Compliance under Regulation 30 and 46(2)(a) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) regulations, 2015- Disclosure of Transcript of the Investors' Concall
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript of the investors' call with Investors/Analysts held on May 27, 2024.
This is for your Information and records.

Thanking you,

Yours faithfully,
for Bosch Limited,

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Q4 FY'23 -24 Post-Results Conference Call"
May 27, 2024

MANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR – BOSCH LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER –
BOSCH LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

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Guruprasad Mudlapur: Good morning. Again, thank you for joining us today. I hope it's better for all of you right now, for us.

Annamalai Jayaraj : Now it's better, sir.

Guruprasad Mudlapur: Okay, we don't have any echo on our side as well.

So today, I'll begin with a brief overview of the global and Indian macroeconomics, followed by that, I'll give an update on the automotive market before getting into our financial results. Lastly, I conclude with the business and other key highlights for the fiscal year ending 31st March '24. The global economy is projected to see a flat growth at 3.1% in 2024, same as 2023 before edging up slowly to 3.2% in 2025. Despite the challenging global macroeconomic environment, the Indian economic growth remains positive and very optimistic.

The IMF forecasts a 6.5% growth rate for the Indian economy in 2024, with expectations of continued growth into 2025. Robust domestic demand and investments in infrastructure are the primary drivers for this growth. Despite global headwinds, the Indian automotive industry exhibited resilience. Overall, the vehicle production, excluding two-wheelers surged by 5% during FY '23-'24, compared to FY '22-'23, solidifying India's position as the third largest automotive market worldwide.

However, Q4 FY '24 showcased a mixed performance. While the passenger car, two-wheeler and three-wheeler segments witnessed growth, commercial vehicles remained stagnant, and the tractor market experienced a correction. In Q4 of FY '24, heavy commercial vehicle production experienced a correction of minus 7%, primarily due to the high base established by pre-buying in Q4 FY '23 to circumvent price increases ahead of emission norm changes. However, growth in the medium and heavy commercial vehicle sector is being propelled by the bus segment, a trend anticipated to persist. In Q4 FY '24, LCV segment grew by 5%, fueled by increased private consumption, e-commerce expansion to Tier 2 and 3 cities and hub and spoke network adoption. However, the risk of three-wheelers encroaching on the sub-1 ton segment remains a concern here.

Tractor sales declined by 15% in Q4 FY '24 attributed to an erratic monsoon pattern and low reservoir levels impacting rural sentiments, particularly in Central and Southern regions of India. The tractor segment is notably sensitive to rural sentiments, rainfall and reservoir levels.

The passenger car production achieved a double-digit growth of 11% in Q4 FY '24, buoyed by robust demand for SUVs. However, sedans and compact cars experienced a decline as consumers displayed a preference for premium goods. This trend is mirrored in car purchases with buyers gravitating towards the Utility Vehicle segment, enticed by enhanced features, superior ride quality, and premium aesthetics.

Furthermore, there is a growing inclination towards alternate fuels evidenced by increased demand for strong hybrids and electric vehicles. Two-wheeler production staged a remarkable recovery, surging 27% in Q4 FY '24. This growth is primarily propelled by strong demand from rural customers and replacement demand from urban areas for premium vehicles.

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However, export volumes continue to face pressure due to local currency depreciation and forex availability issues. Additionally, there is a notable increase in the share of higher-priced 125 cc scooters, reflecting evolving consumer preferences. The three-wheeler segment witnessed a growth of 12% in Q4 FY '24, indicating sustained demand for passenger transportation.

Additionally, this segment has seen growth in last mile operators, catering to e-commerce and food delivery services, among other applications. While three-wheelers are steadily recovering

in domestic markets, export remain weak. In this slide, we depicted the market's journey from its peak i

n 2018, navigating the challenges posed by COVID to the subsequent recovery.

The automotive market concluded on a positive note in '23 reaching an all -time high in LCVs and maintaining momentum in other segments. Looking ahead to '24, factors such as election year and historical trends indicate restrained growth in the automotive industry. Additionally , the erratic monsoon of '23 may impact rural sentiment potentially affecting tractor volumes. Nonetheless, the underlying economic conditions remain robust, and the overarching growth narrative of India remains unchanged. We anticipate a moderate growth trajectory for the upcoming year, inf luenced by election year dynamics, the high baseline set in the current year and the impact of erratic rainfall patterns.

Sector -wise sales performance quarter -on-quarter. Our mobility business has grown by 2.7% in Jan to March '24 as compared to Jan to March '23, driven mainly due to growth in mobility aftermarket business by 9.4% on account of increased market demand for spark plugs and diesel products, growth in two -wheeler business by 17.6% due to higher demand and new product launches.

However, Powe r Solutions business remained relatively flat due to weak tractor market.

Consumer Goods business grew by 10.5%, driven by higher demand for blue tools and accessories. The Building Technologies business grew by 13.9% on account of execution of high number of orders for installation of security systems.

On a year -on-year basis, the mobility business grew by 11.1% in FY '23-'24 as compared to FY '22 -'23, mainly due to the growth in Power Solutions business by 10.9% aided by growth in sales in bus, car and h eavy commercial vehicle segments and higher content per vehicle, mainly exhaust gas treatment components.

Growth in mobility aftermarket business by 10.2%, mainly due to higher sales of spark plugs, lubricants, filters owing to higher demand. Growth in tw o-wheeler business by 19.2%, mainly due to higher sales of fuel injectors and exhaust sensors to TVS and Bajaj. Consumer Goods business grew by 15.8% due to higher sales in tools and accessories due to market campaign and new product launches for grinders and cutters.

The Building Technologies business has increased by 17.0 %, mainly on account of execution of higher number of orders for installation of security cameras. The key financial highlights.

Revenue from operations quarter -on-quarter. Revenue from operations in Jan to March '24 stood at INR 42,334 million, which is a growth of 4.2% over Jan to March '23. The growth is Bosch Limited

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mainly driven by mobility aftermarket business, two-wheeler business and consumer goods business, as seen in the previous slide.

Year -on-year, likewise, overall revenue for FY '23 -'24 was INR 1,67,271 million, which grew by 12% over previous year. The growth is mainly contributed by increased sales in mobility business and consumer business -- consumer goods business. EBITDA. Quarter -on-quarter EBITDA in Jan to March '24 was INR5,572 million, which grew by 6.7% over the same quarter of previous year. EBITDA as a percentage of total revenue improved from 12.9% in Jan to March '23 to 13.2% in Jan to March '24.

The improvement in EBITDA mar gin is mainly attributable to increased revenue and lower spending in other expenses. Year -on-year, similarly, EBITDA in absolute terms for FY '23 -'24 increased by 15.9% as compared to FY '22-'23. EBITDA as a percentage of total revenue improved from 12.1% to 12.5%. The EBITDA margin improvement is again on account of revenue growth and lower spending in other expenses.

PAT. The profit after tax in absolute terms, grew by 41.4% in Jan to March '24 over the same quarter of previous year. This includes a one time credit of income tax received pertaining to assessment year 2013 -2014 as the assessment was completed during the quarter. PAT as a percentage of t

otal revenue for the quarter is 13.3% as compared to 9.8% in Jan to March '23. Year -on-year, likewise, pr ofit after tax, including exceptional items, increased from

INR14,245 million to INR 24,905 million. The exceptional item mainly pertains to the profit of -- on sale of Project House Mobility Solutions business, which was hived off in July of '23.

Profit after tax as a percentage of total revenue for FY '23 -'24 was 14.9%, including exceptional items compared to 9.5% in the previous year.

In the Mobility business, the Power Solutions division experienced a 10.9% surge in sales during the financial year '23-' 24.

This growth can be attributed to the rising year -on-year sales

of both passenger car and commercial vehicle segments, driven by the adoption of BS -VI technologies across diesel, gasoline, natural gas and electric vehicles.

Additionally, TREM IV projec ts within the tractor segment and the development of electric

vehicle systems contributed to some extent, despite the limited volume in India. We pioneered the development of the first hydrogen engine demo truck in India, demonstrating our unwavering commitment to innovation in the automotive industry.

Our company introduced this technology to a diverse array of stakeholders, including OEM representatives, nodal agency experts, ministry secretaries, and legislators at prestigious events such as Symposium on International Automotive Technology and the Bharat Mobility Global Expo. Through these efforts, we are making significant strides towards securing projects with our valued customers further cementing our position as leaders in technology advancement.

Bosch's Power Solutions division plays a pivotal role as a partner for vehicle manufacturers in transitioning from reliance on conventional liquid fuels to alternate low to zero carbon fuels. Our system solutions and products for CNG and flex fuels are poised to support OEMs during

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this transition period. However, it's worth noting that conventional fuels, like diesel and gasoline, will remain relevant until alternate energy infrastructure becomes more widespread. Two-wheeler and Powersports division achieved a record sales growth of 19.2% over the previous year. This success was supported by stabilized semiconductor supplies, new customer acquisitions, new projects and growth in the two-wheeler market. The division continues its journey of profitable, sustainable growth, focused primarily on cultivating talent, fostering a culture of excellence and driving strategic innovations.

The net sales of the two-wheeler division are anticipated to rise in FY '24-'25 due to the transition to BS-VI OBD II norms and the projected growth in two-wheeler sales following the general elections. The two-wheeler division has proactively prepared for OBD 2.2 regulation upgrade by making appropriate investments in Lambda sensor technology, foreseeing a substantial surge in demand in -- by 2025.

We are fully equipped to assist our customers with advanced sensor solutions. Bosch is dedicated to supporting Make in India and electrification initiatives by offering comprehensive two-wheeler solutions, encompassing engineering, software and testing facilities. Our solutions crafted by riders for riders are engineered to elevate safety, efficiency and overall riding experience. We are proud to have received accolades such as the gold consistent category award from Bajaj Auto Limited and a prestigious performance award from Suzuki Motorcycle India Private Limited. These recognitions underscore our commitment to excellence and our value partnerships with esteemed industry leaders.

The Mobility aftermarket division achieved highest ever total net sales in FY '23-'24, with a growth of 10.2% compared to previous year. The independent aftermarket segment, the largest segment within the Mobility aftermarket division accounted for approx

imately 63% of the total business witnessed a notable growth of plus 9.1% in FY '23-'24 compared to the previous year. This growth can be primarily attributed to increased sales of lubricants, spark plugs and filters. The mobility aftermarket segment now proudly boasts of over 50,000 retail touch points, spanning across 650 districts, offering a comprehensive range of over 15,000 part numbers.

This expansive network ensures widespread availability of both products and aftersales services.

Additionally, the division operates over 1,500 authorized workshops and service centers, including Bosch Car service, Bosch Diesel Service centers, electric modules and bike service centers throughout India.

Furthermore, the mobility aftermarket has ventured into the home segment with the introduction of Bosch i6 inverter battery for power backup solutions. The independent aftermarket segment's growth was driven by the zinc plus strategy, focusing on demand generation and market penetration.

We increased the visibility with "Har Shop Mein Bosch" improved branding in dealer networks and achieved top retail branding in key towns. The Mobility aftermarket division was

also honored with 2 awards from Mahindra for outstanding performance in the spare parts division recognized in both construction equipment and farm division categories.

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The beyond mobility sector saw a 17.7% increase in sales, driven by growth in both power tools and Building Technology segments. During FY '23-'24, Power Tools achieved significant double-digit growth of 15.8% over the previous year. The manufacturing accounted for 30% of the total power tools sales in India and the company gained market share across various categories. The power tools business in the coming years is expected to continue its growth trajectory.

The focus will also be on cordless tools, industrial tools, dealer engagement and innovative

new product launches tailored to the medium and entry-level segments. Concurrently, medium-priced products will be pivotal, serving as essential drivers of overall business growth. The cordless tool segment reached approximately 11% of total sales, marking its first double-digit contribution.

The launch of "Cordless Means Paisa Vasool" campaign was awarded the Marketing Campaign of the Year by the Global Marketing Excellence Awards and recognized for best

use of out-of-home media by e4m Indian marketing awards during 2023. Dedicated engineering setup -- engineering center has been set up at the Bosch Chennai power tools plant. The Chennai plant became the first plant in -- at Bosch in India to sign an MOU with the Tamil Nadu government for skill development program. The company also launched a new B2C online repair service to better serve customers. The service network has been expanded to 21 new towns during the year. With the celebration of 30 years of Bosch power tools in India, the company has also launched its purpose statement, Bosch tools in every artisan's hand. The Building Technologies business achieved a double-digit revenue growth of 17% compared to the previous year, securing significant wins across various verticals. The division secured pivotal projects across transportation, including metros and airports, government, energy and consumer sectors, which remain significant contributors to business growth. Additionally, support from the education and health sectors verticals further bolstered our performance. We anticipate a positive outlook for Building Technologies business in '24-'25.

In addition to the building -- in addition to the business unit communication, our local for local program has been extended to include business units, video systems and our fire systems.

Sustainalytics, a global leader in ESG ratings has reassessed Bosch Limited. I'm pleased to announce that the company's scores have improved, dropping from 8.5 in 2022 to 6

.5 in 2024.

Bosch's sustainability commitment is driven by our "Invented for Life" ambition.

Over the past decade, Bosch's corporate social responsibility has positively impacted millions of lives across various locations. During the year, we trained youth, including persons with disability and LGBTQs with 68% to 70% placement rate. Our trainers and teachers through the train the teacher modules. Our efforts in environmental sustainability include conserving water through rejuvenation, planting and maintaining trees. In education, we supported government schools, benefiting numerous students and teachers through provision of mid-day meal schemes, need for basic infra support towards Anganwadis, training students in IT skills. We provided basic health

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care, including eye care for children and cataract surgeries for the elderly to many beneficiaries across villages in 4 states.

Our Outreach Connected program in over 100 villages connects the rural community members with over 50 government schemes and has trained several women through sustained self-help groups. Additionally, we supported more than 1,000 families through disaster relief and engaged employee and participants of future leadership program at Bosch, who contributed over 10,500 volunteering hours through their time, expertise and knowledge for social causes. These achievements were made possible by the unwavering commitment of our CSR team, invaluable partnerships, stakeholders and Bosch employees.

Bosch continues to develop and refine CSR interventions, which are nationally engaging and locally relevant, empowering individuals and uplifting communities. Thank you all for your contribution and for listening patiently through the call. We will now address your queries. Thank you for your attention, and we are open for questions.

Annamalai Jayaraj : Thanks for the detailed presentation, sir. We will now begin the question-and-answer session.

I'll now take the questions from the chat box, sir. Why did you give off the OE/OES diagnostic business from the mobility aftermarket? What products you used to manufacture in this segment that accounted for INR 36 crores revenue?

Guruprasad Mudlapur: Yes. So thank you for the question. And yes, I'll give you a quick input on this business, and then our CFO will also add more. So this is a business we carried within our mobility aftermarket division, which was largely doing documentation and wiring and other work for OEMs specifically preparing such material for the aftermarket and service applications, our diagnostic applications. This business, we see that there is very little growth in the upcoming years because of the nature of the business, which is going largely online and changing the nature of the business moving into the future. And the business itself was relatively small part of the mobility aftermarket division.

Globally, what is also happening is that Bosch through its sister company, ETAS has consolidated this business and will provide this diagnostic business directly to third-party companies. And we felt the integration of this business into ETAS in India was the right thing to do, and that's mainly the reason. This is not a business that we foresee to grow over the next

years and the nature of the business and the kind of diagnostic applications that will come in the future of cars and vehicles will be more software heavy, which are handled more by the OEMs and the kind of things we did would not be the ones which would lead to further growth in this area. And that was primarily the reason for having it off. And if you want to add anything, Karin?

Karin Gilges: Yes. Thank you very much. Yes. And based, of course, on the -- looking on it from the perspective of what is our core business, that we then followed our process of valuation from the buyer and the seller side. We also made a fairness opinion

on it so that we have very good and stable proven process for this hive off. And as already mentioned, this was then the basis when we start to effective of 1st of July, we go ahead with the transfer of the business.

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Annamalai Jayaraj : So the first question is from Gokul Maheshwari.

Gokul Maheshwari: Sir, this first question. I have three questions. And with your permission, I would like to take them one by one. So one of the emerging technologies, which is fast gaining acceptance is hybrids. Can you please elaborate what role and what products does Bosch play in this technology globally and in India? And are you working with any of the existing OEMs which are offering this product in India? And what are these products?

Guruprasad Mudlapur: Okay. Do you want to finish all your questions, so we can take it all together.

Gokul Maheshwari: I would prefer it with one by one, if that's okay with you.

Guruprasad Mudlapur: Yes. Okay. I'm fine with it. So we have a full range of -- see, okay, let me restart this way.

Hybrids have seen recent emergence not just in India, but all over the world. And you know the new energy vehicles in China for example, constitute quite a significant amount of hybrids.

It's not at least clear how long this phase will last before full battery electric vehicles will come in and -- or will become more prevalent, having already come in.

But in the meanwhile, I think there is a limited time window in our view for hybrids. And we've always believed in that thing.

And as a technology company, we have a full range of products for the hybrid market. So we offer the hybrid energy batteries.

We have systems

which are for different classes of hybrids. We have from P1 to P4, all classes of hybrids cater to within our product technology. And this, we are offering also to the Indian OEMs.

Currently, we are talking to several OEMs. Of course, the big ones who have introduced are using the Toyota hybrid system. And the other OEMs are very open to consider us, and we will -- we are already in discussion with several OEMs on the full range of our hybrid solutions to be offered.

Gokul Maheshwari: Great. Secondly, in the past few quarters, you've been highlighting the urgency to improve margins. And one of the key levers for that was localization, but are you finding it difficult to justify investment in localizations given the volumes could be still low and there may not be an economic sense to invest. Because when I see the gross margins for the company, this is a second consecutive year where we are at a 15, 20 year low gross margins. And this is despite the fact that the commodity prices have been fairly soft in the last 12 months. So my question is that where are we in terms of localizations? Or should we consider these gross margins as a new normal for the company?

Guruprasad Mudlapur: Okay. So I'll give you my take on the localization and I'll also let my CFO add on the margins part.

See, we've always believed in localization for the Indian market. And with or without a subsidy regime, which seems to be prevalent today, we've done substantial amount of localization for the Indian OEMs.

In some product classes, we are nearly 90% to 95% localized; in some others, maybe we start at 30% and go all the way up to 65%, 70% going up to 90% towards steady state of that product class. So we've always believed in localization and we've invested in localization in line with that. And we know that our OEMs also fully support this time that localization should

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benefit economically. Otherwise, it doesn't make sense all the time. But of course, there are certain areas where there are government mandates on localization. And in that case, even if the technology costs end up to be higher than what it is when imported, we will go ahead and localize. And of course, our

OEMs are supportive of that goal.

So to answer your question, localization, we've never worried about localizing in India, and we've also not bothered about doing it only when there is a subsidy or incentive towards

localization. We have always done it together with our OEMs as and when it is fully justified.

Karin, do you want to add on the margins?

Karin Gilges: Yes. Perhaps, on the margins. And of course, what you currently see in our profit and loss is, yes, a sort of mix because on the one side, we have what we see to come from the conventional products to the common rail products. And as my colleague already said in the conventional product, which we are doing for decades already, here in India. We have, of course, a very, very high localization rate already. In the common rail, we are working on it. We are coming up in the localization rates.

So therefore, of course, you see this in the gross margin and in addition, besides the finished goods, it's also a component. We are working on the supplier development, even for very complex parts. Meanwhile, in India, we have the plans or the -- we have decisions made already in the direction of the exhaust gas treatment for the future, which we will start in the SOP in the upcoming years.

And I would like also to give you a very good example where we were successful in localization also for export volumes, and this was your question regarding the need. Of course, the volumes of the Indian market, but we also have chances in the export business. And here, we have a very good example, for example, spark plugs where we not only produce for the Indian market, but we also have also export business, and we were very successful here in the localization. So to summarize, we are going at with a localization because we deeply believe that this is one of the success factors for our company for the future.

Gokul Maheshwari: Just a follow-up on that. In that case, and our localization as it plays out over the next 2, 3 years, should we be expecting the benefits of that to convert into slightly higher gross margin over the 2- to 3-year period that they should be trending up?

Karin Gilges: Well, without giving you a guidance, let's say, of course, whenever you have a localization, we are not doing localization because of localization, but in the end, of course, we would also like to see the result in our figures.

Gokul Maheshwari: Okay. Lastly, this is not a question, but more of a feedback/observation. There's one more related party transaction done. And I know you have followed all the procedures with respect to appointing a Big4 firm and following the valuation norms. I'm not doubting that intent, but unfortunately, it just creates a wrong perception where we end up incubating certain emerging businesses, and then we sell it to the unlisted firms of the parent terming this is noncore. So just as a feedback, whenever you're making future capital allocation decisions, you may just want to be investing in business which accord to your strategy, and we would want to prevent Bosch Limited
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situations like this because this is sort of ending up taking up negatively by the capital markets. This is just my feedback. So these were my questions.

Guruprasad Mudlapur: Maybe just a quick response on that. See, yes, you perceive it that way. But we are, as already indicated a couple of quarters earlier, we are looking at an overall portfolio restructuring internally. And what -- and this is done not just in India, but also at Bosch globally in terms of how to set up things for success for the OEMs and for us.

And in that context, there are some parts which don't belong within Bosch Limited, which are small, which occupy a lot of effort, but they don't really add future revenues or growth and it's better in terms of management focus to cut down on such and bring in topics which are much more relevant

for the future. So keep tuned and we will let you know how this develops as we move forward in terms of what happens for Bosch Limited.

Gokul Maheshwari: Sorry, in that context, any more realignments to be done at the portfolio level or you're largely done with them?

Guruprasad Mudlapur: No, I won't say it's all done. So we will give you as and when the information is public, we will let you know. We are working on this and together with the Board, we'll let you know.

Annamalai Jayaraj: The next question will be from Jinesh Gandhi.

Jinesh Gandhi: Hello.

Annamalai Jayaraj: Yes. We could hear you.

Jinesh Gandhi: So continuing on the localization question. So would you update us on the new facility, which started about 2, 3 quarters back, to what level it has ramped up and by when it is expected to be fully ramped up?

Guruprasad Mudlapur: Sorry, could you clarify a bit the new facility you're referring to something?

Jinesh Gandhi: Primarily, the localization of CV-related components, which started, I think, about 3 quarters back to what level it has been ramped up?

Karin Gilges: Yes. And I assume you refer to the localization of the commercial vehicles, so-called injector for the commercial vehicles, which we have ramped up a line in Nashik.

Jinesh Gandhi: Right. I'm referring to that.

Karin Gilges: Yes, exactly. So we have a very good ramp-up of the line of the assembly interesting.

Meanwhile, we had last year or in this financial -- in the last financial year, we had a ramp-up of the component business. We are going ahead with the localization of third-party suppliers also for the raw materials, et cetera. So overall, localization is ongoing, we have done the main steps already. And for us, of course, now it's crucial that the commercial vehicle market will grow and that we can use all our facilities and all our localized products in India.

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Jinesh Gandhi: Okay. And you also referred Karin, regarding EGT also being localized. So when is the SOP expected for EGT localization and this would be at Bosch Limited level? Or at the vendor level, we are doing this?

Karin Gilges: Yes. Okay. So let's say the line is on the way, and we expect SOP, the start of production in April '25 because you have to understand that these are quite complex lines. And -- but it's on the way. It's decided. It's ordered SOP April '25.

Jinesh Gandhi: Okay. And this is at our end, and not at the vendor's end.

Guruprasad Mudlapur: No, this is at our end.

Karin Gilges: Yes.

Jinesh Gandhi: Got it. And second question pertains to the TREM V norm. So are we getting any clarity on by when it will be implemented? And in that context, would we need to invest in new capacities for localization or there is existing capacity, which is available?

Guruprasad Mudlapur: I would say, in general, capacity is available. The current indication is April '26 for TREM V introduction. We hope that standard does not get pushed. It's possible that it's plus minus one quarter earlier even. So we are hoping that by '26 first quarter, second quarter, we should be in with TREM V.

Jinesh Gandhi: And we'll be starting with a very high level of localization over here, considering we have already localized the CV part. So would there be any commonalities or we would like to start from next on localization for TREM V?

Guruprasad Mudlapur: We will start with a fairly good level of localization here.

Jinesh Gandhi: Yes. That's great to know. And lastly, if I look at our EBITDA margins, improvement on Y-o-Y basis has been quite small, especially considering that we have seen -- we would have seen some benefit of localization. And also there was benefit of divestment of digital mobility business. So are there any one-offs or am I missing anything over here?

Karin Gilges: So you referred to the EBITDA margin, yes.

Jinesh Gandhi: Right.

ht.

Karin Gilges: Okay. So financial year to financial year, we see an improvement, of course, coming from the EBIT improvement, and we see a translation of our EBIT improvement translated into the EBITDA, of course, with a little bit more depreciations mainly coming out of the auto body campus here. You see an increase in the operation profit by 4.6%.

Jinesh Gandhi: Considering that we had savings on other expenses on divestment of digital mobility business. Would not improvement should have been higher than that?

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Karin Gilges: So you have to see that the investment and you are referring to the project mobility house, it is after the EBIT. It is below the EBIT and the EBITDA. It is between the EBIT and the profit before tax. So what you see in the EBITDA is really the operational development in the profit.

Annamalai Jayaraj: Next in the question queue will be Lakshmi Narayan.

Lakshmi Narayan: Two questions. First is in terms of our exports, I just want to understand what has been the mix of exports for this year? And I think in one of the conference calls, you mentioned that you are pushing exports as a lever for a slightly longer term. I just want to understand that particular part. What's the mix of exports this year across various product lines? And second, any new initiatives that have come up recently?

Guruprasad Mudlapur: Okay. So exports currently for FY '23-'24 stood at 8.1% overall of our total net sales. And we are working on increasing this over the coming years, but currently, it stands at 8.1%. So our approach is that we continuously look at opportunities to increase exports over the coming years.

Karin Gilges: And of course, if we link this also to our approach of localization, because it is also important for us, if we want to go ahead with the exports that we are competitive and therefore localization in India and the value at India is a very crucial point for us.

Annamalai Jayaraj: Lakshmi, your questions are over?

Guruprasad Mudlapur: I think he's dropped off.

Annamalai Jayaraj : Sir, I'll read some questions from the chat box. When do we expect implementation of OBD 2.2 per two -wheelers as per government notification? Will there be a significant technology upgrade for the OEMs?

Guruprasad Mudlapur: Okay. Give me a second, it will be an upgrade for the OEMs for sure. But the OBD 2.2 norms should be applicable in 2025.

Anna malai Jayaraj : Okay, sir. And another question from the chat box is by when do we expect hydrogen ICE to see inflection point?

Guruprasad Mudlapur: Okay. So hydrogen ICE is currently undergoing design maturity phase with most OEMs. We are working with them quite closely. Almost all our OEM partners have now trucks running within their premises or on the streets. We also ourselves have a truck ready and that's undergoing our test. The component maturity will take a while, but that's not a bottleneck at all. We expect between 10% to 15% of all trucks sold by 2030 to be with hydrogen ICE technology.

Annamalai Jayaraj : There is another question on EV. Any updates on EV order. What percentage of our FY '24 revenue will be from electric vehicles?

Guruprasad Mudlapur: We don't divide it that way, but yes, do we have a...

Karin Gilges: No, we don't have a number.

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Guruprasad Mudlapur: We don't have a number on that segmentation, but -- we are continuing -- all I can say is we are continuously increasing our EV share. We are already quite good with our EV percentage in two -wheelers. We are now in serious conversations with several OEMs on eAxles and electronics for the electrification in our business, and that trend is continuing. So we are on a good path. And in the coming quarters, you will also see them clearly announced.

Annamalai Jayaraj : Yes, there is a person on Building Technologies, sir. Karin was looking

to diversify Building Technology business as per October '23 release. By when do we expect this to go through?

Guruprasad Mudlapur: We expect this to go through by Q1, Q2 of 2025.

Annamalai Jayaraj : Okay. Next in the line will be Viraj.

Viraj: Questions, first on the realignment of portfolio in line with what Karin has been communicating. Will the realignment will largely be of some of the businesses growing after the listed entity or it also would include -- some of the other adjacent products or businesses of other group companies in India coming into listed entity.

Guruprasad Mudlapur: I would not speculate at this point of time on anything. These are portfolio discussions that are currently ongoing, and we will keep you updated as things develop.

Viraj: But is there a time line to it? Because I think the Karin was talking about by CY '24, most of the alignments to be done. But so in terms of the listed entity, do we have internally any time line?

Guruprasad Mudlapur: No, I wouldn't put a time line on it. I would say this is an ongoing portfolio realignment overall. And yes, if I were to give you a broad time line, then maybe it's the next 1 year. We will see some amounts of portfolio readjustments continuing to happen.

Viraj: Okay. Second question is, in the past few years, we've been talking -- we've been giving some guidance in terms of what we expect the growth. And similarly, in terms of capex and the R&D. So for 2025, what would that be for us?

Guruprasad Mudlapur: So on an average, we've had a capex of between INR 400 crores to INR 600 crores -- INR 300 crores to INR 600 crores, if I can be broader year -on-year. And this is a trend that we will continue. We believe this is something that is needed year -on-year for us both to include localization and other capex. So this is something that will continue.

Viraj: And in terms of the R&D and the expectation for growth this year?

Guruprasad Mudlapur: Yes. Again, bordering on guidance, but I would say the growth of FY '23-'24 is something that we are looking forward to also in the upcoming year. The first quarter could be a little slow because of the election effects. We have seen that already in the market right now. And there is also a little bit of a liquidity crunch for some of our businesses in the market. And these things should be resolved by June. And after that, we expect a very good year for the rest of the year.

So overall, we see continued improvement in our margins and performance as we move forward.

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Viraj: Just two more questions. One is on the opex part. I think one of the earlier participant was also trying to understand. In last few quarters, we had this investment in P&L from the project House Mobility. And I think on an annual basis, we had around INR 120 crores, INR 130 crores

of losses, which we are investing in the business, which is not bad. So what -- if that is not reflected in other expenses, then what explains the drop in other expenses on a year-on-year basis?

Karin Gilges: Well, I think we have -- in the other expenses we have, as you rightly said see-through topics.

One topic is that we do have a lower spending related to the new business, which we hived off.

On the other side, we also put in place cost measures, which are sustainable. And of course, what we also have to see in the other expenses besides the variable costs, which we are in line

with the growth that we have in the other expenses, also some fixed costs, which we would

like to grow under proportional compared to the revenues. So overall, let's say, we are working further on the other expenses because we see this also as a very important topic to the -- to our

competitiveness and, of course, to profitability.

Nevertheless, I think we are already on a good way. We were in April, March 2024 on a

14.7%, comparable in '23, 16.8%. So besides

the lower spending and, of course, some more

costs variable due to the growth, we also see that our cost measures are well fit in the base now.

Viraj: Okay. Just last part. It's again on the localization piece. I'm just trying to get more perspective in terms of how we had Bosch look at it. So when you say localization, is there a change in terms of approach versus the past, say, where we used to kind of localize a lot more internally

vis-a-vis outsourcing or local vendor development in India.

And why I'm asking this is, in the past, we communicated that we will be looking to spend

somewhere between INR 300 crores, INR 400 crores to INR 500 crores, INR 600 crores. And

that figure also included the PLI, which we were looking to participate. So roughly around

INR 200 crores per annum. But when I look at, say, FY '24 also, our spend is very meagre

INR 300 crores, INR 350 crores odd and that is below the depreciation which we have on

annual basis.

So somewhere the optimism of the localization, which we always talk about, that doesn't get

reflected in the numbers per se. And when we look at the product level margins, which we own

at Bosch for a proprietary product, it's much below than what other auto ancillaries in the commoditized products on. So it seems a big disconnect. So I'm just trying to understand, is

there a marked shift in terms of how we look at localization. And if that is the case, then how one really perceives the use of cash. So these are two parts of the question.

Karin Gilges: Yes. There's actually no new view on the investment. If I look at the capex 2023 or for the

financial year, then we see -- I informed you already we got the new product, the NOx sensor,

which is very important in the exhaust gas treatment. What we are looking at, of course, is how can we prepare ourselves or how can we adjust our existing machines? And how can we

upgrade to new generations?

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What we are doing is that we are using already invested lines and machines and via upgrade to make them a fit to the new generations. So there is no change in the investment policy.

Localization is a key also in -- as you rightly said, third-party supplier development as well as

in our own plant. And therefore, there is no change. Localization and investment, what we

have to invest, we invest.

Viraj: Just to put it differently, say I'm not talking about very near term, I am talking at more next 3, 4, 5 years. For you to achieve the level of localization, which you already aspire, like you

talked about 85%, 90% in the past. What is the level of capex, one would require in the

business? And if the capex intensity is not much because of refitting, upgrading, which you're

talking about, then what is the use of cash we are looking for?

Guruprasad Mudlapur: So the -- we've estimated that our capex requirements will be in the region of INR 400 crores to INR 600 crores.

Viraj: Okay. And in terms of the use of cash, sir?

Guruprasad Mudlapur: In terms of usage of cash, you mean our reserves?

Viraj: Yes, we have a sizable surplus cash on the balance sheet and even post the capex, it will just

keep on building up.

Guruprasad Mudlapur: Yes. So there is certainly a plan that's being worked on. And as soon as we are clear with it, we will let you know.

Annamalai Jayaraj: Can we take only one more caller, sir?

Guruprasad Mudlapur: Yes, sure.

Annamalai Jayaraj: Yes, due to lack of time. And the last person will be from Mr. Sonal Gupta. I think he's not able to ask the question.

Guruprasad Mudlapur: Probably dropped out.

Annamalai Jayaraj: Can we close or I'll go for one more question, sir?

Guruprasad Mudlapur: We can close for today.

Annamalai Jayaraj : Okay, sir. Do you have any closing comments, sir?

Guruprasad Mudlapur: No, I think we are on a good path in my view. Overall, there has been a continuous improvement in our performance,

and we will continue to keep this momentum going for the future.

Annamalai Jayaraj : Thanks, sir. On behalf of B&K Securities, we thank all the participants for joining the call.

And special thanks to Bosch management for taking time out for the call and giving us the opportunity to host the call. Have a good day.

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Guruprasad Mudlapur: Thank you. Thank you everyone.

Karin Gilges: Thank you. Bye -bye.

Guruprasad Mudlapur: Bye.

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"Bosch Limited
Q1 FY '24/'25 Post Results Conference Call "
August 08, 2024

MANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER –
BOSCH LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER –
BOSCH LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

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August 08, 2024

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Annamalai Jayaraj: Ladies and gentlemen, good day, and welcome to Bosch Limited 1Q FY '24/'25 Post Results Conference Call, hosted by B&K Securities. From Bosch management, we have with us today Mr. Guruprasad Mudlapur, Managing Director and Chief Technology Officer; and Ms. Karin Gilges, Chief Financial Officer. At this point, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the management presentation and opening remarks. Over to you, sir.

Guruprasad Mudlapur: Thank you, Annamalai. And good evening, everyone. Thank you for joining us today. I'll start with a brief overview of the global and Indian macroeconomic landscape, followed by the financial and business highlights. The global theme is one of slowing growth as central banks navigate the delicate balance between inflation and recession. The exception is U.S., which continues to show strong performance right now. Our developed markets are bracing for lacklustre growth in 2024 with a forecast of 3.3% for global growth in 2025.

Emerging markets present a mixed picture, while India, Indonesia and the Philippines are experiencing expansion. This is counterbalanced by tepid growth in China. With the election dust settling on the budget finalized, the government will shift its focus to infrastructure projects and job creation in the manufacturing sector. Auto sector aforementioned in the government budget for '24/'25. Though, exemption of customs duty on minerals, which can aid in reducing electric vehicle prices. While alterations in person tax and the announcement of employment support are expected to help the sales of passenger vehicles and 2-wheelers in the country. Additionally, the emphasis on skill development and infrastructure will benefit the automotive sector.

The budget aims to encourage companies to set up battery manufacturing plants in India and invest in battery technology, research and development. Despite challenges, the overall sentiment in the automotive sector remains positive. Now getting into Q1 FY '25 versus Q1 FY 2024. The financial year commenced with healthy growth in the automotive market despite high base of last year, election-related slowdown and seasonal likely rates. The passenger vehicles market in Q1 FY '25 grew by 6% compared to FY '24 due to high demand for utility vehicles and a positive consumer sentiment despite high inventory levels caused by low footfall at the showrooms due to heat waves and general elections.

Heavy commercial vehicles experienced modest growth of 3% on a high base in Q1 FY '24, and a slowdown in infrastructure and construction activities due to the transitional period for the newly elected government. The government's ongoing emphasis on infrastructure development, anticipated policy stability and a robust monitoring forecast are expected to boost future HCV sales, alongside continued bus orders from state transport utilities or STUs.

Light commercial vehicle segment experienced a correction of 3% compared to Q1 FY '24, owing to financing challenges faced by first-time users and expected loss of market in less than 1-ton vehicles to 3-wheelers. Last mile connectivity is expected to grow with continued expansion of the economy and demand for consumer goods.

Tractor production grew marginally by 1% compared to Q1 FY '24, driven by an above normal monsoon forecast and timely arrival of the southwest monsoon, improving the farmer sentiment.

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Growth is expected to accelerate in the coming months due to increased minimum support prices, or MSPs, for current crops and inventory build-up ahead of the season.

The 2-wheeler segment, started from a slow base, exceeded expectations with 20% growth in Q1 FY '25 driven by the revival of rural consumer sentiment and strong motorcycle

demand. Positive sentiment is expected to continue throughout the year, fuelled by a trend towards premiumization, with consumers seeking larger and more feature-rich bikes.

The 3-wheeler segment grew by 11% in Q1 FY '25 due to sustained demand for passenger transportation and last mile operators for e-commerce, food deliveries and other applications.

The wallet-friendly, long-term total cost of ownership of electric 3-wheelers has driven the fastest transition to e-mobility among all vehicle segments. The electric 3-wheeler segment is poised for substantial growth driven by government support and cost advantages.

Now sequential Q1 FY '25 versus Q4 FY '24. When compared to Q4 FY '24, the market has seen a degrowth. This is in line with the seasonal cyclicality. In this slide, we will illustrate the market

trajectory from the peaks of FY 2019 through the challenges posed by COVID through to subsequent recovery. The automotive market ended FY '24 on a positive note, reaching all-time

highs in the car and LCV segments and maintaining momentum in other segments.

Looking ahead to FY '25, moderate growth is expected due to the election year factor, high base effects, historical trends, and recent pipeline inventory buildup in the car segment causing a bit of concern. However, robust economic conditions and an anticipated above normal monsoon suggest a modest -- moderate growth trajectory, influenced by election year dynamics and high base set in the previous year.

Looking into the sector-wise sales performance. The Mobility business has grown by 4.1% in April to June '24 as compared to April to June '23, driven mainly due to the Mobility aftermarket business, which grew by 8.1% on account of higher demand for new generation diesel components. Power Solutions business, which grew by 2.3%, mainly due to growth in passenger car segment driven by high demand for utility vehicles.

The 2-wheeler business grew by 14.6%, mainly due to higher sales for fuel injectors and fuel supply modules owing to additional demand from TVS and [inaudible 0:07:20] Bajaj. The Consumer Goods business grew by 5.1%, driven by higher demand for grinders, drillers, cutters on account of the market growth. The Building Technologies business grew by 19.4% on account of execution of higher number of orders for installation of security systems.

Getting into key financial highlights. The revenue from operations quarter-on-quarter, revenue from operations in April-June '24, stood at INR 43,168 million, which is a growth of 3.8% over April-June 2023. The growth is driven by Mobility Aftermarket, Power Solutions business and Consumer Goods business, as seen in the previous slide.

EBITDA. Quarter-on-quarter EBITDA in April-June '24 was INR 5,197 million, which grew by 11.1% over the same quarter of previous year. EBITDA as a percentage of total revenue improved from 11.3% in April-June '23 to 12% in April-June '24. The improvement in EBITDA

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margin is mainly attributable to the growth in revenue and reduction in other expenses during the current quarter.

The profit after tax in absolute terms grew by 13.8% in April-June '24 over the same quarter of previous year on account of growth in EBITDA. PAT as a percentage of total revenue for the quarter is 10.8%, as compared to 9.8% in April-June 2023.

Now getting into the Mobility business. Powertrain Solutions. We start to see global recognition of hydrogen engines.

Hydrogen engine technology is gaining recognition globally as a viable zero-emission vehicle powertrain. In the European Union, it is classified alongside battery electric vehicles or BEVs and fuel cell electric vehicles or FCEVs, as is ZEV powertrain.

North America's Environmental Protection Agency, EPA, the greenhouse gas emission regulations -- Phase III regulations also acknowledged hydrogen engines. China is considering

ing

incorporating hydrogen engines into their new energy vehicle framework, or NEV framework.

These global endorsements highlight the potential of hydrogen engines to revolutionize the transportation industry.

In India, the hydrogen engines present a promising alternative to diesel for a long-haul truck segment. Achieving hydrogen prices below \$4 per kilogram is essential, but equally critical in the development of a robust refuelling infrastructure to ensure widespread adoption. Bosch is at the forefront of this revolution, working on multiple projects with commercial vehicle manufacturers globally and in India. Furthermore, Bosch continues to support other alternate fuel technologies, including CNG and [Flex -Fuel 10:40].

Coming to the 2-wheeler and Power Sports segment. In April 2024, we inaugurated our second production line for Lambda Sensors or LFSmh at our Bidadi plant to address the rising demand. The new line was inaugurated by representatives from HMCL or Hero Moto Corporation Limited, along with the Bosch management. This partnership with HMCL, the world's largest 2-wheeler OEM, marks a major milestone for the growth of LFSmh sensors.

The new production line supports the upcoming BS -VI OBDII stage B regulation effective from April 2025. The journey of the lambda sensor at Bosch's Bidadi plant began in December 2020 in anticipation of the BS -VI emission norms, starting with a production volume of 1.2 million pieces in 2021, we have significantly ramped up our capabilities. By 2025, we are set to achieve over 8 million pieces annually.

The new Bajaj Pulsar N250cc and the Pulsar 400 cc models launch confirms Bosch's preferred role -- Bosch's role as a preferred technology partner for premium powertrain components. This launch introduces value-added functions or VAF for the first time in Bajaj motorcycles, showcasing Bosch's commitment to enhancing performance and features to the premium mass market.

Moving on to the mobility aftermarket segment. Bosch has introduced a new Tyre Pressure Monitoring System for both 2-wheelers and 4-wheelers, providing enhanced diagnostic

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capabilities as an aftermarket solution. We have also gone live with the Adicare extended warranty of fer for diesel and rotating machines, benefiting from both independent aftermarket and OEM customers.

Now moving on to power tools. It is with immense pride that I share this momentous news of power tool India transformation from a country sales organization to a region effective from first of April 2024. India now has become 1 of the 5 independent regions within the Bosch Power Tools global organization. India as a region is now responsible for consolidated figures for India, Sri Lanka, Bangladesh, Nepal, Bhutan and Maldives, or the entire SAARC.

The focus will be on the cordless tools business, Cordless 2.0, industrial tools, dealer appointment, aggressive marketing campaigns across business units, global tools, actors, measuring tools and outdoor and garden tools, and innovative and new product launches tailored to all market segments. Concurrently, medium-priced products will be pivotal, serving as essential drivers for overall business growth.

The newly formed region has added various capabilities as new business development director, marketing head and a new cross business unit marketing structure in place to drive the business towards exponential growth journey. With detailed plans to scale up our dedicated engineering team setup, Bosch Power Tools in India is set to achieve its ambitious goals and targets.

In the Building Technologies segment, we launched the AVENAR, made in India detectors, marking the first product from our business unit fire systems to be manufactured locally.

Additionally, we introduced the ZLX G2 portable speakers under the Electro-Voice brand, further expanding our innovative product lineup.

With these slides, I conclude my speech. Thank you for listening patiently. We will now address your queries. Feel free to ask your questions. Thank you.

Annamalai Jayaraj: Thank you, sir. We will now begin the question-answer session. Our first question is from Pramod. Please unmute and ask your question.

Pramod: So thanks for the detailed presentation and giving more granularity for the client-wise wins.

That's useful to understand. So first question is with regard to the Power Tools. You did allude to the region -- you coming as a region. So what does it mean for -- is it in the sense the manufacturing operations will be set up by Bosch India in those locations? Or you will be exporting from either of those regions?

Guruprasad Mudlapur: Okay. Currently, there is -- okay, let me explain now what the regional concept means. Until now, India was a sales organization for Power Tools reporting into our Chinese Power Tools headquarters. And that has been disconnected now.

And India is a region, like I mentioned earlier, together with the rest of SAARC minus Pakistan. So basically, Bangladesh, Nepal, Sri Lanka, Bhutan and Maldives, all come under the management of the Regional President for Power Tools located in India. Of course, he also manages the entire portfolio of business from India.

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Now coming to your specific question on manufacturing and export, or local manufacturing.

There are no current plans for setting up any plants in any of these countries. All of them benefit from our current manufacturing plant, which is already in Chennai in India. And we will continue to export from Chennai to these regions.

The reason for aggregating these regions is because the markets are very similar around the Power Tools demand, and the nature of tools are also very, very similar. So we are logically using the same tools across the entire region, and hence, it makes a lot of sense. And geographically, they're also located very close so traveling is easy and management is easy. So the Indian team manages the whole thing, and they will export from here, and ensure that the business growth happens for the entire region. So within our -- Bosch Limited will significantly benefit from this.

Pramod: Sure. Understood, sir. Sir, second question is with regard to your annual report where you asked for, in today's AGM, the shareholder approval for interparty relations or the transaction to be done.

So there, you talked about exports to the parent literally tripling in next 4 years as a resolution and imports to the -- from the parent doubling up -- more than doubling up. What is the thought process there? And is it a serious number to look at? Because on the financials, it looks like big implications. What has changed in the thought process in the last 2, 3 years?

Karin Gilges: Yes. Thank you very much for the question. Yes, there is not a change in the thought process. We were all the time seen as we -- our main core market is India. But we have worked in the last couple of years massively on our cost competitiveness. We are now scaling with our quantities, which helps us also to become cost competitive. And therefore, for certain volumes like injectors, VE pumps, et cetera, India will also become very attractive.

And therefore, we see an increase, and it's a serious number, also in the automotive. But again, still, we are -- our main market is India and SAARC. And wherever possible, of course, we also stepped into the export business with our parent or our affiliated companies, which helps us also in the local volumes because we have a better fixed cost coverage.

Pramod: Sure. And any explanation for imports, literally doubling up, which you're talking about? At one side, you are localizing, and you're also importing plan to import next 4 years.

Karin Gilges: Yes. So what we plan to import for the next 4 years,

we are -- you know we have 2 technology

changes. One is from the conventional to the common rail product. And therefore, we see a decline in the conventional product where we have a very good and high localization rate set up after the last 4 decades, let's say.

In the common rail system, we are heavily working to come to a very good localization rate. We are working on this. We have already -- we're already successful. But this transfer is that we see a higher import for the common rail systems until we have finished the main localizations.

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Second thing is that, in these systems, in the content of the car, there is mainly exhaust gas treatment components. And we will start with the first component of the exhaust gas treatment in April 2025. We have the SOP. And this is the NOC sensor, and we are currently looking and discussing the next localization of the NOC sensor as well.

In addition, for the next 4 years, we also considered, we have now to see the market to which technology, the market is going into the electrification or hybrid or whatever. But we have also considered partially the first import, for this new technology, this is also part of our related party transactions.

Perhaps this was automotive part, the sales, of course, we have a new approval for the related party transaction for the power tools. And there is also we see a very good growth. Guru already mentioned our plant in Chennai. We are a region now. We see a good growth. And there is partially things also imported. And therefore, we are above the INR 1,000 crores.

Pramod: Thanks, Pramod. Next in the line will be Gokul.

Gokul : Curious on your gross margins. So your gross margins remain at around the mid- 30s mark where we are currently facing very softer commodity prices. So in that context, can you just give an update on localization plans? And how does this impact our gross margins more from a 12 to 18-month perspective?

Karin Gilges: So regarding the gross margin and the localization, it is very clear for us strategically, we have to localize, also to increase and to improve our gross margins. This is very clear. On the other hand, you also have to see we have a shift from the conventional products to the common rail

system where overall we have a higher share of material in the common rail system. Therefore, localization will be even more crucial.

So localization is what we have to work on in the common rail systems. And perhaps also you should know that we have started with a project team in our purchasing here in India also with the early, let's say, screening of the supplier market for the future for all components in the electrified powertrain system.

Gokul: So just a follow-up on that. So your long-term margins have been in the mid -40s or early 40s at the gross margin level. Given the change in the composition of the products where you're moving from convention to CRDI, as well as more to electronics, should we assume that it would be -- these margins perhaps might improve a bit on localization, but this is more like the new normal?

Karin Gilges: So this is a little bit of a guiding question for the future. Let me say it in this way. We did now the first step coming back to a double digit, which was very important for us, and we do everything to keep this double digit. For the future, we have to see how the market is growing, what is the product mix, and how fast coming technologies in.

We, at our job, to be as flexible as possible, and therefore, going ahead with the localization in the common rail system in this -- in the new generations of the combustion engine, and be prepared also in India for a fast change to the electrified powertrain.

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Gokul: Great. Just my second question, in the Q4 call, you had indicated that the Q1 could be soft because of the sales with

respect to sort of automotive impacted by elections or macros. But for the full year, you were expecting a similar performance as FY '24. Does that broad expectation of growth still hold or you're changing on that stance?

Guruprasad Mudlapur: Yes. The broad expectation of growth for the year holds. There is a change. We had already sort of indicated Q1 would be sort of a moderate or very weak growth, knowing that there would be an upcoming election, and we would also come into the summer months with not knowing how intense that summer was, but we had expected some slowdown. Primarily due to elections, but I think it's largely in line with our forecast for this call.

Gokul: Just lastly on capex. Would you be required to do a step-up in your capex spend, maybe INR 500 crores plus, given you would want to accelerate your localization?

Karin Gilges: Whatever we have to spend to have a feasible and profitable localization, we will spend.

Annamalai Jayaraj: Now I'll go to the chat box, there are some questions in the chat box. And the first question is, what are the estimated content increase for 2-wheelers due to the upcoming state B with effective from April 25?

Guruprasad Mudlapur: Are you referring specifically to the OBD Stage 2?

Annamalai Jayaraj: Yes, OBD Stage 2. Actually, it's a person who chatted on the chat box, but I presume that is for OBD 2 what will the content increase for Bosch?

Guruprasad Mudlapur: Okay. We have to get back to you on that. I can't give you an exact number right now. But there is an increase, and we will get back.

Annamalai Jayaraj: And the second question is, is there clarity on timelines for TREM V norms what could be the guiding, the same question? What would be the content increase in tractors for Bosch Limited due to TREM V, how much of this content increase would be value added by Bosch and how much will be bought to components?

Guruprasad Mudlapur: So I would again say TREM V has been postponed so far. I'm not aware of any recent discussions towards changing the date or if there's any further change in the date, but mostly by second quarter of '26. TREM V should be rolling out and in place. So that's what we expect today. There is, again, a change in the content per vehicle, and there is going to be a change towards the common rail systems there. But we will get back if necessary on the exact change in the contract.

Annamalai Jayaraj: Okay, sir. Next in the question is Viraj.

Viraj: Sir, just 3 questions. First is on the margin piece. So what do you kind of gave a colour on a roughly increase in related party, because of the change in technology, which is taking place, both in tractors and components. So while localization may take some time to play out, would it be right to think that margins may remain around current levels what we have been reporting, given the kind of technology change the business or the portfolio will be undergoing?

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Karin Gilges: Again, regarding margins in the future, we do not want the guidance. We would not like -- want to give. But it is all the time if you have a change in technology and if you have a strong parent, or like us, then there is, of course, possibilities, there are chances, there are opportunities. And you have the flip side of the coin where you have for the one-off, for the other product, perhaps

a negative impact. It's our task to balance it and to prepare for all the scenarios. There will be definitely a change in the technologies, the question is when?

Guruprasad Mudlapur: Too early localization also is totally counterproductive in terms of our margin. So we will have to balance it against when is localization most appropriate, what volumes justify localization with reduced costs and improved performance in terms of margins. Only then we go, or maybe a little bit earlier to that phase we go in. But if you start to

o localize too early, and either the

standard chips or the rollout their chips like in case of TREM V or the volumes don't happen and we are sitting with high capex, which may not be very effective.

So we take a very conscious call not to drop our margins in everything we do, and ensure that we will be successful also with increasing localization in the coming years.

Karin Gilges: And perhaps to add -- to give you a concrete example. The NOx sensor, which we will have the SOP in April 2025, we nearly worked 2 years in the front loading of this project. If you look at this product, it looks very simple, but there is laser welding, new competencies in. And for us, it is very important, as soon as we have the lines, and our lines are usually expensive, we have to set up a very fast ramp-up, because otherwise, we have to keep the imports, and we have the fixed costs.

Therefore, we are, as Guru explained, we are really thinking through when does it make sense.

And we invest a lot in the front-loading of the project. If the lines are coming to India, if they are capitalized, we need to come to an OEE of 85% and 90% as fast as possible, not to sit on the fixed cost in the P&L.

Viraj: Just another question. When you're kind of adding capex towards localization say after treatment or NOx, is the thought process largely towards localization or meet the requirement for the local market, or now there's a change in thinking in terms of looking at export also, at least in the interim, to drive better utilization? That's one.

And second is, given now you're looking at new technologies and localization of that, is there a change in capex spend range versus the past? So we talked about INR 300 crores to INR 600 crores annually, but expense in the last few years has been at the lower end of the range. So is there a change in thought process on that?

Karin Gilges: Okay. Coming perhaps first to your first question, and here we can also say the NOx sensor line, if we only look at the Indian volumes, we would have a 2-shift model. And we would have then an impact in the costs. Here we get a certain export volume as well because we need in the overall production network, there were volumes which we could bring to India. And therefore, we will get a line where we have India plus export volumes, which is also favourable then for

RBI. And of course, because we have a good utilization, there we have a very good example.

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We have other examples as well. Nevertheless, of course, if the Indian volumes require us to 2 shifts, 3 shifts already, then for us, we first deliver into the Indian market. So this as a general.

Sorry to ask, can you repeat the second part of your question?

Viraj: The range of capex of -- used to be 300 and 600. So with this, does that drive up the real shift or we will be in that line only?

Karin Gilges: So again, you know our balance sheet, and whenever a localization, MAE, investment or capex is feasible and we see, let's say, a contribution to the top line to the bottom line or to both, then we will make this capex, we will make this investment.

Viraj: Just last question. On the portfolio for the Bosch listed entity, I think last quarter or the quarter before, you gave a colour that CY '24 we may see a similar announcement as what the parent announced in the portfolio realignment in the Mobility. So we did get some colour that we would be announcing or coming up with a decision sometime in the year. So any thought process in terms of with any further businesses we'll be exiting from the listed entity or any businesses you think will be merged in the Mobility segment into the listed entity? Any colour you can give on that?

Guruprasad Mudlapur: Yes, I do not want to speculate on things which are very sensitive information. So I would not want to comment on these things right now. All I can

say is that we are continuously relooking

at portfolio and how we can do it better, not just for ourselves internally but also for our customers in India, and potentially also for the export markets, which are opening up for us. So as and when decisions in the Board, we will keep you updated.

Annamalai Jayaraj: I will read some questions from the chat box. In the quarterly numbers, sir, the other expenses has gone up sequentially as a percentage to sales. Any one-off expenses in the other expenses this quarter?

Karin Gilges: Yes, exactly. So we had a one-off in the last quarter where the other expenses of sales were very

low because we had the forex impact. And this is, of course, this quarter, we have the reversal impact, or you see the reverse impact, and we have 1 warranty case where we have a special warranty where we made a provision in this quarter. So this is actually the reason.

Annamalai Jayaraj: Can you quantify it broadly?

Guruprasad Mudlapur: Can you quantify is the question.

Karin Gilges: No. We -- it is -- we would -- yes. No. We will not quantify the different lines, please. But we have the reversal effect from the last quarter in this quarter with forex and 1 very special warranty case.

Annamalai Jayaraj: Okay. Then the next question from the chat box is, can you talk about what percentage of our revenue comes from electric 2 -wheelers and 4 -wheelers now? Are there any worthwhile order wins in EV components to call out for?

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Guruprasad Mudlapur: No. Right now, we would not like to do that. We don't get into such very specific segment and product line revenue numbers. But we can look at it in the future.

Annamalai Jayaraj: Okay. And then the next 2 questions in the chat box is, in the presentation, you talked about value -added function provided for Bajaj Pulsar. What are these components? And are they manufactured by the listed entity? Hello?

Guruprasad Mudlapur: I'm just referring to what...

Annamalai Jayaraj: Yes.

Guruprasad Mudlapur: [inaudible 39:13] on this, Annamalai.

Annamalai Jayaraj: The 2 -wheeler you indicated, sir. Bajaj Pu Isar.

Guruprasad Mudlapur: I know, I get it. But exactly what those value -added functions are, we will get back to you.

Annamalai Jayaraj: Next, I am unmuting Jay. You can unmute your line and ask your question.

Analyst : To understand on the recent news article, if there is more light that you can throw, in terms of Bosch potentially getting the D VA certificate under the PLI scheme. So 2 questions related to these are, if there's any details that can be shared on the kind of products that we are looking to localize and what's the kind of incremental capex that the domestic listed company will commit

to post this event going through? And is that being the reason for lower capex versus what we could have put on the ground? And should this accelerate more investments?

Guruprasad Mudlapur: No. Actually, our capex planning and investments are not necessarily connected to DVA approvals. And we have been a manufacturing company all along and we've invested significantly on capex . As and when we feel localizations make sense, DVA and PLI benefits come on top of it, which, of course, will be an added bonus. So that's one part of the take .

On the aspect of the new item on DVA approvals and so on, all I can say is that we are an applicant in the PLI scheme. We have not officially got any confirmation from the ministry on

DVA approval, although there are market speculations or social media or media speculations or news items on this. We do not want to comment on that. We hope to -- we have fulfilled more or less all the requirements to meet the DVA. So as and when we have the formal approvals, we will indicate that with you.

Annamalai Jayaraj: Mr. Jay, are you through with your questions? Okay. We'll go to the next, Pramod.

Analyst : We have always

been asking you in terms of when are you localizing. But if I had to look at tractor industry as an example where the implementation timeline itself has changed. So how as -- when such policy delays happen, how do you accommodate in your decision making and capital allocation ? And do they go for a slow utilization initial period? Just wanted to get your thoughts on that.

Guruprasad Mudlapur: See, I'll give you our general philosophy on how we get into manufacturing and localization. Whenever a new technology is introduced, it takes -- unless there is a digital switch like, for

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example, BS -IV to BS -VI with a clear cutoff date and a transition from one place to another, the ramp -up on new technology areas is quite slow. And then we prepare for that and invest in line with the ramp -up volumes that we forecast, or we have acquired. And then we go in line with that with gradual upgradation of capex , to ensure that our manufacturing OEs are at the optimum level. That would be the general philosophy.

So we are not constrained by cash or budgets to ensure localization. The bigger worry generally is are we investing too early and then starting to depreciate, starting to waste our line capacities and add on fixed costs, and thereby impact our bottom line? Or are we doing the right things with regard to a good mixture of imports plus local ramp-ups, and then subsequently making the

local ramp -ups very significant and totally cutting off imports?

So that's how we operate in general. And this has been our philosophy for a long, long time. And this is something we have very good alignment with our OEM partners, and we work very closely with them on how we do it. And that's how we've operated all.

Analyst : And the second question is with regard to the 2-wheeler exposure. With the lambda sensors, do you see 2-wheelers becoming a prominent portfolio of your -- part of your portfolio into high double digit might be in '26 or so? Any direction you want to give?

Guruprasad Mudlapur: 2-wheelers are already a very significant part of our portfolio. So we have engine management systems, a lot of sensor components that go in. Of course, outside of the listed company, we also have braking, ABS components going in. So 2-wheelers are a significant part of our overall turnover. We expect this trend to continue with increasing premiumization and movement towards higher cc motorbikes, we expect this trend to continue.

Annamalai Jayaraj: I'll read some questions from the chat box. Many questions have come. One minute, sir. Yes. First question is, I'm not looking for a specific number, but directionally, can export in next 3 years growth rates higher than the domestic growth given the best difference?

Guruprasad Mudlapur: See, by and large, we are set up with an intent of being local for local. So within the Bosch world, we have production capacities installed in several regions. And India is one of those regions where we ensure that we do largely what is required for the Indian OEMs.

Of late, thanks to several geopolitical issues and changes in the fuel emission norms and electrification and so on, export is becoming a very attractive proposition for either enhanced utilization of our line capacities or also to reduce capacity somewhere or change our production dynamics and export from India. We do not currently foresee a major change in our export portfolio right now. But the intent is that we continuously increase this.

Annamalai Jayaraj: Mr. Jay who had a question on PLI got -- line got disconnected. Typed in his question -- follow-up question. One follow-up, are the benefits of PLI and other incentives captured in the margins largely are passed through as they have limited lines?

Karin Gilges: Can you please rephrase your question?

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Annamalai Jayaraj: No, no.

I think his question is whether the PLI benefits, when you get it, we can retain it or we need to pass on to the customer? That's what his question is.

Guruprasad Mudlapur: I mean this largely depends on product categories and our agreements. I would say the eventual benefit should be seen by the consumer. And so there is an overall value chain passing on the benefits, and we will do the same.

Annamalai Jayaraj: Okay. Again the next question is I'm reading from the chat box. Can you suggest on our plans for hybrids in PVs considering EV penetration is not taking off in the near term and more OEMs are announcing hybrids?

Guruprasad Mudlapur: Yes. I mean we've talked about EV penetration several times and many of you have countered us saying very high EV penetration likely and so on. But we believe our numbers are pretty fair and correct. And we have anticipated what is likely the EV penetration rates in India, or we get our signals from the global OEMs.

So this is an anticipated trajectory right now. And we see that when the subsidies reduce or when the very premium EVs are sort of saturated, and now the more common market class EVs have to come in, there is likely a slowdown for a while. And slowdown still means a pretty good growth rate compared to traditional combustion vehicles. And this is something that is known and well understood. So that's the EV part of the story.

Now for hybrids, we have a portfolio which caters specifically to the engine management systems. Basically a lot of things we already do towards the combustion vehicles will still continue. There are some extra components which come on hybrids like the battery systems, which we don't make currently, and that's how it will stay.

Annamalai Jayaraj: Okay. And can you please give an outlook for our key different key segments for us, CV, tractor, PV, 2-wheeler and consumer goods.

Guruprasad Mudlapur: What does outlook mean?

Annamalai Jayaraj: Basically, I mean all these sectors, sir, how we look at making the shorter to medium term.

Guruprasad Mudlapur: Short term is really -- we had covered most of this in the presentation already. So I would not want to enlarge anything more than that.

Annamalai Jayaraj: Okay. Again, this next question you may not answer, but anyhow I'll just read out the question. Share your market share and content value for EVs currently.

Guruprasad Mudlapur: I would avoid that. We don't go into product class.

Karin Gilges: Yes. And we also have to say we are with all the important OEMs in discussions, but it is a very, very early stage in the market of electrification. And to discuss today of market shares, when I see the market, then this would be really we are talking about, I don't know, a couple of

thousands , 100,000 -- so this is not -- the important thing for us is not on the classical KPIs. The important thing for us is we are in discussions with our customers.

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We are -- we stand together, co -creating, and we are the strong partner for them technology - wise. And when it's coming up, we are ready to work with them together. And this is the current status. But now to say what is the KPI, the market share, this is really too early.

For us important is that we have a strong backbone with our parent company, where we have certain technologies, which we can offer to the Indian OEMs that we are -- have the competencies to work with them together on adjustments and give them a good consulting. And as I mentioned before, that we are in a very early stage have already the supplier base on the radar here in India that we start this as well.

Guruprasad Mudlapur: And more importantly, we have a profitable portfolio.

Annamalai Jayaraj: Okay, sir. We can take the last question from the chat box, sir. Tata Motors today has launched their Pure EV at a price which is very close to a midsize diesel SUV. How do

you think about

this as a major diesel player, and the take on it if the customer switched to Pure EV?

Guruprasad Mudlapur: So I mean if -- we wish lots of success for this. We have our components going into many of the EV launches coming up. So we are happy to get in that portfolio. But yes, it's maybe too early to speculate what will happen, our diesel go down. We have already forecast that the diesel share will go down over a period of time, quite long. And we will stay with that. And in parallel, we will do everything to have a very successful, profitable EV portfolio, which we can carry for the OEMs in India.

Annamalai Jayaraj: Okay, sir. Do you want to make any closing comments, sir?

Guruprasad Mudlapur: No, thank you. I just want to say thank you for this opportunity, and some good questions. Also some good thoughts to introspect within ourselves. And thank you, everyone.

Annamalai Jayaraj: On behalf of B&K Securities, we thank all the participants for joining the call. And special thanks to Bosch management for taking the time out for the call and giving us the opportunity to host the call. Have a good day.

Karin Gilges: Thank you. Bye -bye.

NOTE: This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. This transcript is provided "as is", without express or implied warranties of any kind.

Call: Nov 2024

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November 20, 2024

Dear Sir/Madam,

Sub: Compliance under Regulation 30 and 46(2)(oa) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) regulations, 2015- Disclosure of Transcript of the Investors' Concall

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript of the investors' call with Investors/Analysts held on November 12, 2024.

This is for your Information and records.

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Yours faithfully,
for Bosch Limited,

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"Bosch Limited
2Q FY '24-'25 Post-Results Conference Call "
November 12, 2024

MANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER –
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MS. KARIN GILGES – CHIEF FINANCIAL OFFICER –
BOSCH LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES .

Bosch Limited
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Annamalai Jayaraj : Ladies and gentlemen, good day, and welcome to Bosch Limited 2Q FY '24 -'25 Post Results Conference Call hosted by B&K Securities. We have with us today from Bosch management Mr. Guruprasad Mudlapur, Managing Director and Chief Technology Officer; and Ms. Karin Gilges, Chief Financial Officer.

At this point , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation and opening remarks. Over to you, sir.

Guruprasad Mudlapur : Good evening, everyone, and thank you for joining us today. I'll begin with an overview of the global and macroeconomic landscape, followed by financial and business highlights. Globally, the expectations for economic recovery are fading, especially in Europe, where manufacturing is declining, services growth is slow and the GDP growth is very minimal, with Germany facing a very weak economy. Meanwhile, the U.S. economy is doing well with strong job growth and 3.2% GDP growth.

Input costs, including shipping, raw materials and wages are constantly lower and stable. However, this trend is not expected to continue. Although the global inflation has remained stable, India remains -- seems to have imported part of the inflationary pulses, majorly contributed by input prices.

India still remains one of the fastest -- world's fastest growing large economies. Growth is likely to pick up, driven by increasing consumer spending, especially in rural India as inflation subsides and agricultural output improves after favourable monsoon conditions. Looking ahead, we anticipate 2025 to mirror 2024's growth trajectory in India.

Next slide, please. After hitting an all-time high in FY 2024, the automotive industry saw a slight 1% decline in Q2 FY '25 compared to Q2 FY '24. This is due to the high base effect, coupled with election slowdowns and unfavourable climate conditions. The passenger car segment struggled with high inventory levels of around 70 days in this quarter.

Weak consumer demand has slowed the growth despite moderate retail gains from discounts . Economic factors like slower retail credit and shifts in spending impacted entry-level models. The festive season is crucial for clearing excess inventory, though caution remains.

Heavy commercial vehicle segment declined due to high base effects, slow infrastructure projects and decreased fleet utilization of heavy vehicles. Bus demand, however, remains strong,

thanks to large orders from state transport undertakings. Light commercial vehicles segment faced pressure, especially in lower tonnage categories from growing 3-wheeler competition.

Two-wheelers recorded strong rural demand and new launches drove growth, with electric 2-wheelers boosted by favourable policies and subsidies. Growth is expected to continue through

the festive season.

Three-wheelers experienced robust demand, especially for electric models in passenger and cargo applications supported by government subsidies and rising last-mile urban connectivity needs. Tractors showed slight growth due to favourable monsoons, strong domestic demand, and higher minimum support price, and is expected to sustain this growth.

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Next slide. In this slide, we have illustrated the market's trajectory from the peaks of FY 2019 through the challenges posed by COVID to the subsequent recovery. The automotive market ended FY 2024 on a positive note, reaching all-time highs in car and LCV segments and maintaining momentum in other segments.

Looking ahead, the election year high base effect and historical trends suggest moderate growth for the automotive industry. The recent inventory buildup in the car segment remains a concern,

but the underlying economic conditions are strong, and India's growth narrative remains positive.

Next slide, p

lease. Sector-wise sales performance quarter-on-quarter. The Mobility business has seen growth -- has grown by 6.7% in July-September 2024 as compared to July- September 2023, driven mainly due to :

- Power Solutions business, which grew by 5.7%, mainly due to increase in sales to passenger car segment, increase mainly coming from diesel, U V models, increase in sales for genset applications with common rail systems and increase in export sales of electronic controlled throttle body, in-line pump and nozzle holders.
- The Mobility Aftermarket business, which grew by 8.8% on account of higher demand from lubricants and diesel systems.
- Two-wheeler business grew by 13.4%, mainly due to higher sales of fuel injectors and exhaust sensors, driven by increased demand from prominent domestic motorcycle manufacturers.
- The consumer goods business grew by 10.1%, driven by high demand for grinders, drills, cutters, spares, and accessories on account of market growth.
- The Building Technologies business grew by 20.1% on account of execution of high number of orders for installation of video surveillance and communication systems.

The Mobility business has grown by 5.4% in April to September 2024 as compared to April to September '23, driven mainly due to:

- Power Solutions business, which grew by 4%, mainly due to increased sales in passenger car segment, mainly fuel, air and ignition components, electronic throttle body and EGT components.
- The Mobility Aftermarket business grew by 8.4% on account of higher demand from diesel systems and rotating machines.
- Two-wheeler business grew by 14%, mainly due to higher sales of fuel injectors on account of increase in market demand for popular sports and commuter motorbikes.
- The Consumer Goods segment business grew by 7.6%, driven by higher demand for grinders, cutters, drills, spares, and accessories on account of market growth.
- Building Technologies business grew by 19.7% on account of execution of high number of orders for installation of video surveillance and communication systems.

Next slide, please. Quarter-on-quarter, revenue from operations in July to September '24 stood at INR43,943 million, which is a growth of 6.4% over July- September 2023. The growth is driven by Mobility Aftermarket business, Power Solutions business, and Consumer Goods business, as seen in the previous slide. Likewise, revenue from operations in April to September

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'24 stood at INR 87,111 million, which is a growth of 5.1% over April -September '23. The growth is driven by Mobility Aftermarket business, Power Solutions business, and Consumer Goods business.

Quarter-on-quarter, EBITDA in July -September '24 was INR 5,605 million, which grew by 14.1% over the same quarter of previous year. EBITDA as a percentage of total revenue improved from 11.9% in July-September '23 to 12.8% in July-September '24. The improvement in the EBITDA margin is mainly attributable to growth in revenue and improvement in material cost. EBITDA in April -September '24 was INR10,802 million, which grew by 12.6% over the same period of previous year. EBITDA as a percentage of total revenue improved from 11.6% in April -September '23 to 12.4% in April -September '24. The improvement in the EBITDA margin is again on account of growth in revenue and improvement in material cost.

The profit after tax stood at 12.2% of revenue from operations as compared to 24.2% over same quarter of previous year. Previous year had a onetime exceptional item of profit on sale of Project

House Mobility Solutions, PJMS business, of INR 7,850 million. Likewise, in the current quarter, that's July -September 2024, also has an exceptional item via sale of OE/OES Diagnostics business of INR485 million.

Likewise, profit after tax stood at 11.5% of revenue from operations as compared to 17% over same period of previous year. The difference

is on account of exceptional item, that is profit on sale of PJMS business, which was there in the previous year.

Next slide, please. Bosch Limited's Power Solutions division has played a major role in supporting a major OEM to application the Bosch engine management system for their first-ever gasoline direct injection engine. The Power Solutions division also contributed towards advanced hardware, software, and calibration solutions for the 1.2-liter gasoline engines. Bosch has launched 2 connected solutions called vehicle load detection and driver analytics to the market, which will aid commercial vehicle owners to monitor the vehicle's usage and driving parameters more closely and enable optimal performance.

At the 5

TH CII National DigiTech Circle Competition 2024, Bosch's Jaipur plant won the Gold medal for 'Digitalization in Maintenance and Energy management' and Silver for best case study of innovative business models for digitization in manufacturing and service.

Coming to 2-wheeler and powersports, it's a moment of immense pride to have supported the launch of the world's first CNG bike featuring the Bosch Engine Management System. With this successful release, Bosch is well positioned to support 2-wheeler industry for CNG as fuel technology. The Bosch Engine Management System, EMS, is a bi-fuel solution and can operate either on CNG fuel mode or gasoline fuel mode.

The system has the capability to switch between fuel modes on demand smoothly on the go with precise control on performance. Bosch EMS is developed to meet the latest emission norms for

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the Indian market for 2-wheelers, which is BS-VI OBD II Stage A. The solution offering is robust, and package protected for OBD II Stage B.

Bosch has also partnered with a premium 2-wheeler brand integrating our engine management systems and safety systems. The Bosch MSC technology will further open the market for advanced safety systems to the Indian market under the umbrella of Bosch MSC for all campaigns. It's a moment of pride to be recipients of special jury commendation at 6th Edition of FICCI Road Safety Awards and Conclave 2024 for exceptional interventions in promoting

road safety through the MSC for all initiative across the nation. The award presented by Sri Nitin Gadkari, Minister for Road Transport and Highways of India, acknowledges Bosch's significant contributions towards enhancing road safety nationwide.

In the Mobility Aftermarket division, we faced some challenges in the independent aftermarket, or IAM, due to lower demand in diesel spares category. On a positive note, several key business product lines have shown remarkable performance, with diesel, rotating machines, battery, and wipers all experiencing significant double-digit growth in the Indian market. In addition to financial performance, I'm thrilled to announce the inauguration of our 100th Bosch service 2-wheeler workshop. This milestone marks a significant step in expanding our service network, ensuring that we continue to provide top-notch service solutions to our customers.

Next slide, please. Beyond Mobility. Power Tools, our global Power Tools division, has launched the Impact Screwdriver Range, or ISR, and Impact Drill System, or IDS, enhancing tool bag coverage to meet industrial demand. In measurement tools, we've introduced new line lasers and wall lasers for greater precision in construction and design. Our market campaigns are also gaining traction, with Cordless Campaign 2.0 promoting the power of cordless tools under the slogan, Cordless Power Tools Mein Hai Dum, and Hard Work Made Easier campaign, showcasing how our innovations simplify tough tasks for professionals.

The Building Technologies division of Bosch Limited launched the FLEXIDOME IP Starlight 5000i camera, our first made in India product from the business unit Video Systems. This milestone

enhances our domestic production capabilities and underscores our commitment to local manufacturing and innovation. Additionally, we are expanding our professional sound segment with new products under the Electro Voice brand and Dynacord, enriching our Audio Solutions' portfolio.

Furthermore, Bosch Limited has received the FIST Award 2024 for the Safe and Secure Office Campus category awarded by Fire and Security Association of India, highlighting our dedication to a safe and secure working environment.

Next slide, please. With these updates, I conclude my speech. Thank you all for listening patiently. We will now address your queries. Please feel free to ask your questions.

Annamalai Jayaraj : Thank you, sir. We'll now begin the question-and -answer session. The first question is from Jinesh Gandhi.

Jinesh Gandhi : A couple of questions from my side. One is, given that the TREM V norms as of now are to be implemented from April 2026, can you talk about how do we plan to localize components for Bosch Limited
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TREM V norms? Would it be in sync with what we have done in the past, as volume ramps up, we localize that? Or are we thinking differently this time?

Guruprasad Mudlapur : We are quite well prepared to handle TREM V localization and we can expect a much higher level of localization for TREM V starting from the beginning itself. We are really hoping that there is no further postponement or change in the days of TREM V rollout . But assuming everything goes on time, we are on our side ready to meet the demands of the industry.

Jinesh Gandhi : Got it, got it. And secondly, in this quarter, we have seen a good decline in share of traded goods. Is it because of the full benefit of localization is now reflecting in 2Q numbers? Or it's also to do with lower contribution of CVs in this quarter because of volume decline that CV industry saw?

Karin Gilges : Yes. I'll take this question. Of course, it's a mix. It depends entirely what product mix we have. This month we had a favourable product mix on the one side. But of course, we are going ahead with the localization, and step by step, we see what we implement here in India. So I would not say it's black and white. It's a mix. And yes, we had, therefore, a quite favourable mix, but see also that we're going ahead with sort of localization.

Jinesh Gandhi : Okay. But would it be fair to say that the ramp-up of localization is now totally done? Or there will be some more benefit to come in as volumes go up as well?

Karin Gilges : Yes. So not only volumes going up, but of course, products coming in, new generations coming in. We have -- for example, 3 years ago, we have implemented our injector line for the commercial vehicles, that we are on a good track already for the components. But this is not finished up to now. So actually, it is an ongoing process. We are looking all the time into our portfolio where can we localize, what can we localize. So it is not finished and done. It's an ongoing process.

Jinesh Gandhi : Got it. And last question from my side is on capex . So first half capex was roughly about INR 100 crores. Any guidance for full year capex ? Usually, we spend between INR 500 crores to INR 600 crores. So just wanted to clarify what it will be for FY '25.

Karin Gilges : Yes. So we have also this year a decent amount, roughly INR 4,000 million. And it is a little bit lower compared to last year because the Aduvudi campus is now finished. And this is mainly plant and machinery. And traditionally, in the first half year, we are starting to implement machines accounting. But until we really go into the SOPs and -- that we are capitalizing this capex is then in the third and fourth quarter.

Annamalai Jayaraj : Next in line will be Atman Shah? He has logged out. Next in the line is Mr. Pramod Amthe. Please unmute and ask your question.

Pramod Amthe : So the first question

is with regard to the tractor supplies. I wanted to know your preparedness as the industry on a high base looking for a double -digit growth in the second half. And also looking at if the pre -buying comes through, again, there can be a sustenance of double digit. How are you prepared to handle this on a high base the double -digit volumes, one?

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Second, at the end of it, again, you have to transition to the TREM V. Isn't -- then the volatility of volumes, how will you be prepared to handle in the short term? Can the CVs be -- capacity be fungible to tractors? Or how does it actually play out?

Guruprasad Mudlapur : Yes. So if I understand your question right, you are hinting that there will be some pre -buy effect before TREM V came, and are we prepared to handle those additional volumes. And post TREM V comes in, how are we equipped to handle those volumes. That's the question, right?

Pramod Amthe : Correct, correct.

Guruprasad Mudlapur : Okay. I mean, we are certainly equipped very well to handle the pre-buy effects. We've had -- we always have discussions on topics like this together with our OEMs. And we anticipate -- if they anticipate any pre-buy which has happened in several occasions in the past, like, for example, BS -IV to BS -VI and other norm transitions, we work with them very closely and ensure that we are fully prepared and we are ready to support on any capacity increase that we need to cater to these demands. So on pre -buy effects, we certainly can handle it. On TREM V, I think I've already answered it. We are well prepared to handle the transition, and we look forward.

Pramod Amthe : The second question is with regard to the car segment. There seems to be some policy favoritism for hybrids. I wanted to know how does Bosch play a role in terms of content per vehicle when the existing ICE engines go for hybrid? What parts you really supply and how you handle the customer? Any case studies for India already happening? Or how are you seeing this business shaping up?

Guruprasad Mudlapur : Yes. So we are in discussion with several OEMs on hybrids, and some are quite active and have a couple of models already in the market, others are still in early time phase. There is no confirmed policies about -- that we see other than 1 or 2 states doing something independently. But we'll have to wait and watch how this develops, but we certainly have capabilities to support OEMs through this.

Annamalai Jayaraj : Next in the line will be Mr. Gokul. You can unmute and ask your question. Anybody who has a question, please raise your hands.

Analyst : Sir, two questions. At the start of the year, you had sort of indicated that the growth would mirror the growth which we've seen in FY '24, given Q1 being a more transient quarter because of the elections. Given that first half has gone and there have been some changes in the underlying automotive market, would you want to just revisit your growth expectation for FY '24?

Guruprasad Mudlapur : So your question is, would we like to revisit growth estimates for '25? Is that what you're saying or...

Annamalai Jayaraj : Yes, I think that is the question, sir. I think he has gone to mute. That is the question, sir.

Guruprasad Mudlapur : Okay. So I mean, we -- our business plan cycle constantly looks at what's happening in the market. We take feedback not just from the market, the inventory positions in the market, what our OEMs tell us and what we need to plan for the year. Of course, we have complex internal tooling, which also helps us fine-tune the possibilities under various scenarios in terms of what Bosch Limited

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is the possible GDP growth rates, how are different sectors performing, and based on that, what should we plan for in terms of our plan, different segment level growth opportunities. So this is a thing we constant

ly do. So as we see today, the indicators are that '25 is likely to mirror 2024 growth rates. There can be ups and downs, and we're well prepared to handle that. And if there is a change -- we evaluate this at very regular intervals within our business planning cycles and we will adapt certainly.

Analyst : Okay. Two more questions. So one is, if you could please comment on the underlying CV industry, because first half has been fairly weak for the -- both the major OEMs. What are you seeing on the trends and interactions with your customers on the outlook for the industry for second half and going forward?

Guruprasad Mudlapur : CV industry we expect it to remain muted or where things are an inch down. I think that's the current expectation also.

Analyst : Perfect. Great. Lastly, just on exports front. While the external environment has been very muted due to the geopolitical conditions, are you seeing things pick up over there? And what's the outlook for the near term over the next 6 to 12 months for the exports business?

Guruprasad Mudlapur : Okay. So we don't look at exports on very short-term basis. That's not, again, we're banning our exports as well. We consider exports as a longer-term opportunity, while there are some medium, short-term gains based on some capacities or some changes in the market abroad. That's one way of looking at it. And we will certainly cater to that as it comes. But for us, growing our export business is much more of a longer-term opportunity over, let's say, in the next 5 years or so. So we are preparing ourselves to [inaudible 0:30:33].

Gokul : Okay. What would be the export growth in H1 versus last year's H1?

Karin Gilges : We have -- this quarter, we have had slightly increase in the exports. But as already mentioned, it highly depends on the demand, where we have in the international global network, production network some demands. So overall, we see a growth of roughly 10% if we compare the previous year to this year. But again, for us, the long-term perspective is much more interesting, and this was what we had in the third quarter. And yes, of course, we are all the time appreciate if we can support our international production growth.

Annamalai Jayaraj : In the meantime, I'll read out the questions from the chat box. First question is, we have indicated about good growth in the PV segment despite underlying industry being weak. What will drive this growth?

Guruprasad Mudlapur : Yes. I mean the PV segment is connected to -- quite a lot connected to what happens in our cities, disposable incomes, a trend towards premiumization or affordability, GDP growth in general, and how well people are able to drive in cities and further penetration in our Tier 2 and Tier 3 towns. So these would be the broad trends. And yes, we track these trends, and we expect steady growth in our PV segment.

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Annamalai Jayaraj : The next question is, we indicated safety systems for 2-wheelers. What will be the components on 2-wheeler systems' safety in the listed entity?

Guruprasad Mudlapur : So yes. I mean, we have our 2 -wheeler division which offers some components into this market (Explanation: via cross divisional solutions around safety, comfort & efficiency) . While majority of the safety systems go from our sister company, RBIC. But on the listed entity, our 2-wheeler division also caters to some segments (Explanation: offers engine management system components like engine control units, fuel supply module, fuel injectors and) sensors, and all that.

Annamalai Jayaraj : Okay. And some questions from the chat box. Whether any restructuring under progress or -- on this thing for -- in the -- all the other listed companies in the Bosch stable in India?

Guruprasad Mudlapur : Sorry. What was the question? Sorry...

Annamalai Jayaraj : Basically, the question is, see, whether -- see, we h

ave a lot of unlisted companies in the auto

space in India. Whether any chance of restructuring or any whether progress...

Guruprasad Mudlapur : Yes. So I think I've spoken about this a few times in the past. We are constantly looking at our product portfolio, our business activities in the listed company and also business activities outside the listed company in the Indian context. We are very open to look at these things. These

are discussions that are going on in the RBI N and Board with the promoter. As and when we have information to share, we'll certainly use that opportunity to share it with all. So all I can say is that these discussions are ongoing in terms of multiple elements, and we will share it as appropriate.

Annamalai Jayaraj : I think that's all, sir. Yes. There is no more questions. And any closing comments you want to make, sir?

Guruprasad Mudlapur : I would say thank you to everybody who joined the call and showed interest. We're doing our best to ensure excellent business performance under difficult -- currently slightly difficult market conditions, and we hope to continue to keep this transitory going. And you will hear more from us in the coming 12 months. Thank you.

Annamalai Jayaraj : Thanks, sir. Thank you, all the participants . We can now disconnect our lines.

NOTE: This document is a transcript and may contain transcription errors. This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. While the transcript has been edited for clarity, the Company takes no responsibility for such errors.

Call: Feb 2025

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January 31, 2025

Dear Sir/Madam,

Sub: Compliance under Regulation 30 and 46(2)(a) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) regulations, 2015- Disclosure of Transcript of the Investors' Concall Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript of the investors' call with Investors/Analysts held on January 28, 2025 .

This is for your Information and records.

[[

Yours faithfully,
for Bosch Limited,

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Company Secretary & Compliance Officer

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"Bosch Limited 3Q FY24 -25 Post Results Conference Call"

January 28, 2025

MANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING DIRECTOR & CHIEF TECHNOLOGY OFFICER , BOSCH LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER , BOSCH LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

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Annamalai Jayaraj: And welcome to Bosch Limited 3Q FY24-25 Post Results Conference call hosted by B&K Securities.

From Bosch Limited Management, we have with us today Mr. Guruprasad Mudlapur – Managing Director and Chief Technology Officer, and Ms. Karin Gilges – Chief Financial Officer.

At this point, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the "Management Presentation" and "Opening Remarks".

Also, may I remind you of the safe harbor:

The Company will be making some forward-looking statements that have to be understood in conjunction with the uncertainty and risk that the Company faces.

Over to you, sir.

Guruprasad Mudlapur: Good evening, everyone and welcome to this call. Thank you for joining us today.

Let me give you an overview of what's happening in the global and Indian macroeconomic environment and update you on our financial and business highlights.

As we embark on the journey into the new year, there are different perspectives on how the global and local events will shape our businesses. The newly elected U.S. government is expected to bring in new policies, higher tariffs, tax reforms, immigration changes, short-term growth stimulus, however inflationary. Global growth projections have slightly softened but remain stable as economies face disinflation, subdued demand, geopolitical uncertainties, and potential trade conflicts can create uncertainties. Domestically, growth is expected to slow cyclically with weakening consumption and uncertain business sentiment due to proposed tariffs and China's export pressures. Stock markets continue to fall as FPI's pull out with resulted pressure on Forex reserves. However, seasonally, the Q4 of FY could see Forex remittances to build up the reserves. Inflation in advanced economies is within the target range, with many central banks either turning neutral or cutting rates. RBI would also support flagging growth, and we expect a shallow rate cuts this calendar year 25 up to 75 basis points.

The automotive industry grew by 3% points year-on-year in Q3 FY25 compared to Q3 FY24, but saw a sequential decline when compared to Q2 FY25 due to seasonal cyclicality, post-festive demand normalization, and a high base effect. OEM suggested production to manage inventory following buildup during Q2 festival peak. The passenger cars 4% year-on-year growth is driven by robust SUV demand, rural traction, and aggressive festive promotions. Inventory levels also eased from 70 to 55 days, aided by sustained discounts and marriage season demand. Demand in heavy commercial vehicle segment remained subdued due to mining and construction slowdown and rising vehicle costs. Also, there is a shift towards higher tonnage vehicles due to

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better roads and logistics growth that is further impacting the overall volume. However, buses and tippers showed recovery with a strong recovery pattern compared to sequential quarter.

For light commercial vehicles or LCVs, the market growth has remained muted due to slowdown in economic activity, especially in urban centers. Also, part of less than two ton volume is shifting towards three wheelers. The three-wheeler segment also experienced muted growth due

to slowdown in economic activity, negating the marginal growth for shift towards three -wheelers from less than 2 -ton light commercial vehicles or LCVs. Strong year -on-year growth in tractors is backed by favorable monsoons, improved yields, and higher minimum support price or MSPs for Rabi crops. The sequential decline reflects seasonal cyclical, a usual trend for the segment.

Two-wheelers recorded festive driven surge in October, followed by weaker demand in November, December due to inventory realignments and subdued domestic conditions. Growth was su

stained by motorcycle demand, rural sentiment, and new launches with cautious optimism around EV traction.

In this slide, we illustrated the market's trajectory from peaks of F Y2019 through the challenges posed by COVID to the subsequent recovery. The data highlights the automotive sector's resilience with passenger vehicles and LCVs reaching record highs in F Y24, and two-wheelers set to reclaim pre -pandemic levels by F Y25, signaling strong consumer demand. Also, three -wheelers have rebounded sharply, driven by surging demand for electric variants. However, the recovery in HCVs remains sluggish, reflecting cauti ous fleet expansi on amid economic uncertainties.

Looking ahead, sustained macroeconomic stability, policy support, and consumer liquidity will be critical in maintaining momentum and ensuring broad-based growth across segments.

Segment wise sales performance quarter-on-quarter. The Mobility business has grown by 1.6% in October-December '24 as compared to October -December '23, driven mainly by the mobility aftermarket business, which grew by 8.8% on account of higher sales, higher demand for diesel systems, automotive batteries, and lubricants. The two -wheeler business grew by 23.9%, mainly on account of higher sale of exhaust gas sensors, ramp up of OBD2 norms implementation from 1st of April 25. The consumer goods business grew by 8.8%, driven by higher demand for grinders, drills, cutters, spares, and accessories. The building technologies business grew by 7.6% as a greater number of orders for installation of public address and communication systems were executed.

The Mobility business has grown by 4.4% in April, December '24, as compared to April, December '23 , driven mainly due to power solutions business, which grew by 2.3% , mainly due to higher sales of electronic throttle body, injectors, and high-pressure pumps. The mobility aftermarket business, which grew by 8.5% on account of higher demand for diesel systems , batteries, and rotating machines. Two -wheeler business grew by 17.5% mainly due to increase in exhaust sensor sales on account of OBD2 wrap-up. The consumer goods business grew by 8% driven by higher demand for grinders, drills, cutters, spares, and access ories. Building

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technologies business grew by 15.1% as a greater number of orders for installation of public address and communication systems, and video surveillance systems were executed.

Quarter-on-quarter, revenue from operations in October-December '24 stood at 44,657 million INR, which is a growth of 6.2% over October -December '23. The growth is driven by mobility aftermarket business, two -wheeler, power sports and consumer goods business as seen in the previous slide. Likewise, revenue from operations in April, December '24 stood at 1,31,768 million INR, which is a growth of 5.5% over April, December '23 . The growth is driven by mobility aftermarket business, power solutions business, a nd consumer goods business.

Quarter-on-quarter, EBITDA in October-December '24 was 5826 million INR, which grew by 0.7% over the same quarter of previous year. The improvement in EBITDA is marginal as majority of the revenue increase came from engineering service revenue . EBITDA in April, December '24 was 16,628 million INR, which grew by 8.1% over the same period of previous year. EBITDA as a percentage of total revenue improved from 12.3% in April, December '23 to 12.6% in April, December '24 . The improvement in EBITDA margin is on account of growth in revenue , improvement in material cost.

Profit after tax stood at 10.3% of revenue from operations as compared to 12.3% over same quarter of previous year. During the quarter, the Company has made a provision of 471 million INR towards restructuring its operations to be competitive in the Mobility business . And the same has been disclosed as an exceptional item for the quarter.

Likewise, profit after tax for nine

months ending December 2024 stood at 11.1% of revenue from operations as compared to 15.4% over the same period of previous year. The reduction is mainly on account of profit on sale of the PJMS or project house mobility solutions business in the previous year.

Bosch Limited takes immense pride in shaping the future of mobility, Indian mobility, through its advanced engineering solutions. The next generation electric vehicles powered by Bosch's Vehicle Control Unit and Accelerator-Pedal Module or APM mark a significant leap in, leap towards sustainable transportation. The PS Division has been successful in piloting of

knowledge search using GenAI for high pressure diesel pumps, simplifying access to product knowledge across its entire

lifecycle. By integrating both engineering and quality documentation, the tool provides a holistic view of the product's history and performance. The user-friendly tool ensures that the valuable insights are not just a query away regardless of the user's level of experience.

The two-wheeler division achieved a milestone as the iconic 350cc motorcycle models were assembled for the first time with Bosch's Engine Management System or EMS, marking a significant step towards their collaboration. Our R&D efforts remain focused on developing advanced engine control units to enhance vehicle performance. Meanwhile, the LSFmh ramp up at the Bidadi plant progress seamlessly, gearing up for successful implementation of OBD2 regulations with OEMs by April 2025.

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Bosch Limited showcased its innovative advancements for the future of the automotive sector at the Bharat Mobility Global Expo 2025, held from January 17 to 22. At the event, Bosch presented a range of advanced solutions, reaffirming its commitment to shaping India's mobility future. The showcase highlighted Bosch's ability to seamlessly integrate hardware and software, delivering end-to-end capabilities to meet the needs of an ever-evolving mobility landscape. These innovations were well received by customers, industry stakeholders, and the government bodies.

With these updates, I conclude my speech. Thank you for listening patiently. We will now address your queries. Feel free to ask your questions. Thank you.

Annamalai Jayaraj: Thank you, sir. We shall now begin the question- and-answer session. Participants who wish to ask your question, I request you to please raise your hand. Participants can also type in their questions in the chat box. We will wait for the moment as question queue assembles. The first question is from Pramod Amte. Please unmute and ask your question. I think he's unable to unmute. Sir, in the meantime, any update on this TREM-V implementation date, sir?

Guruprasad Mudlapur: No, we do not have any further updates on the implementation date. At least we have not heard of any further changes there.

Annamalai Jayaraj: So, as of now that 1st April 26, there is no change as of now, sir?

Guruprasad Mudlapur: Yes, that's where it remains. We have not heard of any further changes. If there is any update on that from the government, we will certainly let you know.

Annamalai Jayaraj: If anybody has any question, please raise your hand. Mr. Lakshmi Narayanan, you can unmute and ask your question.

Lakshmi Narayanan: This is Lakshmi Narayanan here. I think two questions I have. One is, I just want to understand, our employee cost has been elevated as a percentage of revenues. What band of employee cost as a percentage of revenue you normally targeted?

Karin Gilges: Okay, I would take this. So in the employment costs in this quarter, it's mainly coming out of we had a very good turnover in our service projects where we have the service projects is R&D projects with our customers. And therefore, you can see one portion which is going, for example, for testing into the

other expenses. And the other portions, these are the engineering costs, are going into the personal costs. So therefore, or due to the fact that we had in this quarter a lot, I think it was all over 27 projects which we have closed for this year, for the calendar year, we have over proportional bookings in the employee costs as well as in the other expenses. These are the counterparts of the income from services.

Lakshmi Narayanan: So, if you look at a steady state, where do you think these numbers should settle at?

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Karin Gilges: Well, in a steady state, of course, also depending on the product mix, we are seeing on the current product mix roughly 10%, I would say. It depends all the time a little bit on the product portfolio which we deliver in this month, 10% on the mid-run is normal figure. Currently we have a very good productivity also, so 8% to 10%.

Lakshmi Narayanan: And another question is pertaining to your rental income. Just want to understand the first nine months, what has been our rental income or income from rental properties and when compared to last year nine months, how is it?

Karin Gilges: Yes, so what we see in the rental received, we have mainly the Aduvodi of course, where we also offer office space to other group companies. And this is of course in accordance with the market prices, the rentals, they will be updated every year. And the rent received was more or less April-December '24 to April-December '23, marginally lower. But this depends how much of his demand do we have all the time. Sorry, it is slightly higher by 6.5%. Sorry, it's the other way around. We have a slight increase coming out of the yearly check, the rental rates that we rent it out to comparable market prices.

Lakshmi Narayanan: So, for last year, for the full year, you had almost 1,569 million. So, for the full year, and you

anticipated to be around 7% higher?

Karin Gilges: Yes, exactly. So, we could rent out some more offices. And in addition, the adjustment of the market prices for the rental fees.

Lakshmi Narayanan: And regarding this sale of the building technologies division, can you just tell me what is the profit contribution they have to the overall Bosch and what kind of cost associated and how does one look at it for the next financial year?

Guruprasad Mudlapur: It's a very small business. About the revenue that goes out is about Rs. 450 crores. We have how much? Rs. 400 crores approximately, that's the revenue that goes out. And the profit is also quite small, it's 6%.

Lakshmi Narayanan: So what kind of cost it would actually have so that just to understand whether the impact on our margins next year when this is actually gets re-based?

Guruprasad Mudlapur: About 6%. Margin is about 6%. It's not a major impact on our business operations in any way. My part of the business remains, a major part of that building technology in businesses is being sold.

Lakshmi Narayanan: Last question is a little long term. So, if you look at what we hear from the slowdown in Europe and we see that there is a movement of manufacturing from Europe, particular Germany to other parts, especially India. So how do you look at it and what has been any kind of capacity build up here actually making to utilize this opportunity for Bosch Global? And any thoughts on that?

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Guruprasad Mudlapur: Yes, I mean, this is something we constantly assess as you're probably well aware, the Bosch operates in what's called the International Production Network concept. India is well integrated into that the International Production Network and is fully visible in that network. We have full visibility of the rest of the Bosch International Production Network as well. We know what's happening globally in terms of slowdown, what is likely to happen as well. Not everything is

known, of course. Things are very dynamic as you have noticed in the last 2 weeks, also there has been a lot of changes. These are things we are watching constantly, and we are planning several scenarios. We continuously do that. And our manufacturing colleagues are constantly looking at several scenarios on how to keep looking at what could be the right strategies to shift or have manufacturing shifted to India or things which are moved either in the midterm, short term, long term into India for manufacturing here. So this is something that's constantly ongoing topic and we constantly assess this. So, to answer you, yes, this is something on our radar all the time and we do this assessment on a very regular basis, and we keep track of this very regularly.

Lakshmi Narayanan: My question is that as the velocity of these discussions or the intensity of these discussions have increased in the last 18 months or so and how do we think about it?

Guruprasad Mudlapur: Yes, I mean, this is at least for us, it's not something new. We've been having this discussion over the last several years already and they have only intensified for some companies in the last 18 months or two years, especially for some post COVID, but we've had these discussions for several years and we've had several relocation projects already ongoing. We continue to assess this on a very regular basis, see what makes sense, where does India have the right kind of base for either local manufacturing because the technology is also available here. The market is available here and we can locally manufacture and use it in India or locally manufacture, use it in India and export out of India. So, this is an assessment we constantly do. And then we take the next steps as we go forward. So like I said earlier, this is an assessment we do on a very regular basis and we keep updating this as part of our manufacturing strategy assessment all the time.

Annamalai Jayaraj: Thanks, Lakshmi Narayanan. Reminder to all the participants, anybody has a question, please raise your hand. Next, Mr. Pramod, you can unmute and ask your question. I think still he is having some problem. In the meantime, I'll take some questions from the chat box.

Pramod Amte: Can hear me?

Annamalai Jayaraj: Yes, now I can hear you. Okay, please go ahead.

Pramod Amte: Yes, thanks. Sorry for that. Sir, this is with regard to your gasoline engine portfolio, which you're showing in the Auto Expo. It's interesting to see more of gasoline products being displayed as compared to your strength in diesel. And also many of the manufacturers have displayed new products to be launched in the CNG and also in terms of flex fuel. Wanted to understand from you, what are the real challenges your customers face, which you resolve in this area of operations, one. And how does your content per vehicle change here for supply like Bosch?

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Guruprasad Mudlapur: Sorry, I don't know whether I understand the second part of your question. How does ...?

Pramod Amte: How does Bosch resolve some of the technical challenges these new fuels bring on board? And how does the content per vehicle, what supplies in the gasoline improve or change with these

new technologies or new fuels?

Guruprasad Mudlapur: I think it's hard to give a very generic answer on content for vehicle. I think if you are also at the Bharat Mobility show and you said you were, we've showcased our complete portfolio on gasoline injection as well. And that should have given you an overview. We have the full portfolio there as well and pretty good market share there too. So, yes, I think to answer your question, yes, there is more and more usage of this with our OEMs. A lot of them are going in this direction. And we continue to have more engagements with several OEMs, and this is increasing. Content per vehicle, of course, depends on several factors

depending on whether we

sell a system, whether we sell a component, whether we go just with an ECU, in some cases or another sensor or whatever. So, it actually depends on what we offer to the customer. So, it's very hard to say what exactly is the content per vehicle.

Pramod Amte: Thanks. And so, the second question is with regard to the aftermarket growth. It's good to see near double digit growth, almost like 8.8% in the first nine months versus your Company as the overall top line growth of just around 5%. Wanted to know what sub segments of this aftermarket are driving it, in the sense filters or lubricants. What are these drivers for this aftermarket one? Second, why is considering that rule of thumb after market is supposed to be a superior profit margin business? Why is not fully reflecting into your profitability or EBITDA margins?

Guruprasad Mudlapur: All segments of aftermarket have grown quite a bit, especially our diesel components, lubricants, filters, for OEMs and for exports, all segments have grown. We've had very good growth in our aftermarkets. And our margins have been very good with the aftermarkets like always. So, I

would say the aftermarket business has been doing well. Yes, so the aftermarket business, the margins have been very steady and very good.

Pramod Amte: Because you have hardly seen some 30 basis point improvement in margins considering the growth variation.

Guruprasad Mudlapur: Yes, it depends on the weighted average, right? So, it is the sales in that area. The auto market sales volume versus what we had, what we had in the other areas. So that's why you don't see that directly. You want to comment? Sales de-grew quite a bit. Our power solutions area degrew quite a bit and that's why you don't see direct contribution on the margins this time.

Karin Gilges: So, of course, the growth in the aftermarket is helping us all the time in the overall EBIT. And as Guru already mentioned, we had a good increase in the sales of diesel components, but we also make some exports in the filters and lubricants. Meanwhile, if we look at a quarter-to-quarter compared to the last year, we see in this quarter a slightly lower sales in the power train. Bosch Limited

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solutions. We see good sales in the two-wheeler business. And if you then have the overall mix, of course, then we are still having a good development also of our margins.

Annamalai Jayaraj: Thanks, Pramod. In the meantime, I'll go for some questions in the chat box. So, first question is, we have had a sharp improvement in gross margin by around 350 bps Q-on-Q. Could you please explain the reason for the same?

Karin Gilges: Can you repeat the question?

Annamalai Jayaraj: There is a sharp improvement in the gross margins by 350 bps Q-on-Q. Could you please explain the reason for the same?

Karin Gilges: First of all, of course, if you see the gross margin it is depending on one time on the product mix.

But what we also see is that we had a carryover effect of the RMI and ECI from the big customers. And in addition, of course, we are also working in the gross margins to make further improvement on the material cost side with our material ratio, with RPP measures, with engineering, etc. So it is not one single thing, it is a combination out of different measures.

Annamalai Jayaraj: Okay, so then there is a question. How does Bosch India plan to leverage its position in the automotive industry with the ongoing shift towards electric vehicles and the alternate fuel technologies like hydrogen? And also, there are some sub questions also on that. What are all the Bosch strategies for maintaining its position as the leading supplier of technology in the mobility sector, especially given the rapid technology advancements? And can you discuss some of the key innovations Bosch India is working on in terms of mobility solutions, particularly in

ularly in

areas like software development, hardware design, or hydrogen technology? And also, are we doing any work on hydrogen technology for global Bosch?

Guruprasad Mudlapur: I wish you were present at the Bharat Mobility Show. Whoever asked the question, we would have been able to share. I mean, we shared a lot of our technology demonstrators and products and our software and hardware. You would have had a first-hand look at what we had to show. So, it would have probably convinced you better rather than me orally telling you something now on the call. But let me try and answer you briefly. See, we've always been a Company which has invested globally 6% to 8% on R&D and that's been our core strength and that we continue

to do 6% to 8% of our sales on R&D I meant and that is what keeps our innovation engine going all the time and this is something which is core for Bosch as a technology Company . We do this very consistently and over many, many years. And this is what keeps us ahead of many other competitors and keeps us in a very, very strong position in the auto tier-1 space. And also makes us one of the most preferred partners for our OEMs. In terms of advanced auto technologies, some of which you named, be it hydrogen, be it electrification, and even within electrification topics like silicon carbide or other technologies which go there or today topics on artificial intelligence or others. So, we do these advanced investments and just to give you a number on fuel cell developments today we have invested maybe over two and a half billion euro in Europe . And on electrification over the last 10 -15 years, we've invested over 7-8 billion euro developing

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various products in this segment. So there has been a consistent track record of investments led development, which creates not just IP, but also a solid portfolio, which gives us a generational lead into products, technologies, and lots of advanced ability to go to customers and showcase and be a preferred partner to customers. So, this is what we do. And this is what we do in the context of being an advanced technology Company in the world. And we do the same also in the context of India. And where we leverage the strength of our parent by using platform developments which happen globally. We also use that in India. Sometimes we do local developments. Many times, we use developments which have happened globally, and we also use that to bring it into India. And then we also do totally local developments if it warrants locally. What is also unique in India is that we have a very big sister Company called Bosch Software Development Center, which BGSW which is about 25,000 engineers, which does a lot of software hardware and product development, which is one of the biggest software development companies for Bosch globally. And this does a lot of developments for us and helps us build advanced technologies for India, for the world, and also sitting out of here. So, in that sense, this has been part of our DNA. This is how it keeps us on the cutting edge, and this is what makes us unique. What is also unique in our context is that we are not just a design Company, we design to manufacture. We have a legacy of doing a lot of things which are highly manufacturable. So, we have an extremely strong design for manufacturing, and we do all our design strength into manufacturing. So, we have extremely good manufacturing capabilities and that's how we ensure that everything we design, develop and work with our OEMs is also very good with high quality, high volume manufacturing capabilities. So, this is the end -to-end manufacturing design led manufacturing capability of Bosch, which is what you see consistently over the last 130 plus years globally and in India already over 100 years now. I wish you were at the Bharat Mobility Show and there you could have seen flavor o

f this as well.

Karin Gilges: I would like to add and give you an also commercial perspective because in our purchasing organization, we have a dedicated group which are screening the Indian market for suppliers for the future, especially in the context of electrification and hydrogen. And this is not only in India for India, but we are working very close together with our German organization because what we are looking for the future is local for global as well. And therefore, we set up this a couple of years ago already this dedicated group and work from this perspective also on the topic.

Annamalai Jayaraj: Thanks for the detailed answer. And there were two questions on the same subject. So, what has led to sharp decline in consumer good margin this quarter? And where do we see the margins hitting going forward?

Karin Gilges: Yes, okay. The consumer good market, it is all the time a seasonal effect, and especially the consumer good market also at the calendar year. Dealers look at their inventories. We have all the time in December a quite low market, we can see this seasonal effect year -over-year. So therefore for the consumer goods, please have a look at the average and we don't worry that we will see in other quarters a very good take of our consumer goods.

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Annamalai Jayaraj: Okay and then there is a question on the Forex. What is the Forex rate for import during this quarter? And is Forex pass through to the OEMs ?

Karin Gilges: So, the exchange rate effects on the one side, of course, we are usually, as all other companies also doing a hedging. And in addition, yes, there are clauses in several contracts where we see where we have implemented this as well.

Annamalai Jayaraj: Okay. And then there is a question. So, you had previously mentioned that Bosch is looking at consolidating the automotive businesses in India. Is there any update on the same?

Guruprasad Mudlapur : Yes, I mean, I don't want to jump the gun on any information as sensitive as this. If there's any update, we will let you know when the news is allowed to be shared. So, till then, I can't share

such information.

Annamalai Jayaraj: Okay. Can you please explain the nature of the restructuring cost, and will this continue for coming quarters also?

Karin Gilges: Yes, okay. Thank you very much for this question. And we are looking forward of course, we have portfolio, we have more common rails, we have a very good plan, we have the plan to go further ahead with the productivity, etc. So, therefore, you have sometimes to make some adjustments. But this is not as a beginning of everything. So this is really we are looking now into the next year. We are looking forward to look at our product mix. We get new products in like the NO x sensor who has a comparable low value. And so, we look at the product mix. We look at our productivity, which we need to be competitive here in the market. And therefore, sometimes we have also to think about some adjustments.

Annamalai Jayaraj: There is a question on this building solution business. What is the rationale for divesting building solution business, and you indicated 6% margins. Is it a PAT margin or EBITDA margins?

Karin Gilges: This is the EBIT margin. And the first part of the question was the rationale. This is a product business, and therefore, we all the time also have to look at our portfolio and we have to manage our portfolio. And we have to see what is our core and what is our strategy. And we also therefore have to overall see the Bosch strategy.

Guruprasad Mudlapur: So just to add to that, this was something which was announced already some time ago as part of a global realignment. It's not something new that we're doing. It's part of an ongoing process.

It's realignment of our building technologies division globally and it's being carved out globally. And you may have seen

that the building technologies division globally has been sold to venture capitalist Triton, and this is an ongoing part of that sequence and in India, we are doing it to subsidiary of our parent who will then take it back to Triton.

Annamalai Jayaraj: Then there is a question on this OBD2B norms for two wheelers. What can be the content increase for Bosch on OBD2B for two wheelers?

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Guruprasad Mudlapur: I will have to get back on the exact number. So, I don't have the exact number here.

Annamalai Jayaraj: And I don't know whether there is a question on eAxle project, status of the eAxle project or do we see any demand from the OEMs?

Guruprasad Mudlapur: Yes, I don't know what do you mean with the status of the eAxle project because there are quite a lot of eAxle topics under discussion. So, we are talking about quite a lot of eAxle projects currently with several OEMs and since the projects are all under discussion with OEMs, I cannot be more open in a forum like this. But I can assure you that there are several projects under discussion.

Annamalai Jayaraj: Yes, I'll just run through the questions. Any missed out I'll just ask. There is a question on this after sales. So, what is the expected growth rate in FY26 for the after sales division or business?

Guruprasad Mudlapur: Yes, we typically expect between 8% to 10%.

Annamalai Jayaraj: Broadly, those are all the questions. Okay. No more questions. There's no more. Do you want to make any closing comments, sir?

Guruprasad Mudlapur: No, I think it's been a tough quarter overall. I think in my view, we've done reasonably well considering the environment and the circumstances. I would say thank you for your attention and your questions. We hope the upcoming quarter is a good one. In view of the cyclicity, we expect it to be a much better one. Thank you everyone, and let's look forward to a better quarter.

Annamalai Jayaraj: We thank all the participants and the management. Have a good day.

Karin Gilges: Thank you, bye bye.

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Call: Jun 2025

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June 02, 2025

Dear Sir/Madam,

Sub: Compliance under Regulation 30 and 46(2)(oa) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) regulations, 2015 - Disclosure of Transcript of the Investors' Concall

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith the transcript of the investors' call with Investors/Analysts held on May 29, 2025 .

This is for your Information and records.

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Yours faithfully,
for Bosch Limited,

V Srinivasan
Company Secretary & Compliance Officer

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"Bosch Limited
4Q FY '25 & FY '25 Post-Results Conference Call "
May 29 , 2025

MANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER –
BOSCH LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER –
BOSCH LIMITED
M
MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES .

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Annamalai Jayaraj: Ladies and gentlemen, good day, and welcome to Bosch Limited 4Q F Y '25 & FY '25 Post Results Conference Call hosted by B&K Securities.

From Bosch Limited management we have with us today Mr. Guruprasad Mudlapur, Managing Director and Chief Technology Officer; and Ms. Karin Gilges, Chief Financial Officer.

At this point , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation and opening remarks. Over to you, sir.

Guruprasad Mudlapur : Thank you and good morning, everyone. Thank you for joining us today.

I'll begin with an overview of the global and Indian macroeconomic landscape :

Global and domestic events are creating volatility due to trade issues, conflicts, and slowing economy. The UN has lowered its 2025 global growth forecast from 3.3% to 2.8% citing trade and geopolitical risks, talent scarcity, impact of AI on productivity are key themes in the global labour market currently.

Domestically, RBI's monetary policy and rate cuts will be significant, potentially boosting spending in the automotive and other markets. India is projected to remain the fastest growing economy with the RBI forecasting 6.2% to 6.5% growth for FY '26, driven by rural consumption. Service export should improve, and the government will maintain fiscal responsibility.

In closing, India has positioned itself as the fourth largest economy, a position we aim to maintain through 2025 as we strive for rapid and sustained growth. In Q4 FY '25, the Indian auto industry witnessed moderate growth, largely fueled by strong demand for SUVs, premium bikes and three wheelers. While passenger vehicle sales edged up slightly , small cars and sedans faced headwinds. The commercial vehicle segments presented a mixed picture with the electric and CNG models gaining traction. Two wheelers and tractors on the other hand, enjoyed a boost from new product launches, festive season sales , and supportive rural demand.

Despite challenges such as inflation and weak consumer sentiment, the industry remains optimistic, anticipating continued growth , driven by sustained demand for SUVs , the increasing popularity of CNG and electric vehicles, infrastructure projects and expansion of e -commerce and ongoing government initiatives.

This slide presents the Indian auto market 's performance trend, showcasing FY '2019 peak , the COVID-19 dip and the subsequent rebound. The data suggests that the passenger vehicles are expected to experience modest growth, primarily driven by the demand for SUVs , although this could be moderated by rising prices and a potential decline in first time buyers.

Commercial vehicles are predicted to see gradual growth supported by ongoing infrastructure development and the industries move towards cleaner fleet options within this segment. Bus demand is projected to rise while low tonnage LCV s may face increased competition from electric three wheelers.

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Tractors are expected to maintain strong growth momentum, benefiting from favorable rural conditions, positive weather patterns, improved farm economics and supportive government policies. Two wheelers are anticipated to experience a steady growth fueled by the recovery of the rural economy, increasing incomes and positive trends within the agricultural sector. Finally, the three-wheelers are projected to see a stable recovery with growth in both passenger and cargo segments, further bolstered by the rebound in export markets. Now, we will get into sector wise sales performance, quarter-on-quarter performance now: The mobility business demonstrated strong performance in January to March

'25, achieving

14.9% quarter-on-quarter growth compared to January-March 2024. This growth was primarily fueled by a 16.9% surge in the power solutions business, driven by increased demand for diesel components, particularly from the off-highway segment as well as for electronic control and vehicle control units.

A 7.9% expansion of the mobility aftermarket business attributable to high demand for diesel systems, especially from OEMs, filters, and spark plugs. A substantial 21.4% growth in the two-wheeler business, mainly due to the increased sales of exhaust gas sensors in anticipation of the OBD 2 norms implementation effective April 1st, 2025.

Complementing this, the consumer goods business also contributed positively, experiencing a 2.9% growth, driven by heightened demand for power tools such as grinders, drillers, and cutters. Now, comparing FY '24 versus FY '25:

The mobility business achieved a 7% growth in April to March '25 compared to April to March '24, mainly due to power solutions business which grew by 5.8% mainly due to higher sales of diesel components to off highway segment, electronic throttle body, injectors, and high-pressure pumps.

Mobility aftermarket business, which grew by 8.4% on account of higher demand for diesel systems, especially from OEMs and filters and batteries. The two wheeler business grew by 18.5%, mainly due to increase in exhaust gas sensor sales on account of OBD to ramp up by major two wheeler OEMs.

The consumer goods business grew by 6.3%, driven by higher demand for grinders, drillers, cutters, spares, and accessories.

The building technologies business grew by 8.2% as a greater number of orders for installation of public address and communication systems were executed.

Now we look at the key financial highlights:

Revenue from operation:

Quarter-on-quarter, revenue from operation stood at INR 49,106 million, which is a 16% increase quarter-on-quarter over January to March '24. FY '24 versus FY '25, likewise, we see revenue from operations in April-March '25 stood at INR 180,874 million, which is a growth of Bosch Limited

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8.1% over April-March '24. The growth in revenue was primarily driven by power solutions, mobility aftermarket, two-wheeler and power sports business.

EBITDA:

Now looking into January to March EBITDA. In January-March '25 was INR 6,469 million, which grew by 16.1% over the same quarter of the previous year. The improvement in EBITDA is mainly on account of higher revenue and reduced material cost.

Now, looking at FY '24 versus '25:

EBITDA:

EBITDA for FY '24-'25 was INR 23,097 million, which grew by 10.3% as compared to FY '23-'24. EBITDA as a percentage of total revenue improved from 12.5% in FY '23-'24 to 12.8% in FY '24-'25. The improvement in EBITDA margin is mainly driven by revenue growth, reduction in material cost, and budgetary control on expenses.

PAT:

The profit after tax stood at 11.3% of revenue from operations as compared to 3.3% over the same quarter of the previous year. The reduction in PAT is primarily due to removal of indexation benefit on long term capital gains from FY '24-'25 onwards. Likewise, profit after tax for FY '24-'25 stood at 11.1% of revenue from operations as compared to 14.9% FY '23-'24. FY '23-'24 had an exceptional item, namely profit on sale of project house mobility solutions business.

Now, we are proud to announce the inauguration of our Nox sensor Gen-3 line at our plant in

Bidadi . This marks a significant step in our clean mobility strategy, achieved in just 67 days through exceptional teamwork and technological innovation . This cutting -edge line featuring multi gas calibration and SCU software flashing not only enhances India 's role in our global value chain, but also prepares us for future product introductions.

The NOx sen

sor is already enabling cleaner emissions for Indian OEMs, and we are poised to serve global OEMs as well. With a series of production underway, we are scaling to a capacity of 2.1 million sensors per year by 2027. This is built for the future in India for the world. And we are excited about the opportunities this brings.

Bosch Limited is proud to have won the prestigious Confederation of Indian Industry Innovation Award ranking among the top 20 most innovative companies in India. Our sensor less quick shift innovation from our two-wheeler and power sports division has been recognized as a standout example of our commitment to leading edge technology. This award reflects our culture of creative innovation, a progressive spirit and relentless teamwork in the pursuit of excellence , and our commitment to creating value for riders and communities alike.

Bosch has expanded its tool offerings and tools for professionals and artisans, along with advanced industrial tools designed to simplify assembly buying operations. Professionals in

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power distribution, industrial maintenance and high voltage installations stand to benefit (Inaudible) 12:48.2.

Bosch Limited was awarded the Auto Ancillary Category at the Free Press Journal 's "Best Annual Reports Awards 2024" for its clarity, consistency and strong narrative , and depth of disclosure. The Company's annual report themed "Shifting Gears and Accelerating Forward" was recognized for reflecting how the company is embracing transformation while driving innovation and staying ahead of the curve.

I thank you for listening patiently through the call. We are now ready to address your questions.

Thank you.

Annamalai Jayaraj: Thank you, sir. We 'll now begin the question- and-answer session. The first question is from Pramod Amte, please unmute and ask your questions please.

Pramod Amte: Hi, morning. Thanks for taking my question. So, the first question is with regard to the Nox plant, interesting to see the quick execution coming through there. Wanted to know , does it qualify under PLI? And if so, what is the extent of benefit one?

Guruprasad Mudlapur: No, this plant does not qualify under PLI and we did not apply .

Pramod Amte: Sure, sir. Because new emissions also qualify for PLI, that 's where I was a little confused hence thought to check it out. Thank you, sir. And when will your PLI related plants will start coming up and you will start accounting in your financials ?

Karin Gilges : So, we are screening of course all the PLI schemes constantly. Currently , as already mentioned, this plant is not ready for the PLI, but we are screening all the time and we are in close contact to the legislations and rules and regulations.

Pramod Amte: Sure. Thanks. Related question is with regards to purchase goods. So, you seem to be walking the talk in terms of purchase goods easing off from the peak levels , for last three quarters they seem to have come under control and now almost on 40% of sales. What has helped you here and what is to come forward in the remaining quarters and where this cost will settle down , if you can give direction ?

Karin Gilges: So, purchase goods , I suppose you talk about the traded goods. What has helped us is our constantly work on the localization, and not only on the finished goods, but what we mentioned in the last quarter also that we strongly work on the localization of components , and whatever is possible in India . And you see here now also the first outcome that we make progress in relation between traded and manufacturing goods . Nevertheless, what is coming up new, of course, we first localize the finished goods and then we go step by step into the localization also of the components . Because if you localize everything immediately, we have high risk on our quality which we do not want to have. But here you can see the first o

utcome of program localization

of components as well as finish goods.

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Pramod Amte: Thanks. And the last question is with regard to the two -wheeler growth. You seem to be definitely out performing the industry. Have you won any new clients in OBD 2? Or how do you

look at it?

Guruprasad Mudlapur: Yes, We have continuously, I mean, we are more or less serving all the major OEMs in the two wheeler spectrum , and this we continue to do as we go along. So, I mean, I do not think we have any OEM who's not in our scope right now .

Pramod Amte: Sure. Thanks, and all the best.

Annamalai Jayaraj: A reminder to all the participants , anybody who wants to ask a question, please raise your hand. In the meantime, Sriram, you can unmute and ask your question.

Sriram: Sir, thank you for the opportunity. So, you know within the mobility space, what is the breakup between two wheeler passenger vehicle and CV? And then my second question is , we have other Bosch entities also which are unlisted, right , so for the EV business what will be our scope of work?

Karin Gilges: So, I will take up the first quarter, what we are not doing is that we do not have a segment reporting in this way. But we look at the automotive as the total.

Sriram: My second question?

Guruprasad Mudlapur: Yes, I think your second question is what two different Bosch group companies do. I think it's very obvious what they do. We have a company which is dealing with electronics outside of Bosch Limited. A large part of the electronics are positive business for us and they get supplied to us and then we take them to market . There is another company which is the chassis systems which deals with brakes which does direct breaking business to the market. So, these are the two big ones and there 's some smaller ones, but that's how it is . In terms of electrification , the eAxles, which are the largest components in the eAxle business, will stay within Bosch Limited and that's how it is.

Sriram: So, our scope of work is mainly eAxles, right?

Guruprasad Mudlapur: Yes, that's correct. And eAxle as a product includes everything.

Sriram: Okay. So, the motor controller and other parts , that will be sourced from electronics or how does it work.

Guruprasad Mudlapur: Yes. So , electronics will continue to get sourced, but as an eAxle , we will have the complete ownership at Bosch Limited.

Sriram: Okay , that helps. Thank you, sir.

Annamalai Jayaraj: Yes, I will go with some questions from the chat box. So , any update on Trump tariff specification implementation, sir?

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Guruprasad Mudlapur: Yes. So as far as we know , from the industry there is, I mean , from the government there is no change in the date of implementation, that stays as it is. We from our side are prepared to roll it out as soon as the dates are sort of confirmed . And as of now, we do not have any further information of any change of dates . Although it looks more and more certain that the current dates may not happen, so we are also crossing our fingers that rates do hold on and happen as planned .

Annamalai Jayaraj: Yes. Sir, one more question is on the exports. Considering the current volatility in the global markets , so do we see any more opportunity coming up for us?

Guruprasad Mudlapur: Yes, I will start and maybe Karin can add on. See, this is a very dynamic situation and all of you are as exposed to the dynamics as we are with regard to what is happening with tariffs and how things are changing on a daily, weekly basis. So, we are monitoring this very closely. And eventually what matters most is what is the landed cost and how is that making your benefit to the customer. And this is something we monitor within the Bosch Group and for our customers very closely.

With this said , there are opportunities co

ming up all the time and we will continue to capture those opportunities and enlarge on them. But there may also be some short -term uncertainties in terms of how this goes . And we hope in the coming months the tariff things are better settled. There are multiple FTAs on the cards for India. There is a trade deal likely with the EU and the US coming up . We just had a trade deal done with the UK. So, there are many of these things which are in the works . And we will have to look at all these things holistically and then see how the market abroad works. And then take calls on what is best in terms of landed cost for customers when we think of exports out of India. So, as we have said repeatedly, exports is a high priority for us , we certainly want to do more from India . And we will monitor this closely and continue to enhance on this. You want to add anything else ?

Karin Gilges: Yes. And as you mentioned before, the NOx line for example, the new one, here we have the new chance export business we have in the spark plugs, the export business and we see overall , also for the next year a slight increase in the export business. We also have injectors where we are on export already. So, overall , we will see for the next year a slight increase. Most important for us , as Guru mentioned is, we have everything in place also to be ready for export , process

wise as well as from the quality , and of course also most important is for us the competitiveness. But we will see a slight increase.

Annamalai Jayaraj: A reminder to the participants, you can raise your hands if you have a question. So, the next question is from Iqbal Khan, you can unmute and ask your question.

Iqbal Khan: Yes. Hi. So, congratulations for a very good set of results. Sir two questions , one on eAxe , which you just spoke about. So, for this eAxe , do you have orders in place from any of these OEMs? And if you can highlight more about this?

And second question, is, this quarter the sales performance that you have done , superb performance . And largely, I believe it is contributed by tractors, passenger cars and also the two-wheeler things. So, I mean, what I sense is, it would be because of the anticipation of this overdue
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norms . But do you think that going ahead would this be sustainable? I wanted to check the probability of how sustainable would this be going ahead. So, these are the two questions.

Guruprasad Mudlapur: Yes. So, on the eAxe , as I have said before, we are working with all the OEMs, talking to them, and looking at their platforms. We are in several stages of negotiation with different OEMs, and I cannot be more specific than that in a forum like this right now. As and when we close the commercials or we are ready to announce, we will certainly come back to you and update you on the deal closures. On the revenue, Karin?

Karin Gilges: So yes, we had a very good revenue this quarter, and you should also be aware that within this revenue we see across in the sales of our products . But we had have also closed in this quarter one big application service project which you can also see reflected in the other expenses, because the cost part of this revenue coming out of services or in this case a big project is reflected in the other expenses. Therefore , you see a higher percentage in the higher expenses also in this quarter. So therefore , it is a balance out of we close big project in this quarter, but we also had very good sales of our production.

Iqbal Khan: Thank you. That was helpful.

Annamalai Jayaraj: Welcome. Sir, I am reading out a question from the question box. So, this dividend, we have been increasing for the last two, three years , so what will be the dividend distribution policy?

Karin Gilges: So the dividend distribution policy, which we also publish on our home page, but perhaps to give

you a little bit more background regarding how do we look at the year and how do we want to appreciate also our shareholders. We had in the Financial Year '24-'25, we had really a very successful year . And as Guru already explained in the profit after tax , we had an exceptional item in the last year , so, therefore . But if you look at the EBIT and the profit before tax, you can see the performance of the company .

So therefore , if I look at or if we look at Bosch Limited overall, we had a very successful year , 8.1% revenue increase in the operations , EBIT growth from 10% to 10.7%. We have a stable or a good market outlook. So on the other side, we also know how the overall world market had a decreased in the shares in the market.

And looking into the future, we also see our balance sheet. We also have strong balance sheet, nearly debt free, substantial liquidity. So, we are in a very strong position to make the right investments, strategic investments in the future . And therefore , we decided we would like to appreciate our shareholders in this year . And therefore , this was then the decision that this should be also reflected in the dividend for our shareholders.

Annamalai Jayaraj: So, the next question is on the hydrogen engine , so we have been working with a major Indian OEM as hydrogen engines , so what are the current update?

Guruprasad Mudlapur: Yes. I mean, we have been working with almost all OEMs and also quite a lot of non-mobility players , and even ecosystem players on the hydrogen topic. And that work continues. There is still quite some things to do on the hydrogen ecosystem development , as you are all familiar. I think that work continues in terms of electrolyze developments, hydrogen generation

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possibilities , cost optimizations on hydrogen. Then distribution of hydrogen pumping and bringing hydrogen to the right level. So, all this work is still in the thought process or in the works. So, this is ongoing. And from our side , the technology is maturing, and we are offering our solutions and we are maturing our solutions together with our OEMs continuously. The work we do with our OEMs is quite advanced and that is going quite well is what I can say right now.

Annamalai Jayaraj: For the next two to three years, other than the industry growth, what will be our growth drivers?

Guruprasad Mudlapur: Yes. So, this we have said couple of times, I think we always aim to grow beyond the typical industry growth rates driven by primarily topics like premiumization which help us get into

advanced technologies which get introduced. Are there new trends that are coming in the market , either through regulation or through enhanced application of technology, t hat's something that we will continue to go further. We will continuously work with OEMs on successful introduction of new norms which h as been continuously happening. That's something we will work on .

Electrification, of course, is an area which is constantly on our focus and where we hope to have good breakthroughs in the coming years as well.

Annamalai Jayaraj: Have we received any new orders on e lectric two wheeler s or three w heelers?

Guruprasad Mudlapur: Electric two wheeler s, no, we have not received any new orders as such on e lectric two wheeler s. The current order book continues as is.

Annamalai Jayaraj: On three -wheeler, sir?

Guruprasad Mudlapur: So, if there's anything, we will certainly update you.

Annamalai Jayaraj: I think there are no more questions. Anybody has any question, please raise your hand or you can type in the chat box. There are no more questions, s ir. So, we thank all the participants. Do you want to make any closing comments, sir?

Guruprasad Mudlapur: No, I think I would just like to firstly thank everyone for the participation. That's one . And we have had a good quarter in my view. We

are looking forward to continuing this growth story and further keeping our growth momentum intact , while also maintaining consistent cost optimization s and the drive towards cost efficiencies and pressure on ourselves so that we are staying on top of the game . We want to enter as many new areas with customers as possible , and be the leading supplier t o OEMs and stay on top of the race . And this is the endeavor that we have and we continue to do that all the time. So , I can assure you that our path towards continuous improvement in the company will continue on a very, very steady pace as we go further.

Annamalai Jayaraj: Thanks, sir. We thank Bosch management for taking time out for the call. We thank all the participants. We can disconnect our lines.

NOTE: T his document is a transcript and may contain transcription errors. This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. While the transcript has been edited for clarity, the Company takes no responsibility for such errors.

Call: Aug 2025

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Dear Sir/Madam,
Sub: Compliance under Regulation 30 and 46(2)(oa) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) regulations, 2015- Disclosure of Transcript of the Investors' Concall
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript of the investors' call with Investors/Analysts held on August 5, 2025.
This is for your Information and records.

Thanking you,

Yours faithfully,
for Bosch Limited,

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National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G
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Mumbai – 400 051

Code:500530 Symbol: BOSCHLTD
August 07, 2025

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"Bosch Limited Q1 FY '26 Post Results Conference
Call"

August 05, 2025

M

ANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER , BOSCH
LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER ,
BOSCH LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

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Annamalai Jayaraj: Ladies and gentlemen, good day and welcome to Bosch Limited Q1 FY '25-26 Post Results Conference Call hosted by B & K Securities.

From Bosch Management we have with us today , Mr. Guru prasad Mudlapur - Managing Director and Chief Technology Officer ; Ms. Karin Gilges - Chief Financial Officer.

At this point, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the management presentation and opening remarks. Over to you , sir.

Guruprasad Mudlapur : Good evening, everyone and thank you for joining the call today. I will start with a briefing for you first and then we will get into Q&A.

In the last few months , we witnessed wars in various regions, prolonged US tariff discussions with its trade partners, growth disparity between developed markets and the emerging markets sort of compounded by persistent supply chain challenges.

The global landscapes are being redefined by BANII, it is a new term, Brittle, Anxious, Non-linear and Incomprehensible to some extent requiring new approaches at business level to navigate them. As global attention focuses on the final stage of the US -led trade tariffs and the decisions thereof, the IMF's July 2025 update now expects global growth of 3% in 2025 up from an earlier April forecast of 2.8% despite persistent uncertainties. India's resilience certainly stands out as the IMF upgraded its 2025 growth forecast to 6.4% reaffirming its role as a key engine of global expansion amid broader uncertainty.

In the last quarter , the RBI took a series of easing measures including consecutive repo rate cuts and a reduction in the cash reserve ratio aimed at boosting economic growth and improving liquidity conditions. With inflation easing and consumer price index at multi -year low in June, the RBI is expected to pause further rate cuts to assess their immediate impact on demand and credit. Monsoon performance will be key to growth in the coming quarters. Overall , domestic reforms and government spending on infrastructure are expected to continue with visions of Atmanirbhar Bharat especially against the backdrop of global trade tensions and geopolitical conflicts.

Next slide please. India's automotive industry has shown an upward trend in Q1 FY ' 26, particularly in tractors and three-wheelers , while passenger vehicles, two -wheelers and commercial vehicles have seen mild improvements , indicating a cautious market recovery.

Moderate growth was observed in passenger cars despite challenges from heavy monsoons, tight liquidity and geopolitical tensions with SUVs and CNG EV models starting to gain market momentum. Heavy commercial vehicles experienced positive growth due to pre -buying ahead of the mandatory air conditioning regulations mandated by the Ministry of Road Transport and Highways for cabins in medium and heavy duty trucks manufactured from October 1st, 2025.

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This pre -buying is driven by expectations of 1% -2% cost increase due to the new regulation.

The bus segment continues to thrive supported by the PM e -Bus Sewa scheme.

Light commercial vehicles witnessed a slight degrowth though passenger carriers remained

stable. Goods carriers suffered or faced challenges from a softening economy and competition from three-wheeler segment particularly in the low tonnage category. The three-wheeler segment performed well driven by domestic and export demand and achieved double digit growth particularly due to EV penetration in the last mile use cases. Tractors recorded robust growth due to timely sowing, favorable monsoon forecast, higher minimum support prices and improved farm liquidity supported by favorable volumes of Rabi output. While export demand is stable and electric two-wheelers are gaining momentum, domestic sales and producti

on were

impacted by Hero Moto Corp's plant maintenance shutdown.

Next slide please. In this slide, we have illustrated the market trajectory across FY '24-'25 and FY '26 forecast along with highlighting the volume peaks achieved for each segment. The automotive market ended on a positive note in FY '25 reaching an all-time high in passenger cars and sustaining the momentum in other categories. Passenger vehicles growth in FY '26 is expected to remain moderate impacted by high inventory levels and muted consumer demand for mini micro categories and potential component shortages for EV due to Chinese export restrictions, a key watch out for the remaining part of the financial year. New model launches may offer support to overall volumes. The overall commercial vehicle segment is projected to grow at moderate single digit owing to headwinds from evolving comfort norms. However, better financing, infrastructure revival, rural demand and fleet replacement trends will support the growth of this segment.

The tractor segment is projected to perform better this fiscal year supported by strong rural demand, a favorable monsoon forecast and rising minimum support prices for key crops. The two-wheeler growth in FY '26 is expected to reach an all-time high fuel by the upcoming festive season and an above normal monsoon that could boost rural incomes. While challenges like the new OBD 2 Phase-B emission norms, stricter safety norms and high base effect pose headwinds, the overall outlook remains optimistic. This optimism is supported by easing inflation, stronger rural sentiment and rising disposable incomes further boosted by tax rebates for individuals earning up to 12 lakhs and a cumulative 100 basis point rate cut together enhancing customer confidence and affordability. The three-wheeler market is poised for steady growth in FY '26 fuelled by increasing passenger demand, accelerating EV adoption and sustained last mile mobility solutions serving both urban and rural areas.

Next slide please. Quarter-on-quarter, the mobility business has grown by 14.3% in April-June 25 as compared to April-June 24 driven mainly by growth in power solutions business by 13.7% on account of higher demand for diesel components mainly from off-highway and passenger car segments. The mobility aftermarket business which grew at 5.2% on account of higher demand for filters, lubricants and wiper systems, significant growth in two-wheeler business was seen

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mainly on account of ramp up in sale of exhaust gas sensors due to implementation of OBD 2 norms from 1st of April 2025.

The consumer goods business grew by 9.3% driven by higher demand for tools and accessories. Building technologies business declined by 65.3% mainly due to the sale of Video Solutions and Access and Intrusion and Communication systems business. On a quarter-on-quarter basis, mobility business has grown by 5.2% in April-June 25 as compared to Jan-March 25 driven mainly from growth in power solutions business by 4.5% driven by increased demand resulting from higher volumes in passenger car and heavy commercial vehicle segments. Two-wheeler business also grew by 39.2% over the previous quarter due to increase in sale of exhaust gas sensors resulting from OBD 2 norms implementation from 1st of April 2025. The consumer goods business declined 20.3% due to seasonal impact. Building technologies business declined 64.7% mainly due to the sale of Video Solutions, Access and Intrusions and Communication systems business.

Overall, revenue from operations in April-June 25 stood at 47,886 million INR which grew by 10.9% over April-June 2024. The growth is driven by increase in sales in Power Solutions, Two-Wheeler Powersports, Mobility Aftermarket business and Consumer Goods business as seen in the previous slide. Overall revenue for April-June 25 declined by 2.5%

over Jan-March 25 while

power solutions and two-wheeler power sports business segments saw a growth. This was offset by reduction due to lesser sales in business technologies division resulting in sale of Video Solutions, Access and Intrusion and Communication systems business.

EBITDA in April-June 25 was 6,393 million INR which grew by 23% over the same quarter of the previous year. The improvement in EBITDA margin is mainly on account of growth in revenue and improvement in material cost. EBITDA in April-June 25 was 6,393 million INR which marginally declined by 1.2% over the sequential quarter. The decline in EBITDA is

mainly on account of lower sales in current quarter compared to the previous quarter. Profit after tax stood at 23.3% of revenue from operations as compared to 10.8% over the same quarter of previous year. The increase is on account of improved EBITDA margins and on account of profit on sale of Video Solutions, Access and Intrusions and Communication systems business which was recognized during the quarter.

Likewise, profit after tax for the quarter April -June 25 was 23.3% of revenue from operations as compared to 11.3% over sequential quarter. The increase is again due to recognition on profit on sale of Video Solutions, Access and Intrusions and Communication systems business. At the heart of electrification is Bosch Mobility providing key technologies like vehicle control units and electric coolant pumps. The VCU acts as the brain of the vehicle managing how it drives by adjusting torque and switching between all wheel and rear-wheel drive based on road conditions. The electric pump is configured to satisfy future battery cooling requirements during fast charging. In addition, it supports simultaneous cooling of two powerful e-axes.

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In the two-wheeler space, Bosch is powering multiple models while continuously improving the systems on offer to meet the market and regulatory requirements. New project acquisitions reinforce Bosch's commitment to delivering seamless engineering and manufacturing capability for India. With every rollout, we are moving one step closer to shaping the new era of mobility together in India.

Next slide, please. With these updates, I conclude my speech. Thank you for listening patiently.

We will now address your queries. Please feel free to ask your questions. Thank you.

Annamalai Jayaraj: Thank you, sir. We will now begin the question-and-answer session. The first question will be from Mr. Pramod Amte. Please unmute and ask your question.

Pramod Amte : Yes, hi. Thanks for taking my question. So this is with regard to the two-wheeler business.

Congrats for such a strong growth and a quick response to set up the capacity. I wanted to know, since the capacity came on board pretty fast, what is the extent of localizations you have been able to achieve there? And second, is it fair to assume now two-wheeler as a vertical is almost a double-digit contribution to revenue?

Karin Gilges : I pick first with regard to the two-wheeler business and for the strong growth, yes, you are right, we are seeing the strong growth. It is especially in the content and regarding the contribution, of course, two-wheeler is a very important contributor to our overall turnover in the Mobility, nevertheless, we do not give segmental numbers. Regarding localization, we were expecting because a lot of the content is coming out of the OBD 2 and therefore, we were prepared for this and this is localized and delivered from our Bidadi plant. And so we are happy to have the localization on board and we are more than happy to see now the ramp up in the two-wheeler business.

Pramod Amte : Thanks. And the second one is the purchase goods seems to be easing off and as you guys are also doing the localization for other components, wanted to know how are customers looking at

it? Do they allow you to keep the benefits with you majority or you feel the competitive intensity has changed now and you may have to pass on some of it to the customers?

Karin Gilges : I would answer the first part and this is regarding material costs. I think, yes, we are going ahead with the localization, but also, we have to see the product mix because it is depending on the material costs. We have another perspective and this is what we trade and what do we manufacture. And depending on the demand of the market, we see certain quarters where we have a higher part of the traded goods and we have quarters where we see a lower portion of traded goods. And in April -June 25, it was in favor of the manufactured goods. That means the demands from the customers were mainly out of all manufactured goods here in India and this is then, of course, also influencing the material cost. Nevertheless, you are right that we are going also ahead with the localization.

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Guruprasad Mudlapur : Just to add on the pricing that you asked, these are all based on customer contracts, so they vary and we do what is agreed with the customer.

Pramod Amte : Sure, thanks and all the best.

Annamalai Jayaraj: Thanks, Pramod. Mr. Chandrakant, you can unmute and ask your question. I think there is no response. Mr. Sriram, you can unmute and ask your question.

Sriram : Yes, two questions. Sorry. I have two questions. One is on the MoU between Bosch and Tata Electronics, how this will benefit the listed entity? And secondly, there is a note given in the quarterly financials regarding restructuring of the mobility business. If you can elaborate on this, that would be helpful? Thank you.

Guruprasad Mudlapur : I will take the first and Karin will help you with the second one. See, the MoU is between Bosch

Germany and Tata Electronics and the M oU period is for a year to explore potential cooperation opportunities in semiconductors and OSAT topics. So this is something we are exploring together with them and the M oU is actually between Bosch Germany and Tata Electronics. Right

now, there is no direct benefit out of this M oU. It is a very early stage exploration with Tata Electronics and the connection could be that once we are making progress and we are able to see some localization possibilities with semiconductors, we could see some benefits going forward. So this is an early exploration M oU with Tata Electronics.

Karin Gilges : Coming to the second part of the question , this was regarding the restructuring M obility business and this is , if we look from an angle from the commercial prudence and that we are looking forward to have a shift in the technologies. I give you an example, for example, also a TRAM 5 in the future going to a common rail and therefore we have to look all the time into our balance sheet and have to look at volume changes in product portfolio etc. , and then we have the principle of commercial prudence that we build up some provisions where we have it out of the calculations. So that is the background. Sriram : So just a follow -up on that, is there any plan to merge the sister entities with Bosch India?

Guruprasad Mudlapur : We have already made a statement on this towards SEBI. See, the thing is we continuously look at opportunities on what can be enhanced, what can be divested, what can be changed in our product portfolio and this is always an ongoing ordinary course of business for us. At this point of time, I would say there is nothing concrete in any form which is worth reporting even to the regulator or disclosing it beyond that. So as and when there is something, we will get back to you. But at this point, there is nothing to report.

Sriram : Thank you so much.

Annamalai Jayaraj: Thanks, Sriram. Mr. Chandrakant, you can unmute and ask your question.

Chandrakant : Yes, hello. Are you getting me?

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Annamalai Jayaraj: Yes, we could hear you.

Chandrakant : Yes, my question is regarding this hydrogen ecosystem for commercial vehicles. Our solution is ready, but where does the government stand in terms of the hydrogen refilling stations, etc. How long will it take to be a dominant business?

Guruprasad Mudlapur : I won 't put a precise date and timing on this. Hydrogen is in a very early phase right now. We are working with OEMs towards technology maturity exercise with various OEMs on getting the technology matured. As you can imagine, this also requires quite some development of the ecosystem, the generation of hydrogen, the distribution, pumping, storage, all those aspects to be sort of developed and installed on different or in different areas before we can see some commercial exploitation of this. So at this point of time, I would not go beyond that to give a very specific date because it maybe too early. Our focus is on maturing the technology and then I am sure similar things are happening with the ecosystem players on how they want to get the rest of the things aligned.

Chandrakant : Thank you, sir. My second question, which is a brief one. In your global report, you have been talking about electrification and electronification. In India, this electronification bit is outside the listed entity and then in global report again consolidation of mobility is considered. So can we expect something to happen on electronification in the listed entity ?

Guruprasad Mudlapur : See, I assume when you say electronification, you are referring to the electronics manufacturing that happens in our privately held company?

Chandrakant : Yes, for M obility.

Guruprasad Mudlapur : Yes. So all I can say is there was a very good reason why it was set up like this and the unit is more or less a contract manufacturer to us and supplies all electronics through the listed entity.

And at this point of time, I do not want to speculate any further changes and that is how it is. If there is any change in the structure or any change in the business operations, we will update you.

Chandrakant : Thank you, sir. Thank you for your clearances.

Annamalai Jayaraj: Thanks, Mr. Chandrakant. Anybody asks a question, please raise your hand. In the meantime, I will go through the Chatbox. There is a question on this Johnson Control unit acquisition. So can you please provide color on recent acquisition of Johnson Control unit, how this acquisition will integrate with Bosch India operations?

Guruprasad Mudlapur : Yes. So this Johnson Control s-Hitachi acquisition is again a global acquisition for Bosch. It is one of our biggest acquisitions so far. The portfolio is very complimentary to us in terms of the HVAC for residential and industrial applications. This comes in as a separate division, which is currently not within the listed company and it is expected to stay that way for now. And there is India operation of this, which is also going to remain that way for now. We will see how this

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develops and if there is any change on the portfolio or in the business operation, we will certainly update you.

Annamalai Jayaraj: Sir, next question is on this, from the annual report, what we have specified in the annual report, they have re-quoted. I will just read that. Starting in 2025, Bosch Power Solutions India will lead the powertrain and vehicle technology business for the commercial vehicle segment. As regulatory frameworks evolve, particularly in areas like ADAS and braking, Power Solutions will spearhead the adoption of technologies in electrification, steering, braking systems and advanced driver assistance for the Indian market. So the question is whether we will be involved in this powertrain, braking and all those things?

Guruprasad Mudlapur: Yes, for the commercial vehicles, yes. It doesn't

mean that all activities will happen. The business ownership will happen for the commercial vehicles area through the listed entity. Power Solutions will take that.

Annamalai Jayaraj: And the next question is, in your presentation, we spoke about VCU for EV. Is it manufactured by the Bosch listed entity or by the sister concern and traded now?

Guruprasad Mudlapur: It is, all electronics, as I have said before, is manufactured by our sister entity, which specializes in electronic manufacturing and operates more or less as a contract manufacturer for the listed entity. And that is how it is currently. And the sale of the VCU happens through the listed entity.

Annamalai Jayaraj: We will go to the Q&A box. Somebody raised their hand. Mr. Balasubramanian, you can unmute and ask your question. Mr. Balasubramanian? I think he is still not there. I will go through the Chatbox, sir. We are growing at 40% quarter-on-quarter in two-wheeler segment due to new projects. How long do we expect this high growth to continue? Will volumes scale gradually or its volume will stabilize after initial ramp-up this year?

Guruprasad Mudlapur: The volumes will stabilize after ramp up.

Annamalai Jayaraj: And then there is a question on the overseas market. Is the worst over for the auto market in Europe?

Guruprasad Mudlapur: Sorry, can you repeat again?

Annamalai Jayaraj: No, in the Europe market, is the worst over for the auto segment in Europe? That was the question.

Guruprasad Mudlapur: I would not say that the worst is over. As you know, the global economy and we talked about it also in my first slide. Most of the advanced economies are either stagnant, not growing or growing very slowly. And that is the trend in most of these advanced economies and thereby the auto sales are also quite muted in these geographies. And I believe at this point of time, we will see very muted growth in these economies.

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Annamalai Jayaraj: Then there is a question on this rare earth magnet issue. So how does it impact Bosch and in your view, how it will impact the OEMs?

Karin Gilges: So we can answer of course for Bosch. Overall, we see the rare earth topic is not only in India, not only singular suppliers like Bosch, but it is an overall topic. Therefore, of course, fastly after we got the information that this is happening, we have implemented a task force here in India and also implemented a task force for Bosch Global where we from India are part of. So therefore, we have screened all our material numbers, we have set the applications, we get strong support from our parent company, not only from Robert Bosch China to place the applications into the right channels, but also from the overall Bosch Global Task Force where we have a good overview over the whole Bosch Group. Where are inventories? How are the material flow? What can we do? So, therefore, of course, we see an impact. We see inventory coverage until end of August. We are working on several options. We are not going only for one option to reduce the risk as much as possible. For the OEM itself, of course, I cannot make here a statement. I can only give you our view as Bosch Limited in India.

Annamalai Jayaraj: Then there is a question on this divestment now. The recent divestment of the building technologies, Video Solutions, Access and Communication system business suggests business focus realignment. What is Bosch approach to portfolio management and what criteria determine which businesses to retain, grow, divest or merge?

Guruprasad Mudlapur: So it is a very interesting question on portfolio management and I will give you our group stance globally. We want to be in the top 3 in every segment we operate. Of course, that is not always possible in all segments, but in most of the core segments that we operate, we want to be in the top 3. And our effort and ende

avor is always to ensure that that happens. And as a consequence of that, we are constantly evaluating all our portfolio to see how to ensure that we have growth in these portfolio segments and we are able to add value and be a dominant player. So based on this, certain portfolio actions are taken and one of them was the building technologies area of Video Solutions, Access and Communication systems, where we realized that significant additional investment, a lot of IP and a lot of change dynamics are required to make this into a

top performer, which we believed at that point of time was not in our focus. So that was the reason we decided to hive off. And the reasons could be different for other portfolio decisions and I can't comment on that, but this was how it was felt. But that is the general principle of how we look at portfolio choices.

Annamalai Jayaraj: Then there is a question on EV, sir. So Indian market is moving in two-wheelers and three-wheelers more towards EV. So how does Bosch plan to capitalize on emerging EV trends in India? What are your strategic priorities to maintain and expand market share in this evolving sector?

Guruprasad Mudlapur : See, we are a dominant technology supplier in the EV space worldwide. And even in a very highly competitive market like China, Bosch is an extremely strong supplier of EV technologies to several OEMs in China and we are quite dominant there. We have a portfolio which ranges
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from two-wheeler electrification all the way up to heavy commercial vehicle electrification and we offer that to all OEMs globally. It is also the same endeavor for us in India to remain a dominant player and offer these technology solutions to all our OEMs locally and this is what we are doing. We hope to have some, we are in good discussions with several OEMs on electrification projects right now and we hope to have some good news in the coming months.

Annamalai Jayaraj: I will just try again. Mr. Balasubramanian, you can unmute and ask your question. I think he is still. He is not able to. I will just go through the question by Chatbox again. Any opportunities Bosch working on ADAS? What is the outlook on this?

Guruprasad Mudlapur : Yes. So Bosch is working on ADAS for a long time globally. We are also supplying ADAS solutions globally to multiple OEMs and we see good opportunities for this. Currently, the portfolio does not belong under Bosch Limited. It is with our sister company outside of Bosch Limited. But we see a good opportunity for ADAS as we go forward and this is something that currently there is quite a lot of work happening outside of Bosch Limited.

Annamalai Jayaraj: Then there is a question on exports. Export business outlook for Bosch Limited both on near term and medium term perspective, any major new product line opportunities in the coming years and any target for export in the medium term?

Karin Gilges : Yes. Thank you very much for this question. So we showed you already that we have implemented the new NOx line in the Bidadi plant where we are currently in the ramp up and where we have also a certain volume on export on the line in the future. So we see a growth in the export business and we also, of course, pitch wherever possible. But please be aware that in the end, we have to be competitive in the land costs. That means logistics, etc., has to be then competitive with the European plant, with the US plant, etc. But yes, we are looking also permanently into our opportunities here wherever we have volumes free and where we can produce more. We pitch in the global network also for export volumes.

Annamalai Jayaraj: Also, the question was any target in mind in the medium term?

Karin Gilges : Well, you cannot say in these volatile times where you also see the technology transfer, it is, you cannot say I have this or that target. For us, it is, of course, in g

eneral, a target we would like to

fill up our lines and whatever is left besides the Indian market, we would like to place in the international production network. Nevertheless, focus number one is the Indian market and the Indian OEMs.

Guruprasad Mudlapur : Yes, maybe another generic statement that continuously increasing our exports is one of our targets. I can put it that way.

Annamalai Jayaraj: Then Mr. Laxminarayan is in line. Please unmute and ask your question.

Laxminarayan : Yes, two questions. One is on the export side, which are the lines of businesses where as Bosch India, we are competitive. Can you be specific on which business, whether it is for commercial
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vehicle or this is for the direct injection or is this for the tractors? That is my first question.

Second question is that how are you looking at the emission norms changes that are coming up, especially in the tractor segment? How soon it is coming and what would actually, how are our OEMs planning for this? And the third, in terms of your localization plan, when you had this, when you took over as the Bosch MD a couple of years back, from the target point of view, which you set for yourself and for the firm, where are we? Have we met the target? Have we exceeded the target? What are the targets you have set for yourself? Thank you.

Karin Gilges : I would start with the export. So it is not black and white because we have lines where we are, of course, competitive, but there is no demand in Europe currently. We also have to see this. I can give you some very good examples where we export, this is the NOx sensor, this is a spark plug, this is the certain injectors where we deliver volumes to Europe. But besides the

competitiveness, and we are increasing our competitiveness here in India because we have a very good productivity increase, etc., quality. We got, again, several awards for our plants here. But besides this, there has to be a demand also in Europe. So therefore, it is not black and white. I can only give you quite successful examples where we permanently deliver also into other markets.

Guruprasad Mudlapur : Maybe just to add to that statement . Normally , the competitiveness is based on landed cost at the OEM or in that location. So we may be competitive locally because of certain things, but logistics may not make it competitive towards a landed cost in that location. So there are multiple factors and multiple elements which come in. So it is not one simple straightforward answer.

Every product category has to be looked at uniquely to assess whether the landed cost at the customer makes sense, and then how do we take that discussion forward.

Karin Gilges : But perhaps to give you a little bit more idea, another very good example where we took over for the so -called Zexel Pumps , all volumes and all the whole portfolio from Japan, we are producing it in our plant in Jaipur, and we are exporting this now to Japan. That means we are now the single source for these pumps for the Japanese customers.

Laxminarayan : The other two questions in terms of emission norms in tractors and localization?

Guruprasad Mudlapur : Yes. Tractor emission norms, as you know, TRAM 5 is sort of on hold right now, and we will see as and when that changes, we will update you. In terms of localization, see, when I took over and we sort of communicated that the intent is to continuously increase our localization content, we are very much on track with that. And as you can see also from our efforts and results, we are continuously increasing our localization content. It is not a switch on, switch off kind of a situation where overnight we can say we change everything. And there are multiple other dynamics that play out in the market in geopolitics, tariffs, many other things. So a lot of these things are elements which get factored into making a localization decision.

If it is pure India for India, I think it is much easier to handle. But if the volumes have to go beyond India, then we will have to factor multiple other things. But we are on plan and we will continuously increase localization.

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Annamalai Jayaraj: Thank you. Due to lack of time, that was the last question. Do you want to make any closing comments, sir?

Guruprasad Mudlapur : No, I think we have had a very good year and a very good quarter under the prevailing difficult circumstances. And I believe that we are on a good track also as we go forward. And we look forward to a more stabilized business environment . Although I talked of BANI as a concept, but we look forward to a more stabilized business environment with a little more certainty on tariffs and how things pan out and of course, also on geopolitics. Let us hope that we continue our growth track as it is right now. Thank you, everyone.

Annamalai Jayaraj: On behalf of B & K Securities, we thank all the participants for joining the call. And special thanks to Bosch Management for taking time out for the call. Have a good day.

Karin Gilges : Thank you.

Guruprasad Mudlapur : Thank you, everyone. Bye -bye.

NOTE: This document is a transcript and may contain transcription errors. This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. While the transcript has been edited for clarity, the Company takes no responsibility for such errors.

Call: Nov 2025

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Dear Sir/Madam,
Sub: Compliance under Regulation 30 and 46(2)(oa) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) regulations, 2015- Transcript of the Investors' Concall
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript of the investors' call with Investors/Analysts held on November 11, 2025 .
This is for your Information and records.

Thanking you,

Yours faithfully,
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Code:500530 Symbol: BOSCHLTD
November 13 , 2025

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“Bosch Limited 2Q FY'25 -26 Process Conference Call”

November 11, 2025

M

ANAGEMENT : MR. GURUPRASAD MUDLAPUR - MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER , BOSCH
LIMITED

MS. KARIN GILGES - CHIEF FINANCIAL OFFICER ,
BOSCH LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

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Annamalai Jayaraj: Ladies and gentlemen, good day and welcome to Bosch Limited 2Q FY'25-26 process conference call hosted by B&K Securities.

From Bosch management , we have with us today Mr. Guruprasad Mudlapur, Managing Director and Chief Technology Officer ; Ms. Karin Gilges, Chief Financial Officer.

At this point , all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the management presentation and opening remarks.

Over to you, sir.

Guruprasad Mudlapur : Thank you, good evening everyone and thank you for being part of this call. Today , I will begin with a brief on the global and Indian macroeconomics. This will be followed by an automotive market update, after which we will walk you through our financials. Finally, we will conclude with key business highlights for the quarter.

The global stage sets clear challenges from tariff pressures to geopolitical unrest influencing market sentiments worldwide. However, the Indian economy is demonstrating powerful resilience supported by strategic policy measures and anticipated consumption growth with

slight concerns on fiscal slippages. Last quarter has unfolded as a quarter of contrast with mild global optimism tempered by financial concerns at home. The IMF lifted its 2025 global GDP forecast to 3.2 % citing robust US and Indian momentum even as growth elsewhere lagged. The

Fed's 25 basis point rate cut and softer US 10- year yield of 3.95% reinforced the soft landing narrative which eases concerns globally to some extent. Close at home, India delivered a stellar Q1 FY' 26 GDP of 7.8% prompting the RBI to maintain rates at 5.5 % while turning mildly dovish over lower inflation estimates. However, weaker tax inflows and elevated CAPEX spending kept fiscal discipline in focus even as liquidity oscillated. Strong festive spending on back of GST cuts is expected to assist robust tax collections in the coming months. We are confident in our ability to navigate these cross -currents, optimizing our operations to capture growth from India's buoyant domestic demand, particularly within the auto sector and deliver consistent value.

The Indian auto industry saw steady growth across all segments this quarter, healthy demand for passenger vehicles, particularly SUVs and EVs, strong rural interest for two-wheelers and consistent commercial vehicle sales all contributed. Notably, the September GST reforms significantly boosted affordability and pre -festive buying. The July- September quarter for Indian passenger vehicles began slowly, marked by cautious supply and weak buyer sentiment awaiting GST reforms. However, tax cuts and festive demand in the late September triggered a sharp rebound, predominantly driven by SUV sales, as smaller cars and sedan segments remained under pressure.

The commercial vehicle segment delivered a robust and steady performance this quarter, driven by stable production, strong infrastructure projects and improved financing. Lower GST rates

and overall sector optimism further bolstered momentum ahead of the festive season. This

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quarter saw a strong growth in LCV sales as well, primarily driven by the GST 2.0 rollout, the festive season and sustained demand for the e -commerce segment. The three-wheeler segment

recorded record production levels this quarter, driven by robust demand, early festive momentum and sustained by strong urban mobility and last mile delivery demands. The tractor segment recorded strong growth, fuelled by above normal monsoons, a robust Kharif harvest and stable policy rates. Improved rural cash flows, healthy sowing, easier credit and GST revisions further bolstered demand and affordability. The two-wheeler market experienced steady growth, burned by a good monsoon, strong rural demand and festive sentiment.

ent. Late

September's GST rate revision further bolstered affordability, triggering pent-up purchases.

In this slide, we have illustrated the market's trajectory across FY '24, FY '25 and FY '26, along with highlighting the volume peaks achieved for each segment. The passenger car's growth is projected to reach an all-time high in FY '26. This surge is expected from new model launches

and a proposed GST overhaul, which is anticipated to reduce prices for almost one-third of the industry by 8.5%, significantly boosting affordability and demand, especially during the festive season. The commercial vehicle segment anticipates gradual growth in FY '26. Demand will be bolstered by sustained infrastructure development and replacement needs for older vehicles. While LCVs benefit from economic activity and e-commerce, medium and heavy commercial vehicles are poised for a gradual recovery, supported by policy, seasonal demand and stable freight.

The tractor market is projected to reach an all-time high, fuelled by strong rural sentiment, favorable monsoon forecasts, GST norms, and rising minimum support prices for key crops.

Demand is expected to remain buoyant, even post-festive season, driven by these GST reforms.

The two-wheeler segment is projected to reach an all-time high, driven by steady replacement demand and a robust urban consumption revival. Healthy rural incomes from a normal monsoon, along with recent GST rate cuts, will boost affordability and purchases. Easing inflation, improving rural sentiment and rising disposable incomes, further strengthened by individual tax rebates, are set to fuel strong consumer confidence and demand. The three-wheeler segment in India is poised for steady growth in FY26, supported by goods transport and passenger services. GST rate reductions and festive season incentives are expected to enhance affordability, while accelerating EV adoption is driving a shift towards cleaner mobility. With rising passenger volumes and expanding last mile connectivity solutions across both urban and rural areas, the segment is set for sustained momentum throughout the year.

Now, segment-wise sales performance, quarter-on-quarter, the mobility business has grown by 11.9% in July to September 25, as compared to July to September 24, driven mainly from the power solutions business, which grew by 9.5% on account of higher demand for diesel components, mainly from passenger car and off-highway segment. The mobility aftermarket recorded a growth of 3.7%, driven by diesel and filter systems. GST 2.0 had an impact on mobility aftermarket turnover in Q2, due to liquidation of existing stocks by the dealers. Sales are expected to regain momentum again in Q3. Two-wheeler business grew by 81.8%, mainly on account of high sale of exhaust gas sensors, resulting from implementation of OBD-2 norms

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starting 1st of April 2025. The consumer goods business grew marginally by 1.8%. The mobility business has grown by 13.1% in April to September 25, as compared to April to September 24, driven mainly from the power solutions business, which grew by 11.5% on account of higher demand for diesel components, mainly from off-highway and passenger car segments. The mobility aftermarket business grew 4.5%, despite lesser sales in Q2 FY 2025-26, resulting from GST rate cuts. The increase is mainly coming from growth in diesel components and filter systems.

As already seen in quarter-on-quarter growth, the two-wheeler business has grown significantly due to ramp up in sale of exhaust sensors, resulting from OBD-2 norms implementation from 1st of April 2025. The consumer goods business grew by 5.4%. The growth is contributed by new launches in entry and mid-price segment product segments, measuring tools and outdoor garden equipment. Quarter-on-quarter, revenue from operations in July to September 2025 stood

at 47,948 million INR, which grew by 9.1% over July to September 2024. The growth was driven mainly by higher sales in power solutions and two-wheeler power sports segments as seen from the previous slide.

Likewise, the revenue for the period April-September 2025 grew by 10% over April-September 2024 from 87,111 million INR to 95,834 million INR. This growth was driven by strong performance in power solutions and two-wheeler and power sports segments. EBITDA for July-September 2025 was 6,171 million INR, which grew by 10.1% over the same quarter of previous year. This improvement in EBITDA margin was primarily driven on account of favorable product mix and optimization of expenses. EBITDA for the period April-September 2025 was

12,564 million INR as compared to 10,802 million INR in April -September 2024, which grew by 16.3 %. The increase in EBITDA is on account of growth in revenue accompanied by lower material cost. The profit after tax for July -September 2025 grew by 3.4 % over the same quarter of previous year. July-September 2024 had an exceptional item through the profit on sale of OE Diagnostics business of 485 million INR. The profit after tax without this exceptional item in July-September 2024 quarter has grown by 11. 2%. The profit after tax for six months ending on September 2025 stood at 16,696 million INR, which is a growth of 66.7 % over the same period of previous year. The significant growth impact is mainly due to the profit on sale of the video solutions, access and intrusion and communication systems business and building technology segment.

I will now walk you through key highlights in each of our business divisions this quarter :

In the power (Blank Audio) 13:00 to 13:08 and the industry for our outstanding performance , this quarter we received prestigious awards for excellence in on -time delivery and supply reliability and for our pioneering innovation in hydrogen internal combustion engine technology. This consistent recognition underscores our commitment to quality and leadership. Furthermore, this quarter marks the 25th anniversary of our Technical Centre India, TCI, a testament to our enduring commitment to innovation.

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Moving into the two-wheeler and power sports segment, this quarter we truly redefined gear shifting technology:

Our sensor -less quick shift technology made its debut in the Indian market, marking yet another step towards delivering smoother, smarter and more efficient mobility solutions. And here is something we are really proud of, a first for India. The TVS Ntorq 150 with Bosch's Lambda sensor realized in our Bidadi plant. Our collaboration with TVS helped to redefine the system further and the positive feedback we received from Bajaj Tech Day paved the way for its successful deployment in the Bajaj Pulsar NS400Z. Adding to our achievements this quarter, Bosch was honored with Hero MotoCorp's prestigious Hero Premium Leader Award, recognizing our commitment to excellence and partnership.

In the mobility aftermarket division:

We are anticipating strong momentum recovery post GST 2.0 transition next quarter. Our strategy is clear, we are actively leveraging our robust portfolio strengths, maintaining strict cost discipline and focusing on margin stability. Crucially, we are expanding our product portfolio aligned with market demands. In the power tools division, our new product launches are driving this expansion, particularly in special categories like hand tools and outdoor garden where we have seen impressive market traction. Further boosting performance, our e -channel delivered high double -digit growth, thanks to the successful festive offers, affirming our strong digital strategy and customer reach.

Finally, strategic cordless 2.0 initiatives are accelerating and accelerating the adoption of advanced cordless technology through effective tactical i

nterventions, solidifying our position in power tools innovation.

Thank you all for your contribution and for listening patiently through the call. We will now address your queries. Thank you and we are open for questions.

Annamalai Jayaraj: Thank you, sir. We shall now begin the question and answer session. The first question is from Pramod Amte. Please unmute and ask your question.

Pramod Amte: Hi, thanks for the opportunity. So, while I check on this consumer division even though it is relatively smaller for you? What is leading to such a slow growth day one? And whereas the profit damages seems to be much severe, where profits have come down from Rs. 40 crores to Rs. 12 crores. Is it more one -off or you feel you need to take some major action to bring it back?

Guruprasad Mudlapur

: Okay, if I understand right, the question was on the consumer goods business which grew marginally. So, I think there has been a slightly lower than expected growth in our consumer goods business. We do not see this as anything structural internally. We have an extremely good product mix and a product range. We see a reduction mainly on account of adverse exchange rate moments resulting in slightly higher material cost. We also see again a little bit of initial

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slowdown on account of GST reforms and then now after that ramp up again. So, we do not see this as a major dip and we should see this picking up again moving forward.

Pramod Amte: And second one is with regard to the automotive, even though the sales traction has definitely improved, there is still a lot of wobbliness in terms of purchase goods. How to see it is one ? And second, there seems to be better participation now in the four -wheeler EV side. Is it a time to

call out how the EV penetration is improving automotive for you or you feel it's too early?

Karin Gilges : I would answer first to the part of the material cost. So, yes, you are fully right. We have improved in the material cost. So, one reason is we had a favorable product mix and we could also the share of manufacturing goods was quite good in this quarter. That means our strategy of further localization is now coming through and this is then finally resulting that we made a good progress in the material costs.

Guruprasad Mudlapur : On the EV, yes, I think we made steady progress and we will soon update you on some of the bigger updates that we have in terms of business opportunities. But at this point of time, I can assure you that the progress has been steady and we are moving towards a better business in the EV side. The margin pressure will remain. It is a tough entry business right now. But we will see how to make this better as we go along.

Pramod Amte: Sure. Thanks and all the best .

Annamalai Jayaraj: Next, Mr. Pramod Kumar, you can unmute and ask your question.

Pramod Kumar: Thanks, Jagat sir. My first question is regarding the ABS for two wheelers. If you can just help us understand at the group level, how are we positioned on the ABS bit and also what is your expectation on the ABS mandate? Apparently, today there's an important meeting in Delhi to discuss this mandate. And what we pick up from media is that the government is not very keen to kind of relate significantly. So if you have broad thoughts on the industry level preparedness to comply with such a norm and what could be the time for complete localization of the entire capacity. So if you can just help us understand that at the macro level, sir?

Guruprasad Mudlapur

: Yes. So as you're probably aware, our sister company is one of the market leaders in ABS for two-wheelers and we do quite a lot. We are not, I mean, the two-wheeler division sells it for us.

In terms of capacities, we are very well prepared to handle the increased demand that's likely to come out of changes in legislation. On the legislation itself and on the t

hinking, we will leave it

open for the right authorities to decide. And we'll only hope that it comes out good for the industry and for the users as well. So right now, I do not want to get into a speculation on which way the mandate will go. But if the mandate gets implemented as in the draft, we are very well prepared to handle that.

Pramod Kumar: Good to hear that, sir. My next two questions are on the non-ferrite motors and on hybrid systems. On non-ferrite motors, some of your competitors have also talked about breakthroughs
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on the non-ferrite motors. Just want to understand Bosch Group's preparedness on the same. And at the same time, the last question is hybrid systems on the passenger vehicle side. We are seeing more and more pull for hybrids in the marketplace. And even players who were earlier not very keen on doing hybrids, talking about extensive launch pipeline or foray into the technology. So given your dominant position in Europe, if you can just help us understand how are we placed in the Indian context ? Any existing relations that we have on the hybrid systems or the pipeline, if you can just share some broad thinking there, sir.

Guruprasad Mudlapur : Yes. So on non-ferrite motors or motors without air magnets, there are multiple options here.

We are currently exploring all options. And we're working. We have certain non-heavy rare earth magnet motors already prepared for the Indian market. But of course, we will also look at non-ferrous magnets as well as we go forward. So this is currently a work in progress for us. And there is a good feeling that we will have something ready very soon. On hybrids, our position is quite clear. We have a lot of technology for the hybrid segment. We offer this to several OEMs globally. And we are very open to doing that in the Indian market as well. And we are in discussion with all the OEMs locally.

Pramod Kumar: And sir before I go, any update on Xperia? Because it seems to be fixing itself the issue. Any update you want to provide there?

Guruprasad Mudlapur

: Yes, I mean, it's still a little tentative. But at this point of time, as you've probably read in the newspapers and many other reports, the issue is resolving well. And we hope to have a good resolution on this. And this applies to be back to normal. But at this point of time, we would like to play it very cautiously because it's still touch and go in terms of supplies. So we need to play it very cautiously.

Pramod Kumar: Thanks a lot, sir. I wish you all the best. Thank you.

Annamalai Jayaraj: Thanks, Pramod. In the meantime, I'll read some questions from the chat box. So first question is, what will be the growth levers for both automotive and the consumer segments going forward?

Guruprasad Mudlapur

: Okay, so we've discussed this several times in the past. This is a pretty generic question in that sense. In the auto, we've largely been led so far by growth in, I mean, growth due to legislations. I think we're moving from that phase into growth based on features and comfort and many other

factors, safety, for example. So this is something that's an ongoing exercise for us. Content per vehicle will increase. Of course, electrification is an area. Additional clean fuels, hybrid, hydrogen, flex fuels, these are all new areas where we are likely to see growth. And we are very positive about the growth opportunities. In addition to general volume increase, which is expected to be on a very good track now that the GST reforms also help us in a positive way. On the consumer side, I think the large amount of demand has always been due to the excellent growth in infrastructure activities in India. And both construction and mining and many other

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activities have contributed significantly to demand in our consumer goods division. And power tools growth

with in this context has continuously increased. And we hope to keep this momentum as we go forward.

Annamalai Jayaraj: Okay sir. The next question is, what are the regulatory norms which we could see impact in the short to medium term for us?

Karin Gilges: So perhaps in the norm, what was, of course, a very important norm for us was from 1st of April onwards, we have the OPD -2. But we also see in the very good growth in the two-wheeler, we expect this is going ahead for the next two quarters and then it is normalized. Let's say this was a very important implementation for us. And, of course, Guru, perhaps TREM V, you would like to add.

Guruprasad Mudlapur: TREM V is something which is on the horizon for quite a while. So let's hope that, that comes through. I think in terms of other push, it could be electrification. Growth in electrification is anyway on the cards, not necessarily regulation related, but due to clean mobility kind of a requirement. So there we see some additional growth coming in.

Annamalai Jayaraj: And next question is, with CAFÉ norms coming up, is there any further improvement expected on GDI technology?

Guruprasad Mudlapur: Yes. I mean, the GDI technology is quite mature already and fully compliant with the norm.

Annamalai Jayaraj: I think the question is whether we expect more traction on GDI with CAFÉ norms coming up.

Guruprasad Mudlapur: Yes, sure. I think that's a trajectory that will continue. I think not just CAFÉ norms, performance, clean emissions, all put together, GDI is a good track to be on.

Annamalai Jayaraj: Next question is on the exports. On the exports, are we witnessing any traction now? And in between, we shifted some lines also. So any more traction on exports?

Guruprasad Mudlapur: At this point of time, I would again be a bit cautious on exports. There is a lot happening in the geopolitical space, also connected to tariffs, landed costs and so on. So we are assessing the situation. Our commitment to increase exports in the long run still is very much valid. We want to do that. But at this point of time, we need to watch this space very cautiously on how this overall situation plays out and how competitive we will be from India towards exports to various geographies. Of course, tariffs directly impact US, but there are other geographies which are relevant for us too. So we will look at this carefully and continue to work on it.

Annamalai Jayaraj: Next question is from Senthil Manikandan. Please unmute and ask your question.

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Senthil Manikandan: Good evening, sir. The first question is on your answer to the growth levers, so where you mentioned that the growth will come more from the future led and safety comfort led. So if you can provide further details in terms of where Bosch is looking to play in these areas?

Guruprasad Mudlapur: Yes, I mean, we have, see, the overall trajectory of how mobility shifts gives a broad idea for you on how the path will be for additional content per vehicle. And there we see new technologies coming in, new feature additions happening, a lot of changes happening in vehicle technologies. And in addition to the topics we normally have on changes in emission norms, there is more focus by the consumer on safety and of course, on personalization. So all these play a role and there is certainly an improved, increased content per vehicle from a tier I on account of that. And that's the focus for additional growth opportunities.

Senthil Manikandan: Okay. Any particular component or products do you want to highlight in these areas?

Guruprasad Mudlapur: No, not really. I want to highlight something specifically now. We are working on a wide range of technologies around this and we are in discussion on many of these with OEMs.

Senthil Manikandan: Second question is on the electric two-wheelers. So now we have seen the market has

been

consolidated among the top four players. If you can just throw some insight in terms of how Bosch is being positioned among the top four players and how we are looking at the growth from the e-two-wheeler side?

Guruprasad Mudlapur: So on the electric two-wheelers, we are working with a couple of the bigger two-wheeler makers.

Currently, it's largely the scooter segment that's on and we are supplying our components to them. And we will continue to engage with all two-wheeler makers and support them and provide our components on full range to all of them.

Senthil Manikandan: Okay sir. So last question is on the hydrogen ice engine. If you can share some timeline and the progress that being made on the hydrogen ice ?

Guruprasad Mudlapur : So see this, I think we've said this in the past as well. This is currently a sort of a technology maturity phase. The pilot vehicles with our technology are built and OEMs are testing the vehicles. Now, either in the labs or on the road in different cases. And this is the current phase of this. And for hydrogen technology to be actually implemented in the field, there is a lot more than vehicle technology alone, which matters. You also need the ecosystem to develop the generation at the right price and then distribution to happen. And we expect between 8% to 15% market penetration by around 2030. So that's the sort of expectation we have on hydrogen in heavy commercial vehicle segments.

Senthil Manikandan: Just related to that, how do you see the adoption of LNG in the heavy commercial vehicles?

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Guruprasad Mudlapur : Yes, I think you have the numbers. I don't have the numbers off the top of my mind right now, but we can provide you the numbers.

Senthil Manikandan: Okay, sir. Thank you.

Annamalai Jayaraj: Sir, I can go in the question chat box. So, now already government is, I mean, to some extent working on this flux engines. Many OEMs are also talking about it. So, are we associated with OEMs or the flux engines?

Guruprasad Mudlapur : Yes, I mean, we work with OEMs on all technology options, including this. So, we certainly are working with OEMs.

Annamalai Jayaraj: I think, no more questions, sir. Yes , no more questions in the chat box, sir. So, on behalf of B& K Securities, we thank all the participants for joining the call. And special thanks to Bosch Management for taking time out for the call and giving us the opportunity to host the call. Have a good day.

Guruprasad Mudlapur : Thank you.

Karin Gilges: Thank you. Bye -bye.

NOTE: This document is a transcript and may contain transcription errors. This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. While the transcript has been edited for clarity, the Company takes no responsibility for such errors.

Call: Feb 2026

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February 11, 2026

Dear Sir/Madam,
Sub: Compliance under Regulation 30 and 46(2)(oa) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) regulations, 2015- Disclosure of Transcript of the Investors' Concall Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript of the investors' call with Investors/Analysts held on February 09, 2026.

This is for your Information and records.

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Yours faithfully,
for Bosch Limited,

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"Bosch Limited
3Q FY '25 -'26 Post Results Conference Call "
February 09, 2026

MANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER –
BOSCH LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER –
BOSCH LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

Bosch Limited
February 09, 2026

Annamalai Jayaraj: Ladies and gentlemen, good day, and welcome to Bosch Limited 3Q FY '25 -'26 Post Results Conference Call hosted by B&K Securities. From Bosch management, we have with us today Mr. Guruprasad Mudlapur, Managing Director and Chief Technology Officer; Ms. Karin Gilges, Chief Financial Officer. At this point, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the management presentation and opening remarks. Over to you, sir.

Guruprasad Mudlapur: Okay. Thank you, and good afternoon, everyone, and welcome to our Q3 FY '26 earnings conference call. We'll begin today with the macroeconomic overview, followed by an update on the automotive market. From there, I'll walk you through the financial performance for the quarter and conclude with key business highlights. We will then open the call for a Q&A session. The global economy is adjusting to a landscape reshaped by geopolitical events and realignments in the trade relationships among countries. There was tempering of higher tariffs in a few cases due to which subsequent resets -- due to subsequent resets in deals. However, the overall business environment remains volatile.

As for International Monetary Fund, the global growth is projected to slow down from 3.2% in 2025 to 3.1% in 2026. Closer home, the Indian economy continues to demonstrate powerful resilience and showcases higher growth compared to its peers.

IMF has revised upwards its estimate of India's GDP growth in the current financial year 2025, '26 to 7.3% from its earlier prediction of 6.6%, attributed to resilient domestic demand and easing inflation. India also benefits from tailwinds to be gained from the now agreed FTA with the EU

and the handshake on the trade deal with U.S. and other regions, including Australia, U.K. and New Zealand.

With the RBI maintaining a stable 5.25% repo rate, we see continued strength in domestic demand across the Passenger and Commercial Vehicle segments, especially with the expectation of transmission of earlier rate cuts by RBI.

The Union budget 2026-'27 presented earlier this month sends a strong and reassuring signal of policy continuity and intent for India's manufacturing-led growth and is set to maintain the automotive industry's growth momentum through key measures like extension of basic customs duty exemptions on lithium-ion cell components for batteries, launch of the India Semiconductor Mission 2.0, support for mineral-rich states of Odisha, Kerala, Andhra Pradesh and Tamil Nadu to establish dedicated Rare Earth Corridors to promote mining, processing, research and manufacturing and continued investment in infrastructure, including a new freight corridor. Building on these supportive policy tailwinds, we are confident that the automotive and other supporting industries growth outlook remains robust.

Next Slide, please. India's automotive production remained robust in the October-December quarter, driven by broad-based strength across Passenger Vehicles, 2-wheelers and Commercial segments as OEMs ramped up output to meet domestic and export demand. Higher festive

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demand, rural market recovery and improved supply chain conditions supported manufacturing activity across most vehicles categories.

Production momentum was further bolstered by policy tailwinds, including GST rationalization, festive season and new model launches. This productive phase highlighted the sector's resilience and manufacturing competitiveness through the third quarter. After a subdued start, the passenger vehicle market recovered sharply to finish 2025 on a strong note.

This turnaround was driven by supportive government policies, including GST rationalization, the tax relief, which subsequently improved consumer sentiment and

showroom traffic. SUVs

spearheaded this recovery with demand spurred by attractive discounts and seasonal buying ahead of anticipated price hikes.

The Heavy Commercial Vehicle production recorded steady growth, driven by robust infrastructure demand, strong freight movement and continued momentum from GST 2.0, festive demand, the government fleet orders and ongoing road construction and mining activity.

The bus segment showed notable traction driven by school, intercity, institutional transport orders alongside steady fleet additions by state and private operators. The outlook remains strong. The demand expected to be further bolstered by ongoing government capex and fleet replacement cycles.

The LCV production remained robust, fueled by GST rationalization and a visible revival in demand following GST 2.0. The fleet continues to benefit significantly from growth of e-commerce, which drives high demand for last-mile delivery and urban logistics. This positive momentum was sustained through the end of the year, reflected in rising fleet utilization and increased short-haul flight activity.

The 3-wheeler segment saw a sharp production increase driven by strong demand for both urban mobility and last mile delivery -- cargo delivery during the festive season, supported by favorable government policies, OEMs ramped up production to meet this demand, allowing the segment to maintain healthy momentum through the end of the period. Tractor production showed strong momentum, supported by healthy rabi sowing activity and carryover liquidity from a robust kharif harvest, which improved farmer confidence and cash flows. Improved water availability and healthy reservoir levels further aided demand.

Supportive government measures, including lower GST on tractors and state-level subsidies enhanced affordability, while rising mechanization and steady non-agricultural demand from construction and haulage provided additional support. With positive rural sentiment, the tractor market remains well positioned to sustain its growth.

The 2-Wheeler production was moderate in October as OEMs adjusted output following earlier inventory buildup. Production picked up in November and December as manufacturer ramped up output to meet festive and pre-wedding -- wedding season demand, a recovery that was supported by favorable GST reductions.

Bosch Limited

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Next slide, please. Looking ahead to fiscal year 2026, we anticipate a period of steady and robust growth for Indian automotive industry. The outlook is very positive as we expect 3 of the core segments, the Passenger Cars, Tractors and 2-Wheelers to achieve all-time high production levels. This growth is broad-based, underpinned by strong economic fundamentals and supportive policies.

In Passenger Vehicles, we expect strong -- we expect record performance driven by improved affordability, thanks to easing interest rates and favorable GST reforms, which will stimulate strong consumer demand. The Commercial Vehicle segment is poised for healthy growth fueled by sustained infrastructure spending and continued expansion of e-commerce logistics. We expect LCV sub-segment to be a standout performer, achieving its all-time high levels. The Tractor business is also projected to hit a record, supported by strong rural sentiment, GST norms and ongoing state subsidies. And finally, the 2-Wheeler segment is set to scale a new peak. This will be driven by a powerful combination of improving rural sentiment, rising disposable incomes, improved affordability and recent GST cuts and tax rebates for individuals earning up to INR12 lakhs, boosting consumer confidence.

Next slide, please. Now I'm going to go through the sector-wise sales performance. Quarter-on-quarter, the Mobility business has shown 18.5% in October, December 2025 as compared to October, December 2024, driven mainly from the Power

er Solutions business, which grew by

19.5%, mainly on account of growth in Passenger Cars and Off-highway segments.

The mobility aftermarket recorded a growth of 5.3%, mainly on account of GST reforms, strong growth in OE segment and growth across key product groups of diesel, wipers and braking systems. The 2-Wheeler business grew by 58.3%, mainly on account of higher sale of exhaust gas sensors due to ramp-up for OBD-II norms implementation from 1st April 2025.

The Consumer Goods business declined marginally by 3.1%. The Mobility business has grown by 14.9% in April, December 2025 as compared to April, December '24, driven mainly from the Power Solutions business, which grew by 14.1%, mainly on account of growth in Commercial Vehicles and Off-highway segments.

The Mobility Aftermarket business grew 4.8%, mainly on account of sustained momentum across key product categories, including diesel, wipers, braking systems and filters. This overall

growth was further reinforced by robust momentum in the OE segment. As already seen in quarter-on-quarter growth, the 2-Wheeler business has grown significantly due to the ramp-up of exhaust sensors resulting from OBD-II norms implementation from April 1, 2025. The Consumer Goods business grew by 2.8%. The growth is attributed to new launches in entry-level mid-price point segment, measuring tools and outdoor garden equipments.

Next slide, please. Quarter-on-quarter, revenue from operations in October, December '25 stood at INR48,856 million, which grew by 9.4% over October, December 2024. The growth was driven mainly by higher sales in Power Solutions and 2-Wheeler powersports segments as seen in the previous slide. Likewise, revenue from -- revenue for the period April, December 2025 grew by 9.8% over April, December '24 from INR 1,31,768 million to INR 1,44,690 million.

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This growth was driven -- also driven by strong performance in Power Solutions and 2-Wheeler powersports segments. The EBITDA for October, December '25 was INR 6,124 million, which grew by 5.1% over the same quarter of the previous year. The improvement in EBITDA margin was primarily driven on account of favorable product mix and optimization of expenses. The EBITDA for period April, December '25 was INR 18,688 million as compared to INR 16,628 million in April, December 2024, which grew by 12.4%.

The increase in EBITDA is on account of growth in revenue accompanied by favorable product mix. The profit after tax for October, December '25 grew by 16.1% over the same quarter of previous year. October, December 2024 had an exceptional item which you all know. The growth in profit after -- PAT -- growth in profit after tax without this exceptional item in October, December quarter comes to 5.3%.

The profit after tax for 9 months ending December 2025 stood at INR22,017 million, which is a growth of 50.8% over the same period of previous year. The significant growth in PAT is mainly due to the profit on sale of the Video solutions, Access and Intrusion and Communication systems business under the Building Technologies segment.

Next slide, please. I now walk you through key highlights for each of our business divisions this quarter. The Power Solutions division delivered strong growth this quarter on the back of broad-based growth across all segments with exceptional performance in Tractor and Heavy Commercial Vehicle segments, boosted by successful rollout of GST 2.0.

In a significant achievement that underscores Bosch's leadership in operational excellence, our Bidadi plant was recently awarded at the prestigious National CII SCALE Awards 2025 for digital excellence and innovation in logistics for developing an integrated autonomous digital ecosystem that automates our entire logistics value stream, setting a new industry benchmark. Further at the CI KAIZEN Awards 2025, the plant secured the

Champions Trophy and the

Challenger's Trophy for developing low-cost solutions in productivity by improving overall equipment effectiveness in assembly lines and quality improvement by human error prevention to reduce internal and external complaints.

Turning now to our Two-Wheeler & Powersports. Our strategy is centered on providing advanced technology that empowers our OEMs to enhance end user experience. Our solutions truly shown this past year, playing a key role in the successful launch of new vehicles by several well-known 2-wheeler OEMs.

The launch of new TVS Apache RTX 300 powered by advanced Bosch systems marked a significant new chapter for the iconic Apache brand. In addition, we further demonstrated our role as a key technology partner with the launch of the Harley X440 T, which deeply integrates Bosch powertrain and safety systems along with our high value-added features.

These partnerships underscore the trust the major global brands place in our technology to deliver performance and safety.

Beyond these launches, we continue to shape the future of

Mobility by developing next-generation technology.

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Building on successful production ramp-up of OBD-II requirements, 2025 became a landmark year for our mini-heated lambda sensors, allowing us to achieve new significant sales milestones for the product line. True to our By riders, for riders' philosophy, we showcased our latest innovations at the EICMA 2025 event in Italy, demonstrating our unwavering commitment to creating value for both our partners and the end user.

The Mobility Aftermarket began with a temporary sales impact from the GST 2.0 implementation in October, but we saw a strong rebound shortly thereafter. This recovery was supported by a synchronized upturn in the automotive sector, which was itself driven by festive seasonal demand, GST reduction and improved consumer confidence. The primary driver of our performance was the original equipment or the OE/OES block, which effectively leveraged these favorable market conditions.

In addition to the strong results in the OE block, we also saw healthy growth across other core product groups. Specifically, our diesel systems, wiper systems and braking systems all contributed positively to the quarter's performance.

For our Power Tools division, the last -- past year was one of navigating a challenging market characterized by intense price pressure, particularly from competitors in China. This resulted in moderate growth for the division in both our quarterly and year-to-date results. However, on the product front, our Cordless segment continued its impressive trajectory, achieving double-digit growth for the fourth successive year.

In addition, successful new product launches were significant contributors to our overall sales performance. This product success is amplified by our market expansion efforts. We have significantly broadened our reach, expanding our dealer network to over 1,800 partners, which gives us a footprint of 25,000 retail points across more than 1,600 cities.

A key part of our market expansion is the standard line, a product range developed for artisans in India, offering Bosch quality at an accessible price point. To facilitate this, we have established a new distribution network with over 100 distributors. In addition, we successfully launched the Hand Tools as a new business segment. This initiative demonstrates strong market acceptance, achieving INR100 million in revenues within the first year.

Next slide, yes. Thank you for all your contribution and for listening patiently through the call.

We will now address your queries. Thank you, and open for questions, please.

Moderator: We will now begin the question-and-answer session. The first question is from Mr. Pramod Amthe.

Pramod Amthe: So the first question is with regard to the capex. You alluded s

aying that many of your user segment may hit historic high volumes. So in that context, are you relooking at your capacities and also the capex requirement for the FY '27-'28?

Guruprasad Mudlapur: Okay. Karin, do you want to take that?

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Karin Gilges: Yes. It's my pleasure. Yes, you are, of course, fully right. In every cycle or this is an ongoing process in our company that we check the forwarding volumes predicted by the customers and by the market. We look at our technical capabilities and capacities and then we adjust our investments in accordance. So golden rule within Bosch, we all the time have some buffer left. And as soon as we drive into the buffer, we release the next capex for extension.

Pramod Amthe: So would you call out the numbers, what it can be next year, the after compared to this year?

Karin Gilges: We are currently under -- or in consideration, and we do not want to give a guidance.

Pramod Amthe: The second question is with regard to the India EU deal. I wanted to check your thought process in terms of, first, the imported components? Because in terms of purchased goods, there's a large chunk which comes from parent. What is the understanding with the clients usually when duties drop in such cases, usually it's a pass-through to the client, one? And second, what are the medium-term opportunities you look at exporting from India to global markets and whatever duties there for such products in the current state?

Karin Gilges: Yes. Perhaps the first part of your question, which is regarding imports. So we are importing mainly components from the parent. And it's also an ongoing process of localization. So this year, we have -- in '25, we have localized NOx sensor component for the common rails. We are going ahead with more localization for the common rail products. We will go ahead in the perspective of also local the NOx sensor. So this is a permanent review whenever commercially feasible, we are doing the localization.

Your second part is in regards of the exports. We have increased already our export volume for

the spark plugs in 2025, and we expect also further good development of volumes in the spark plugs and in components for the common rail products. We also expect an increasing export volumes in sensors, NOx sensors. And what we have relocated in the last, let's say, 1.5 years was pumps from Japan to India. So we deliver these pumps also back to India -- sorry, back to Japan and Korea.

Guruprasad Mudlapur: So maybe just to add, I think we should keep in mind that the FT is just signed, and we are extremely positive about what it is likely to bring in the mid and long term for India and of course, also for our operations in India. So there, we are very, very positive. The fine print, as you know, needs to be studied in detail and the impact of what happens and how we can benefit from that is currently under study, and we are looking into every aspect of how we can benefit from this.

Pramod Amthe: But would you call out what is your current import duty rates?

Guruprasad Mudlapur: Do you have the numbers Karin. I think we'll have to get back to you on that.

Karin Gilges: Yes, exactly.

Moderator: Mr. Mayur can unmute and ask your question.

Mayur: I hope I'm audible clearly.

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Guruprasad Mudlapur: Yes, you are.

Mayur: So actually, over the last couple of quarters now, we have our -- this is a question more on the profitability and margins. We have stabilized in the region of around 13% plus/minus. What I wanted to understand is we are having a very strong tailwind across our portfolio. The CV industry is on an up cycle. The tractor is doing phenomenal.

We have OBD -II on the 2 -wheelers. The Passenger Vehicle outlook is strong. Despite so much of operating leverage and despite localization, why is it that we are

not seeing a movement on

the margins despite the growth coming and the narrative on the localization and other aspects ?

Guruprasad Mudlapur: You want to take it, Karin?

Karin Gilges: I take this question. So if -- yes, if you look at the overall result for the last 3 years, then of course, we had a tailwind with the growth, which helped us. But we also did a lot of cost improvement and localization. So you see the EBIT is -- or profit after tax is going up.

So we are improving also the margins. Nevertheless, we also, of course, have to consider a certain product mix, which the market demands. And therefore, you sometimes see a growth, but please also consider that we have to look at the product mix itself.

The second thing is, but this was for this quarter and was already mentioned that we had already, again, a very strong quarter with a very good 10.5% EBIT. And we also did already the first provision for the New Labour Code. So therefore, product mix going forward, further localization working on the costs or on the structural costs also together with the growth, we see a good margin development.

Mayur: So you believe that over the next 3 to 4 years, we should -- the margins should start picking up or should be meaningfully different as it directionally when compared to current margins?

Karin Gilges: Well, I would not give a guidance for the next 3 and 4 years. I only can show you what we have delivered in the last 3 years. And then you can see in which cycles of margin improvement we are.

Mayur: So because it was quite for last almost 8 to 9 quarters, look, I'm talking more from an EBITDA margin. I understand you talk about EBIT margin from -- more or less nothing much difference was coming. I understand 2 years, we are comparing from around -- there is a 100 basis point movement.

But given the tailwinds which we have, I was just thinking that shouldn't the operating leverage also now play out over the last 3, 4 quarters. Any specific product mix you want to call out, which is lower than our average margins, just as a qualitative understanding so that we are able to track the developments?

Karin Gilges: So look, it is the margin is, of course, if you have -- if new products are coming in, we are usually starting this -- we first bring the finished goods into the market, then we start the assembly and

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testing. Then if this is stabilized, we start with the localization. That means with every new product coming into India and coming into the market, we start a new localization round.

So therefore, yes, the tractor is good. The tractor is stable. But of course, we have also the common rail. We have now the new exhaust gas components. And with this we are following

the localization path also. But this is the product mix in the tactical cycles, which we introduce into the market.

There is no specific product. It is more technology is developing. And we are following the technology path, and we are following with the localization. And with more localization, of course, you have then the improvement in the margins as well.

Mayur: Okay. Last question from my side is, from your vantage point and your discussion with the OEMs, is there any incremental discussion and development around TREM V possibility. We are in February '26.

So just wanted to have your understanding while there are certain things in the domain, public domain and understanding, but what is your understanding of the implementation, how gradual, where we are, and anything you want to -- if you can give your insights on that?

Guruprasad Mudlapur: Yes. I mean, maybe I can answer that. At least at this point of time, there is no visibility of a precise date of TREM V implementation. So things are still quite open as far as we know with our discussions with the OEMs.

Moderator: Hitesh Sharma, you can unmute and ask your question. Hit

esh Sharma? Anyhow we will go the next caller. Mr. Nikhil Rao you can unmute and ask your question.

Nikhil Rao: Hello. Can you hear me now?

Moderator: Yes, yes, yes.

Nikhil Rao: I just wanted to check what is the Bosch plan for the EV 4-wheeler vehicles in India? What sort of car components you are targeting to supply?

Guruprasad Mudlapur: Okay. So maybe this is a very broad question, and this -- we need to distinguish also from the portfolio of Bosch Limited versus the portfolio of Bosch Group in general. Of course, from the Bosch Group, a lot of components go into a car, into an electric car as well.

So that continues. From the portfolio of Bosch Limited, we will strongly aim to begin in e-axles and that would be the biggest component that comes into an electric vehicle. So we are in advanced discussions with several OEMs. And as we go forward in the coming quarters, we will let you know the exact nature of these things.

Nikhil Rao: Which component, you said?

Guruprasad Mudlapur: E-axles. E-axles is by far, value-wise, it's the largest value component which goes into an electric vehicle, apart from, of course, batteries and other things, which the OEMs make themselves.

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Nikhil Rao: You don't see -- right now, you are not supplying anything any OEM right now?

Guruprasad Mudlapur: We are supplying -- in India, we are not supplying e-axles to any OEM right now. We will -- we are in advanced discussions on several projects with OEMs, and we will come out in the open soon. The other components we are supplying are chargers or DC/DC converters, power electronics basically, that's going from our electronics unit.

Unknown Analyst: Can I go ahead?

Guruprasad Mudlapur: Yes, please.

Unknown Analyst: So could you help us understand how demand from the Commercial Vehicle segment is shaping up for Bosch? And roughly how much of your CV offtake is currently driven by the replacement demand.

Guruprasad Mudlapur: Yes. So as I mentioned in my initial talk and I explained the slides, the Commercial Vehicle demand both for HCV and LCVs has been very robust in the last quarters. And it's connected to, in our view, a good demand following the GST 2.0 changes and of course, increased offtake on government fleet orders and ongoing activities around construction and mining. We expect -- and of course, the LCV demand has also been quite robust, and this is primarily connected to last mile delivery, urban logistics and in-city transportation and so on or short-haul delivery activities. But this also remains very, very robust at this point of time. Based on the trends of what the budget came up with right now.

And also our talks with the HCV and LCV manufacturers or OEMs, we see that this trend is likely to continue. And we expect strong infrastructure activity to continue and further in line with the GDP growth, we also expect HCV and LCV activity to be strong in the coming quarters.

Unknown Analyst: Okay. And are you seeing good traction from the replacement side as well, right?

Guruprasad Mudlapur: Yes, yes.

Unknown Analyst: Okay. And are you also seeing an increase in your content per vehicle contribution or like a more favorable product mix with CVs?

Guruprasad Mudlapur: Yes. So there are, of course, technology additions happening in the CV world, and that's quite favorable. There are also other talks on what we can do, which are maybe very preliminary at this point of time in terms of technology to be discussed in a forum like this. But at some point of time, we will update you on additional technology introductions that are likely to come up in the CV, HCV product.

Karin Gilges: I'll be ready to take the next question. Mr. Himanshu Singh can you please unmute yourself and go ahead. Mr. Mohit Jain would you like to go ahead and ask your question?

Mohit Jain: I just had a couple of questions. Like B

osch has been working on alternate fuel technologies. So just wanted to know that what is the progress on that? And will there be a significant increase in content per vehicle compared to ICE vehicles? Or how is it? I just wanted to get some clarity.
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Guruprasad Mudlapur: Yes. So I mean, Bosch has very wide portfolio options also for fuels, flex fuels and so on. We've been offering this all over the world. And of course, we also do that to our OEMs in India. The content per vehicle is not a major change in my view. We'll have to get to precise numbers, but it's not a very significant change. But the development -- I mean, the support to the OEMs is always there in the Indian context.

Mohit Jain: Understood, sir. My follow-up question would be like I think we had received some pilot order on hydrogen fuel engine. So what is the status on that? And is there any future potential for hydrogen.

Guruprasad Mudlapur: Yes. So on the hydrogen activity, we are working very closely with virtually every commercial vehicle and bus OEM in India. And as you've probably seen in the press or in media, there's a lot of vehicle testing activity that's currently ongoing. All OEMs are testing their engines, testing the vehicles for readiness. And this is the phase it is in. There are currently at least no known plans of rollout from any OEMs very specifically.

It's most likely also connected to how the infrastructure on hydrogen comes up. And there are other stakeholders involved, other players involved, and we'll have to get more clarity. But I think all OEMs are working towards readiness of hydrogen vehicles from their side. And we are fully in touch with all of them offering our technology and solutions and working very closely with most of them.

Mohit Jain: Just to add, like if you can clarify like by well in India, we expect that hydro engine will be commercially launched.

Guruprasad Mudlapur: See, it's maybe better to take this question in 2 parts. One part is when would vehicles and technology mature? And that's the thing we can control quite well. And there, I would say it's going well on plan and OEMs and us are working very closely together towards this. The other side of this equation is when would infrastructure come up, when would we have hydrogen fuel stations, filling stations.

And availability on at least major trunk routes or right corridors be available with hydrogen. And this seems to be still not very clear at this point of time. So we assume that by 2030, definitely, there will be quite some hydrogen activity happening. And we are working towards that right now.

Annamalai Jayaraj: Thanks for that clarity. We just have one question from one participant, Himanshu Singh. So his question is, will the new trade deal make the -- will the new trade deal make the material versus import map unfavourable for localization and might see some delays in localization. So if you can address that, sir?

Guruprasad Mudlapur: Karin, do you want to take that?

Karin Gilges: Yes. What was the question. Can you repeat, please?

Kush Shah: Yes, sure. Of localization and if there is some delay in localization.

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Karin Gilges: What was the first part? What is the -- what do you refer to that localization will -- could come to a delay?

Guruprasad Mudlapur: No, I assume he refers it to as a consequence of the FTA would.

Karin Gilges: FTA?

Guruprasad Mudlapur: Yes, FTA. Would there be a delay in localization because there is now an FTA and there is no motivation to do any localization here. See, maybe I can start and Karin can give you some more specifics. The Bosch approach with or without FTA has always been to have localized production wherever the demand is and our international production network always operates on that theme of producing in the region where

it's relevant and where it's consumed.

So that's how we operate on the work. And this has been the practice with or without the FTA.

So FTA, we will have to see what is the actual impact and do we really need to recalibrate this approach and do something or do we positively benefit from this approach and then enhance further localization. In all probability, this will only lead to further increased localization for us

as years go by and we will continue to be on this localization track. Karin, if you have anything specific to add, please?

Karin Gilges: Yes. Thanks. As you mentioned, the most important thing or the philosophy of Bosch is we try to do local for local. And therefore, volumes are much more important than an FTA or import duties whatsoever. And in addition, often localization goes along with a strategic approach,

which we would like to do in a region. And therefore, yes, of course, there is -- could be a positive effect. We see it positive, but nevertheless, our localization road map has different directions.

Guruprasad Mudlapur: See, even if there is an FTA and there is zero duty on a certain item, just the logistics may impact the landed cost. So there is always more sense when there are good volumes to have it fully localized and that's always been our endeavor.

Kush Sharma : Right Just one follow-up question from the same participant. On the quarter performance, we have seen dip in margins for the Automotive Products segment on a sequential basis. Can you give some color on that front?

Karin Gilges: Well, if you look on the quarterly basis, we have put in the provision for the L about Code. If I correct this condition we have, again, a very strong performance out of operations.

Kush Sharma : Going forward, the next question is from Darshan Bhandarkar from Banyan Tree. Darshan you can unmute and ask your question.

Darshan Bhandarkar [inaudible 0:54:34]

Kush Sharma : No, Darshan you are not audible. Darshan has put in the chat box. His question is why is the auto segment growth so much lower than CV, tractor, and PV growth rate? Hello. Am I audible?

Guruprasad Mudlapur: Yes, you are audible.

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Karin Gilges: Guru, do you take this?

Guruprasad Mudlapur: No, you can take it, Karin. I don't think.

Karin Gilges: No, it is -- the question is why the CV and the -- are better in the growth than the passenger cars?

Kush Sharma : No. His question is why is the auto segment growth lower than the CV, tractor and PV growth rates?

Guruprasad Mudlapur: So do you mean our growth?

Kush Sharma : Yes, Bosch growth.

Guruprasad Mudlapur: Okay. I think our auto sector growth has been especially power solutions and aftermarket, power solutions as a whole, aftermarket has been ahead of the sector growth.

Kush Sharma : Okay, sure. The next question is from Gokul Maheshwari . You can -- Gokul you can unmute and ask your question.

Gokul Maheshwari: Hi, thank you for the opportunity. My question is just relating to the previous question you supply products to various segments of the automotive industry, whether it's 2-wheeler, passenger cars, tractors and CV. Which of the areas are we growing ahead of the underlying industry and where are the segments where we are actually undergoing the industry growth?

Guruprasad Mudlapur: Broadly, I would say in every one of the auto sector segments, we have been growing above the industry growth rates for all our products. The only area I would say we have not performed maybe so well in the last quarter has been our power tools division, which is the non-auto part.

And there, we know what corrective steps we need to take, and we are on it right now. But apart from that, CV, 2-wheeler, passenger cars, all of them, we are ahead of the segment goals.

Gokul Maheshwari: Just on the dividend policy, when I read that there is a change where you have

now quantified,

is that read it correctly, anyway 55% to 80% of profit. Is this a higher number than the previous policy or is the lower number?

Guruprasad Mudlapur: Okay. So I think if you -- we've just brought a lot more clarity into our dividend policy right now. If you looked at our previous one, it was an open policy. There were no limits or ranges set and it was completely left open. And the Board discussed this and said it may be better to give a clear view and therefore, clear guidance on how this is going to work and that's what we've endeavour to do. Of course, the final dividends irrespective of this policy can always lie with the Board, and they take the final call on how this goes.

Gokul Maheshwari: Okay, fair enough. And lastly, could you comment on your export performance for this year?

How is the quarter or the 9 months shaping up? Just a qualitative comment in terms of how do you see the outlook for the export?

Karin Gilges: Yes. So we are in the exports, we are steadily grow. Of course, we are we are looking forward to do more. I mentioned it already, especially in spark plugs sensors, pumps to Japan and Korea.

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And therefore, in the last year, stepwise we increased our exports. But again, main focus for us is the Indian market.

Gokul Maheshwari: Great. Thank you so much and all the best.

Kush Sharma : Thanks, Gokul. Due to lack of time, that was the last question. On behalf of B&K Security, we thank all the partners for joining the call and thanks to Bosch management for taking time out

for the call and giving us the opportunity to host the call. Have a good day.

Guruprasad Mudlapur: Thank you, everyone, and we are happy that the market momentum has been positive and we expect this to continue in the coming quarter, and we are looking forward to much better performance as we go forward. Thank you. Thanks, everyone.

Karin Gilges: Thank you. Bye -bye.

Guruprasad Mudlapur: Bye.

NOTE: This document is a transcript and may contain transcription errors. This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. While the transcript has been edited for clarity, the Company takes no responsibility for such errors.

Call: Apr 2026

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April 17, 2026

Dear Sir/Madam,
Sub: Compliance under Regulation 30 and 46(2)(oa) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) regulations, 2015- Disclosure of Transcript of the Investors' Concall Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith the transcript s of the investors' call s with Investors/Analysts held on April 13, 2026 at 10.00 AM and 11.30 AM respectively.
This is for your Information and records.
[[

Yours faithfully,
for Bosch Limited,

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Company Secretary & Compliance Officer

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"Bosch Limited
Group Meeting"
April 13, 2026

MANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER –
BOSCH LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER –
BOSCH LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

Bosch Limited
April 13, 2026

Annamalai Jayaraj: Welcome for the Bosch Investor Meeting. The presentation has already been uploaded on the website. So, management will go through the critical slides, then we will go for a Q&A session.

Over to you, Sir.

Guruprasad Mudlapur: Good morning, everyone. Thank you for coming in. It's a pleasure to see so many of you interested in this transaction and other details that we can probably talk about. Please note that for us, this is a silent period, and we will not be able to talk anything about quarterly results or anything around that. So, the focus is purely on the transaction and details around it. Since the slides are already uploaded and you've all probably seen the slides, I'll only connect you back to a couple of slides just to bring the context. Karin will talk about the transaction and the financials. Then it's better to open it up for Q&A so that we have as much time as possible for a good discussion.

So, just to highlight what is the transaction we got into. We got a board approval to make an acquisition of one of the group companies. This is Bosch Chassis Systems India Private Limited. It's the default market leader in safety and braking systems for the automotive world in India. Three state-of-the-art locations, one major manufacturing plant in Chakan, about 2,000 people including all the contract workforce. So, it's a very well-established, stable operation, top-tier supplier, extremely high PPM quality levels because these are safety-critical products. So, very critical that we have high levels of quality.

The interesting thing about this is this whole line-up or the whole portfolio is agnostic to powertrain, whether it's EV, whether it's ICE. This is also, by the way, useful in any vehicle that moves. So, two-wheeler, four-wheeler, completely agnostic to that. So, it's an extremely good complementary portfolio. Has had a very good CAGR growth, high double-digit growth over the last few years, very high margins as well, and overall performance last year has been exceptionally good. And we expect this trend to continue as we move forward.

Just to give you a quick glimpse of the kind of products we are looking at. These are all -- the first slide is all about ABS and ESP. As you know, ABS was the product that was introduced already many years ago. And that has now more or less been taken over by ESP systems. There's a very high 85%, near 85% impact rate of ESP systems in cars today. Two wheelers, of course, are new on ABS systems.

There's a whole range of occupant safety systems, everything that ensures safety of the occupants in a car. We don't do airbags, but we do a lot of airbag controllers. Lots of sensors are required for this whole system to work.

So there we have products which help sense things and give inputs to the ECUs to take corrective actions. For electric vehicles, there is a whole range of different types of ABS, ESP system. This is because in the electric vehicle, there are two fundamentally different departments.

One is there's no vacuum, so you have to also create vacuums in order to ensure that it happens optimally. There's also a need to have additional things like regeneration. So a lot of other things come in.

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So new braking systems come into the electric vehicles, which take care of that. Of course, we have a range of conventional actuation systems, which take care of all the older generation vehicles and non-ABS technology heavy vehicle categories. So this is the overall range. We can come back to this during Q&A if required.

I'll now leave it to Karin to just give you a little flavor of the transaction, and then we can open it up.

Karin Gilges: Yes, a warm welcome also from my side. Thank you very much for joining and for your interest.

And perhaps first of all, regarding the valuation

n of the target, it was done by PwC. The report is

also uploaded. We have done a fairness opinion with ICICI Securities. And of all, of course, all other necessary reports which are applicable from the Indian law.

Overall, of course, most important, we are the key keepers of your investments. You know, we have a very strong balance sheet and therefore, one rationale, of course, was the business case.

We have a careful look at the target. And here you can see a pro forma simulation, what would have happened in '25 if this would be consolidated.

And then you see, of course, we would have a significant improvement, not only in the top line, but also in the bottom line. We looked into the business case. We looked into the past. We looked what is the product portfolio, what are the forward figures. We looked at the due diligence regarding the order books. So, a full-fledged done.

And important, when we went into the discussions, of course, with the seller side and knowing this is a related party transaction. We also, as you can see from the evaluation, we were very, very carefully and very conservative, and it is our overall philosophy. It is the intent that we create value for the future, is bringing these two companies together.

There was one special thing, and I suppose you have recognized it already. We have in the deal structure an all cash deal. There is a very small preferential allotment. And this, I also would like to explain to you, we have a philosophy at Bosch that we have Robert Bosch Netherlands and Robert Bosch US, who are historically the shareholders for a long time.

And what we seek in Bosch is that there should be skill in the game. And even if it's only a very small preferential allotment in the Bosch Limited, and this is the reason why we have more or less majority of cash, but a very small preferential allotment that is still in the game also from the former shareholders.

Another perspective, which I would like to explain to you, the current situation on Bosch Limited and of the target are that we have a very high utilization, let's say. So, our lines are full, and therefore we were of course thinking, how can we bring the two things, the game structure together without disturbing the organization, and to make it in a very fast and clean way. And therefore, we decided also in the end that we would like to have a fast closing instead of going through the long schemes between Maharashtra and Karnataka.

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And therefore, all cash deal, even after the close of the ballot and the approval, we would really try to make a fast close, and the target would be a 100% subsidiary under the Bosch Limited. What brings the future, we will see, but we said these are two strong steps along companies. We have led a good consolidation, and we would not disturb currently any business what we have and have a high workflow then within the two organizations. So, this is overall a little bit setting the context about our thoughts, about the deal, about the valuation, deal structure, etcetera.

I would give back to Guru and to know ...

Guruprasad Mudlapur: We can present the entire deck. But I think you've seen it. It's probably better to have an exchange of thoughts ...

Karin Gilges: Some time for questions.

Guruprasad Mudlapur: But if you prefer that we go over, happy to do that as well.

Analyst: Just to this, what led to the change in our process to bring this scheme, and also our thought about the selection of employees, and delay the marketing of all the businesses that are available.

What has this also been part of the Group? Outside of the super electronics, that is not normal?

Guruprasad Mudlapur: I think it's good. I'm very sure at the end of the session, we will have covered all slides based on your questions. That's also a good way to do it. So thank you for that question. I think it's a very important

way to look at how mobility is evolving. And I personally talked about this quite a bit in several forums.

And it's good to come back to this picture every now and then, because this is typically how mobility is evolving world over. And we see more and more OEM requests, especially in the

West, in Europe, in North America, in China, all leaning towards solutions based on the text that has been kept out.

What's within the Bosch Limited portfolio is what we call energy. Some call it powertrain, some call it propulsion. So, there are different names for it, but that's just naming. But everything under powertrain propulsion is already within the scope of Bosch Limited.

The next big chunk in the context of volumes, in the context of value is the vehicle motion portfolio. So, the vehicle motion portfolio carries a very big chunk of solutions, which are nearly always domain agnostic, nearly always agnostic to power train. And they add on to the very important task of safety and braking.

What's also critical, even in the Indian context today, is that safety itself. And every OEM wants to have as much safety feature as possible. So, this is becoming more and more prominent. And even though there is no ESP legislation as such, they want to have almost everybody migrated to ESP in the Indian context. So, in that sense, it's critical to look at this domain.

So we thought

it's a good way to see what's on the cards.

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And since RBIC, the target company, has everything connected to braking and safety here, and it's doing quite well, we thought that would be the next logical step to bring it in.

Of course, it encompasses all the things we have to do as we go forward. There are more complex solution possibilities emerging in the Western markets where they call it vehicle motion management systems which combine the propulsion, braking, safety, steering and suspension

kind of systems to give vehicle dynamics which are very, very exceptional.

So those solutions also are multi-domain or cross-domain solutions and this adds quite a lot of value there. So that's one reason why the rationale of choosing this as a big addition to a growth curve which is complementary and at the same time growing continuously upwards.

The company is also very good with margins right now. So on day one, it's margin accretive which is a very positive thing, very rarely happens in a transaction like this. And this trend continues for us for many years.

Analyst: My question was more towards what changed in the parent's thought process to integrate because it could have been an argument you could have made 2 years or 5 years or 10 years ago?

Management: Yeah, so what changed? I think 10 years ago, most of this room would have kicked us if we had done it, because this company was bleeding like crazy. Massive investments, no ABS market at all. We had put in lots of money into this, and there was a lot of investment happening, both capex development application with different OEMs trying to get an introduction of ABS systems into the market. So this was not a very healthy, profitable company then. That's also the reason you see in the last four years, five years, the margin uptake has been extremely positive.

So it's gone on really well. So that's regarding the timing.

But what also changed is the fact that putting these two together now makes it a holistic mobility company, which we've always tried to do for the limited companies to see how to add on portfolio, which is lasting, which is derisking, which is portfolio addition over many years. And

that's been a constant endeavor. The Fed, by the way, has always supported when it makes logical sense, when things are okay, when they want a fair value for whatever has been invested, of course, but whenever it makes sense.

Analyst: So the three parts that ADAS, body comfort and infotainment which are

till part of the -- at

some point in the future as they get to more steady state, the idea would be to integrate them?

Management: See, these are very, very small at this point of time. Bosch is not big in infotainment. We do some things. It's not very big. Body and comfort as well is a very small portfolio for us right now. And similarly, ADAS in India is also quite small but overall portfolio in India is quite

small. We are big in other geographies. So as we go forward, we'll have to see how things emerge.

Analyst: Just an extension to the question. You have other listed entities; Bosch Auto Electronics ...

Management: Listed?

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Analyst: Unlisted. So how should one understand your mix by 5, 10 years down the line because a lot of sourcing also from listed entity comes from those entities? So just wanted to know larger setup portfolio coming together as listed entity over next 5, 10 years.

Management: See, whatever truly makes sense in the listed company, we will certainly continue to look at this. So we are not saying this is the end of it. We are saying this is a continuous process. We will constantly evaluate and look at it.

Since you brought up the other entity, which is the Automotive Electronics company, let's give a little background about it. It's an entity which is totally an internal captive supplier of electronics to either the listed company or the target company. So it's a pure contract manufacturer to these.

At this point of time, it was felt there's no real logic we can justify to the Board or to any of you on why we should integrate that into the current spending a lot of -- into the listed scope by spending a lot of money. Because it is a very, very low margin, very high capex intensive and it is a pure supplier to this. And the parent is happy to continue to invest and provide these services.

Management: And therefore, you would not have contribution to the top line because it's consolidated anyway.

And at the bottom line, it's transfer price plus cost. So therefore, we have to ask ourselves what is a good target for Bosch Limited? And therefore, also from the competence and from the capability and where we have, let's say where these fits together. If I look at the manufacturing part, then it's very obvious that these two are very, very close and for us it's an extension out of our core. And therefore, we said ...

Analyst: When I said unlisted entity, was the focus really on the product side, the manufacturing piece or was it a solution or a software? Because Bosch, we already list a lot of solution businesses as well. Is that something, please?

Management: Yeah, see, we had one mobility solutions business which we actually took out of the listco a couple of years ago because of the very heavy investments required. Market is largely outside of India. Very little market in India. And it was very heavily negative. It continues to be quite negative even today. Let's hope that the parent continues to fund that and it gets to a profitable business and we look at it in future.

But in general, we are not ruling anything out. We will continuously look at it. Also products here require huge amounts of software. And we have a completely captive, the largest captive engineering center of any auto company in India, close to 22,000 people work in that company and it provides a huge amount of services to the rest of the Bosch world, all the customers worldwide. A little bit also to India.

And all the products that go to Indian OEMs are also the software comes from this company. Most of it is embedded software, so nobody gets to see it. It's already into the product as a line item. So we have no issues to leave it at that. But if it makes sense to rethink of it in a different configuration, we will.

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Analyst: Export is also a big driver for

the entity which is getting merged, or is it largely going to be primarily domestic segment?

Management: Right now, they are struggling to meet the demands of the Indian market. So export is a topic.

They do some 7%-8% exports. But in the Bosch structure, maybe it's good to explain it already.

Our production network is set up mostly as local for local. So everywhere, even China for us is a completely local setup. China does not export to any other region. All regions have 7% to 8% export just to cater to emergencies or flying down somewhere or whatever. So there is a balance and they take care of that. But apart from that, they are all set up for the local market.

And with the continuing trend in India of growth in volumes, growth in features, growth in new products, we see that we will continue to be heavily local. But of course, this does not rule out any exports. We already have examples of where we have started this year or last year exports to other geographies. We will always look at whatever is making sense. The landed cost has to be attractive for the OEM. And we have to always benchmark against that.

Analyst: My question would be on the breakup of the revenue if you could give some colour on that?

Management: Yeah, so we would like to do only a broad figure roughly; one-third is two-wheeler and the rest is then passenger cars.

Analyst: Can you please elaborate the margin expansion that we've seen over the last few years? Is it related to operating leverage or is it a sort of localization?

Karin Gilges: It is actually several aspects which were all playing together. It's localization, it is of course an increase in volumes in the Indian market and it's the implementation of legislation. And if you look into the future then for example the legislation of the ABS for the two wheelers below the 125, 150 is then a further opportunity. But if you say, if you look at the last let's say five years of the company then it is a good combination that the management of this company did the right decisions and played all the parts.

Management: So maybe just to give you a little further explanation of that, we were very active in commercial banking, and that was what the company was doing for a long time. And then came the ABS legislation on top. So there was massive investments on ABS, which resulted in the company being negative for a sustained period of time, and ABS was the first step. So we had a lot of things coming into the market on ABS.

The market moved on to ESP, so we had additional investments coming in towards ESP to make the transition to ESP. Then came the step change towards all the occupant safety systems, where the airbag mandates and other things helped the growth of the segment. Sensors are common, so anything grows, sensors also grow. New braking systems have been a recent development. So since the EVs started to now come in, new braking systems came in. That brought in a new structure. So continuously, technology is getting upgraded, like parents said, volume and the operating temperatures helped. All this is a topic of legislation, so every time there is a legislative support,

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either for braking or for safety, it has helped the growth of the market. So we would say it's multiple things.

Analyst: Just one follow-up to that. We know on the ABS side, dealership should be out there. So on the passenger side, do you have a sense of what's going on?

Management: We are also a market leader there, but we are afraid of giving up.

Analyst: How will the content for vehicle change coming years? Have you reached the people are getting better into one period of time to cross 4-5 subsidies?

Management: In this portfolio, I would say the content for vehicle is what is shown here. What can change is significant new introductions of braking systems. There's always an upgrade of each of the

se.

So we are now at ESP -10, which is the 10th generation of ESPs. Just to also let you know, ABS was a washing engine, long time ago. We are in the 10th generation of ESP today. So that's a continuous increase in content and features.

Mind you, a lot of changes that have happened on ESP are software features that have come. So a lot of things are software additions. So that is a continuous trend that goes on. The new braking systems is a whole new change that comes in. Possibilities to bring other portfolio are just in these vehicle motion management systems. These are all additional content.

Analyst: Is there any service revenue or sales revenue?

Management: Aftermarket. Not very big but it has settled.

Analyst: And will you see the two entities to be high margin high growth segments?

Karin Gilges: So you mean after that, that's a good to close the deal. Then of course, so first of all, as you have in the post-market integration, it is much easier than a merger. Nevertheless, we would of course also, and I have to say we are quite behind the nines already because we have the wash structure, let's say. So processes, et cetera.

Nevertheless, we would look at the processes. We would look at the, can we put things together?

Can we have some synergies? So the typical post-merger integration things were looking in.

And then going forward, we could also think about would it make sense in the future to look again in the structure, etcetera.

So this would be a typical post-merger integration part of about six to 12 months where you carefully, because we don't want to serve as a current leader organization, where you carefully look what can be harmonized, where can we put things together, other synergies. And then out of this catalog, we could think about the structure, the right solution to another structure. So this would then be after the closing of the default fund.

Analyst: How are we classifying the entire distribution management system?

Management: Business division is now called internally vehicle washing.

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Karin Gilges: Yes.

Analyst: So these three plants which you have, are they sufficed to meet your growth aspiration or you have to invest?

Management: We actually have one very large plant in Jharkhand. We have in Manesar an assembly unit specifically for the merger. We have in Sanand warehousing under the same. So these two are not really manufacturing but just assembly and warehousing. The current capacity, I think we are on the verge of maxing out in the current location and people have told me.

Analyst: It is more in the greenfield or the brownfield can happen?

Management: It's in the Bosch world, it's mostly brownfield because we have other plants and this is another synergy effect that's coming. Bosch limited has a lot of plants close to customers across India. And we have hangar space. We also have space to build hangar. So we will look at that part of the overall space plan in Jharkhand.

Analyst: And then secondly, on the Bosch parent level, products which is there at the parent level, but not in India, which perhaps would be introduced?

Management: There are products. I mean, there are some products which are pretty new. Like I said, Vehicle Motion Management Systems currently not used only by a very few select programs worldwide, not so common in many places of the world. And those are systems which will make a lot of sense as we go forward. There will also be evolution of this, for example, semi-tunnel ABS would be a great addition, cost optimized one below 100 pieces. So there will be a lot of things. Like I said, ABS, RDSP are now in their 10th generation. So you've done from a product which used to look like this to a very, very small one of that kind. A lot of changes have happened. So a lot of new generational changes have happened worldwide as well so we

can bring that in.

Analyst: Are these suppliers, any of the Chinese manufacturers in China, like BYD and all, they buy this from Bosch .

Management: Yes.

Analyst: My question is, suppose this ABS system is not patented, OEMs, and if the existing braking system is updated, what would be the revenue for market share which will come to us ? And what is the existing ABS market share in two-wheelers ?

Management: Yeah, that's a really good question.

Karin Gilges: So the first question was on the cash-in of the lead structure. So there were actually two aspects.

One, as I said already, it is we would like to have a fast closure. But what is also important is

that if you look at the Bosch Limited, the Bosch Group is only 70.2% or 70.5% already.

And if you would have gone with a share deal, we would have come to the 75%. And what we don't want to somehow do is or send a signal, yeah, that we do a deal, we offload afterwards and then the Bosch Group very clearly said we don't want to dilute the minority shareholders . We

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don't want to make a deal and offload afterwards, giving the complete wrong signal, because we are doing this because we believe that the two things are fitting very well together and we create value for all our shareholders. So, this is the first part of the question.

And the second part was ...

Analyst: ABS and the market share and...

Guruprasad Mudlapur: Two-wheeler ABS , we have a very high market share. We are the market leader. And we will continue to be like that for long.

Analyst: And if it's not marketed, then what would we say?

Guruprasad Mudlapur: What do you mean if it's not marketed ?...

Karin Gilges: So, important to know, we have only plugged in the business case what is in legislation today already. So, we did not plug in things for the future which are still a little bit crystal ball . So, this was not a part of the business case. If it comes, we have a further opportunity.

Guruprasad Mudlapur: So, while it's not part of the valuation, that clearly is an opportunity. And we have solutions already for that. And even though it's not in legislation, a lot of audience are already fitting in because it sells. So they also already do it. But we hope in some time to come, that could also become a standard across all of us. Then the market really explodes. Well, that's a good point.

Analyst: So, the market will buy a lot of Bosch taxis. So, since Bosch, you can probably mention is quite good. And it's primarily because it's sensitive to localization ...

Guruprasad Mudlapur: It is largely the product. The product, the philosophy of how these products are manufactured, how the variants are controlled, how tightly the manufacturing capex is optimized, or how modular the design is. So, these are, just to give you a picture, these are safety critical products.

Braking is an absolute safety critical product. And if braking fails, or ESP, ABS fails, it is an extremely life-threatening situation, as you can imagine . So the level of importance everybody places right from the approval regulatory agencies to the OEMs and finally internally for us is all about very high standards of safety and criticality.

That also brings an element of liability. So if something goes wrong, there is an element of liability as well, which is why we need to have very high standards of product, but also standards of the application in how it is applied on a car or a two-wheeler in terms of managing the safety.

So they generally come out high.

Analyst: If Bosch changed the system see there is substantially improvement in the gross margins in last 3 years from 34% to 40%. What is the exact reason for 600bps in improvement in gross margins?

Management: Yeah. So as we already said, it is a mix of certain things. It is, of course, if you can scale and then the implementation of certain legislation. And we hav

e a very, very fast localization of

these products, which we needed for the new legislation. And overall, if you look at or if you

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look at KPIs in the production, very good overall efficiency, very good EPM figures, quality stable.

And what we also see is a very, very intelligent method of investment. Modular setup of the platforms itself already, which helps later on if you go from one generation to the other in the production. And the second thing is and this is overall what we have as an advantage in the Bosch Group is due to the fact that we have international production networks, if we are in need, let's say, of a new line or of extension of our capacities.

We first look into the international production network if we have an idle line somewhere. And this has two big aspects, of course. Second- hand machinery is all the time, let's say, a little bit less expensive and this is good for our cost base. And the second thing is, these lines were running already under full load and capacity in other Bosch plants. We know all the technical KPIs, we know all the maintenance schedules.

And what we usually do is the team will run, for example, a line in the US, would come to India and run up the line. And this gives us the flexibility to have a very, very fast and very safe ramp - up. And all these aspects together is what you see in the end, in the top and also in the bottom.

Analyst: And now what is localization level currently?

Management: It depends on the product. It's like in Bosch Limited. We have products where we have a localization over 90% of the child and put all in fast because it's not all the time only the finished goods. You have to look also at the whole supply chain. Newer products, you start with assembly testing, you stabilize and then you bring in the other child parts because you have to make sure that you do not have too many variables in the whole chain. Otherwise, your whole manufacturing system starts to fail.

Analyst: So, can you give a break up about the product -wise revenue and the capex that you will put in the invention?

Management: So, we said already about one -third 2-wheeler . What we do not disclose is segmental figures . But to give you an idea of the intelligent investment logic , it depends of course year -over -year if you have to add a line, but let's say between 1.5% and 3.5% investment of the total net sales is what you also see in the business case. So very, very intelligent way of investments.

Analyst: Just one , I mean, like regulations coming in on the ADAS side on the CV side so we have solutions on that for LCV?

Management: Yeah, yeah.

Analyst: Post-closure of Bosch Chassis, think about content per vehicle for a ICE vehicle vs an EV . How the content per vehicle will take?

Management: In regard to this range or in general for Bosch?

Analyst: For Bosch?

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Management: What we've seen as a general trend and I am now being very simple is that when we move towards electric vehicles in general, content per vehicle and the value for vehicle goes up. I won't put a number exactly now because for example an e-axle is typically a EUR1 ,000 component. It's orders bigger.

So content per vehicle for us based on worldwide averages which is how many things are like.

We are also by the way also top Tier 1 for EVs. Content per vehicle definitely goes up. 2-wheeler space is a bit to watch out, if you take the battery out the content per vehicle there is more space.

Analyst: One question on future possibility. You also have a JV with Tata Autocomp what product is manufactured . But one more thing is, it would naturally go towards electric vehicles. But we thought of doing a GD structure. Whatever thought process, then I'll be putting in similar structures for, perhaps, the big models that are out there in the future.

re.

Management: Okay. So, we are not ruling out any structure. A lot of you and a lot of people have also asked us, why does Bosch do any partnership? So that's the counterpoint on the other side. But specifically to answer you on this, the current volumes in the market for e -axles is very very small . It does not even fit one line of a typical Bosch line .

One Bosch e -axle line produces 150,000 e -axles. The volumes are not there. They will of course grow, but we need to make the investments growth, we can't invest a lot and keep the lines idle and burn capex and have low utilization which is affecting everything, finally affecting the product cost and we can also lead , every body is leading , we will go out leading in that direction.

So, at this point of time, it was held that we partner with a very reputed company like TACO, which is also doing already e -axles for a real car specifically. We have new acquisitions on our plate, which we will bring into the JV. And then we will try and grow this to be a very big e -axle Tier 1, e-axle JV. That's our process. It's just the reality of the market today and how we need to operate to make people pay for that.

Analyst: Yeah, but see, you know, we are coming in with a lot of cost structures, we are having a lot of forces in retail. One more thing, I have been seeing more and more Indian companies.

Management: So, yes and no. See, the typical e -axle, for example, is 250 to 300 pieces. It's not an easy export - oriented product. You can export subsystems. Here at KG, just the logistics cost will kill the market cost in Hungary, for example, or in Czechoslovakia , where there are some problems. So, we have to work out the overall modality of how it's going to work.

I personally think there will be, with the FTA, a lot more component export possibilities, because that works much more effectively, rather than a finished e -axle going. Unless the volumes are very small. If the volumes are small, like 10,000, 20,000, we can somehow make it work, absorb some margins on both sides.

But it's millions of exports , then logistically it's out to them. So, we have to balance it. Hopefully, this also improves as we go forward. Maybe CKB kind of goes somewhere and gets us something. So, we are looking at all possibilities .

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Analyst: So, this is mainly ADAS demand is How to think about the product cost reduction of the product itself, since you are an OEM, you have -- this is a category where low -cost storage products into the market, but for this category Bosch is very more important . So there how you thinking of bringing out the cost of the product. And also, we know the battery only be the cost benefit as the plus point.

Sorry for the context , but so I say Europe or Japan country trying very hard to localize their product and get standard in the best possible solution of the product. But in battery only be the cost benefit that you always show to segment. So we normally know our competition was hard in these cases, how the company thought on the cost point of view.

Management: So we have many things up our sleeve in terms of managing cost. Also technology wise we have quite a lot in terms of what makes sense for segment like this, be it a single-channel ABS or other ABS systems, simpler ones, everything. So there are multiple th ings that are in our basket which we can offer to customers.

In terms of specifically catering to this potentially very large market, we believe this is not going to be a one Tier 1 opportunity because the volumes explode. Like easily 15 million 2-wheelers come under this umbrella and it is potentially a good thing to have maybe three -four players in this game. So and also with this kind of a production volume and localization, therefore, will also make it very good for us to be the default export hub for rest of the w

orld.

So there are plenty of things that are likely to happen, the costs will certainly be coming down, margins will be a further under pressure specifically for this category, but we have quite a few things already well covered.

Analyst: And how much time ? How the capacity for this segment in coming 2-3 years, some provision of capacity for unlegislated part ?

Management: For the unlegislated part?

Analyst: Yeah.

Management: No, I mean we plan capacity based on either a upcoming legislation or based on an OEM part.

So we will not simply add lines and just wait and depreciate those margins, so we are not doing that. We will do it then we have more certainty on which way this is going. The good thing with us is line building and expansion of capacity has never been a constraint in any market for us.

We have it all around the world, we have massive line building capacity in India as well . We have a whole group which does it within Bosch Limited and we also work with various suppliers around, so making a line for additional capacity is not a constraint.

Analyst: Yeah, thanks for the explanation. .

Management: Sorry, could you...

Analyst: Pricing terms with Bosch Chassis systems or potentially transfer pricing their 100% subsidiaries and in the merger with these transfer pricing deals, follow it to Bosch Limited

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Management: Okay . Up to little bit up to now. Bosch Limited and Bosch Chassis Systems, they are nearly no...

Analyst: I am asking something about electronics and RPTs .

Management: Yes, so this is normal according to the transfer price regulations and the tax regulations, if you have a delivery from the automotive electronics, it's a cost -plus and this is applicable for the whole Bosch Group in India and is in accordance to transfer price regulations. So there is actually -- it's as normal.

Analyst: In terms of going forward we'll be seeing this ?

Management: Yes.

Management: Yes.

Management: They are subject to normal audits and the transfer pricing regulations .

Management: Absolutely.

Analyst: The royalty will also be same ?

Management: Very similar.

Management: Very similar , and of course depending on the different products, but very similar.

Analyst: So on passenger vehicle side, what are the key regulations that helps for Bosch Chassis?

Management: See, the ESP regulation , there is no ESP regulation, but thanks to the crash norms ESP is a very high fitment. All ABS is regulated so there needs to be a fitment of ABS , but everybody has already moved to the more advanced ESP system . So that's certainly helping. More safety has now become more a selling feature rather than a legislative feature.

While legislation still helps crash log s, the fact that safety is something that OEMs are capitalizing to sell their vehicles already helps us go with the volume. So we see very high fitment rates with or with out legislation.

Management: And I have to supply to all the OEMs. Maybe, I know, for ADAS, we are just supplying it for LCVs. I don't know. We are not supplying ADAS to have LCVs . Still we did...

Management: We are supplying ADAS to also customer hubs .

Analyst: Then what will the pay? It's 120,000, 180,000, and 400,000?

Management: What do you mean, break up the power?

Analyst: It will be a number of vehicles, so just 120,000.

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Management: 125,000 is just a very, very small plastic 1.5. There is no mandate or law requiring any OEM to fit it below 150,000. Very few do it for a small number of special selling purposes. But otherwise -- it's the most competitive company's business across the world, right? You have to know that. You're talking to that.

Analyst: And your unit versus, let's say, your Chinese unit versus European unit, what would be the cost difference? Because in cost difference, the pr

oducts are very different. More of my shading and other stuff here. What makes it very competitive?

Management: See, the Bosch manufacturing units worldwide benchmark for cost and profitability. There are several product categories where the Indian manufacturing plants are number one, global ly.

That's true also for other plants. Worldwide China is also number one in many areas. So this is

-- I mean, it's a growing average.

It keeps going up and down. It's constantly benchmarked every quarter. But we know where things stand, what areas. So this happens on a very regular basis. What sets Chinese plants apar t is a very high localized quality of supply. And that is not yet there in India and we're working constantly.

Analyst: Remember, in premiumizations of many attendments in the PV segment there no problem . What kind of difference does it make to revenues of those companies from the CV segment ? And as you move up, how does the system change in terms of content and subsequently the profitability?

Management: There are lots of features that come on this. For example, you can do Chinese ESP. You can do just the basic ABS functions. So prevent the breaks from long. That's the most basic thing you can do. Like you can take your phone and just do a call. So that's the technical function of the phone. But you can do so many. You can back it.

So similarly with ESP, you can do a hill hold. It's a software feature. You can do a parking brake assist. So there are plenty of features that come on top. And all of that has software features. So those are additions. In addition to the constantly increasing volumes.

Analyst: Also, we do share a multifaceted by the scale of competition between us. And one of the biggest areas of need for us as a partnership ? So when you think of China's scale of revenue of Bosch it may be agnostic.

Management: We can try to get this for you. It's very high. If they could ask us again.

Analyst: It's a possibility.

Management: Yeah. We believe we will hold margins very steady for the next 5 years or so. Every major project that's offered from OEMs till their launch in 2031, we will fund. So our order book is very, very full. Maybe not lost any order maybe not so far. So that gives us confidence to make this kind of statement that we are on a very good path.

Margins will be under some pressure because every body wants to do it differently . But we know how to manage this with the scale, with the localization, with other elements coming in, capex depreciation. So overall I think we are fairly comfortable. On what are other drivers of growth? We talked about 2 -wheeler ABS below 125, that's definitely a big opportunity for all of us.

EV is a great opportunity as EVs grow, new braking systems grow, that's a new level, new dimension of growth for us. We also see that Vehicle Motion Management systems as a more comprehensive multi-domain systems are certainly in the opportunity. So, this is in a way sort of agnostic to powertrain changes, agnostic to vehicle categories, every time anything grows, this is going along, as long as we retain our position.

Guruprasad Mudlapur: So as I said now repeatedly we are market leaders. And market leaders don't operate the way you said. We have a lot of things already localized in terms of our abilities to design and our abilities to do application. So, our software center is a global hub for many of these developments. They do a lot of ESP developments here. A lot of testing locally also happens. I wish we can invite you once the transaction is done to show you all phases of what we do in a categories like this.

Huge amount of development testing right down to things like EMC testing. Everything gets done locally. And the application, of course, is very different from OEM to OEM and we work very closely with them. So, in terms of design, de

velopment and application capacity, we have absolutely -- we are probably the top-most. Well taken.

Analyst: Yeah, than ks, thanks for all the answers.

Guruprasad Mudlapur: Thank you very much. Thank you, everyone.

Analyst: Thank you very much.

Management: Good luck

Analyst: Thank you.

Management: Thank you so much.

NOTE: This document is a transcript and may contain transcription errors. This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. While the transcript has been edited for clarity, the Company takes no responsibility for such errors.

MANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER –
BOSCH LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER –
BOSCH LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Bosch Limited -- Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Annamalai Jayaraj from B&K Securities. Thank you, and over to you, sir.

Annamalai Jayaraj: Thanks. Welcome all the participants for Bosch Limited Business Update . From the management side, we have with us today Mr. Guruprasad Mudlapur, Managing Director and Chief Technology Officer, and Ms. Karin Gilges, Chief Financial Officer. Bosch management will make a brief presentation followed by a question -and-answer session. Over to you, sir.

Guruprasad Mudlapur: Thank you, Jayaraj. Good morning, everyone, and thank you for joining the call today. By now you have all seen the press release and the accompanying investor presentation filed with the exchanges regarding Bosch Limited's acquisition of Bosch Chassis Systems India Private Limited or RBIC. The core rationale is to consolidate mobility solutions, strengthen our portfolio and the market position. We will now walk you through a brief presentation on the transaction followed by a Q&A.

Let me start with an overview of the Bosch Group. Founded in 1886, the Bosch Group is a leading global supplier of technologies and services with key business sectors in mobility, industrial technology, consumer goods, and energy and building technology. Bosch Group comprises of Robert Bosch GmbH and approximately 490 subsidiaries and regional companies in more than 60 countries.

According to preliminary figures, Bosch Group generated sales of EUR 91 billion as of December 2025. With roughly 412,000 associates worldwide, of which nearly 87,000 associates dedicated to Research and Development , we are actively shaping future solutions across our diverse portfolio.

Now turning to the Bosch Group in India. Since beginning manufacturing in 1953, our footprint has grown to 17 manufacturing sites and seven development and application centers. Critically, India is home to the group's largest R&D center outside of Germany, providing end-to -end capabilities that are vital to Bosch's global technology leadership. This allows us to localize solutions and respond with agility to market demands.

In FY '24-'25, Bosch India generated a net revenue of INR373 billion and employed more than 38,000 associates as of March 31st , 2025. Bosch Limited continues to anchor the group's India

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presence with a sharp focus on next -generation mobility, smart manufacturing, and digital transformation.

Now let's turn our attention to RBIC. RBIC is a Tier 1 supplier of auto components, specializing in safety and braking systems for both 4-wheeler and 2 -wheeler OEMs. RBIC has held a dominant market presence in India for these products, a leadership built on sustained technology-led differentiation. This includes pioneering the introduction of breakthrough technologies such as electronic stability program or ESP and anti -lock braking systems or ABS in India during the early 2000s.

RBIC's product portfolio is largely powertrain agnostic, providing flexibility as OEMs transition platforms and diversify their model lineups. With increasing EV penetration, RBIC is well positioned as it drives significant demand for next -generation braking solutions such as iBooster and integrated power brakes, essential for regenerative braking integration, improved efficiency, and enhanced safety.

R

BIC has a strong track record of financial and operational performance. It operates three state-of-the-art manufacturing facilities in the major automotive hubs of India. In FY '25, it recorded a revenue of INR4,000 crores and a strong EBITDA margin of 19.3%. In the nine months in FY '26, RBIC earned a revenue of INR3,500 crores. Over the period FY '23 to '25, RBIC has achieved a revenue CAGR of 17% with its EBITDA margin expanding significantly from 12.8% to 19.3%.

Regarding the product portfolio, RBIC supplies a comprehensive suite of safety solutions from active systems like ABS and ESP to passive safety and actuation braking systems across passenger cars, utility vehicles, 2 -wheelers, and other vehicle segments . The growth for this portfolio is driven by structural tailwinds. First, a strong regulatory push. We are seeing a clear roadmap for enhanced vehicle safety in India with mandates for airbags, ABS, ESP, and adoption of Bharat New Car Assessment Program . This continued tightening of safety norms provides a sustainable and predictable demand catalyst for RBIC's core products.

Secondly, shifting consumer preferences. As the market shifts towards premium cars, consumers are increasingly demanding higher safety standards. This translates directly to greater penetration of advanced safety systems and a higher value of content per vehicle for RBIC. And third is the OEM strategy. OEMs are increasingly using safety as a core brand differentiator to build consumer and customer trust. This is driving the standardization of advanced safety tech across platforms.

Next slide please. Over the last 33 years, RBIC has built a strong domestic manufacturing footprint with three state -of-the-art facilities in key automotive hubs of Chakan, Manesar, and Sanand. Crucially, in-house manufacturing for majority of its portfolio gives RBIC tight control

over quality, lead times, and cost. The operational excellence is consistently validated by leading OEMs like Tata Motors, Maruti Suzuki, Toyota, and Bajaj Auto, cementing RBIC's reputation as a trusted partner in the automotive industry.

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Next slide. Coming to the financial performance, RBIC has demonstrated steady profitable growth over the years. Revenue grew at a 17% CAGR from INR2,900 crores in FY23 to INR4,000 crores in FY25. This was fuelled by strong market demand for safety products, an increasing mix of higher value solutions, and an established first-mover advantage in key technologies. By strategically localizing production to enhance cost efficiency, its EBITDA margin increased from 12.8% to 19.3% and net profit margin from 8.1% to 13.9% during the same period.

Next slide please. This brings us to the core rationale for the acquisition. RBIC presents a compelling acquisition opportunity for Bosch Limited. This is a strategic move to create a more powerful and enhanced mobility solutions provider. We see a strong intersection of capabilities between Bosch Limited's mechanical engineering excellence and RBIC's market-leading safety systems. Our decision is based on key benefits.

Firstly, an enhanced portfolio. By integrating RBIC's industry-leading portfolio of active safety, passive safety, and actuation systems, we will decisively strengthen our leadership position in the mobility sector. Second is the financial accretion. RBIC brings a highly profitable business with strong sustained demand. This transaction will immediately be accretive to our margins and accelerate our growth trajectory.

And third, stronger operations. We are combining manufacturing excellence which will fortify our operational competencies and supply chain resilience. In summary, this acquisition empowers Bosch Limited to lead the future of mobility, delivering superior growth and creating significant long-term value for our shareholders.

Next slide please. Right now, the mobility businesses at Bo

sch Limited are housed in separate entities. While power solutions and mobility aftermarket business is under Bosch Limited, the active, passive safety and actuation businesses are housed under RBIC. Hence the portfolios are complementary without any overlap, thus enabling Bosch Limited to combine these two offerings. By bringing RBIC into Bosch Limited, we are not just acquiring a business, we are creating a single unified powerhouse.

We will be able to offer our customers enhanced scalable solutions for every vehicle segment and platform in the market. As discussed earlier, RBIC continues to witness strong demand from structural tailwinds including regulatory push. Evolving consumer preferences for premium and safer cars, OEMs focus on vehicle safety and India emerging as an export hub for automobiles. By acquiring RBIC, we are positioning Bosch Limited to perfectly capture this growing demand and lead the future of mobility safely.

Next slide please. The proposed transaction is intended to enhance our mobility portfolio by adding the vehicle motion business under Bosch Limited. In India, we expect the mobility landscape to evolve radically by 2030 and beyond with sustainable, safe, and exciting technologies. To enable a customer-first mindset and pivot from supplying individual components to delivering future-ready platform solutions, it becomes imperative to unite our forces and adopt an integrated approach. This transaction empowers Bosch Limited to steer growth with a wider portfolio offering in the complete mobility tech stack.

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Next slide please. Bosch Limited continues to remain committed to create value for our shareholders in the future. In the recent times, Bosch Limited has taken deliberate steps at enhancing shareholder returns such as establishing a 50-50 joint venture to provide e-axes and electric motors for electric vehicles, committing to dividend distribution of 55% to 85% of PAT. RBIC acquisition immediately strengthens our financial profile with an expected pro forma EPS accretion of approximately 5% based on FY25 numbers. By uniting two strong cash-generating businesses, we are not only enhancing our current portfolio, but also building the financial capability to seize new growth opportunities in the future.

Next slide please. Bosch Limited's consolidated revenue from operations will increase by 22% from INR18,000 crores to INR22,000 crores on a pro forma basis for FY25. Looking at the historical trend on a comparable pro forma basis, the revenue from operations CAGR would have been 11.2% compared with 10.1% over FY23-'25. The FY25 EBITDA margins will improve from 12.8% to 13.9% on a pro forma basis led by higher margins of RBIC.

Next slide please. The purchase consideration for the transaction is INR9,068.70 crores. RBIC's valuation is at an implied 10.6x EV over FY25 EBITDA. We intend to fund the transaction through existing funds and internal accruals. The boards of Bosch Group, the Bosch Limited and RBIC have approved the transaction and we target to complete the acquisition by the end of first quarter of FY27, subject to shareholders' approval.

The voting for the transaction and issue of equity shares on preferential basis has commenced on 9th of April and will continue up to 8th of May 2026. Next slide please. Thank you all for your contribution and listening patiently through the call. We will now address your queries.

Thank you and open for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Pramod Amthe from InCred. Please go ahead.

Pramod Amthe: Hi. Thanks for taking my question and congrats to management for taking this bold step of acquiring the interesting business in the portfolio. I wanted to get your top-down thought process in terms of why this business was chosen when you also have

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which is also related and with this acquisition of chassis, the related party transactions will further go up with the Bosch Automotive Electronics. So how are you looking at the restructuring exercise? Will it be a step-by-step or the best is behind if you can explain your top-down thought process?

Guruprasad Mudlapur: Thank you, Pramod, for the question. I think the answer is as follows. Over the years we've been carefully looking at the product portfolio, what makes sense and how should we integrate it best in line with building a great mobility company as Bosch Limited. So that's been the focus and that's how we've looked at.

And RBIC portfolio perfectly suits that and as you've seen through the slides and the presentation earlier, it's powertrain agnostic, it adds a lot of complementarity to the business and is margin accretive from day one. So everything ticks off and it's a good business case for us.

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The specific question on RBAI or the automotive electronics business that you brought up. Look, we have always looked at what value can be created for shareholders and RBAI as you also just said is a completely captive internal contract manufacturer for Bosch Limited and the target companies. So, all their supplies come to these companies at very low margin RBAI operates. But at the same time, RBAI has quite some requirements on capex and high investments over the next years. So, at this point of time, we did not find a good commercial logic to bring this business in when it does not add turnover, doesn't contribute much to the margins, and there is very heavy intensity on investments. So, we thought it's good to leave it out for now. You want to add something, Karin?

Karin Gilges: Of course, going forward we all the time look at all opportunities and what makes sense from Bosch Limited point of view but also of course the Bosch Group is looking at the overall India view. So, therefore this is an ongoing process and review in the upcoming time and years.

Pramod Amthe: Sure, interesting. And going forward for chassis business because it's going to be a new learning for all the shareholders even though you have made a detailed presentation, if you could disclose revenue mix or in terms of 2-wheeler, cars at any time either now or later, it will be helpful first.

Secondly, with regards to outlook, can you talk about what are the synergy benefits we can expect from both these businesses coming through one either in terms of cost or sales team rationalization and how to build that into the model and also in terms of what is this entity's chassis localization and what's the capex requirement and intensity? Thanks.

Guruprasad Mudlapur: So, we generally do not disclose product segment wise details, that's one. And everything we can disclose pre-approval of a transaction we have disclosed and we have also uploaded in the portal so you have full access. But I am quite sure once the transaction is complete, we can invite you over to RBIC and show you a lot more about this and discuss this much more in detail. And your second part of the question was synergies. You want to talk a little bit?

Karin Gilges: Yes. So, synergies, you have to see that Bosch Limited and also the chassis systems are all part of the Bosch Group. That means our processes, our frameworks are very much harmonized already. We have sales customer teams which we have intensive exchange, same on the vendor side. So, therefore for the time being and also for the business case we did not count any synergies.

Nevertheless, after the approval of the transaction in the post-merger integration period, we will have a look if we bring these two companies as a mother company Bosch Limited and a subsidiary for the chassis systems under one roof let's say, are there further synergies, if we dig deeper into the process landscape etc

etera. But for the time being and for the business case we were very conservative and did not count synergies.

Pramod Amthe: Sure. Thanks, and all the best.

Moderator: Thank you. We will take the next question from the line of Mumuksh Mandlesha from Anand Rathii Equities. Please go ahead.

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Mumuksh Mandlesha: Thank you sir for the opportunity. Sir just want to understand you have seen the number which you've shared in the PPD. Seen more than 25% growth. Just want to understand what are the factors driving the growth for this entity in near term sir?

Guruprasad Mudlapur: Your question is why did we have such a growth and what are factors driving growth right?

Mumuksh Mandlesha: Right sir.

Guruprasad Mudlapur: Okay. As I briefly touched during one of the slides, the safety and braking business is quite closely coupled with legislation. And that's how things started when the ABS mandate kicked in for passenger cars and 2-wheelers, there were two step jumps.

We had the ABS introduction in cars and then came ABS introduction in 2-wheelers. And in the meanwhile, thanks to the safety norms getting tightened or appreciated by customers, we also start to see bigger introduction or heavy shift towards ESP systems. So now the largest part of our activity here is ESP systems. And Of course all this always couples with a lot of sensors so there is a huge amount of sensors getting introduced whenever there is a system upgrade and so more sensors brought in additional revenue and turnover.

Then we have the new braking systems because EVs started to come in and new braking systems are a whole different generation of products and they have also added additional step jump on the turnover. What continues steady is the conventional actuation systems which have always been there and for products which do not fall under the general categories which are covered by legislation, ABS, ESP or other norms, conventional actuation systems still are there and of course also for the aftermarket.

So this is the broad base on which multiple step jumps have happened. Of course there are potential growth opportunities with regard to higher penetration of these systems in vehicles as we go by. Volume increase of every category will yield more business opportunities. We will also potentially see some huge growth opportunities when the 2-wheeler ABS mandate come in additional categories so that could be another growth opportunity.

We also see some new technologies getting introduced on safety and that could be another opportunity. So overall we are very positive that multiple new revenue growth opportunities exist as we go forward.

Mumuksh Mandlesha: Thank you sir for the answer. Just on this front for CVs also sir I just want to understand the upcoming regulation around the ADAS where the ESC, ABS systems can see implementation for more than 5 tonner trucks and buses. I just want to understand how we are placed to take that opportunity and how do you see the ability to capture those market share for that product?

Guruprasad Mudlapur: Yes, just want to reassure that we are placed very well and we are working on this opportunity as well.

Mumuksh Mandlesha: Got it sir. Thank you for this. Just on the margin side we have seen a notable jump over last two years. I just want to understand obviously with the driven by strong growth on revenue. On a

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sustainable basis do you see the current kind of a margin FY '25 kind of margin should be sustainable and maybe even see further increase sir?

Karin Gilges: If you look over the last couple of years and of course the scaling, new legislation, new products, additional safety features supported not only the growth in the top line but also the growth in the bottom line. In addition, the management of the chassis system did a very good job in the capex

p
art.

That means that we have carefully and cleverly put the capex and the lines in a modular way, used idle lines from the international production network within the Bosch Group to set up the capacities here in India. So and that leads overall not only to a growth in the top line but also to a growth and significant improve in the bottom line. And we see the margins as stable.

Mumuksh Mandlesha: Thank you so much for this answer. Just on this RBIC is it possible to share broadly how would be the revenue mix between the CV, PV, 2-wheeler if possible to share?

Karin Gilges: We can say roughly one-third is 2-wheeler and the other one is 4-wheeler. So this is more or less the share in the revenues.

Mumuksh Mandlesha: Okay. Thank you. Thank you so much for the opportunity.

Moderator: Thank you. We will take the next question from the line of Mayur Parkeria from Wealth

Managers (India) Pvt Ltd. Please go ahead.

Mayur Parkeria: Good morning. Thank you for taking my questions. Am I audible?

Moderator: Yes you are.

Mayur Parkeria: So sir first actually I had a slightly clarification question and sorry if I got this wrong and if I missed this. The issue of shares which we are doing is only 2,460 shares at a total valuation of sub INR9 crores. Is it right out of the INR9,000 crores?

Karin Gilges: Yes, out of the INR9,000 crores roughly INR8 crores are in preferential allotment. I would like to give you the background. This is majorly a cash deal. Nevertheless, in the private group we have a philosophy. The former shareholders of the company Robert Bosch Netherlands and Robert Bosch US should still have a little bit skin in the game.

And therefore because they were long -term shareholders of the company and supported them of course and therefore to make sure that there is a skin in the game also within the Bosch Group we went this way to have a very small preferential allotment for both of the companies in Bosch Limited. This is the background.

Mayur Parkeria: Right. So I just wanted to clarify because the issue of shares was only INR8.8 crores and I just wanted to clarify that. So it's majorly a cash deal. Sir secondly so before I actually wanted to comment congratulations on consummating this. We had been had some, I mean the management had mentioned that we were looking at other options for increasing value from the perspective of shareholders and how we can get more and more companies under the Indian entity?

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So congratulations after a long time and valuation is also accretive so thank you for this.

However I have a slightly different question from I am referring to the 1st April 2026 intimation to the stock exchanges which is where we mentioned under the caption about the issuance of equity shares on preferential basis.

That was the -- and the board meeting on 8th of April referring to the board meeting to be held on 8th April and to consider a couple of matters one of which is a proposal for issuance of equity shares by the company by way of preferential issue. I am referring to that intimation which was given to the stock exchanges. I am sure I must have missed if any other there was no other intimation with respect to this transaction or organization which we had right?

Management: I'll let Company Secretary respond to this. It's a little bit of a technical question so he is best expert.

Mayur Parkeria: I will tell you the reason before the Company Secretary answer this. I will tell you the reason. I am coming to this. Firstly, the equity share issuance is the nature of the reference given in the intimation. Out of INR9,000 crores we are issuing only INR 8.8 crores of equity shares by way of preferential issue firstly.

Secondly, there is no mention whatsoever of any indication about such a large capital in terms of the acquisition proposal which is there. I understand because of confidentiality, but

to mention

the intimation as issuance of equity share at a proportion of some INR9 crores versus INR9,000 crores firstly.

Secondly this was an issuance of equity shares to the promoter company and that is also other than by way of cash because it is against the exchange of their shareholding. There was no mention of any of these aspects into the intimation which would have given us an understanding that there is something on the cards. It was simply issuance of equity share.

I am sure there would be other explanation and if I missed any please clarify on side because it is a 20% acquisition to the revenue models and there was absolutely zero understanding of whatsoever came in a manner and especially the intimation -- reading in the light of intimation which we had given?

Management: Hello, can you hear us? We had a technical issue. One moment. The Bosch Company Secretary will answer the question.

Mayur Parkeria: Hello.

Management: Yes the announcement relates to preferential issue only. We cannot give all the information before the board meeting about the number of shares all these things. It is an UPSI matter for us.

So that is why a broader agenda item has been given. And relating to the other agenda item it is an UPSI matter which is not mandatory to be informed.

Moderator: Sorry to interrupt sir your voice is not audible. Sir if you are speaking right now we are unable to hear you.

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Management: Hello. Sorry we again got disconnected. We are back. Maybe our Company Secretary will repeat the answer so that it's clear to everybody. Go ahead.

Management: You can able to hear us now?

Moderator: Yes you are audible sir.

Management: See as per the regulations we had given a broader agenda item to the stock exchange because these are all subject to the board approval. So that is why we have not mentioned all the details in our communication. Especially relating to the first agenda item since it is an UPSI matter it was not mandatory at all to be informed to the stock exchange.

Mayur Parkeria: But sir sorry just clarification even equity issuance of equity shares we could have at least given the understanding that it is other than by issue of cash and it is to the promoters. Even that would not have fallen under the disclosure requirements?

Management: That's what I told you.

Mayur Parkeria: Because this is a preferential issue to the promoters.

Management: not mentioned.

Mayur Parkeria: Fine sir. I hope this falls under the right governance practice.

Management: No thanks for the hint we all the time try to improve our governance. Thanks for the hint and we will pick it up. Thank you.

Mayur Parkeria: Thank you.

Moderator: Thank you. We will take the next question from the line of Aniket Mhatre from Motilal Oswal Securities. Please go ahead.

Aniket Mhatre: Hi sir. Thank you for the opportunity. A few questions. One was you indicated to us that there were step jumps in terms of growth drivers for Bosch Chassis Systems the acquired entity. Could you help us understand what are the kind of growth drivers that we envisage going forward from here in terms of regulatory changes that will come up? I mean if you could help us understand which are the upcoming regulation changes that this company will play a critical role in the next say three to four years that will help us understand what kind of growth we can expect this company to deliver? That would be my first question.

Management: So I would say that there were several step jumps like I explained earlier which have brought us to a very good level in terms of regulatory changes and legislation. What will further propel growth for this sector is increased volumes, increased demand for safety norms and safety systems in vehicles and of course potential opportunity with 2-wheeler ABS expansion into new categories.

Of course, CV is an area

where we see some opportunities so that's another area to look forward

to. So these would be the broad areas in addition to continued growth in safety systems across Bosch Limited

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all categories and of course volume increases. EV as I said is another opportunity where new braking systems get used and that would also propel further growth.

Aniket Mhatre: Sure. Sir any update you would have on this ABS mandate on 2-wheelers that was supposed to come for up to 125 cc 2-wheelers?

Management: No I don't have any new update that I can share with you right now. I believe the matter is under consideration and discussion. So whenever there is an update if we hear it we will certainly update you.

Aniket Mhatre: Sure. Sir the next question was on this JV with Tata Autocomp that you have tied up. Could you help us elaborate on the scope of this JV and whatever you could share I mean in terms of how what is it beyond e-axle motors as well and how it will shape up between the two partners whatever details you could share with us?

Management: We believe the JV is a very good step towards consolidation of volumes and of course also a lot of synergies between the two companies. Tata Autocomp comes with a great track record in this area. They've already been producing e-axes and they've also developed a very good supply chain around it.

We have a huge amount of technology on e-axes and we feel at this point of time in terms of where the market is, how it's evolving, the volumes in the market today we feel a joint venture approach to build synergies, consolidate everything and take things forward would be the best way towards growth and creating customer value for this upcoming electrification wave. So that's how we look at it and that's the reason for the JV. And we hope that as we go forward, we will build on this continuously and improve the whole situation.

Aniket Mhatre: Sure. Any sense of how would the revenue and profitability be shared between the partners?

Guruprasad Mudlapur: It's a 50-50 joint venture so we will share.

Aniket Mhatre: Okay sure. And coming back to the question on this RBIC. The margin benefit that we have seen right over the last few years. I mean, I was just looking at the historic numbers revenue for this company has almost tripled since FY '19 but if I look at the cost excluding raw material

which is employee cost and other expenses that sort of doubled in the last sort of between FY'19 to FY'25?

So just want to understand is this just the operating leverage led benefit that has flown through or are there any other benefits also that have accrued to this entity, and hence we have seen a very sharp improvement in margins or not a commensurate increase in the other expense line items. Some sense around that would help?

Karin Gilges: Sure. I suppose you are referring to the net profit margin and to the improvement in the last couple of years. Right?

Aniket Mhatre: Yes ma'am. Not just last couple of years to be honest since FY '19 to FY'25?

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Karin Gilges: Okay. So as mentioned before this is multi-dimensional. Of course growth helps all the time. If you have profitable growth and new products which also includes more safety features then you have an effect out of this as well. The third part is and you mentioned it already is the localization. And this is not only the localization of the finished goods which the management of this company did in a very good and capex friendly way let's say.

But it is also secondly on the child parts and on the raw material. So therefore you have a multi-dimensional and not to forget and if you look in the presentation of for example quality awards and the awards which this company won in the last couple of years, then you see a very good overall efficiency in the production.

You see a very good quality level which

of course helps you on the cost base as well. Very lean structures and this all together helped them in the last couple of years to significantly improve not only the top but also the bottom line.

Aniket Mhatre: Sure. Thanks for that. Just one final thing could you help us understand any sense around the capex for RBIC say in the foreseeable future? I mean will if you could give any guidance around a percentage to revenue perspective or whatever details you could share?

Karin Gilges: Okay. The capex, I mentioned it already there are two aspects. First of all that this company has the capability to make a modular -- has a modular approach in their products. That means you have a platform and this platform you can use again for different generations. This leads also to the fact that you have a modularity in the production and to have a modular setup also in the production.

And I just mentioned you have a modular setup of the product itself. And therefore, you could partially transfer this also in the modular setup of the capex. In addition, we have the advantage within the Bosch Group that we can look into our international production network. And we are capable to relocate lines.

Moderator: Sorry to interrupt, ma'am. Your voice is not audible.

Karin Gilges: Therefore, we have the advantage within the international production network. We stopped with the capex. So -- and I said we have a modular product partially because we are coming from one platform, which means that we partially can transfer it also into the production to have a modular setup also in the production. In addition, within the Bosch Group, we have the possibility if there are idle lines somewhere in the international production network, we can also relocate them to India, which has two advantages.

One advantage is that of course it is a second hand line and we have an effect in the -- or as a base effect in the capex. And the second advantage is these lines were run already and ramped up and we have all the technical KPIs, we know the overall efficiency, we know the maintenance schedules. So we are very familiar with these lines which gives us the chance if we relocate them to have a very fast ramp up.

So if you look at the capex overall and you can see it also in the report we have uploaded. And then we are for sure at a reasonable percentage of TNS in the capex. And we see this going

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forward, whenever we have a change in the generation for example in the ESP or the new braking systems we are going ahead with the localization, then this is reflected of course in the capex of the upcoming years.

Aniket Mhatre: Sure. Understood ma'am. Thank you so much for the opportunity.

Moderator: Thank you. We will take the next question from the line of Chetan Falke from Trithan Capital. Please go ahead.

Chetan Falke: Yes hi. Good afternoon and thank you for the opportunity. My question is for Ms. Karin. You just mentioned one third of our revenue is from 2-wheelers and rest is from passenger and commercial vehicles. So can you just clarify please if that was for Bosch India or for Bosch Chassis?

Karin Gilges: This was for Bosch Chassis Systems. It's an estimation roughly please.

Chetan Falke: Okay got it. And can you please talk about our market share in new braking systems or ABS or other key products that we have?

Karin Gilges: Let's say we have in the products. Overall in this company we have a very good market share. We are competitive but please understand that we in general do not disclose KPIs on a segmental base. But we are well prepared and well placed in the market.

Chetan Falke: Okay. And ma'am, we have a lot of other entities which are in automotive segment as well. Let's say for example we have Bosch Rexroth and other entities. So is there any possibility that these entities might be clubbed under the group structure eventually going f

orward? Or what's the

probability that you see or any potential synergies that you see?

Guruprasad Mudlapur: Bosch Rexroth is not an automotive company. It's a more heavy hydraulics and pneumatics company. No we do not see synergies of bringing Rexroth into the mobility fold right now. Even globally they operate completely independent.

Chetan Falke: Okay. Any other entities that can let's say automotive steering systems or any other products or any other things?

Guruprasad Mudlapur: I mean, at this point of time, see the thing is this is a constant look into our portfolio on how we should rearrange and make the best for a very strong mobility company in India. That's an endeavour. We will continue. We are not ruling out anything at this point of time.

Chetan Falke: Okay. That's it from my end. Thank you very much.

Moderator: Thank you. We will take the next question from the line of Divyansh Gupta from Latent PMS.

Please go ahead.

Divyansh Gupta: Hi. I joined the call a bit late. So a couple of questions. As per September balance sheet we have about INR10,000 crores of cash and investments and INR9,000 is being paid to complete this transaction which leaves about INR1,000 crores of cash balance. So the first question is does the Bosch Limited

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acquired entity brings any cash to the now consolidated entity? And how should we think about funding of any capex going forward by the company?

Karin Gilges: Okay. So I would like to give you the following perspective. Out of the INR9,000 crores it's the equity value that means we have the enterprise value plus a certain cash consideration because you have of course a basis cash in the company left. So this is first of all, and this is we checked also the cash conversion cycle. This is sufficient for this company.

The INR10,000 crores you seen in our balance sheet is of course at cost. If I look at this our funds at market value it is much better. That is the second thing. And the third thing is we are even after the deal well equipped with cash and both companies are highly cash generative. So Bosch Limited plus the new one have a very positive cash flow of course. So overall we made sure that we have afterwards both companies' debt free and sufficient funds going forward for capex and other activities.

Divyansh Gupta: Got it. And what would be the cash flow generated by the acquired entity in H1?

Karin Gilges: The cash we would at this point of time not disclosed.

Divyansh Gupta: Got it. Understood. Thank you. That's it.

Karin Gilges: But one hint please have a look at there is a comprehensive PWC report for the valuation which we have uploaded. I don't know whether you had the chance already to have a look. This is really comprehensive and very transparent.

Moderator: Thank you. We have the next question from the line of Ajit from Nirzar Securities. Please go ahead.

Ajit: Hello. Thank you for the opportunity. Ma'am what is the current order book in Bosch Chassis?

Karin Gilges: Yes, see the current order book is very full. It's the market leader, very good market share across all categories and very good project pipeline for the next four to five years. So we are very comfortable with the order book situation.

Ajit: Okay thank you.

Moderator: Thank you very much. Ladies and gentlemen due to the lack of time we will take that as a last question for today. I now hand the conference back to the management for closing comments.

Guruprasad Mudlapur: Okay thank you everyone for participating, sharing your perspectives. We believe at Bosch Limited this is a great synergy of integrating this company. Adds a very good future proof portfolio to Bosch Limited which is quite agnostic to the powertrain choices the industry will make moving forward.

And safety and braking are very critical as we go forward. So this adds a lot of complementarity while bringing in significant c

ash and margin accretion effect right from day one of the

transaction. So we are very positive that this will do well for Bosch Limited and thank you for your interest and good questions

today.
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Karin Gilges: Thank you.

Moderator: Thank you members of the management. On behalf of Bosch Limited that concludes this conference. Thank you all for joining with us today and you may now disconnect your lines.

NOTE: T his document is a transcript and may contain transcription errors. This transcript may not be 100 percent accurate and may contain misspelling and other inaccuracies. While the transcript has been edited for clarity, the Company takes no responsibility for such errors.

Call: May 2026

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May 25 , 2026

Dear Sir/Madam,
Sub: Compliance under Regulation 30 and 46(2)(oa) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) regulations, 2015 - Disclosure of Transcript of the Investors' Concall Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith the transcript of the investors' call with Investors/Analysts held on May 21, 2026.

This is for your Information and records.

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Yours faithfully,
for Bosch Limited,

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Company Secretary & Compliance Officer

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"Bosch Limited
4Q FY '25-'26 Post Results Conference Call "
May 21, 2026

MANAGEMENT : MR. GURUPRASAD MUDLAPUR – MANAGING
DIRECTOR AND CHIEF TECHNOLOGY OFFICER –
BOSCH LIMITED
MS. KARIN GILGES – CHIEF FINANCIAL OFFICER –
BOSCH LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – 360 ONE CAPITAL
MARKET

Bosch Limited
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Annamalai Jayaraj: Ladies and gentlemen, good day, and welcome to the Bosch Limited 4Q FY '25-'26 Post Results Conference Call hosted by 360 ONE Capital Market. From Bosch management, we have with us today Mr. Guruprasad Mudlapur, Managing Director and Chief Technology Officer; and Ms. Karin Gilges, Chief Financial Officer. At this point all participant line will be in the listen only mode and there will be an opportunity for to ask questions after the management presentation and opening remarks. Over to you, sir.

Guruprasad Mudlapur: Thank you. Good morning, everyone, and welcome to our Q4 FY '26 earnings conference call. We'll begin with an overview of the current macroeconomic landscape and our outlook. The domestic economy remained resilient in the last quarter of fiscal '26, driven by robust private consumption through fiscal stimuli and stable monetary policy from RBI, which has kept inflation within the targeted range of 2% to 6% under the flexible inflation targeting framework. This flexibility is critical for India's macro stability in FY '27, allowing RBI to balance inflation control amidst external shocks with growth prioritization to avoid policy-induced slowdowns. Significant global headwinds continue to demand our attention. The heightened geopolitical instability, particularly in West Asia continues to pose a material risk to energy price stability and has created volatility in key shipping and logistics routes. While the acute semiconductor shortages of the past have eased, the overall supply chain environment remains fragile. Geopolitical friction creates new unpredictable bottlenecks that require constant monitoring and proactive management.

Given this outlook -- given this context, our outlook for fiscal '27 is one of cautious optimism. We are confident that the government's continued focus on capital expenditure outlined in the budget will bolster domestic demand and create opportunities. However, our strategy is built to be resilient in the face of external uncertainty. Our key priorities will be to enhance supply chain agility, manage commodity and currency risks effectively.

Next slide, please. The fourth quarter of fiscal '26 was characterized by broad-based production growth across all major automotive segments. Passenger vehicle demand accelerated notably towards year-end, driven by strong SUV traction, leaner dealer inventories and robust consumer sentiment. Festive and wedding season tailwinds further supported momentum alongside GST benefits. As a result, inventory levels normalized to a healthy average of approximately 28 days compared to an average of approximately 52 days in the previous year ended March '25.

Light commercial vehicle production recorded healthy growth. Key drivers included e-commerce demand during the festive season, a 10% increase in infrastructure spending that supported freight activity and budget utilization by fleet operators. Stable credit conditions and cumulative 125 basis points repo rate cut have improved financial affordability for small operators. Heavy commercial vehicles growth was supported by a 10% increase in infrastructure spending, leading to stronger goods movement and Q4 budget utilization by fleet operators and logistics.

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This, alongside stronger infrastructure-led goods movement and demand for school buses drove growth. Additionally, steady replacement demand also provided an underlying boost. Tractor segment was a standout performer, supported by robust rural demand, favorable farm economics and a strong rabi sowing season, where total area coverage increased by approximately 1.59 million hectares year-over-year. Policy tailwinds further boosted the growth, enhancing affordability and driving both first time and replacement demand. Three-Wheeler production rose sharply, supported by demand

for urban mobility and heightened last mile cargo activity during the festive season.

OEMs scaled up production in anticipation of sustained demand aided by supportive policies and festive tailwinds. Two-Wheeler segment posted healthy growth, supported by strong festive and wedding season demand, improved rural liquidity and stable urban consumption. India's -- next slide, please. India's automotive industry is expected to witness steady growth in FY '27, supported by stable macroeconomic conditions and continued policy support. The PC segment is expected to record steady growth in FY '27, supported by resilient consumer demand. However, geopolitical uncertainties, particularly the West Asia conflict may weigh on demand in Q1, though the overall outlook remains stable. The CV segment is projected to register stable growth, aided by sustained infrastructure spending and strong e-commerce-led logistics demand.

The tractor segment is expected to post stable growth, supported by healthy reservoir levels and stable prices, aided by the deferment of emission norms in the 25 HP to 75 HP category. However, the potential El Nino conditions could pose a downside risk. The Three-Wheeler segment is likely to witness positive growth driven by organic growth in both passenger mobility and last mile cargo demand. The Two-Wheeler segment is expected to register healthy growth with a below normal monsoon potentially weighing on rural demand. Nonetheless, stable macroeconomic fundamentals are likely to provide underlying support.

Next slide, please. Sector-wise sales performance. Quarter-on-quarter, the Mobility business has grown by 23.3% in Jan-March '26 as compared to Jan-March '25, driven mainly from the Power Solutions business, which grew by 27.4%, mainly on account of robust growth in overall automotive market. The Two-Wheeler business grew by 63.4%, mainly on account of higher sales of exhaust gas sensors due to ramp-up of OBD2 norms implementation from 1st April 2025.

The Consumer Goods business grew by 14.3%, driven by product range expansion through traditional trade channel and incrementally supported by e-commerce growth. FY '25 versus FY

'26, the Mobility business has grown by 16.9% in April-March '26 as compared to April-March '25, driven mainly from the Power Solutions business, which grew by 17.6%, driven by higher demand in the overall automotive segment. The Mobility Aftermarket business grew by 3.7%, driven by steady demand for core products with additional support from OE segment.

As already seen in quarter-over-quarter growth, the Two-Wheeler business has grown significantly by 69.1% due to the ramp-up of -- ramp-up in the sale of exhaust sensors resulting from OBD2 norms implementation from 1st April 2025. The Consumer Goods business grew

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by 6.4%, mainly on account of growth in global and blue tools and accessories and incentive schemes launched.

Next slide, please. Quarter-on-quarter, revenue from operations in Jan-March '26 stood at INR55,657 million, which grew by 13.3% over Jan-March '25. The growth was mainly driven by higher sales in Power Solutions and Two-Wheeler PowerSports segments as seen in the previous slides.

Likewise, revenue for the period April-March '26 grew by 10.8% over April-March '25 from INR180,874 million to INR200,347 million. This growth was also driven by strong performance in Power Solutions and Two-Wheeler PowerSports segments. EBITDA for Jan-March '26 was INR7,815 million, which grew by 20.8% over the same quarter of previous year. The improvement in EBITDA margin was primarily driven on account of revenue growth and optimization of expenses.

EBITDA for period April-March '26 was INR 26,503 million as compared to INR 23,097 million April-March '25, which grew by 14.7%. The improvement in EBITDA margin was primarily driven on account of revenue growth

h, reduction in material cost and budgetary control on expenses. The profit after tax for Jan-March '26 increased by 2.7% over same quarter of previous year.

Profit after tax for FY '25 -'26 stood at INR 27,702 million, which is a growth of 37.6% over the same period of previous year. The significant growth impact is mainly due to the profit on sale of the Video Solutions, Access and Intrusions and Communication Systems under the Building Technologies segment.

Next slide, please. I will now walk you through key highlights in each of our business divisions. The Power Solutions division achieved a landmark result surpassing INR 130 billion, total net sales for 2025 calendar year. We focused -- we closed the fiscal year with momentum, delivering over INR14 billion in the fourth quarter.

The results reflect our unwavering commitment to performance, customer focus and deep trust our customers place in us. This success is underpinned by our continued focus on preparing customers for upcoming legislation. For the upcoming CAFE Phase 3 regulations, we are ensuring our customers will be fully prepared by actively aligning with OEMs for the rollout scheduled in April 30, 2027. In parallel, we are spearheading the adoption of ADAS in commercial vehicles.

Our proactive approach positions our partners to comply seamlessly as this important regulation takes effect, starting in Jan 2027 for new commercial vehicle models and extend into all commercial vehicles by October 2027.

Moving to our Two-Wheeler and PowerSports division, we saw a significant surge in demand following the recent GST reforms. Our operational team successfully scaled production to meet this demand. Importantly, it was achieved while managing ongoing supply chain pressures.

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We maintained our 100% delivery commitment to all OEMs since ensuring zero production disruptions. On the innovation front, Bosch Limited was named one of India's top 50 innovative companies by CII. And our Two-Wheeler division was a key contributor to this award. Specifically, our new Intelligent Puncture Detection System was commended this year. This follows last year's recognition of our Sensorless Quickshift technology, highlighting our consistent focus on developing practical user-centric solutions.

Now turning to our Mobility Aftermarket division. The independent aftermarket stagnated as it continued to face significant supply chain pressures. However, our Original Equipment or OE segment witnessed robust growth, which was fueled by exceptional performance in OEM Filters & Spark Plugs. Exports in the Mobility Aftermarket business delivered outstanding growth of around 17%, reflecting notable improvements in key international markets, specifically in Nepal, Bangladesh and Sri Lanka. Across our core product portfolio, our sustained focus on go-to-market strategies and market coverage initiatives drove steady growth.

This positive development was also seen across a broad range of categories, including filters, lubricants, rotating machines, braking systems, wipers and electrical -- auto electricals, demonstrating the fundamental health of our offerings. Turning to our Power Tools division. This quarter was marked by a major strategic milestone. We became the first Power Tool company in India to receive the mandatory BIS certification for key products like our angle grinders, drills and hammers.

By securing this, we have ensured uninterrupted market access for these products, further strengthening our market-leading position. We also expanded our professional tool portfolio with the successful launch of our new magnetic drill, the GBM30. This was our first locally sourced finished good and it addresses a much-awaited market requirement. Finally, the strong momentum in our Cordless segment continued, delivering another quarter of double-digit growth. This performance was

driven by our strategic Cordless 3.0 initiative. This campaign is designed to create battery lock-in effect by deploying targeted online and offline promotions across 25 key industrial clusters accelerating the adoption of our battery platform. Next slide, please. In another strategic milestone, we are pleased to announce a joint venture with Brakes India Private Limited and Wheels India Limited. At Bosch, we are continuously expanding our capabilities to solidify our global partnership in the commercial vehicle sector. This joint venture is a decisive step to shape the future of advanced air systems.

By integrating premier engineering and manufacturing powers, we are co-creating state-of-the-art intelligent modules that will empower our customers globally to build more advanced commercial vehicles. The joint venture will focus on engineering, manufacturing and sale of electronically controlled and software-driven modules for air compression, air processing, air suspension and air parking brakes with a registered office in Chennai, the global supply chain, including India, will be managed by entities of Bosch, Brakes India and Wheels India.

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Thank you all for your contribution and for patiently listening to the call. We will now address your questions. Thank you, and questions, please.

Annamalai Jayaraj: Thank you, sir. We will now begin the question-and-answer session. First, Mr. Mumuksh, you can unmute and ask your question. Mumuksh Mandlesha, you can unmute.

I think, he's unable to unmute, I think. Next, we'll go to Pramod Amthe.

Pramod Amthe: Sure. So, the first question is with regard to the growth outlook. When I see your volume outlook of next year, it looks to be flattish in many cases, except for 1 or 2 segments. So, in that background, do you see a scope for Bosch in any of the segments to increase content per vehicle and out-beat the industry volume growth? If you can talk about subsegments.

Guruprasad Mudlapur: Yes. So, I think the -- to answer your question, I would put it in 2 parts. The first part on content per vehicle is a constant increase, and this is happening, and we've discussed this couple of times also in the past. So, this is a thing which continues all the time for us. And we expect this trend to continue also in the upcoming fiscal year.

The second part of the question, I would say we are a bit cautiously optimistic, cautious because of the potential headwinds that are in front of us specifically the West Asia crisis now going on, which could have serious impact on crude oil prices and the refore if the pass-throughs are high,

what is the negative impact on the economy and the rest of it. So there, we want to be a bit cautious. So, we currently maintained a flattish outlook. But that doesn't mean -- like the year

we closed, we have no issue s ramping up when required or going much beyond as required.

Pramod Amthe: And the second question is with regard to the joint venture route you are taking for some of the new product lines. So, this is a second in that series after the eAxle and now for the brake systems. I wanted to know, what is the thought process? Why this format taken for each of these cases? What do you feel are advantages?

Because these are like -- it looks like you have a superiority of R&D. Bosch is global epitome of R&D and products. So why to go for an equal joint venture, what advantages you are looking at versus a shareholder, who looks at loss of medium - to long-term revenue and the profit potential-wise if you executed these businesses on your own?

Guruprasad Mudlapur: Yes, I think it's a fair point from your perspective. I think, we've previously answered why we went into a joint venture on the eAxles. I'll now focus on why are we doing a joint venture on the air systems here for commercial vehicles. Look, the -- as Bosch, we have huge engineering capabi

lity, huge capability of manufacturing and selling products and solutions across the world.

But in this area, specifically electronic control, software-driven modules for air compression processing or suspension, Bosch is not a player at all. We have capabilities to get in and do everything ourselves. But we felt that the commercial vehicle market works with established players. And the TSF Group is a very strong player in pneumatics and hydraulics for commercial vehicle suspension, braking and air systems.

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Now the market worldwide is quickly moving towards electronically controlled software-driven modules. And we have that side of the capability. So, we thought it's good to partner, good to put the efforts of 2 companies together and get to market quickly. This is the starting point of the equation, and we can see how this develops and we can change.

I would say the -- this is for us, in India specifically and also globally, we are not playing in this portfolio at all. And through this joint venture, we actually get into this portfolio. So, in that sense, it's a new entry for us. And we felt this is a good, quick and effective way of combining forces of 2 companies with good capabilities in a new area and getting to market as quickly as possible.

Pramod Amthe: If I can ask further on that, does it -- do you look at it as compared to a Tier 1 OEM, which you are with the pricing power and technology which you offer, with these joint ventures, both these, if I have to look at eAxle and Brakes, does it become Tier 1 minus or Tier 2? And hence, you feel that is not a problem as long as you are addressing the business opportunity?

Guruprasad Mudlapur: No. Actually, we do not see this as any change from -- any change in our tier position to handle this topic. We will continue to play the same Tier 1 role, specifically all details on the current announcement are being worked out. But as a quick input for you, this is a venture, which will

also help us scale globally because the market for this air systems today is largely global.

India will come in at some point of time soon, but currently, it's largely global. And when we take it global, we take it as Bosch. When we take it local, we take it through joint venture. And of course, the TSF Group also can do this similarly. So, we do not see this as any change in our tier position at all.

Pramod Amthe: If I can request one more. Since you now have 2 joint ventures, along with the capex outlook,

would you also incrementally going forward and talk about what is the joint venture requirement for funding in a particular year so that can help us do the financial model better?

Guruprasad Mudlapur: Yes. I think, we can look into this. The joint venture details are anyway going to be published and they're all available already. It's already -- we've already notified the regulators on this, but our own capex, we've also specified. So, the details are out there.

Annamalai Jayaraj: Mumuksh Mandlesha, you can unmute and ask your question.

Mumuksh Mandlesha: Just on the -- continuing on this JV question, I just want to understand -- I just want to clarify, will this JV focus more on the advanced brake systems or also will cover the traditional braking system and suspension system, sir?

Guruprasad Mudlapur: This is more for the advanced brake suspension systems. They are electronically controlled software-driven modules for air compression, air processing and air suspension and air parking brake solutions.

Mumuksh Mandlesha: So more for like for the EV products and the upcoming regulation like ECS, etcetera, right, sir?

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Guruprasad Mudlapur: No, no, this is commercial vehicles. So, this can be used across the range, and this will be for commercial vehicles, trucks and buses, both ICE and BEVs.

Mumuksh Mandlesha: And also,

it would cater to LCV, MHCV across the segment, right, sir?

Guruprasad Mudlapur: Yes. That's correct.

Mumuksh Mandlesha: And just on the operation ramp-up, sir, how do you see the ramp-up and investment phase sir, for this JV?

Guruprasad Mudlapur: We currently see this JV commencing operations end of 2026. We will still have to fight to win projects in this wing. We're working on that already. And as we go further with the further setup and establishment of the JV, we will provide more information.

Annamalai Jayaraj: Mr. Ronak Sarda, you can unmute and ask your question.

Ronak Sarda: Am I audible?

Guruprasad Mudlapur: Yes, you are audible.

Ronak Sarda: I just had one question. If you could just share the full year performance for Bosch Chassis for FY '26 in terms of revenue margins, profitability and that would be great, sir.

Karin Gilges: Yes. Thank you very much for the question. We have published, of course, the valuation report, but due to that we are not through the process for the whole CV report, etcetera, we can't before the closing and not disclose figures here for the company, Robert Bosch Chassis Systems.

Thanks for your understanding. But as you could see out of the valuation report and out of what we have published, what we intend to do with the acquisition and you see how the market is currently going in RBI and we see overall in the mobility also that we are meeting our original plans.

Guruprasad Mudlapur: Just to expand a little bit on that. We've informed you of our intent to get into this JV -- sorry, to buy this company, it required shareholder approval, which we have got in the meanwhile, minority shareholder approval is obtained. But we're still waiting for regulatory approval on proceeding further. So, till we formalize that we would resist from giving you this kind of details.

Annamalai Jayaraj: Mr. Chetan, you can unmute and ask your question.

Chetan Phalke: Can you hear me, sir.

Guruprasad Mudlapur: Yes.

Chetan Phalke: Sir, since you mentioned that we are going to fill a major product gap where Bosch is not present in this category, in India and globally as well. So, if you can help us understand the size of this particular system or market for us in India, globally, OEM versus aftermarket, just a broad touch will help.

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Guruprasad Mudlapur: In India, this is very, very nascent, very early stages for -- let me see if we can give you anything. Actually, the air processed braking and suspension systems in India is a brand-new portfolio. So it's something that we see upcoming in the coming years. But the interest currently is largely global. And across the world, many countries have legislations and even they are already adopting fully electronically controlled software-driven modules towards air compression, suspension and braking.

So at this point of time, the market is largely global. And in the coming 2 years or so, we see more adoption of this in the Indian market. As we go further in the coming months, we'll share a lot of information on the JV and the market potential and opportunities around this.

Chetan Phalke: Okay, okay. But ballpark, what would be the content per vehicle for us in this product in a global

market? And how much would Bosch India contribute to it? Roughly.

Guruprasad Mudlapur: Yes, I mean -- No, I do not want to speculate and give you a number now. The project details are in the scope of finalization. I will -- we will certainly share more information probably in the next call with all details about the market opportunity, content per vehicle and the exact scope.

Chetan Falke: Sure, sir. And by what time frame we are expecting this JV to start ramping up the business?

And will the TSF Partners, will they set up a dedicated manufacturing -- or are they going to utilize their existing plants for this? I mean, if you can...

Guruprasad Mudlapur

: So, the joint venture aims to start first operations late '26. So of course, all this is subject to regulatory approvals and us being operationally ready. The JV will offer according to customer demand, of course, samples in '27 and series readiness by 2028.

Chetan Falke: Okay. And similarly, sir, any other JVs with respect to, let's say, wind or any other segments that we are exploring? Or any thoughts on that?

Guruprasad Mudlapur: Yes. I mean -- see, we do not speculate in calls like this. As we've informed multiple times in our calls, we are always working on portfolio expansion, portfolio decluttering and enhancement. So, this is a constant endeavor for us. And as and when we have some information -- any information worth sharing to you or through regulatory approvals, we will certainly make it a point to share it immediately. So, there is continuous work happening on many different aspects.

Annamalai Jayaraj: In the meantime, Mr. Vedant, you can unmute and ask the question.

Vedant: So, one thing on the other expenses for this quarter, I can see a 9% year-on-year decline and 10% sequential decline. So, can you just maybe guide me through like what has led to this decline? What sort of expenses are there? So just a broad idea, I'm trying to understand.

Karin Gilges: Thank you very much for the question. One part of our other expenses is customer projects, which you can find under revenue, other income from services. And we had in the last year, a very big project with a customer, and you saw the reflection in the other expenses.

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Furthermore, if we look then, of course, you can see here the forex gains and losses due to the INR fluctuation. Overall, we are also working generally on our budgets, on our cost progress in the other expenses. So, we had a better fixed cost absorption. So, if I summarize it, the customer projects, we had the big projects in the last financial year. We had a better fixed cost absorption in this financial year. We went ahead with the cost progress and the offset, of course, by the forex impact.

Vedant: And one more question. So, looking at the commodity cost environment or the -- or the recent energy crisis, like how are you seeing in terms of the overall cost outlook in FY '27?

Karin Gilges: Well, of course, we know that we are in a competitive market. Of course, we are working on the one side on the material cost via localization, via negotiation, via working on our design RPP

so-called. On the other hand, of course, we are working on our productivity strongly in the plants. We have a very good productivity progress again in our plants. We are ramping up our AI in the plants to gain here productivity and efficiency. So overall, yes, competitive market. And yes, we are working on the cost progress in accordance.

Vedant: And just one last question. So, coming on to your outlook across the segment, so it is kind of like flattish. So just trying to understand that your customers are guiding for like a high single-digit type or double-digit type growth for FY '27. And why is like a flattish kind of guidance for financial year '27?

Karin Gilges: As Guru already mentioned, we see a very strong last quarter of the financial year '25-'26. What we are seeing going forward, as Guru showed is that we are currently a little bit careful and more on the conservative side looking at the overall geopolitical environment like the Strait of Hormuz, like the Ukraine war, like all the other things and aspects going on worldwide. So therefore, we are carefully optimistic.

Annamalai Jayaraj: Mr. Rajit, you can unmute and ask your question.

Rajit: My question is related to the joint venture with Tata AutoComp. I believe it was supposed to start operations in mid-2026. So, if you can share some update on it and how much have we invested till date? When are we going to see some sales from the

JV?

Guruprasad Mudlapur: Yes. So, it -- the establishment of the JV was mid-'26 and it's on track for that. The SOP from the JV is most likely third quarter of next year, and everything is on track for that.

Rajit: So, third quarter of next year means, third quarter of next calendar year?

Guruprasad Mudlapur: Yes. Next calendar year, sorry.

Rajit: So, Q3 FY '28 is when the revenues will start to come in.

Guruprasad Mudlapur: That's correct. The first shipments from the JV will happen from the third quarter of next year.

Rajit: And have we got some orders or pre -orders from any clients?
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Guruprasad Mudlapur: Yes. Yes. We have orders from clients based on which the whole concept was worked on and we will share more details on the exact orders, what's going on within the JV once the JV is set up in the coming months.

Rajit: All right. And just one quick clarification. It was said that the valuation report has been published. Now could you help me where can I find that valuation report for the acquisition of Chassis?

Karin Gilges: Yes. It was published together with the postal ballot notice.

Rajit: So, it's there on the stock exchanges.

Karin Gilges: There is a link, but we can talk back to you afterwards. If you leave your name and everything, then we can help you to find the link.

Rajit: Otherwise, I'll drop an email as well.

Karin Gilges: Yes. Perfect. Just drop an email -- a mail to our Company Secretary, and then we can help you with the link that you have the access.

Annamalai Jayaraj: Yes. Before going to the next caller, I'll read one question from the chat box, sir. So, in the presentation, you indicated that we are helping customers on the CAFE 3. So, on CAFE 3, will our content per vehicle improve meaningfully?

Guruprasad Mudlapur: Yes. Content per vehicle will increase. We can share more details about this in the upcoming calls.

Annamalai Jayaraj: Mr. Akshay, you can unmute and ask your question.

Akshay: Am I audible?

Guruprasad Mudlapur: Yes, yes.

Akshay: Okay. So, my question is, in the larger scheme of the Bosch Group -- Robert Bosch Group globally, can Bosch India become a global manufacturer for some of the product or a preferred low-cost supplier for the group globally in the supply chain?

Guruprasad Mudlapur: Yes. So, I think, we have also answered this a couple of times in the past. Yes, certainly, there is an opportunity for us to become a player in the overall scheme of things, as you described. But I would start this answer this way. Bosch operates in what we call international production

network, where production centers are typically set up in the region where consumption happens.

So, Europe for Europe, India for India, we are normally set up. There is, of course, a little bit of export happening from each of the regions based on shortfalls, based on extra demand and so on. That's the current situation.

So, you will also see that from India, we already do export a small percentage to the rest of the world. This is definitely not possibly how this will be over the coming years. And this is currently

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work in progress on how the production architecture changes for us. And when this changes, what role we can play and how can we have a bigger role in the overall scheme of things. There are, of course, some preconditions to this. Everything has to make economic sense -- commercial sense. And of course, it also has to make sense in the context of landed cost for customers. So, when we export something from here, the landed cost has to be same or cheaper or in line with contracted obligations in the locations they receive. So, we have to work on this, and we are constantly looking at opportunities based on this.

Akshay: That was very helpful. So broadly, do you have any assessment how much would be the difference, le

t's say, Bosch India is manufacturing a product here in India and something is being produced in Europe. What is the gap right now? On the production cost or on the landed cost, what is the metric?

Karin Gilges: So, it's very hard to give you a percentage. And of course, we cannot speak for the Bosch Group. But I would like to give you an idea is that we are working on our cost competitiveness regarding material via localization, the overall efficiency for the value add.

I would like to give you two important aspects in addition. We -- Guru mentioned already the landed costs where we have also the logistic costs, and therefore, you have to see where is the final customer and what are the logistic costs. And for sure, what we also have to consider is

that the current situation by the Strait of Hormuz and the logistic costs are not supporting us, not giving us a tailwind.

Nevertheless, we have also -- we are going forward to increase our export share. For example, we started the NOx sensor in our plant in Abu Dhabi, and therefore, we have a quite good export share, which is going back to Europe. So, depending on the product, we are fighting, but you

have to see the whole supply chain in the end to be competitive.

Annamalai Jayaraj: I will read a question from the chat box, sir. So, what is the alignment for Bosch on the upcoming BS7 norms? What is the preparedness and the opportunities on BS7?

Guruprasad Mudlapur: See, as already stated, we are an agnostic player. We support all technologies and the European version of BS7, which is Euro 7. We've already demonstrated technologies and working with OEMs for quite some time. So, in terms of technology preparedness, it's not a challenge for us in terms of manufacturing capabilities and competence, that's also not a challenge for us. So, we are well prepared to handle movement towards BS7, in case the government legislates that.

Annamalai Jayaraj: Okay, sir. There is no more questions. And so, any closing comments you want to make, sir?

Guruprasad Mudlapur: Okay. Okay. So, thank you, everyone, for your attention today, and we've had an extremely good year in my view, last fiscal year and also last quarter. Things have been very positive and good production and sales. We hope to continue this momentum, barring some headwinds coming our way through economic downturns or higher inflation or other parameters. But besides that, I think we are on a good track, and we hope to keep it that way. Thank you very much.

Annamalai Jayaraj: Thanks, sir. Thanks for all the participants.

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Karin Gilges: Thank you.

Annamalai Jayaraj: You can disconnect your line .

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